

Polycab India (POLYCAB)

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Call: Jul 2022

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Date: 27th July 2022

To

Department of Corporate Services

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street

Mumbai – 400 001 To

Listing Department

National Stock Exchange of India Limited

C-1, G-Block, Bandra-Kurla Complex

Bandra (E), Mumbai – 400 051

Scrip Code: 542652 Scrip Symbol: Polycab

ISIN:- INE455K01017

Dear Sir / Madam

Sub: Submission of Transcript of Earnings Conference Call held on July 20, 2022

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of Earnings Conference Call held on July 20, 2022.

Kindly take the same on your record.

Thanking you

Yours Faithfully

For Polycab India Limited

Manita Carmen A Gonsalves

Company Secretary and Compliance Officer

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Q1 FY2023 Earnings Conference Call

July 20, 2022

MANAGEMENT : MR. INDER JAISINGHANI – CHAIRMAN AND MANAGING DIRECTOR
– POLYCAB INDIA LIMITED

MR. GANDHARV TONGIA – CHIEF FINANCIAL OFFICER - POLYCAB
INDIA LIMITED

Polycab India Limited

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Page 2 of 21 Moderator : Ladies and gentlemen , good day and welcome to Polycab India Limited Q 1 FY2023 earnings conference call. As a reminder , all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call please signal an operator by pressing '*' then '0' on your touchtone telephone. Please note that this conference is being recorded. I now hand the conference over to Mr. Gandharv Tongia – Chief Financial Officer – Polycab India Limited . Thank you, and over to you Sir!

Gandharv Tongia : Thank you operator and very good noon everyone. I hope you all are doing well . It is a pleasure to have you on the call. As operator mentioned my name is Gandharv Tongia and I am the CFO at Polycab India Limited. Thanks for joining us today to discuss our Q1 FY2023 earnings . During the call , we will be referring to the presentation, financial results and financial statements which are available on the stock exchanges as well as investor relations webpage of our website. It can also be downloaded through QR Code on slide number 8 of earnings presentation. From our management team , we have with us our Chairman and Managing Director, Mr. Inder T. Jaisinghani. Let me now hand it over to him for his opening comments.

Inder T. Jaisinghani : Good afternoon, everyone. We have started the fiscal year 2023 on solid footing, with top line growth of ~ 48% fuelled by strong performance across B2B and B2C categories, which underlines our strategy to be agile, focus on robust execution and consistently deliver the best quality of products to our customers. Profitability was supported by better operating leverage and various strategic initiatives implemented over the past few quarters. We will strive to continue the path of profitable and sustainable growth and contribute to the success of all our stakeholders.

I now request Gandharv to take you through our earnings presentation .

Gandharv Tongia : Thank you Inder bhai.

Revenue growth of 48% marks the beginning of FY23 on a promising note as most of our businesses are now performing above pre-pandemic levels. The numbers might look upbeat due to low base, but we are seeing sustainable improvement in our underlying businesses. More importantly, we are progressing well on our strategic agenda which will drive transformation over mid-to-long-term. The current quarter breaks the rhythm of back-to-back impacted Q1 results, turning it to be the best Q1 in the history of the company in terms of revenue and margins .

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Page 3 of 21 Before I take you through the presentation, let me give you a flavour of macro environment .

Overall macro environment has been a bit of mixed bag during the quarter . Global economy is going through an extremely uncertain period amidst the simultaneous interplay of various headwinds – a lingering war and enduring COVID; the sharp volatility in energy and other commodity prices; strains in global supply chains; and worsening food security. In several economies, inflation is ruling at levels not seen by the recent generations. For advanced countries , against an inflation target of 2 % , and emerging market economies, against an average target of about 3 -5%, two-thirds are witnessing inflation above 7 % . The sharply tightening financial conditions due to the ongoing monetary policy normalization on the one hand and the persisting geopolitical tensions on the other pose significant downside risks to

near-term global economic prospects. The global economy is projected to decelerate significantly during 2022 by all multilateral agencies. The outlook is shrouded in high uncertainty. A sliver of hope has become visible in the recent moderation in global commodity prices, and especially food prices .

Back home, the Indian economy has however shown some dynamism. Several indicators suggest that the Indian economy is making resilient progress in Q1FY23 in spite of the drag from global spillovers, elevated inflation and some slackening of external demand as geopolitical developments take their toll on world trade. The high frequency indicators for first quarter are mixed; however, amidst a sea of red and yellow, greens are making their appearance. For example, GST collections for Q1 FY23 stood at over Rs 4.5 lakh crore, up 37% year-on-year, while other indicators such as services PMI, IIP, Core sector all showed meaningful improvement. India's foreign exchange reserves are approximately close to nearly 10 months of imports projected for the current fiscal, thereby providing a sufficient buffer against external shocks. However, on the contrary, consumer sentiment still remains below pre-pandemic levels, which was emphasized by RBI's consumer confidence survey. It is expected that the consumer demand in the urban market remains resilient, while a pickup in monsoon will support the rural markets which have been showing consumption stress. Besides, most of the commodity costs have been corrected in the last couple of months, offering some respite to the adverse macros. Thus, the glass seems half-full,

perfectly balancing ambiguity with some silver linings. Meanwhile on our business, we remain agile through our portfolio and go to market strategies, which gives us confidence to drive industry leading growth.

Moving on to the presentation, slide number 4. For the quarter ended 30th June 2022, our consolidated revenue grew by 48% YoY. EBITDA more than doubled in the first quarter, while EBITDA margins improved by almost 420 bps year-on-year to 11.3% led by better operating leverage and calibrated price hikes. During the quarter, we launched several brand

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Page 4 of 21 campaigns across TV, digital and social media platforms. Seminars and influencer meets helped us to improve awareness amongst B2B customers, electricians and contractors amongst others. Moving on, other expenses were broadly inline. Overall finance cost stood at Rs 84 Mn and other income at Rs 443 Mn. A detailed break-up of our other income and finance costs have been provided on slide 12 of our earning presentation. PAT almost tripled on year-on-year basis to Rs 2.23 Bn.

On segmental result, the current quarter is yet another example of how the diversity of our growth levers come into play. Moving on to slide number 5, Wires & cables, which is our largest business, saw a strong top-line growth of 48% year-on-year, led by healthy channel sales, while Institutional business also witnessed growth traction. On the geographical front, the growth was broad-based with the highest contribution from west followed by south, north, and east region. During the quarter, wire business was slightly impacted by high volatility in metal prices. Consequently, the inventory levels in trade were slightly below normal and overall cash cycle also slowed. Despite these challenges it is pleasing to note that blended wires and cables volume grew on year-on-year basis and is also higher than pre-pandemic levels. Export business contributed 6.7% to consolidated revenue and reported a healthy revenue growth of 62%. We have put in considerable efforts over the past few years in terms of new product development, getting approvals and penetrating new geographies. This is now materializing as we are seeing many repeat orders from large customers globally. Our focus on

achieving double-digit contribution target over the medium term for this business remains intact.

On slide number 6, our FMEG business grew by 59% year-on-year to Rs 305 crore. April month saw a robust momentum however June was impacted by weaker trade and consumer sentiments arising out of inflation. The growth is quite structural, supported by strategic interventions and distribution expansion. Segmental operating profit increased to Rs 62 million, with a 2% margin largely on account of pricing actions, cost saving initiatives and premiumisation which have been partly offset by input cost pressures. While lighting, switchgears and pump continued their strong growth momentum, Fans, Conduit Pipes and Solar business posted healthy growth. However, switches saw a decline due to supply challenges.

On slide 7, other segments, which are largely comprised of our EPC business, witnessed a 31% year-on-year increase in revenue to Rs 75 crore. Our debt-to-equity ratio is strong at 0.02x and we are at net cash of around Rs 590 crore. On the working capital side, there are a couple of things to highlight. One receivable days are at comfortable level. We will continue to optimize this progressively with help of non-recourse channel financing.

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Page 5 of 21 Second, inventory levels are higher than normal because we were anticipating better demand in the month of June, however as I highlighted a while back the trade sentiments went down a bit due to high volatility in metal prices and dealers and retailers reduced their stock levels in the month of June. On payables, due to change in the procurement pattern from international to local vendors the payment terms underwent a change from advance to LCs and that has resulted into reduction of liability. We expect this to normalize in one or two quarters.

Now, let us talk about our key project, "Project Leap".

In the first quarter of the fiscal 2022-2023, we primarily focus on four key areas one customer centricity, second go-to-market excellence, third winning with new products; and last is setup of organization and digital enablers.

Starting with Customer centricity. Under this initiative, we have successfully integrated go to market for C&W B2B segments. This will materially improve our customer servicing capability as well as create one single route for our B2B customers. We have improved our understanding of the customer and its preference by using various tools & appointment of dedicated key account managers, which help us to better serve our customers. We are also implementing pilot projects focusing on deepening reach and engagement with IHB and

allied influencers .

Second area is Go -To-Market Excellence. We are putting lot of efforts on enhancing our presence. During the quarter, our B2B C&W reach expanded to additional 27 new districts . For FMEG, we have added ~100 new distributors, while also strengthened our presence in Modern trade and E -commerce channels .

Next, we are building a winning portfolio of products which are innovative and resolve consumer needs . During the first quarter , we have already launched 15 and 62 new products mainly focused on premium and underserved segments in Fans & Lights respectively . Our premiumization journey is progressing well, with premium products now contribute 12% to overall consumer business , which was just 8% in fiscal 2022 and 4% in fiscal 2021.

Fourth area is setup of organization and digital enablers . Within this the major initiative was setting up the right organization structure and fill critical capability gaps across departments and businesses. Majority of talent acquisition for critical roles was completed across business and functions, while Performance measures and Rewards & Recognition were aligned to the growth strategy. We also successfully instituted end to

end digitization of

front -end sales across all businesses . So that was broadly on Q1 FY20 23.

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Page 6 of 21 Going ahead we have pinned down some key focus areas for the next few months. One is enabling customer centricity in B2B business through which we are driving our sales team towards better customer understanding and expanding our customer view to include all relevant information in customer lifecycle . Secondly , expanding our reach and distribution across businesses which includes expanding coverage to 200+ districts for B2B and scale up of emerging India to identified priority states . Third , winning in new products in B2C businesses. We have strong NPD pipeline to strengthen and build differentiated portfolio in FMEG businesses. Fourth , driving a digital agenda and creating a digital first organization, under which we are strengthening our digital infrastructure across salesforce, distributors, retailers and influencers . Lastly emphasize on Governance, where we have bottom -up and granular target setting approach deployed with linkages to scorecards across levels of business & functional teams . So that is about it on Leap. We will continue to share periodic updates and are excited to see how rest of the year pans out .

Thank you and with that I hand it over to operator for Q&A.

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Atul Tiwari from Citigroup . Please go ahead.

Atul Tiwari : Hi Sir. Thanks a lot for the opportunity and congrats on good set of numbers. Just a couple of questions on Cables & Wire business . So we have seen very sharp commodity price crash over past 45 days or so , so have you passed all of that in your end product pricing and how it should impact your margins over next two to three quarters so that is one question, first question and the second one is now that there is a widespread expectation that prices of the Cables and Wire product will be reduced are you seeing reduced demand from channel and how long that is likely to continue?

Gandharv Tongia : Thanks Atul. Thanks a lot for your kind words . I think your first question was around margins and whether we have passed on all the benefits to the end consumer or customer.

So you know this business Atul, historically we have maintained EBITDA margins of 11% to 13% in Cable & Wire and we believe in the quarters and years to come we should be able to maintain the same range in the current quarter also it was 11%. Almost 87% of our business comes from dealers & distributors and where we revise our prices at least on monthly basis and when we revise these prices we consider two factors predominantly one is changes in copper & aluminum LME, and second is change in USD -INR exchange rate and this is what we have done even in the current quarters and we will continue to do that in the subsequent quarters as well. So to answer your question, we expect to maintain a margin of 11% to 13%. Second on demand generally in the falling commodity prices we have

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Page 7 of 21 observed that dealers and distributors they generally optimize the inventory at their end and this is what we witnessed in the month of June. Expectation broadly is that we should have some stability in commodity prices in a month or so and after that I would not expect a significant correction in the inventory levels of our dealers and distributors. It is expected that the second half of the year would be better than the first half of the current fiscal.

Atul Tiwari : Okay, Sir. Thanks a lot.

Moderator : Thank you. The next question is from the line of Naval from Emkay Global. Please go ahead.

Naval Seth : Thank you for the opportunity. I have two-three questions Gandharv. First as you stated

volumes hav

e seen growth over pre -pandemic levels , also can you give out any number on that, that is first question . Second on Project Leap because when we gave our Project Leap guidance of Rs 20,000 crore revenue by 2026, copper prices were kind of 20 -22% higher than the current levels , So if copper prices or the other commodities are going to stay where they are right now so will there be any change in t imeline or number on this Rs 20,000 Cr, and third questi on is on the unorganized players where last year we have seen unorganized players facing difficulties because of spike in commodity prices so do you think that they will come back in this year as things are now falling in plac e with commod ity cooling off? Gandharv Tongia : So I will go in the same order. I think your first questi on was around the volume growth and you ar e rightly observed that we have registered a fair amount of volume plus value growth. If I were to give you a broad color o n the current qua rter growth of 48% it is safe to assume that most of it almost two -third is coming from volume and balance is because of the pricing action, which we have taken. I think your second question was around the topline target of Rs 20,000 crore by fiscal 2026 so when we were working on this topline target as part of initial thought in the Project Leap around a year back we considered last five years movement in copper and aluminium LME as well as in USD -INR exchange rate and of course we factored in some management estimate. At this stage considering this mid to long-term view I do not think we need to revise the topline of Rs 20,000 crore, but we will continue to keep you updated. At this stage I as well as the larger management team is confident of t ouching Rs 20,000 crore of topline by fiscal 2026. Third is on the unorganized. My sense is like other industries this industry will continue to move towards more organized market player irrespective of what happens to the commodity prices and I would be sur prised if un organized market share increases in the quarters to come or years to come.

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Page 8 of 21 Naval Seth : Just a followup on the first question of volumes can you state number on pre -pandemic level on volume growth as you stated in your opening remar ks that there was volume growth on pre -pandemic levels as well?

Gandharv Tongia : This is true that we have been able to register a fair amount of growth, but it would be slightly incorrect on my part to give you that number because in our business a kilome ter length of copper cabl e would be different in terms of value and volume when I compare with the aluminium so I think it is safe to assume that we are ahead of the curve as far as the industry growth is concerned , but if I were to give you only specific response to t his particul ar quarter with June 2021 I think most of it is coming because of volume and a part is because of value .

Naval Seth : One last question on the commodity prices you stated that H2 will be better than H1 , but do you think that last ye ar volumes we re impacted because of significant increase in commodity prices, and have you started to see some green shoots where demand coming back or some demand, which might have got postponed last year will come back this year?

Gandharv Tongia : Theoreti cally yes tha t is possib le, but as of now when we speak I have not seen any significant or dramatic change in demand. As a matter of fact June was slightly softer and it appears that there would be some impact of the softer commodity pri ces even in the sec ond quarter, but broadly from third quarter onwards we should see some uptick in demand and second half of the year should be significantly better than the first half of the year.

Naval Seth : Sure. Thank you so much and all the best.

Moderator : Thank you. The next ques tion is fro m the line of Achal Lohade from JM Financia l

. Please go ahead.

Achal Lohade : Hi Good afternoon. Thank you for the opportunity. My question was if you could help us understand the FMEG part. First in terms of the revenue mix if you could break i t into key products and you did point out to a drop in switches if you could give some sense as to what exactly is the issue out there and how do you see it going forward?

Gandharv Tongia : Sure. So we have broadly five or six sub -product categ ories within FMEG. One is fan, second is light & luminaires , switches, switchgears, conduit pipe, bit of solar and bit of agro pumps. Fan contributes almost 30 -35% to our topline of FMEG, and light & luminaires as well a number closer to the same ran ge, and other businesses are slightly smaller. Fan got impacted in this quarter , as you remember in the previous quarter we had mentioned that we are doing the realignment exercise in fan business because we believe to achieve a

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Page 9 of 21 significantly larger topline wit hin fan busin ess we need to revisit our GTM dealer

distributors and all that so there is some impact on fan business , but on a consistent basis we would expect fan and light and luminares both put together should contribute almost 65% to 70% to our FMEG business , followed by other smaller business. As far as switches are concerned, any which way is a smaller business for us, but this is the only product where we were dependent on third -party supplies and we had some supply side issues on that , but parallelly we have started our process of setting up our own factory for switches , it is expected to be up and running in the current fiscal as well , and once that factory is operational we should not face any significant issues on supply side of switches.

Achal Lohade : But you think you will have all the approvals with respect to because I recall for another company it took a lot of time to get the government approvals required to launch the switches and switchgears?

Gandharv Tongia : I think we have a very good handle on the approvals on switches as well as on the other businesses approvals . I do not expect any significant challenges in launching our own switches in the current fiscal itself.

Achal Lohade : Got it. If you could help us what is the capex you are incurring and what is the capacity and the revenue potential of this ?

Gandharv Tongia : So historically we have incurred between Rs.300 crore to Rs.350 crore every year. This year as well we are anticipating a number close to Rs.300 crore to Rs.400 crore. When we are working on Project Leap there were several priorities so what we decided that in the year two of Project Leap we will start exploring adjacent categories and see whether we have to enter into these categories either through M&A route or otherwise through our own facilities. So if we decide to get into adjacent product categories that number of Rs.300 crore- Rs.400 crore will probably undergo a change, but that is a work which is in progress I think during the course of the year I should be able to give you additional color on this and against the Rs.300 crore to Rs.400 crore target of the current year capex we have incurred almost Rs.100 crore in the first quarter.

Achal Lohade : Specifically for the switches facility what is the capex and the volume and the revenue potential or the asset turn?

Gandharv Tongia : FMEG business is generally a lighter business in terms of capital intensity , we should be able to get anywhere between 6 x to 8x of the capex spend , once the facility is up and running we will come back to you with additional color and data on the switches business.

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Page 10 of 21 Achal Lohade : Just one more question I had if I may ask with respect to the distribution you had talked about the overlap and you have pointed out in the slide

it is about 25 % is a common

distribution what I wanted to check this classification is based on the retail mix or the dealer /distributor mix , how are we work out this mix ?

Gandharv Tongia : The data which we have talked about is the dealers and distributors and the classification is on the basis of type of products they procure from our company , so if they are procuring cable & wire then they are cable and wire dealer distributors , if they are preferring FMEG products then they are FMEG distributors , but at most 25% of dealers and distributors are preferring both the products and that is the number which you are referring.

Achal Lohade : Sorry that number is 45 % or 25 % because I saw it is 25 %?

Gandharv Tongia : 25% are the dealers who are procuring both the products , cable & wire as well as FMEG .

Achal Lohade: In effect you are saying there is 75 % of our dealer distributors of wires they are not actually buying FMEG is that understanding right ?

Gandharv Tongia : Or other way around there are 75 % dealers and distributors who are either doing only cable & wire or only doing FMEG.

Achal Lohade : Understood and just one clarification on the slide , if I see the map of the manufacturing locations I see three places , you have written 23 units of manufacturing so just wanted to get that clarity ?

Gandharv Tongia : Yes so there are multiple manufacturing locations in these geographies , if you go to Halol there are manufacturing facilities for different type of cables and wires and these numbers of locations are as per the regulatory approval .

Achal Lohade : Got it. This is very helpful . I will come back in the queue for followup questions . Thank you so much .

Moderator : Thank you. The next question is from the line of Uttan Kumar from Spark Capital . Please go ahead .

Uttan Kumar : Good no on Sir. Thank you for the opportunity. I think all the questions have already been answered . I would like to go on the demand front so currently how do you see the current demand panning out over the next one to two years considering that now we are witnessing

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Page 11 of 21 interest rate rising and are we really seeing real estate gaining traction or is there certain pockets kind of driving the volume growth for us currently ?

Gandharv Tongia : Your voice was cracking in between I think you are talking about the demand outlook is that correct?

Uttan Kumar: Yes.

Gandharv Tongia : As I briefly mentioned in my opening remarks the June month got impacted because of significant softening of commodity prices . The expectation is that the commodity prices will get stabilized in a month or so and after that we should not have any significant challenge as far as demand is concerned . Ours is a business which is a distribution play almost 87 % of our topline comes from dealers and distributors and whenever there is a significant softening of prices generally dealers and distributors , they optimize their inventory level , but as you could imagine this is only a near term or immediate term impact , it does not impact us on a midterm or long term. As far as demand environment is concerned , macros are positive you know the country already ; it is a consumption story as well as manufacturing story . When I think of China I can think of only manufacturing , when I think of US I can think of only consumption whereas in the case of our country it has benefits of both . We can produce as well as we can consume and that is where I do not see any challenge in terms of demand over mid to long term.

Uttan Kumar : Secondly, with regards to the raw materials the company had divested Ryker Base recently to Hindalco so just want to understand in terms of the copper procurement , so in this case you could just give us more clarity on what kind of terms we have in the procurement of copper from them ,

is there any kind of advantage that the company enjoys in terms of maybe receiving the raw materials at a lower price or at a discount or is there any other third party also would be supplying copper to you or is it only from Hindalco through whom we will be continue sourcing the entire raw material?

Gandharv Tongia : So the transaction which you are referring to was consummated in December of last year . Ryker was a subsidiary which was supplying or converting one form of copper into another form . We used to procure and even now also procure copper in cathode from overseas supplier as well as a few of the local suppliers and Ryker used to convert those cathodes into rods and that is where the rods were being used by our manufacturing facilities to manufacture cables and wires . So this transaction does not impact the procurement philosophy or procurement trends which company enjoys . It was only a convergence and as you would probably be able to recollect . When we did this transaction simultaneously, we
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Page 12 of 21 entered into a multi -year job conversion or subcontract arrangement with Ryker which is now part of Hindalco so we continue to get the same benefit which we were enjoying earlier . Why we decided to diversify Ryker because Ryker was not being utilized at 100 % capacity , our utilization was barely 30 %-50% it was not making sense from ROCE perspective to continue with that particular legal entity within our group and this arrangement helps us both in topline as well as the bottomline . Now your question on the trends which we have or the benefits which we have on copper procurement before specifically deal with that let me demystify the copper procurement for you . Most of the communities worldwide generally are catered with embedded derivative which means that on the date of procurement you need not to decide the final price which you need to pay to your vendors, you can decide it a month or two months or three months down the line and generally in that timeframe you are able to convert the raw material into finished goods and you have visibility on the selling price and that is where you decide and sum up the procurement price and this is how the changes in raw material prices become a pass through for us and that is where it does not impact the profitability of our company . There could be some few chances or changes on month -on-month or quarter -on-quarter basis , but if you were to take an annualized view it would not have significant impact on the profitability of the company . We are the largest consumer of copper in India and we have those benefits available both from international suppliers as well as from the domestic suppliers .

Uttan Kumar : Got it Sir . Lastly on the gross , is it a fair understanding that the current gross margins of almost 25% level it would be sustainable or there can be some kind of improvement going ahead from here maybe 100-200 bps can be either because of the export mix which is coming in or the current inventory being of the lower priced raw material, is there any scope it can be there in terms of improvement or can the current level sustain ?

Gandharv Tongia : Over the past few years we have maintained EBITDA margins of 11 % to 13 % in our cable and wire business on an analyzed basis . I think for your modeling purposes it is best to assume a range of between 11 % to 13 % and I think probably even if you are able to better the margins in terms of actual numbers it will give you only positive surprise and no

negative shock .

Uttan Kumar : Got it. Thank you Sir.

Moderator : Thank you . The next question is from the line of Nikunj Gala from Sundaram AMC. Please go ahead.

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Page 13 of 21 Nikunj Gala : Good afternoon team . Sir I just have one ques

tion with respect to your cable & wire

division . When you are mentioning that you will be maintaining your EBITDA margin in the range of 11 % to 13 % , but I just want to understand during the deflationary scenario is that understanding correct that during this period your absolute gross profit I am just focusing on the contribution margin's perspective that absolute gross profit in a deflationary scenario would be lower in that case ?

Gandharv Tongia : Let me share with you my experience of this industry in the last 15 years or so . What I have observed in this industry is whenever there is a reduction in commodity prices generally the contribution margin and EBITDA margin would improve for cable & wire manufacturers and it is other way around whenever there is increase in commodity prices so I would expect something similar to happen if there is significant reduction in copper, aluminium prices . If that does not happen I would probably then expect a significant competitive intensity in the industry and significant market share gain, but generally speaking I would expect improvement in contribution and EBITDA margin if the commodity prices are falling .

Nikunj Gala : Understood from that point Sir , but why am I asking is seeking clarity on the absolute contribution , if you look at our number from FY2019 to FY2022 , FY2019 commodities where approximately just to give you example of copper from FY2019 to FY2022 the basket of commodity has increased by 60 % so for example your procurement was at 75%, you were selling at 100 hence your contribution margin was at 25 % , when I look at your FY2022 number the commodity basket moved from 75 to 120 purely on account of 60 % inflation at the same time your realization also increased from 100 to 160 and during this period your contribution remained 25 to 25 ; however , at a gross profit level your gross profit which was Rs.25 in FY2019 have become Rs.40 so that was scenario we have seen in FY2019 to 2022, for the example purpose going forward let us take a similar example when you are procuring goods today at 75 but it is 75 reduces by 20 % which has come down to Rs.60, so I just want to understand Rs.100 which you are selling will come down to Rs.85 or Rs.80, if it comes down by Rs.85 then you try to increase your margin but your absolute profit comes down ?

Gandharv Tongia : I probably lost you when you were changing numbers from 75 % to 60 % but I will probably oversimplify for you as well as for others . We work on EBITDA margin targets we do not work on per tonne targets and that is where I gave you guidance of 11 % to 13 % , at the same time what I highlighted to you in my experience in this cable and wire industry in falling commodity prices you should be able to get better margins both at contribution level and EBITDA level and that is where I would suggest that for your modeling purposes you can

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Page 14 of 21 consider EBITDA margin in the range of 11 % to 13 % as far as cable and wire business is concerned, but if I were to give you color on FMEG business which is almost 10 %-12% of our top line now and expected to grow over the period there the current EBITDA margin or current EBIT margins around 2% and we would expect to be in the range of 10% to 12% of EBITDA margin by fiscal 2026 and that is where there is a fair amount of upside which is possible in that particular business of FMEG is concerned.

Nikunj Gala : Okay , got your point . Just clarifying that in that case you are saying if the cable and wire business Rs.100 you are making Rs.11 to Rs.13 and if tomorrow this Rs.100 becomes Rs.80 on account of passing on the prices to the consumer you will make 11 % to 13 % on Rs.80 that understanding is right Sir ?

Gandharv Tongia : That is partially right what I highlighted is in my experience in the last 15 years in the

falling community prices the margins should improve and if that happens then you should

have a positive surprise on to the range of 11% to 13%.

Nikunj Gala : Thanks.

Moderator : Thank you . The next question is from the line of Aniruddha Joshi from ICICI Securities . Please go ahead .

Aniruddha Joshi: Thanks for the opportunity . Sir, the new brand Etira can you share more light basically where it is launched and which are the products that we have entered right now , what is the

pricing difference versus Polycab brand and where it is exactly positioning I agree it is at low end of the market, but compared to unorganized products or the premium products like Polycab where it is basically positioned and is there any three to five year target that the company is working on?

Gandharv Tongia: Etira was launched as part of our rural as well as low-cost product offering. If we have initiated our work on penetration of rural market, we have a vertical called emerging India which is being headed by Deepak who joined us around a year back and he has significant experience on the rural market. Etira was launched in the fourth quarter of the fiscal 2022 and if I am not wrong, we have registered 100% growth on sequential basis of course numbers are small, the numbers are not significant, but the fact is the growth of 100% shows that is very promising. As of now it has been launched only in the wire product portfolio as we go forward in the current fiscal we will introduce Etira brand for other businesses as well in FMEG for example fan.

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Page 15 of 21 Aniruddha Joshi: Is there any target that the company is working with three year, five year or any kind of a target?

Gandharv Tongia: You are absolutely right. We have a very ambitious target for overall business and Etira would help us in achieving that over the period and on a quarterly basis we will continue to provide you updates on the actual for the quarters gone by.

Aniruddha Joshi: Thanks a lot.

Moderator: The next question is from the line of Kunal from B&K Securities. Please go ahead.

Kunal: Thank you for the opportunity. Most of my questions have been answered. Just one question Sir, you mentioned that strengthening of the leadership team was one of the focus areas if you can talk little bit about how has that moved and what has been the key addition of late and especially on the FMEG side it could be really useful?

Gandharv Tongia: When we were thinking about Project Leap and this was almost 15 months back and we were in active discussions with our partner Boston Consulting Group. We realized that 24 work streams which we have identified as part of Project Leap, if we want to successfully implement those 24 work streams we need probably more experience and more leaders at the top management level and you know this business and company already, we do not have any capital risk, we are sitting on cash in our balance sheet we are only leader, the only risk we have if we were to critically challenge is execution risk. What does that mean that even if you plan for something you are not able to implement in the most effective manner and the way to mitigate that is have better quality of the leaders, have more leaders to support the journey of Rs.20,000 crore of topline by fiscal 2026 so we have hired leaders for various businesses and functions in last year or so if I were to talk about top leaders probably we would have hired almost 18-20 leaders, but at the same time there is significant augmentation of middle level managers as well. Let me start with the functions first, we hired Rajesh from Tata Motors as our CHRO, he was with Tata for 28 years and all of us know Tatas are known for their HRM people skills and practices and we believe that Rajesh would be able to support us in

transforming HR practices of Polycab. We hired Vivek

Sharma as Deputy Managing Director as you know Vivek, Superintendent from Panasonic India and he is looking after the B2C businesses. We hired head of fan business from another large company; we hired Deepak Mitra for Emerging India, Deepak Himan for TMO. I probably would go on, but just to give you a broad color we have mened almost all the businesses and functions now and it is also slightly getting reflected in the employee cost of the company, but we have all the ticks in the checklist in place now it is a matter of

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Page 16 of 21 implementation and execution and in the quarters to come we should be able to get better results with the help of these leaders who have joined us very recently over the period of last 10 to 12 months.

Moderator: Thank you Mr. Kunal. The next question is from the line of Gopal Nawandhar from SBI Life. Please go ahead.

Gopal Nawandhar: Thanks for the opportunity. If you can just highlight the revenue deferment because of decline in the commodity prices for cable & wire business and impact on the fan business because of GTM and whether that GTM is through, or it will further have impact on the remaining quarters?

Gandharv Tongia: In our business Gopal generally speaking we would not necessarily witness a demand loss or loss of opportunity as mentioned we have deferred from one month to another month, one quarter to another quarter and this is a generalized statement. My expectation is that the second half of the year should be similarly better than the first half of the year and that is

where I would not necessarily would like to quantify the impact on the first quarter, but I would like to give you this comfort that in the history of the company this was the best quarterly performance as far as the first quarter of the fiscal is concerned. On fan I think we have completed almost all the alignment, by September we should be able to complete everything, but fan is a slightly seasonal business so the benefits of the alignment would get reflected in the next season which will start sometime in November onwards and more meaningfully in the fourth quarter of this year as well in the first quarter of the next year. We should have some benefits in the P&L because of the realignment of GTM in the fan business.

Gopal Nawandhar : If you can just highlight the gap between the increase in the commodity prices for FMEG portfolio and the kind of price increases we have taken and are you seeing any kind of price correction post this decline in the commodities in the last one-and-a-half months?

Gandharv Tongia : Maybe revised our prices in cable and wire business on monthly rate, same in FMEG also we take corrective action as and when required of course after considering the actions taken by other participant at the industry level. We have done that, and we will continue to do that wherever there is an opportunity to pass on the benefits to end consumer or increase the prices because of increase in commodity prices we are doing that very promptly and we will continue to do that in the quarter and periods to come.

Moderator : The next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

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Page 17 of 21 Abhijit Akella : Good afternoon and thank you so much for taking my questions. Just a couple, first one was on the gross margins which have improved quite a bit this quarter to about 2.5% just to check whether there is any one-off item in there that might have boosted these and should we expect these to come back down in coming quarters that was one, second if you could just give us some sense of your market share trends in both the segments over the past year or so if you have any data points with

you and last one I just wanted to clarify when you mentioned this 87% of revenue coming from the distribution driven business does that include some element of institutional sales also within that or is that only the remaining 13%? Thanks a lot.

Gandharv Tongia : I think your first question was on the gross margin and EBITDA margin. There is no one-off in the first quarter as I was mentioning to another participant, we have maintained EBITDA margin of 11% to 13% in cable and wire business and in the periods to come we should be able to maintain the same. As far as market share is concerned in cable and wire business of the organized market, we have almost 24% of market share. In FMEG, we are comparatively small it ranges between 1% to 1.5%. In terms of packing order, we would be anywhere between six player, ninth or tenth player so we are competitively that way in FMEG business we are small and on the last one on the distribution you are right 87% of the total revenue comes from distribution, institutional and export over and above 87%.

Moderator : The next question is from the line of Ankit Babel from Subhkam Ventures. Please go ahead.

Ankit Babel : Sorry I missed the initial comments. Just wanted to confirm was there any inventory loss in Q1?

Gandharv Tongia : Ankit, you know this business, you have been tracking our company since long, we have a very robust hedging framework in place and when you procure inventory it comes with embedded derivative and when we decide the selling price of our finished goods that is when we have the ability to decide the procurement price and that is where it becomes a pass through and that is a reason, generally speaking I would not expect any inventory loss to incur to the P&L of our company and to directly answer a question there is no inventory loss.

Ankit Babel : Thank you so much.

Moderator : The next question is from the line of Viraj Mehta from Equirus PMS. Please go ahead.

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Page 18 of 21 Viraj Mehta : Thanks a lot Sir. If we look at our growth in FMEG segment has significantly slowed down to our vis-à-vis the market compared to our growth in earlier years, what do you think that is hampering it and what are we doing to kind of address that situation?

Gandharv Tongia : I would partially agree with you. When you are talking about the slowdown it slowed down because of the base effect, when the business is small the CAGR would be slightly higher, when the business is large or sizeable the CAGR will go down so to that extent I would disagree, but at the same time if your question is on the aspiration whether it can be better we are an aggressive company as far as growth is concerned and we believe that we can always do better than what we have achieved. Only one element which I would like to add here is slight realignment which we have done in the last couple of quarters in the fan

business, GTM which has impacted the growth of fan business, but other than that almost all the large businesses have registered a fair amount of growth and by 2026 when we are talking about achieving Rs.20,000 crore of topline FMEG as well as retail wires will have a significant share of the Rs.20,000 crore of topline.

Moderator: The next question is from the line of Varun Basrur from Julius Baer Wealth Advisors.

Please go ahead.

Varun Basrur: Thanks for taking my question. I just wanted to understand are we seeing any improvement in rural market demand uptick?

Gandharv Tongia: It is a mixed bag. There are two pockets where we have noticed there is slight uptick in demand, but in few pockets slight sluggishness, but our reading from the ground suggests that this onset of southwest monsoon should help in reviving and improving the rural market demand.

Moderator: Thank you. The next question is from

the line of Deepak from Unifi Capital. Please go ahead.

Deepak: Thank you for the opportunity. Sir as we expect better H2 this year, but we had a healthy base in the previous year supported by the higher prices, in this deflationary environment how is we able to defend the strong base of last year in H2?

Gandharv Tongia: Deepak you know this business, you are investor in our company since long. As far as B2B business is concerned we are taking steps to deliver industry-leading growth and as far as B2C business is concerned as part of Project Leap we are targeting to get to a breakout growth and irrespective of softening of commodity prices we believe that we would be able

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Page 19 of 21 to beat the industry growth in cable and wire business over mid to long term and in FMEG we should have a significant growth in competitive industry growth.

Moderator: The next question is from the line of Shrinidhi from HSBC. Please go ahead.

Shrinidhi: Thanks for the opportunity. My first question would be on FMEG segment margin where you have reiterated that your ambition of 12% margin by FY 2026 would it be possible to guide us what is going to drive this sharp margin improvement and price increases are going to drive substantial part of this margin, so that is my first question?

Gandharv Tongia: Sure. Do you want to give me your second and then I can take both at once?

Shrinidhi: The second one is that you alluded to some change in the payment methodology during Q1 can you please elaborate that? These are my two questions.

Gandharv Tongia: First question was on FMEG profitability. One is with larger size we will get operating leverage and that is where the EBIT and EBITDA margins should improve. Second is new product development and premiumization of our offerings as I mentioned a while back premium contribution to FMEG topline was around 4% in fiscal 2021 almost 8% in FY2022 and in the quarter gone by it was almost 12% and this is expected to go up in the quarters and years to come and that is the contribution margin will improve and third is a fair bit of cost optimization wherever possible, so all of these factors should help us in improving our EBITDA margin. Having said that at the same time I would expect some increase in expenses, for example advertisement and publicity in the COVID years we were we were following a bit of soft approach on A&P spend, but I would expect this to go up in the quarters and years to come that was on the FMEG profitability between now and 2026. Second was in the payment terms when we procure copper and we used to procure copper frequently from the overseas supplier we used to have the LC arrangement which roughly means or broadly means that we need not to discharge the liability on day one, we have flexibility to discharge the liability two months or three months down the line. Because of global supply chain issues, we decided to store some copper from local market in India and since these were domestic suppliers we opted to make payments on advanced basis or on the date of the delivery basis as against availing the LC and this has impacted the working capital adversely which is what is visible in number of days in payables. Having said that in a quarter or two we should be able to go back to our regular import vendors and we should be able to avail LCs and that is where the working capital cycle as far as payables are concerned should get normalized. Since we are on working capital let me also highlight that the channel financing percentage has improved over the period. We are hoping around 75%.

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Page 20 of 21 or thereabout of channel financing and almost all of it is without any recourse to the company and that is where the number of days of receivables have improved

significantly in last few quarters.

Moderator : Thank you . The next question is from the line of Rahul Agarwal from In cred Capital . Please go ahead .

Rahul Agarwal: Good afternoon and thanks for the opportunity . Just one question I think is left with me now. On FMEG Gandharv we are looking at 60 %-70% coming from lighting , and fans, the sector has a lot of large competitors incumbents going forward FMEG has to play a very large role in achieving the Project Leap targets the botheration is essentially coming from how does this , what does Polycab do different in terms of product offerings and getting to that growth number because growing this category now at Rs 1200 crore base at more than 20% is going to be tough , market share gains in this category is going to be tough because we have very large competition here , any thoughts you could help us understand what would Polycab do different in terms of either go -to-market or in terms of new product launches or if you are thinking of new categories because fans and lights are two categories that are highly competitive and it is very tough to grow at 20 % given the category growth itself is like 7%-8%. So could you help me understand that is my only question ? Thank you so much .

Gandharv Tongia : It is a great question Rahul and believe me we have invested a lot of time in the Boardroom , in the Leap meeting and strategy meeting discussing deliberately we have a complete blueprint in place and the topic which you have touched upon these are the areas we are making considerable investment of time and making lot of effort whether the GTM and dealer distribution expansion adding more geographies into our network whether working on brand or architecture and so on and so forth , but let me give you a broader perspective to FMEG. When we started this business 50 years back we got into cable and today we are market leader in cable then in 1996 we got into wires we are a market leader in wires, when we got into FMEG business in 2015 there were many who were of the view that we would not be able to get to the type of growth which we have experienced in the last five to seven years , so any business is difficult , any business is complicated , but I think the quality of the management team which we have , we are absolutely comfortable with the topline target of Rs.20,000 crore by fiscal 2026 and whatever steps are required to be taken are being taken and we should be able to achieve our aspiration of Rs.20,000 crore of topline by fiscal 2026.

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Page 21 of 21 Moderator : Thank you very much . We will take that as a last question . I would now like to hand the conference over to Mr . Gandharv Tongia for closing comments .

Gandharv Tongia : Thank you so much for joining us this afternoon . In case if you have any followup question please write to us at investor.relations@polycab.com and we would be pleased to attend your question . Thank you and have a great day.

Moderator: Thank you. Ladies and gentlemen on behalf of Polycab India Limited that includes this conference call . Thank you for joining us. You may now disconnect your lines .

Call: Oct 2022

Date: 25th October 2022

To
Department of Corporate Services,
BSE Limited
Phiroze Jeejeebhoy Towers, Dalal Street,
Mumbai 400 001 To
Listing Department,
National Stock Exchange of India Limited
C-1, G-Block, Bandra-Kurla Complex
Bandra (E), Mumbai 400 051

Scrip Code: 542652 Scrip Symbol: Polycab
ISIN:- INE455K01017

Dear Sir / Madam
Sub: Submission of Transcript of Earnings Conference Call held on 19th October 2022
Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements)
Regulations, 2015, please find enclosed herewith the transcript of Earnings Conference Call
held on 19th October 2022.
Kindly take the same on your record.

Thanking you

Yours Faithfully
For Polycab India Limited

Manita Carmen A Gonsalves
Company Secretary and Compliance Officer
Membership No.: A18321
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Page 2 of 22 Moderator: Ladies and gentlemen, good day and welcome to Polycab India Limited Q2 FY2023 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator telephone. Please note that this conference is being recorded. I now hand the conference over to Mr. Gandharv Tongia - Chief Financial Officer from Polycab India Limited. Thank you and over to you Sir!
Gandharv Tongia: Thank you operator and good afternoon everyone. I hope all of you are doing well. It is a pleasure to have you on the call. As operator mentioned my name is Gandharv Tongia and I am the CFO at Polycab India Limited. Thank you for joining us today to discuss our second quarter earnings. During the call we will be referring to the presentation, financial results and condensed financial statements, which are available on the stock exchanges as well as investor relations web page of our website. It can also be downloaded through QR code on

slide #10 of Earnings Presentation. From our management team, we have with us our Chairman & Managing Director - Inder Jaisinghani. Let me now hand it over to him for his opening remarks.

Inder T. Jaisinghani: Good afternoon, everyone. We continued with our strong business performance in Q2, posting highest ever 2nd quarter revenue in the current year. More importantly, we are also progressing well on our long-term strategic agenda of focusing on sustainable value creation across B2B and B2C businesses. Strong domestic economy with structural reforms focused on infrastructure development augurs well for most of our product categories.

market opportunity and grow steadily to achieve our FY26 LEAP goals. I now request Gandharv to take you through our earning presentation.

Gandharv Tongia : Thank you Inder bhai. Before I take you through the financial numbers for the quarter, let me give you a flavour of the macro environment. The macro has been a bit of a mixed bag during the quarter. Global economy is in choppy waters, facing twin shocks of a slowdown in economic growth accompanied by high levels of inflation. The three major world economies US, China, and the Euro Zone are facing growth decapitation, while emerging market economies (EMEs) are impacted by currency depreciation, reserve losses and foreign fund outflows besides the ripple effects of global and domestic inflation. Over the past 1 year, the global economy has gone through a fundamental shift from one of relatively predictable economic environment with low interest rates and low inflation to a world with more fragility, greater uncertainty and geopolitical confrontations.

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Page 3 of 22 Despite these global challenges, Indian economy is relatively stable with improvement i

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capacity utilisation, buoyant formal job creation, significant bank credit expansion and on rural development, roads and railways has progressed at a relatively healthy pace. Capacity utilisation of manufacturing sector improved from 73% in Q4 FY22 to 74.3% in Q1 FY23 and is at the highest level it has been over the past three years. We believe that the domestic economy is likely to remain resilient in H2, with rural demand catching up and urban demand likely to improve further with the typical upturn seen in the second half of the year.

Moving on to the presentation, please refer to slide number 4. For the quarter ended September 2022, our consolidated revenue grew by 11% YoY. Please note here, that this growth has been achieved on a high base of last year, whereby, high commodity prices had helped the sector post good sales numbers. In comparison, the current quarter sales have been achieved in a decreasing commodity price and increasing inflationary environment, primarily on the back of strong volume growth in the Cable & Wire business. EBITDA margin for the Company improved by 307 bps year-on-year and 149 bps quarter-on-quarter to 12.8% on account of strong growth in exports and judicious pass through of the benefit of decrease in commodity prices. A detailed break-up of the other income and finance costs have been provided on slide 14 of our earning presentation. PAT for the quarter increased by 37% year-on-year with PAT margin improving by 154 bps year-on-year to 8.1%.

On slide #5, we have presented the key numbers for the first half of the year. Our revenue in H1FY23 grew strongly by 25% YoY; EBITDA was up by 73% with 12.1% margin and PAT grew by 82% YoY. The growth percentages are seemingly higher on account of a weak base.

Moving on to segment-wise performance, please refer to slide #6. Our wires and cable business continued the strong momentum, with sales growing 13% year-on-year on a relatively healthy base, despite softness in commodity prices. Both domestic distribution as well as institutional business posted healthy growth. Revenue growth was driven by volume sales growth, which grew in double-digits on YoY basis. The highlight of the quarter was the strong momentum in the exports business which exhibited a remarkable growth of 75% year-on-year on a healthy base, led by strong orders from USA, Europe and Australia. Globally, we are seeing good demand from sectors like Oil & Gas, Renewables and Infrastructure. Overall, exports business contributed to 13% of the consolidated revenue in Q2 FY23, up from 6.7% last quarter. Our focus on achieving consistent double-digit contribution target over the medium-term for this business remains intact. EBIT margins for

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Page 4 of 22 Cable and Wires segments increased by 304 bps year-on-year to 11.7%, mainly driven by exports and judicious price revisions.

Please refer to Slide 7 for an update on FMEG business. The quarter was soft for FMEG business as it de-grew 12% year-on-year on account of subdued demand environment due to

high inflation, especially from rural markets. This was further exacerbated for us as we are in the midst of re-alignment of our distribution strategy, which I had explained during the -quarter journey, which is expected to be completed by the end of the current fiscal. So, one should consider FY23 as a base year for FMEG business and expect the business to post decent growth from FY24 onwards. During the quarter, the fans businesses, which has been our largest revenue generator in FMEG product portfolio, was additionally affected on account of an off-season. The switch business, which was affected due to supply side challenges, regained its growth momentum in Q2FY23, as we started production in our own manufacturing plant, posting 123% quarter-on-quarter growth. We expect strong sales momentum to continue in H2FY23 as well.

Last year, we took a

strategic decision to merge the HDC and LDC verticals. We have started to realize the benefit of this merger in the form of operational efficiencies and cross-selling. With similar thoughts, we have taken two very important strategic decisions during the quarter of merging the Fans vertical with Lights & Luminaries vertical; and merging the Retail wires vertical with Switches and Switchgear vertical. We found significant overlap between the distribution channels of these verticals, which we can optimize by merging them, as well as generate higher business through cross-sell, availing larger share of the market. Team optimization will also help in faster rolling out of GTM initiatives at a leaner cost base. We can also streamline the marketing and influencer management platforms to increase efficacy.

Moving on to slide 8, which gives an update on our other businesses, which largely comprises of our strategic EPC business. We clocked revenues of Rs 826 mn in Q2, a growth of 4% year-on-year. Segmental margin for the same stood at 17.0%. Annual sustainable operating margin in this business is expected to be in high single digit over mid to long term.

Overall, our financial position continues to remain healthy with debt-to-equity ratio of 0.02x and net cash of around Rs 1,660 Crore. Our efforts to optimize working capital is also taking shape well as we are seeing good optimization of receivables as well as inventory.

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Page 5 of 22 Slide 9 is a new slide, wherein we have given a break-up of our sales mix between B2B and B2C as well as through Dealers & Distributors vs Institutional vs Exports. During our recent NDRs to London and Singapore, we found a lot of confusion in the minds of the investors on what can be classified as B2C. A lot of them confused B2C with dealers and distributor generated sales. So, we thought we should explain the difference between the end user. If the end-user of the product is an individual-consumer, it is classified as B2C, and if it used by a business, then it is B2B. So, on the FMEG side, our entire product portfolio, and on the Wires & Cables side, housing wire business are included in B2C. The remaining products, viz. HDC, LDC and other cables and the EPC business are categorised as B2B. Polycab has been historically a B2B driven business, and since FY14, when we introduced the FMEG business, we have been incrementally shifting to a B2C driven business. As can be seen from the charts, contribution of sales through B2C medium has increased to 38% in FY22 from 34% in FY19. A completely separate classification of business can be through the means of sale, which is either through dealers and distributors, directly to institutions or via exports. Strong distribution channel has always been our strong point, with its contribution in generating sales having increased to 84% of the total sales in FY22.

Now, let us delve deep into the key updates of transformational To recap for everyone, under Project LEAP, we are working on four key strategic themes, namely Customer Centricity; Go-to-Market Excellence; Winning with new products; and Setup of organization and digital enablers.

Under our Customer Centricity approach, as I referred earlier, we had merged the HDC and LDC segments in FY22 with a view to redesign the operating model of the B2B business and making it more customer centric. We have started to realize the benefit through this merger in the form of incremental cross-selling revenues within H1FY23 itself and which will scale up in the future. Also, under the customer centric operating model, we have now been able to map 39% of primary sales to end-customers. This has helped us to have deeper insights into customer dynamics, enabling us to generate 1.1 times secondary sales from these customers via repeat orders.

Under the agenda of improving our Go-To-Market strategy, we have been focusing on

expanding reach to whitespaces such as regions where we have no presence or marginal

revenue generation. In H1FY23, we penetrated 120 new cities, generating Rs 112 Cr of incremental revenues from these districts. Geography-wise, the penetration has been quite board based, with the break-up of new cities being 30% from South, 26% from North, 16% Polycab India Limited
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Page 6 of 22 each from West and Central and 13% from East. We also added 115 new distributors in retail wire business and 187 new distributors in FMEG business in the current year.

As part of winning with new products strategy, we have identified gaps and opportunities and have created a product portfolio roadmap of 300+ new products to be launched in the coming future across large B2C businesses. Most of these new products will be in the Fans and Lights verticals, which will leverage the merged operational efficiencies of common distribution network to increase cross-sell. Another important strategy under this theme has

demand. Under this, we have been focusing on premiumization of our offerings, especially in the FMEG category. I am very happy to inform you that during the first half of the year, contribution of premium products in the Fans and Light segments have increased to high teens of the total revenues generated through channel distribution. ETIRA wires, an economically priced wire segment that we launched in FY22, has also been very well received with the product contributing 11%+ of overall sales of retail wires in the 9 months of CY22.

As far as setup of digital enablers is concerned, we are now moving to completely transform our Company into a digital first organization. We have segregated our IT into two sections first, the current IT team, which will continue to look after the back-end technological requirements within the Company. And second, we have now created a separate Digital vertical, which will be focused on advancing our business initiatives by focusing on: 1) end-to-end digitization of front-end sales; 2) enhancing customer experience; and 3) enabling access to relevant data to perform deep analytics to better understand customer demand. To drive this initiative, we have recently hired our Chief Digital Officer, Mr. Ritesh Arora, from one of the large Indian organizations.

So that was the update on Project Leap for the first half of the year. We will continue to share periodic updates on the progress we make and are excited to see how rest of the year pans out. Thank you and with that I hand it over to operator for Q&A.

Moderator : Thank you very much. We will now begin the question and answer session. We have a first question from the line of Ravi Swaminathan from Spark Capital. Please go ahead.

Ravi Swaminathan : Hi! Sir, congrats on a good set of numbers. My first question is with respect to the kind of volume growth that would have been seen in the wires and cables business given the fact that second quarter copper prices have dropped by 16%-17% year-on year was our volume growth more than 20%-25% kind of growth in wires and cables business?

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Page 7 of 22 Gandharv Tongia : Thank you Ravi for your kind words. You are right, whatever revenue growth we are seeing in value terms by and large has been driven by the volume growth and this mainly is coming from the cable and wire business. HDC and LDC vertical, it would defer from product-category to product-category, but generally, I would believe that the growth is between mid-to-high teens across the product categories. The second reason of the growth is exports which I was alluding to in the opening remarks. Exports, in the first half, was almost 10% of our topline and there also there is a broad-based recovery of growth, we have traction from geographies like US and Australia and with countries like Spain and EU, so it is a combination of both exports as well as dom

estic. And domestic would be generally between mid to high teens depending on the product category.

Ravi Swaminathan : Our working capital has come off a lot so basically from 60 odd days it has come down to 44 days any reason behind that?

Gandharv Tongia : When we spoke last I was trying to explain you how we are trying to optimize the working capital and there are two or three elements of that particular thought process, one is on the receivable the objective is to improve the channel financing penetration. In the cable and wire business, it is almost 75%. In FMEG business, it varies from product category-to-product category, but it would be generally between 60% to 70% and that has helped us in improving the number of days of receivables, which is hovering around 25-26 days now. The second part is on inventory and trade payables. One is we want to optimize the inventory which is currently around 90 days which is sustainable and second is we want to broadly map or marry our number of days of payables with inventory with a gap of 10-15 days and that is how you can see the number of days of working capital which is around 40 or 45 which is nothing but 25 days of receivables and 20 days of delta between inventory

and payables. I would believe 45 to 50 days is sustainable number for at least few quarters from now.

Ravi Swaminathan : Got it Sir thanks I will come back in the queue.

Moderator : Thank you. We have our next question from the line of Atul Tiwari from Citi. Please go ahead.

Atul Tiwari : Thanks a lot, and congratulations on a good set of numbers. Just one question on FMEG business. So could you flesh out in a little bit of a more detail, what exactly is being changed in the distribution channel and why has it impacted the sales so much because one would have thought that pre-festive season, despite this kind of interruption, probably, FMEG revenues should have been a little higher and second question from that is that once
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Page 8 of 22 you are done with all these changes this year, so in FY24 and FY25, what kind of revenue growth can one expect in FMEG business on this year?

Gandharv Tongia : Let us pick up the first question first. We forayed into this FMEG business almost seven years back and we took several decisions which were relevant and apt for the first phase of FMEG growth. Today, we are at Rs. 1,250 Crores topline business with complete almost all in-house manufacturing facilities almost 2,000 dealers and distributors in our team, but if you want to further scale this business we have to make some changes. To give you an example, the few of the dealers and distributors who helped us in journey phase one of FMEG not necessarily would be able to help us in scaling this business to say 5x from now in few years and that is where we have done a very scientific analysis of our current dealers and distribution network. We have picked up a few areas where we believe we need to probably up our game, in few of the cases we had to replace the existing dealers and distributors or in few of the cases we have to help them in accelerating the pace of the growth and that is what is getting reflected in current quarter's number. My sense is this will continue for at least till March of the next year and from next year onwards we should be able to get to a regular routine growth trajectory. I be able to give you a specific guidance on a number for the next year at this stage but safe to assume that FMEG would play a very significant role in achieving Rs.20,000 Cr of topline by fiscal 2026.

Atul Tiwari : That is fair and my second question is on cables and wires, so if I remember correctly in the last quarter the volume growth was impacted because of channel destocking so would you attribute some of this mid to high teen growth to channel filling and what is the level of inventory, has it normalized or is the channel filling is it still

I continuing?

Gandharv Tongia : Give and take few percentage points, I would believe the inventory in the channel is by and large comparable between second quarter and first quarter and I will tell you why because we believe that our channel partners, they need not to carry more than optimum level of inventory since we are any which ways carrying inventory for them. We have strengthened our SCM over the period and now we have ability to supply goods immediately or within one or two days and that is why I would believe that whatever inventory levels we have today in the channel are optimum, it should continue in the quarters to come. The another thing is in which I am sure you would be able to relate is if they carry higher level of inventory with referring to channel they are exposed to price fluctuation which is an unwarranted risk whereas if we are carrying we have a established hedging framework and we know how to mitigate that risk and that is also the reason why we are persuading our dealers and distributors to optimize the inventory level, work on better return, work on higher turnover or higher turn and get more returns from the risk.

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Page 9 of 22 Atul Tiwari : Great thanks a lot.

Moderator : Thank you. We have our next question from the line of Sonali Salgonkar from Jefferies India. Please go ahead.

Sonali Salgonkar : Thank you for the opportunity and congratulations on a great set of numbers especially the margin expansion given the copper volatility. My first question is regarding the current demand scenario any updates you would like to give on the current demand especially the feelers you are getting from the festive demand?

Gandharv Tongia : You know this already India is a consumption powerhouse and from one or the other pocket you will always have good traction on demand side. As of now we are seeing fair amount of traction on the private capex and that is where our institutional business has also registered growth in the second quarter. Having said that, generally speaking, second half of the year for our industry as well as for our company is better than the first half and I would expect in the third quarter and fourth quarter to have better performance on what we have already achieved in the first and second quarter.

Sonali Salgonkar : Could you help quantify the price revisions that you have been talking about in both cables and wires and FMEG?

Gandharv Tongia : I think broadly it would be in the mid teens, there is a delta of ranging between 1% and 2% between the decrease in input cost at the product basket level vis-à-vis the changes which we have made in our selling price both would be in mid teens and the price reduction is slightly lower than the benefits which we have received on the procurement side.

Sonali Salgonkar : One bookkeeping question our other non-operating income this quarter has come out to be negative so any thoughts on that?

Gandharv Tongia : So other income has two elements one is sustainable income which we are getting on the deployment of surplus cash either in fixed deposit or mutual fund and that is in line with the expectation and trends. The other part is mark-to-market accounting which we have to do as per IFRS and which again is a mark-to-market has no cash implication but it is in compliance with the accounting requirement.

Sonali Salgonkar : Last question from my side, so your cash position has almost doubled on a year-on-year basis, any thoughts on the utilization of cash or are you revising your capex guidance at all?

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Page 10 of 22 Gandharv Tongia : You are right we have been able to improve our cash balance to almost Rs. 1,600 - Rs. 1,700 Cr now because of two reasons, one is the business itself is generating fair amount of cash and second is we are slightly more focused than what we were earlier on the working capital, and you can see th

e working capital has reduced to almost 44-45 days now. Having said that, I think there are two or three opportunities for us for deployment of this cash. One is capex, we have been doing around Rs.400 Cr of capex every year and we expect that we will continue to incur something similar in years to come. Having said that, we are in discussion internally as well as with the BCG team and we are in the process of identification of additional opportunities where we can make more investments to get better returns. The second is M&A opportunities. You are aware we did a very small transaction last year in the form of Silvan, which was acquired in June of last year as a 100% subsidiary and coincidentally, the Board has also approved merger or amalgamation of the subsidiary with the holding co. So, we will continue to scout for opportunities and up our game on M&A side. The third is dividend payout ratio. Since the time we got listed, three-and-a-half years back, every year we have increased the dividend payout ratio and we expect that we give adequate returns to our shareholder as part of dividend payout and whatever is then left, as part after getting something for war-chest, we would like to then give it back to shareholders.

Sonali Salgonkar : Got it Sir, very clear. Thank you and all the best.

Moderator : Thank you. We have next question from the line of Aditya Bhartia from Investec. Please go ahead.

Aditya Bhartia : Hi good afternoon Gandharv. My first question is on the changes that you had made on the FMEG business, just want to understand it a little better are these changes being made largely at the dealer end or at the end of the sales team?

Gandharv Tongia : It is across and the idea is to get closer to the customer. So if you think from the Polycab end, the sales teams are being merged. Earlier we used to have separate teams right from the BU head to the TSI and we are now trying to merge that at our end. So if you visualize a particular geography you will have a particular person who is getting the requirement of both the businesses lighting as well as fan and similarly is true for retail wires, switches and switchgears. On the distribution side the way we have started doing cross-selling of HDC and LDC dealers we will continue to do something similar in these merged businesses of fan and lighting as well as retail wire, switches and switchgears. So it is both, integration of team at our end - sales team, plus integration of cross-sell at the dealers end.

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Page 11 of 22 Aditya Bhartia : Why is it leading to this kind of a disruption is it that channel inventory is going down or we are taking away certain dealers without being able to appoint new dealers and distributors in the same area at the same time where exactly is the challenge?

Gandharv Tongia : I do not think there is any challenge. These are strategic decisions which we have taken and we are implementing it and that is where whenever you do a bit of a course correction you would witness some softness in the numbers. The another sector is external environment on the FMEG side is slightly softer. For example, fans, which contributes almost 35%-40% to our topline, this is slightly a non-season quarter for that particular business vertical and that is why it got impacted and as I was explaining to Atul a while back, that as part of our GTM revamp we have identified few dealers and distributors where we believe we need to either replace or support them and that exercise is taking some time and in such exercise you

would expect some slowdown during the implementation phase. I would expect from the next fiscal we would be back to our regular growth trajectory.

Moderator : Thank you. We have our next question from the line of Nitin Arora from Axis Mutual Fund. Please go ahead.

Nitin Arora : Hi Gandharv, thanks for taking my question. Just want your commentary on the export

side

because this quarter also exports have been very strong. So if we remove the exports and look at like-to-like on a domestic it is almost like just about 6% value growth and I think you have highlighted that mid teen volume assuming 15%-16% copper price decline is this number sustainable in export because generally you talk about order books when export comes in, so which we saw let us say in case of Dangote and also can you highlight that this number looks sustainable you have that visibility in order book for the exports that is my first question?

Gandharv Tongia : Even if we exclude exports, the domestic business would have almost like a double digit growth existing for volume and value. As far as exports is concerned, I was alluding to this in the last call, we are not looking for one off orders, what we are trying to do is have sustainable distribution presence in identified geography and this is what we did in India between 2011 to 2016. Our focus was to have distribution-led business rather than institutional led business. Today, almost 85% of our business is coming through distributors and something similar is what we are trying to do in overseas market. It will take a while, but we believe that is more sustainable. We have fair amount of presence now in countries like US and Australia. This quarter, we got some traction from Africa and Spain in EU. The objective is to get into additional geographies, ensure that you have all the relevant

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Page 12 of 22 approvals in place and slowly and gradually set up own distribution channels in the key geographies.

Nitin Arora : Then from the domestic side the question was more that 8%-10% volume growth was also used to happen pre-COVID we generally used to be 10%-12% growth company the question here is despite you said the levers like private capex institutional business is firing is doing good we are doing the same volume growth which is good but I am asking from a perspective that where is that weakness which you are seeing because of the inflation or general slowness in the economy which you highlighted in the starting that would be helpful?

Gandharv Tongia : One is the growth numbers you mentioned are not comparable with the current period numbers, current period numbers are mid teens to high teens and to that extent there is a delta between the numbers you mentioned vis-à-vis what actually we have delivered.

Second is I do not think we should take a view on half yearly basis we should wait for this year to pan out and after that we should ascertain the actual growth because generally speaking H1 is only 45% of the annual revenue and H2 would be almost 55% so we have to wait till the fourth quarter and then see what type of volume growth we are able to achieve.

Nitin Arora : Got it. Thank you Gandharv and all the best. Thank you.

Moderator : Thank you. We have our next question from the line of Shrinidhi from HSBC. Please go ahead.

Shrinidhi : Hi thank you for the opportunity. Just couple of questions from my end. So when there was a very impressive ramp up of Etira brand with almost double digit contribution of retail wire business just wondering in your view large part of this business that comes under this brand is an incremental business or it could be cannibalizing some of Polycab brand's revenue as well?

Gandharv Tongia : There is some amount of cannibalization which is there but by and large is incremental.

Shrinidhi : Just one more question here is export business some of the competition does talk about export business being a much lesser profitable business given the lot of trade costs involved in the distribution and all so just wondering in case of Polycab is this an incremental export opportunity that companies are targeting is it broadly a similar margin business that you have in domestic market?

Gandharv Tongia : Yes similar margin business but with slightly better

working capital.

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Page 13 of 22 Shrinidhi : Okay great. Thank you. Those were my questions.

Moderator : Thank you. We have our next question from the line of Achal Lohade from JM Financial.

Please go ahead.

Achal Lohade : Good afternoon, thank you for taking my question. Just two of them one is can you help us

understand what is the capacity utilization for both the segments?

Gandharv Tongia : In cable and wire, it is between 65% and 70%. As far as FMEG is concerned, because this quarter was soft, there is slightly lower utilization, but if I were to give you a historic view, Fans Roorkee facility is optimally being utilized and the new facility like switches and switchgears is being ramped up to meet the current requirement.

Achal Lohade : You are saying you plan to incur 400 to 500 Cr of capex towards the cable and wire business. Is it in a particular sub segment or it is across the board?

Gandharv Tongia : Out of the Rs 400 Cr, around two third will go to cable and wire and one third for to FMEG. Within cable and wire, it would be broad-based including in some facilities which are required for export businesses, a bit of backward integration as well as some amount of maintenance capex and on FMEG it is primarily for adding new capacity for example switches or switchgear and like that.

Achal Lohade : Just second question there was one media article about the litigation with Atomberg can you help us understand this particular issue and what is the outcome and implication for us in terms of impact on the numbers?

Gandharv Tongia : Yes, there was a particular model of fan which contributes immaterial value to our topline both at the fan vertical as well as the company vertical. One of the peer companies opted for a litigation alleging that their model is similar to ours. We believe that we have a fair case the matter is currently sub judice, there was an interim order which was passed by the Honorable Court and the hearing is now scheduled I think next month and we will be able to present our side and then we will get guided by the court order. We are confident of our position. Having said that, the contribution of that particular SKU is immaterial to both fan business as well as to the company.

Achal Lohade : But at this point in time have we done any recall of the products, or it is still status quo?

Gandharv Tongia : So we are in complete compliance of the court order, we have not done any new transaction on this particular SKU.

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Page 14 of 22 Achal Lohade : Understood thank you and wish you all the best.

Moderator : Thank you. We have our next question from the line of Amit Bhide from Morgan Stanley.

Please go ahead.

Amit Bhide : I had two questions, first is that I wanted to understand that the FPTPL adjustment in other income is that related to the commodity hedges that we do on the copper purchase side or is it something else?

Gandharv Tongia : I think you are trying to understand on FPTPL accounting. This is not hedging, this is for the ineffective portion and which is required to be done end-to-end and which is what we have done, this has no cash implication, this is only an accounting entry which is required to be recorded as of the quarter end.

Amit Bhide : It is not related to the commodity hedges that we are doing in the wires for copper purchases right?

Gandharv Tongia : It is not related to copper purchases it is an element of ineffectiveness which is required to be accounted and that is what did.

Amit Bhide : Other thing I just want to understand is that we have mentioned that FMEG business partly was affected also by the rural demand slowdown so how much is the contribution of rural in our FMEG business right now and apart from Etira what are the other plans to boost the rural presence?

Gandharv Tongia : We are working on both rural as well as urban market, we have start

ed appointing our

dealers and distributors in the rural market and Etira is offering which will help us in further penetrating the rural market. As far as contribution to rural business to FMEG is concerned, it is not very meaningful at this stage but I think these initiatives which we have undertaken in the recent past would help us in gaining some momentum as well as market share in the quarters to come.

Amit Bhide : That is helpful. Thank you.

Moderator : Thank you. We have our next question from the line of Akhilesh Bhandari from ICICI Prudential AMC. Please go ahead.

Akhilesh Bhandari : Thank you for taking my question. Sir my question is on the FMEG margin - so if you look at your revenue, it is broadly flat quarter-on-quarter, but the segment margin is negative and

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Page 15 of 22 your A&P spend has also come off sequentially which coupled with whatever changes you are doing for merging the team, if anything, that should reduce the slack which is there in terms of opex so what explains the reduction in margin, is it only the additional cost for the new switchgear, switches facility or there is something else as well which is impacting the

margin?

Gandharv Tongia : I want to clarify this merger which I had mentioned a while back is effective October so this September numbers are any which ways after considering the actual expenses which were incurred on these two separate verticals. Broadly the loss or slight negative EBIT number is because of reduction in topline. The gross margin is by and large comparable between first and second quarter and at the organization level the expenses have not gone up so it is just because we are not getting leverage because reduction in topline by 10% to 15% which is why the EBIT is negative.

Akhilesh Bhandari : If comparing quarter-on-quarter, quarter-on-quarter your revenue is same and your A&P spend is down so why would your EBIT from 6 Crores positive move to negative in the FMEG segment that is my question?

Gandharv Tongia : You are absolutely right that if you compare first quarter with second quarter there is a slight movement but if you actually see that exact number you are talking about mid-single digit number which in its large business is possible I had mentioned about some hiring which we have done which is getting reflected and there is some investment which we have done from the IT and digital, but I would like to emphasize that there is no contraction in the contribution margin which is the one of the important parameters in our FMEG business. It is only organization cost which is reflecting into this negative margin and as I was explaining to the another participant a while back we are confident of getting 10% of EBITDA margin by fiscal 2026 in this particular business.

Akhilesh Bhandari : So if you were to look at the broad pricing level of your products in FMEG segment that would be flat quarter-on-quarter or you have passed on some of the benefits to the consumers?

Gandharv Tongia : It would vary from product-to-product but it would have a combination of both of these factors and that is why I am saying there is no negative surprise on contribution margin. Contribution margin impact as a matter of fact a few of the product category is better in second quarter than the first quarter.

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Page 16 of 22 Akhilesh Bhandari : Any broad range which you can mention of the price change which has happened on a sequential basis?

Gandharv Tongia : The net impact would be in low single digit or between 0 and 3% type of the change in the input cost vis-à-vis the change in selling price.

Akhilesh Bhandari : Got it Sir, thank you so much.

Moderator : Thank you. We have our next question from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella : Good afternoon, thanks for taking my questions and congratulations on

a good quarter. Just

two from my side. One was, I just wanted to clarify the mid to high teens volume growth number that you shared was that for the second quarter or for the first half and if it is for the quarter if you could please share the comparable number for the first half as well?

Gandharv Tongia : This was for the second quarter. I would not have that first half numbers handy, but to the extent even the first quarter was not comparable because in the base first quarter there was a COVID impact.

Abhijit Akella : Sure, understood thank you. And the other thing I just had was on the A&P spending line.

Once we start to see some pickup in the FMEG topline starting fiscal 2024, should we expect significantly higher investment in the A&P next year and if so is there a ball park number you could guide us to?

Gandharv Tongia : Absolutely, in fact we have already started working in that direction. We believe as a B2C company we need to invest on A&P, we have already onboarded A&P consultants like Interbrand and Ogilvy. As of now, we are discussing with them our roadmap and execution should start pretty soon. We believe anywhere between 3% and 5% of B2C revenue is what we need to invest, and this will be done gradually over the period of time.

Abhijit Akella : Thank you so much and wish you all the best.

Moderator : Thank you. We have our next question from the line of Gopal Nawandhar from SBI Life Insurance. Please go ahead.

Gopal Nawandhar : Thanks for the opportunity. I have two questions, one can you just explain this MTM element which you have referred in the other income, what kind of hedges we are taking here?

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Page 17 of 22 Gandharv Tongia : This is in compliance with Ind-AS accounting requirement as far as hedging framework is concerned. This is being done in a particular structured manner. When we procure our commodity, we get an option to price it at a date subsequent to the procurement date and

that is how we manage commodity. In few cases when we get back-to-back orders, we have an option to also go to bank and take back to that position. On the sales side, we revise our list price on a monthly basis for cable and wire and that is how it becomes a pass through. Whatever accounting you are seeing is on because of end-to-end accounting of the ineffective portion which is in compliance with the Ind-AS requirement but it is not a cash item, it is a non-cash adjustment.

Gopal Nawandhar : What is the amount?

Gandharv Tongia : In the first half for the second quarter it will be almost Rs.15 Cr-Rs.20 Cr negative and for the first quarter it would be around Rs.25 Cr.

Gopal Nawandhar : The second question was on this BEE rating changes. How well we are prepared and how are the inventories for us or in the system for the older rating fans?

Gandharv Tongia : We are fully prepared. In fact, when we acquired Silvan last year, the objective was to be ahead of the curve. Slowly and gradually, we have our product portfolio in place, we have everything in place for BEE as well, we have in-house motor, we have other product offering, a few of the products have already been launched and as far as non-compliant inventory is concerned there is nothing material which is there whatever is balance is being offered to our customers or dealers and distributors presently.

Gopal Nawandhar : Same will be the case for other players or others might have higher inventory?

Gandharv Tongia : No, I don't have a view at the industry level at this stage but certainly I can assure that at our company level we do not have any sizeable non-compliant inventory as of now.

Gopal Nawandhar : Should one expect any pre-buying ahead of these rating changes?

Gandharv Tongia : Yeah, so any of these transformation changes would have one or the other implications. We believe changes like these would be positive because it will drive the sector to better compl

iances, better quality of the product and at a country level it will help us and we are getting into energy conservation. In the interim it is quite possible because all the players face some difficulty but I think for a large player like us we believe is a positive.

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Page 18 of 22 Gopal Nawandhar : Lastly on FMEG side this decline in commodity prices and all should one expect better margins in H2?

Gandharv Tongia : I would probably take you back to our leap guidance which is for FY2026. We believe by then we should be able to get to 10% of EBITDA margin in FMEG space. I would not like to give you a particular guidance for the second half but you can practically assume from next year onwards every year there will be some improvement in EBITDA margin.

Gopal Nawandhar : Sure thanks.

Moderator : Thank you. We have our next question from the line of Pritesh Chheda from Lucky Investment Managers. Please go ahead.

Pritesh Chheda : Sir, my question is linked to your initial comments where bulk of the growth has actually come from exports for our company in the quarter and the domestic growth it is very low. I do not know how your calculation shows 6% but it is lower than that it does not coincide with then your commentary for domestic outlook if you could just shed some more light there and does this export growth have any impact extra or positive impact on the margin side?

Gandharv Tongia : Yes, of course we can do the math and happy to have an offline chat with you, but broadly, just to give you a specific, Copper LME and USD INR, exchange rate was significantly higher, blend of all of these things were similarly higher in the base quarter vis-à-vis what is there in the current quarter and that is where whatever growth you are seeing is by and large coming only from volume. As far as exports is concerned, exports the margins are generally comparable at times because of a mix and at times because of the realization we are able to get better profitability but I would not like to single out only exports as a reason for better contribution margin it is combination of everything including exports.

Pritesh Chheda : For these BEE rating products now, is the notification done and dusted and there is a deadline beyond which the non-BEE will not be sold or is still ambiguous?

Gandharv Tongia : As of now the way it has been notified by the government is done and dusted but if there is a revision by the government then there is a different thing.

Pritesh Chheda : What is the deadline now?

Gandharv Tongia : January 1, 2023.

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Page 19 of 22 Pritesh Chheda : Thank you very much.

Moderator : Thank you. We have our next question from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi : Sir any update on Etira brand, apart from wires, have we introduced the product or the

brand in any other segment and what would be total distribution reach of Etira that is one question and secondly in case of cables and wires do we have any different pricing as far as B2B and B2C is concerned most of the portfolio goes to the same distribution channel so is there any difference in the pricing policy as well as the margins of those products? Thanks.

Gandharv Tongia : Quarter after quarter it is getting more traction. It would have generated almost 100% revenue CAGR between Q4 of last year to Q1 or Q2 of this year. In fact, Q2 is slightly better than Q1 there from Etira. This is a focused effort and as I was explaining earlier this will help us in further penetrating the rural market or the cost conscious category of our customers and sorry I forgot what was the second part of your question?

Aniruddha Joshi : Is Etira launched in other segments too apart from wires?

Gandharv Tongia : So it is in wires and switches being done now which was a very recent development.

Aniruddha Joshi : In terms of the pr

icing in B2B and B2C cables and wires as well as a realization policy?

Gandharv Tongia : So let us take this in two product categories let us pick up wires first it is generally done only through distribution there is no B2B or institutional business for wires and the wires are generally more profitable than traditional core cable businesses. At EBITDA level, the margin difference could be as high as 3%,- 5%. On the cable side, institutional business is slightly inferior in terms of margin profile then the distribution business.

Aniruddha Joshi : Okay Sure Sir thanks.

Moderator : Thank you. We have our next question from the line of Arshia Khosla from Yes Securities. Please go ahead.

Arshia Khosla : Thank you. Sir congratulations on a good set of numbers. My question is with respect to Etira, just wanted to understand how is it placed versus the unorganized brands in terms of pricing, what kind of premium are you charging?

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Page 20 of 22 Gandharv Tongia : The difference is not very significant, it would be at max mid to high single digit, but it is comparatively better quality or specification products and another important thing which is helping us is availability. Our products are available wherever we want them to be available and that is also helping us in getting some traction from the customers and market.

Arshia Khosla : Thank you. That is it from my end.

Moderator : Thank you. We have our next question from the line of Akshay Kothari from Envision Capital. Please go ahead.

Akshay Kothari : Sir, I wanted to know about the civil ageing schedule which you have given in your annual report the other projects what are they pertaining to?

Gandharv Tongia : These are backend civil projects where some delays were there, but I expect all of them to be completed in the next 9 to 12 months.

Akshay Kothari : Can you touch upon the backward integration project. So how are they expected to give us benefit synergies if you can touch upon it?

Gandharv Tongia : Philosophically, we believe that if we have a complete control of the entire value chain we can get better quality and which is what is getting reflected in customer s confidence in our products over the period and that is also one of the reasons why we have achieved number one position in cable and wire business. We practically have 24%-25% market share today in organized cable and wires business or industry. Whatever backward integration we are doing either the copper or steel or on a familiar site for other components is expected to give us more confidence on the positive side, as a byproduct it is quite possible we get better margin. But the objective is not cost-led, objective is quality led.

Akshay Kothari : Who was the rest 25% in steel matrix?

Gandharv Tongia : There is a local promoter family involved and they have a business interest in this particular sector and the adequate expertise and that is why we have decided to partner with them. The project has not yet been initiated too.

Akshay Kothari : Okay thanks a lot and all the best.

Moderator : Thank you. We have our next question from the line of Nikunj Gala from Sundaram AMC. Please go ahead.

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Page 21 of 22 Nikunj Gala : Hi! Good afternoon everyone. I have just two questions firstly in the wires and cables revenue if I just look at Y-o-Y there is 11% growth and I think as you mentioned the pricing revision is to the tune of mid teens then in the volume growth also is in a tune of mid teens then 11% growth I am not able to reconcile can you just help me with that?

Gandharv Tongia : When I was talking about mid teens, I was talking about Q1 to Q2 and I think what you are trying to consider volume growth is from base quarter to this quarter and this is where there is disconnect. Between first quarter to second quarter, the changes in the prices have been passed on to the end customer w

hile retaining a part of it and that is where you can see improvement in contribution margin by a few basis points. As far as volume growth is concerned, between last base quarter to this quarter, in cable and wire, it has been just between mid teens to high teens.

Nikunj Gala : But even on a Y-o-Y basis the copper prices are down by 17%-18% so the same pricing revision would be on a Y-o-Y right in our end product?

Gandharv Tongia : Yes, you are right but then there is a difference between the price which you are taking because there is a price at the retail level of copper whereas what we get is the best price because we procure it from the larger suppliers worldwide. So, for our lender price is significantly different from what you get from the retail.

Nikunj Gala : Just secondly how big would be the retail wire contribution in our total revenue?

Gandharv Tongia : So, retail wire would be around 30% now and all businesses put together FMEG plus retail wire both put together would be around 40%.

Nikunj Gala : So just want to understand from the accounting of revenue perspective this retail wire till date was residing in cable and wire business right?

Gandharv Tongia : Yes, and even today also.

Nikunj Gala : I am saying when we have mentioned we will merge retail wire with the switch business so there would not be any accounting of revenue change from the business?

Gandharv Tongia : No changes. The reportable segment continues to be cable and wire and FMEG and that is how we will continue to report, there is no revision in the reporting segment.

Nikunj Gala : Only route to market we have done this merging of two businesses?

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Page 22 of 22 Gandharv Tongia : Absolutely that is the correct understanding.

Nikunj Gala : Okay, thanks Gandharv.

Moderator : Thank you. I would now like to hand the conference over to Mr. Gandharv Tongia for closing comments. Over to you Sir!

Gandharv Tongia : Thank you so much for your time. In case if you have any followup questions please feel free to get in touch with us. You can write to investor.relations@polycab.com and we would be happy to assist you. I do not know whether I will get another opportunity to interact with you before Diwali and here I am wishing all of you, your team members and everyone at home a very Happy Diwali from me as well as everyone from Polycab. Have a great time ahead. Thank you so much.

Moderator : On behalf of Polycab India that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Jan 2023

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Date: 25th January, 2023

To

Department of Corporate Services

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street

Mumbai – 400 001 To

Listing Department

National Stock Exchange of India Limited

C-1, G-Block, Bandra-Kurla Complex

Bandra (E), Mumbai – 400 051

Scrip Code: 542652 Scrip Symbol: Polycab

ISIN:- INE455K01017

Dear Sir / Madam

Sub: Submission of Transcript of Earnings Conference Call held on January 20, 2023

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of Earnings Conference Call held on January 20, 2023.

Kindly take the same on your record.

Thanking you

Yours Faithfully

For Polycab India Limited

Manita Carmen A. Gonsalves

Company Secretary and Head Legal

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Mahim (West), Mumbai - 400 016

Encl: As above

"Polycab India Limited
Q3 FY 2023 Earnings Conference Call"
January 20, 2023

MANAGEMENT : MR. INDER JAISINGHANI CHAIRMAN AND MANAGING
DIRECTOR- POLYCAB INDIA LIMITED

MR. GANDHARV TONGIA – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – POLYCAB INDIA
LIMITED

MR. CHIRAYU UPADHYAYA – HEAD, INVESTOR
RELATIONS – POLYCAB INDIA LIMITED

Polycab India Limited
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Moderator: Ladies and gentlemen, good day, and welcome to Polycab India Limited Q3 FY 2023 Earnings Conference Call. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded. I now hand the conference over to Mr. Gandharv Tongia, Chief Financial Officer, Polycab India Limited. Thank you, and over to you, sir.

Gandharv Tongia: Thank you, operator, and good afternoon, everyone. I hope you are having a fantastic start to the New Year . It is a pleasure to have you on the call. As operator mentioned, my name is Gandharv Tongia and I am the ED , CFO at Polycab India Limited. Thank you for joining us today to discuss our third quarter earnings.

During the call, we will be referring to the presentation, financial results, and condensed financial statements which are available on the stock exchanges, as well as Investor Relations web page of our website.

It can also be downloaded through QR code on slide 9 of earnings presentation. From our management team, we have with us our Chairman and Managing Director, Inder Jaisinghani. Let me now hand it over to him for his opening remarks.

Inder Jaisinghani: Good afternoon , everyone. We continued to deliver strong quarterly performance, registering highest -ever third quarter ly revenue in Q3 FY23. Moreover, we achieved the highest -ever quarterly PAT, as well as the highest -ever nine -month revenue and PAT in the history of the company. Our excellent performance demonstrated the strength of our execution capability, effectively leveraging our strong market position, robust distribution network and favorable market conditions.

Being committed to the highest standard of corporate governance, we have strengthened our board through the induction of two more directors. The new Board is more diverse , with 20% representation of women directors, in line with globally followed best -in-class corporate governance practices. I now request Gandharv to take you through our earnings presentation.

Gandharv Tongia: Thank you, Inder bhai.

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Before I take you through the quarterly performance, let me give you a flavor of macro environment. While the global economy continues to reel under recessionary pressure from burgeoning interest rate, high commodity prices and supply chain disruption due to Russia - Ukraine war, India's economy has held up strongly, drawing strength from its macroeconomic

fundamentals and largely domestic consumption -driven economy.

Most of the high -frequency indicators are exhibiting sustained momentum and activity. Monthly GST collections have continued to remain above INR 1.4 lakh crores since May '22. CPI inflation nosedived for two consecutive months from 6.8% in October '22 to 5.7% in December '22. Festive demand has supported activity in both manufacturing, as well as other sectors, driving the composite PMI to an 11 -year high, underpinning the economic outlook and positive sentiment. Recently released IIP figures also paint a similar picture, touching five -month high in November '22.

Furthermore, rural economy is bottoming out and is likely to see recovery through calendar year '23, supported by factors like better outlook for wages, crop margins, rising construction activity and government spending. The government has already achieved almost 60% of its budgeted capital spending of INR 7.5 lakh crores for FY '23 in the first eight months. Private capex is also showing early signs of improvement, supported by government measures, such as PLI scheme and optimum capacity utilization

on the back of robust domestic demand. Private sector capex announcement for the eight months of FY '23 rose to INR 8.5 lakh crores, up 35% year -on-year and 52% above the pre -pandemic level. The real estate sector continued with its growth momentum with annual residential sales at nine -year high in calendar year 2022. All in all, the Indian economy is doing well despite global headwinds, setting up the stage for its continued economic outperformance in 2023.

Moving on to the presentation , please refer to slide number 4.

We finished the calendar year 2022 with a bang, registering record -high revenue for a third quarter, and achieving the entire FY 22 profitability within the first nine months of FY 23. At INR 37,152 million, revenue grew by 10% year -on-year and 11% quarter -on-quarter. What makes this revenue growth even more impressive is the fact that these numbers have been achieved in spite of high base, lower commodity prices and higher inflation on the back of healthy volume growth in domestic Cable & Wire business. As Inder bhai mentioned in his opening remarks, this is truly a testament of the execution ability of the Polycab team and which assumes significant importance in light of the massive opportunities on the horizon due to pickup in capex cycles. EBITDA for the quarter increased by 39% year -on-year and 18% quarter -on-quarter, with EBITDA margin improving by 281 bps year -on-year and 73 bps sequentially to 13.5%. Sequential growth in EBITDA margin was achieved on the back of better operating leverage, partly offset by input cost pressures and increase in A&P spend. During the quarter, we ran a number of branding campaigns across TV, digital, social and print media platform, Polycab India Limited

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which increased our A&P expenses , roughly four times as compared to the last quarter. We also actively engaged with influencers, including electricians, architects and contractors, as well as dealers and distributors through various engagement programs to improve awareness among B2B customers. A snapshot of some of the initiatives are provided on slide 16 of the presentation.

A detailed breakup of other income and finance costs have been provided on slide 13 of the presentation. Finance costs for the quarter stood at 93 million and other income at 397 million. Other income came in higher on the back of income realized through deployment of our excess cash in mutual funds and other interest -earning assets, as well as around 100 million realized through monetization of certain assets.

Our profit after tax for the quarter stood at INR 3,608 billion, increasing 45% year -on-year and 33% quarter -on-quarter. As Inder bhai mentioned, this is our highest -ever quarterly PAT. PAT margins expanded to 9.7% for reasons I just mentioned a while back. Our net cash position further improved to 18.7 billion as at end of December '22 from 16.7 billion last quarter. As I mentioned during last quarter's earnings call, this cash will be utilized in four ways. One is towards capex, for M&A activities , some retained as war chest and rest would be distributed to shareholders either through dividends or buybacks.

Herein, I would like to provide a very important update to all of you with respect to our capex guidance. During various past earning calls, we have communicated our intention of entering the high -voltage, extra -high-voltage space . With power demand multiplying across all Tier 1 and 2 cities, as well as with smart cities coming up, entire overhead high -voltage transmission line conductors will have to go underground , and thus, the demand for high -voltage, extra -high-voltage cables would grow exponentially. Also, due to ever -increasing load transmission system, we see 220 KV transmission lines moving to 400 KV and soon expect to even see the 550 KV transmission lines in India. Being a ma

market leader in the cable industry and looking to capitalize on this opportunity, we are kicking off investment for a state-of-the-art EHV production facility in Halol, Gujarat. We will be putting in capex this year towards setting up this facility and expect the project to be completed and production to get started in 2025. Since EHV is high technology product, so we have tied up with a leading Swiss company, Brugg Cables, for the technology procurement. Brugg Cables was founded more than 120 years ago and has grown to be one of the world's leading cable manufacturers. Brugg has signed a technology know-how agreement with Polycab to transfer design, testing, production and installation technology to Polycab for up to 550 KV voltage system. The investment will open up INR 4,000 crores to INR 5,000 crores of potential HV, EHV domestic market and also a significant amount of overseas business for Polycab. Taking this investment into consideration, our capex for the 12-month period from Jan '23 to December '23 will be roughly INR 600 crores to INR 700 crores. Three-fourth of this will be utilized for wires and cables and one-fourth for the FMEG business.

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On slide 5, we have presented our numbers for the nine-month ended December '22. Our revenues grew strongly by 19% year-on-year. EBITDA was up by 58% year-on-year with margin expansion of 312 bps to 12.7%. PAT grew by 64% year-on-year with PAT margin expanding 241 bps to 8.7%. I am immensely proud to share with you all that our 9MFY23 Revenue, EBITDA and PAT are the highest-ever in the history of the company. Moving on to segments on slide 6, our Cable & Wire revenue for Q3 FY23 and 9MFY23 grew by 11% year-on-year and 20% year-on-year, respectively, driven by strong volume growth in both the segments. In fact, the production volume for the quarter and for the nine-month was the highest-ever in the history of the company. The distribution business continued to see strong growth momentum, having grown by 25% year-on-year in nine month FY '23 on the back of strong volume growth of over 26%. The outperformance was primarily on account of benefits being realized through the merger of HDC and LDC vertical last year. We have also taken various initiatives under Project Leap which are helping us outpace the market growth, such as : 1) we are targeting high-potential districts wherein Polycab has no or minimal presence; 2) we are also trying to activate distributors, which have been inactive for some time, or through whom sales have been on a decline; 3) through our real estate key account management initiative, we have been successful in generating higher secondary sales from our customers; and , 4) we are also realizing good sales momentum from our emerging India vertical. Revenue from exports business grew 32% year-on-year in 9MFY23 on the back of good demand from sectors like oil and gas, renewables and infrastructure. Overall, export business contributed to 5.9% of consolidated revenue in Q3 FY23 and 8.6% in 9MFY23. We have a strong export order book and expect exports to contribute roughly 8% to 10% to FY 23 consolidated revenue. Our focus on achieving double-digit top line contribution target, through exports, over the medium-term remains intact. EBIT margin improved sequentially to 13.8%, led by change in product mix as wire sales outpaced cable sales during the quarter and through judicious price revisions. Please refer to slide number 7 for an update on the FMEG business. The FMEG business was almost flat year-on-year and grew 12% quarter-on-quarter, enduring a challenging business environment. On a nine-month basis, the FMEG business grew by 8% year-on-year. If we look at individual categories, fan business grew the fastest at 24% quarter-on-quarter, as distributors started restocking to take advantage of liquidation of non

-BEE compliant inventory. Switchgears business, wherein we are channeling a lot of our incremental focus, also witnessed healthy growth as we reaped the benefit of our strong influencer incentive program. Pipes and fittings and switches business, too, posted double-digit growth quarter-on-quarter. FMEG profitability during the quarter was affected largely on account of higher A&P spends. As I had mentioned last quarter, one should consider FY 23 as a base year for the FMEG business. We expect reasonable growth in the FMEG business to resume from FY 24 onwards as we get done with the realignment of our distribution channel by the end of this financial year. Further, we are taking various initiatives, such as brand marketing, new product development, premiumization of offerings, influencer management program, more focus on higher margin business such as

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switchgear and switches, which will aid in scaling up the FMEG business growth and margins going ahead. On slide 8, we have given an update on the performance of our other segment, which largely comprises of our strategic EPC business. Revenue from other businesses witnessed a 20%

quarter -on-quarter and 33% year -on-year growth. EBIT from the other business stood at INR 131 million, up 23% year -on-year with margins at 13.1%. We expect the annual sustainable operating margin in this business to be in high single -digit over mid - to long -term.

Overall, the financial position continues to remain healthy with debt -to-equity ratio at a miserly 0.02x and the business generating good cash flows. During the quarter , the company's working capital saw a slight increase as we had higher inventory during the quarter -end, having procured raw materials in anticipation of better demand in Q4.

So, that was the financial update for the quarter.

Polycab as a company has always been committed to the highest level of corporate governance.

As another step towards achieving best -in-class corporate governance, Polycab's Board yesterday approved the expansion of the Board to strengthen it further and bring in more diversity. Polycab's Board will now comprise of 10 directors, with 20% representation by women directors , and only three members of promoter family on the Board . Our Board comprises of pre -eminent directors with rich experience in their respective fields and diverse set of skills for effective oversight over the company's overall operations, strategic initiatives, systems and processes and governance practices to achieve the growth mission of the company. An area of focus for the company that goes hand -in-hand with good corporate governance is sustainable growth. In my earnings call speech of Q3 last year, I had mentioned that we had initiated a project with an external partner to create our long -term ESG framework, aligned with international ESG protocols, guidelines and standards. I'm happy to report that we have made considerable progress on this project. We have identified the material ESG -related topics for the company and are in the process of identifying and finalizing work streams and milestones within each category. Once completed, the framework will provide us sustainable outlook towards the environment and society alongside business goals. In our FY 23 Annual Report, you will see a detailed disclosure on our ESG framework and work streams.

That was the update for the quarter. Thank you , and we are now open for questions.

Moderator : We have our first question from the line of Atul Tiwari from Citigroup.

Atul Tiwari: First of all, congratulations on a very strong performance, which almost exceeds, I think, any other player in the industry at this point. So , congrats on that. The question is on EHV initiative that you have. So could you throw some more light on the size of the market and who are the Polycab India Limited

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current domestic players and which voltages are we exactly talking about here? And I think you did mention the total capex for this year but what will be like the expected capex on this initiative?

Gandharv Tongia: Thank you, Atul. Thank you so much for your kind words. You know our company and our offerings, but as we are the only company in the entire continent, which has all the possible SKUs in Cable & Wire category in offering, right from defense, to automobile, to data, to electricity, to control and so on and so forth. The only white space we had was EHV. And generally, you know EHV business is done through EPC route and for that you need pre -qualification. And since we didn't have the strength in EHV, we didn't have those pre -qualifications.

So what we have done now is, we have got into an arrangement with a large international player who has almost 120 years of experience, the name of the group is Brugg Cable. And we have entered into a tech know -how agreement to transfer design, testing, production and installation technology. And this will be up to 550 KV.

This will open a market. If I were to take FY 26 as a number, a potential of almost INR 4,000 crores to INR 5,000 crores. As of now, in the country, there are only two large players who are actively involved in EHV and we would be joining that group. And from the profitability and working capital point of view, this is likely to be accretive as far as the current Cable & Wire, business is concerned.

Atul Tiwari: And sir, these two large players manufacture it themselves or they kind of import it, how does it work currently?

Gandharv Tongia: They manufacture in -house. There are a few smaller players, but these two large players have significant market share in the country and they manufacture in -house.

Atul Tiwari: Okay . And, Gandharv, my second question is on FMEG. So, obviously, now we are very close to the end of the distribution rejig. So could you shed some more light on what exactly you have done in terms of the rejig, where we are? And once this thing is over this financial year, from next financial year, roughly what ballpark of FMEG growth are we looking at? I mean , are we looking at like 10%, 15% kind of growth, or the aspiration is like 20%, 25% or even 30%? I mean, I'm not asking for any guidance but a rough ballpark would help.

Gandharv Tongia: Yes. So when we were working on FMEG and I'll probably take you back to our 2014 to 2021

journey, we did several things which helped us in achieving top line of INR 1,000 crores in FMEG. But we realized that there are few things which we could have done better. One was the entire GTM and ensuring the right set of dealers and distributors have FMEG offerings of Polycab. Second was new product development. In Cable & Wire, always we were doing new product development.

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That is why we have almost all the SKUs, but I don't think we did enough NPD in first five, seven years of FMEG foray. Third was how do you interact with the influencers and other stakeholders. And fourth and important one is, how do you ensure that you have right optimum mix within FMEG category of several products which are available. For example, if switches and switchgears are more profitable business than others, do you have sizable contribution coming from such businesses? And slowly and gradually, we have started attending almost all of them.

We started with hiring the right talent and we would have hired almost 25 senior leaders in the last fiscal. We realized that we have to have several frameworks in place to implement these and then that will at least strengthen the entire governance framework within the Project Leap. We invested heavily in digital. We have now a separate vertical headed by a very experienced digital leader who is helping us in both

the front-end as well as back-end to ensure that we are able to, not only utilize the technology, but we are able to exploit the technology.

While few of these things will continue to be implemented in next fiscal, my sense is from the first quarter of next fiscal we should start getting benefit from these. And in terms of the growth guidance, you are right, we generally don't give the growth guidance, but I would tend to believe that the options which you gave, option 1, 2 and 3, we would like to get to option 2 or 3, but suffice to say that we are looking for significantly better than industry average growth.

Moderator: We have our next question from the line of Achal Lohade from JM Financial Limited.

Achal Lohade: Yes, Gandharv, congratulation on your promotion and also the great set of numbers. My first question was, one of your competitors actually published, also published results yesterday. What they said is the B2B is doing better than B2C, while you were talking about B2C, the wires is doing better than B2B. Can you help us understand what has been the growth mix in case of 3Q FY23 and compare that against 2Q?

Gandharv Tongia: Sure, Achal. Thank you so much for your kind words and wishes. I have our Head of Investor Relations, Chirayu, as well in the room. I am going to request him to attend your question.

Chirayu, over to you.

Chirayu Upadhyaya: Hi, Achal. So while B2B is doing very well, but B2C is also performing very well. And specifically, if you look at the wires, wires have major demand coming in from the real estate sector, and real estate sector have been performing quite well for the past couple of years. If you just look at the calendar year 2022, real estate registered 9-year high in terms of the sales of houses.

The launches that were announced and happened during the calendar year were higher than the sales that has happened, and this is something which happened last in 2014. So in that sense the real estate sector is doing quite well, and that is where the demand for wires are being generated

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and that is helping us improve the growth rate of wires as compared to cables. Cables, of course, is doing very well. With all the infrastructure investments being done by the government, the pickup in the capex cycle from the private players, cables are also doing very well, but wires have outperformed that growth.

Achal Lohade: Can you help us understand the mix, how it was in 3Q and also in 2Q?

Chirayu Upadhyaya: So Cable & Wire mix generally for us would have been around 70%-30%, it would have increased to about 60%-40% in this quarter.

Achal Lohade: You're saying 40% of the revenue is from wires as compared to, say, 30% in the last quarter, and that is showing in terms of the margins, right?

Chirayu Upadhyaya: Right.

Achal Lohade: The second question I had is with respect to the volume growth. Can you give us some sense in terms of what has been the volume growth in the entire segment in wires and cables? And how do you see it going forward?

Chirayu Upadhyaya: So as Gandharv said in his opening remarks, for 9M FY23, if you look at our domestic channel sales, the volume growth was higher than 26%. And this again like I said, on the back of various

government initiatives, as well as private capex cycle. So this is something which we expect to continue.

The volume growth for Q4 also is looking good. And again, this calendar year being and this coming budget being the last budget before the election, we expect good announcements in terms of investments in infrastructure from the government. And again, this is something which will help in improving the volume growth for the industry, as well as the company.

Achal Lohade: Sorry. You talked about volume growth of 26% for 9 months. What was it for 3Q? Can you help us understand that?

Chirayu Upadhyaya: So if you

look at domestic volume growth, it would be between 18% to 20% for us.

Achal Lohade: Okay. And is there any element of channel stocking which played out, which kind of helped, or you think this is absolutely normal levels of inventories in channel?

Chirayu Upadhyaya: No, there was no different scenario being played out. This is just plain vanilla demand, good demand being translated to good volume growth for the industry, as well as for the company.

Achal Lohade: Got it. And just last question if I may. Can you help us understand your sourcing, how much is domestic, how much is imports of the raw materials? And what is the typical inventory we keep in terms of raw material and finished goods?

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Gandharv Tongia: So there is a mixed bag. In copper, most of the copper is being procured from overseas market. Though, there are supplies from the domestic players as well, but most of it is from international players. As far as aluminum is concerned, it's partially domestic and partially international, and steel is by and large domestic.

In terms of the overall inventory cycle, it is around 90 -odd days, including from RM to FG, including WIP, and FG both at the plant as well as the depots. So that's the cycle which is there. And there is some scope for improvement as far as optimization of inventory days are concerned, but there's no significant improvement that is possible.

Achal Lohade: Okay. Understood. And in terms of I mean, we have seen a significant margin improvement. Is that a number one should look at as a new normal or you think there is an element of this mix which was kind of exceptionally high in this quarter, but it would, say, normalize in coming quarters or years?

Gandharv Tongia: So, let's go business by business. As far as Cable & Wire is concerned, I think it is safe to assume a number between 11% to 13% EBITDA margin for your model purposes. And FMEG, we believe every year we should be able to improve the EBITDA margin, so that we get to 10% or thereabout by fiscal '26. So that is how we should model. And if you do that, my sense is, we'll probably have chances of having positive surprises rather than negative surprises.

Moderator: We have our next question from the line of Ravi Swaminathan from Spark Capital.

Ravi Swaminathan: So I just wanted to and congrats on a good set of numbers. I just wanted to check with you regarding the -- once again regarding the margin sustainability. So basically wires generally carry better margins than cables and that proportion has increased to 60 -40. So, is there an opportunity of the -- first, the wires proportion going up from here? And what can be the reason behind that? And this 13.7% EBITDA margins in wires and cables, will -- can that sustain? So basically once again, because of the wires going up -- proportion going up?

Gandharv Tongia: Yes, thank you so much, Ravi, for your kind words and wishes. I think the way to look at our number is, you should assume that wires contribution will improve to the top line over the period and it won't happen overnight. And that is why the gradual increase in EBITDA margin is possible. But as I mentioned to the previous participant, we should assume a range between 11% to 13% of EBITDA margin for the Cable & Wire business. And for FMEG, certainly, we believe that we would be able to improve our performance on the bottom line, and every year we should anticipate some improvement, so that we can get to 10% by FY '26.

Ravi Swaminathan: And with respect to the FMEG business, the sales mix currently would be, how much is fans, how much is pumps, lighting, if you can give that breakup?

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Gandharv Tongia: Between fans and lights and luminaire, we should assume that around 2/3 of the business. And the other businesses are comparatively

smaller. Our endeavor is to change that mix and have higher proportion of switches and switchgear, for example, because these businesses are more profitable than the other businesses within the FMEG basket, and we expect that every year from

next year we would see some incremental positive changes in that direction.

Moderator: We have our next question from the line of Rahul Agarwal from InCred Capital Financial Services.

Rahul Agarwal: Congratulations on the performance. And Gandharv, specifically your elevation to the company Board. Two questions. Firstly on FMEG, a 2-part question. Is 100% manufacturing in-house now? And if yes, what could be the peak revenue possible from that capacity, assuming no price hikes happen here on?

The second part of that question, essentially is, as you said that Project Leap is like three years out and EBITDA margins you've already guided for 10%, let's say, anywhere between 9% to 10%. Fiscal '24 has to see a meaningful uptick. So the reasons behind that to happen, because my sense is, right now we are almost at breakeven and that is purely because of fixed cost the rent and ad spends are higher because we're building up the market.

Next year, what will change for that margin to go up? These are two questions on FMEG. I'll come back on the last question.

Gandharv Tongia: Thank you so much, Rahul, for your kind words and wishes. FMEG, if the margins have to go up, there are three or four levers which are available. One is, we have to change the current product mix. This 2/3 of fan and light and lum has to undergo a change and it should contribute lesser than what it is doing today. And contribution from businesses like switches and switchgear should improve. And that is the reason why we have set up a new facility in Daman for switches and we are expanding our Nashik switchgear facility.

The second way of improving margins is ensuring that we have availability across the different price points, including a premium category. In the first six, seven years of FMEG foray, we didn't do enough on ensuring that we are available at all the price points, but now we are taking strategic and directional steps. If you would recollect, we acquired a company by the name of Silvan around two years back and this company is now helping us in doing R&D, new product development and innovation. And on the basis of the work which is being done at Silvan by the team, we should be able to offer better and newer products to our customers, and in few of those cases, we would be able to charge premium.

So, Rahul, what I was talking about and probably I'll repeat a bit of it because I don't know when we lost the connection. First is, we have to reorient the FMEG portfolio towards the better

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margin businesses like switches and switchgear and that is the reason why we have invested in facilities in Daman for switches and augmenting the facility in Nashik for switchgears.

Second is on the strength of new product development, innovation and R&D, and for that purpose we had acquired a company by the name of Silvan around a couple of years back. We had to offer better products to our end customers across different price points. Third is the economies of scale because not necessarily our fixed cost will go up in the same proportion, in the manner we are anticipating the revenue to grow. And the fourth one is, where we will have to probably invest more in advertisement and publicity. Last couple of years, because of COVID and others, we were slightly frugal, but between second quarter and third quarter, we have pressed the pedal. A&P spend in the third quarter was close to INR 64 crore, whereas in the second quarter it was close to INR 16 crore, so it's almost 4x increase. So because of these reasons we should be able to improve the margins in years to come.

On the second part of

FMEG revenue, we'll have to go business by business in terms of the potential. So, for example, fan business, our Roorkee facility is almost fully utilized as of now, but the Halol facility, which will be up and running in the current quarter itself would probably open up almost equivalent to Roorkee facility capacity.

Switches, we are doing in phased manner, expansion. The idea is to not incur significant fixed cost ahead of the time, but switches facility is quickly expandable and as and when there is a need, within two, three months we can put up additional facilities. Switchgear is getting expanded now.

So what I was trying to allude to is, in terms of top line potential. In almost all the businesses, we have significant potential available. For example, the fan business, our existing facility is up and running and getting utilized almost fully which is in Roorkee. But the Halol facility will be operationalized in the current quarter itself, and which would be equivalent to the existing facility. So there's 100% increase potential which is available in Halol. Switches is being done in phases.

So as and when there is a need, we would be able to expand on switches. And as far as switchgear is concerned, we should be able to expand to almost 1.5x in the next fiscal itself. So FMEG, we don't have a challenge with the capacity. And I think the strategic initiatives which we have undertaken in last year or so under Project Leap would help us in driving the growth and to meet

the growth requirement, as we will not face any challenge as far as production of back-end capabilities are concerned.

Rahul Agarwal: So, is it 100% in-house now for all the products?

Gandharv Tongia: Yes. Except very small categories, for example, agro pumps or solar, where we are -- we don't have in-house facilities. But other than that everything is in-house. And when I am saying in -

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house, I am considering companies like Techno LED, which is a 50% joint venture and they supply LED lights to us.

Rahul Agarwal: So, it is not possible to aggregate everything and say that what is the peak revenue potential of whatever capacities we have, that's not possible?

Gandharv Tongia: Since this particular industry is as such that you can put up a plant within a month or so, or two months or three months in few of the categories, not necessarily that's a constraint. And that is why that peak FMEG revenue. See, this is unlike Cable & Wire where we need significant time.

For example, EHV, which I alluded to in my opening remarks, will take around 2.5 years.

Whereas in FMEG, if I were to just give you example of additional line in switches, it can be done in two months. So, I don't think there's a constraint.

Rahul Agarwal: And lastly, just on the Cable & Wire side, obviously, you spoke about volume growth. Again, just to assess in terms of what growth should we expect here on, assuming that copper is stable.

What kind of volume growth on a CAGR basis should we expect, like next three years? Very industry level, obviously, you're gaining market share. So it has to be higher than the industry, but on a volume growth basis, what would you expect?

Gandharv Tongia: I mean, if you were to ask us, we are a growth-hungry organization. Whenever I discuss this Project Leap, an ambition INR 20,000 crore, everyone internally is of the view that we can do it sooner. But when it comes to guidance, I think it is best to say that we would be able to achieve INR 20,000 crore of top line by fiscal '26, and in Cable & Wire, we'll do better than industry average.

In FMEG, things will be better than industry average. And I would probably leave it at that, so that you have enough instances of positive surprises in your model when you compare our actuals in quarters to come.

Moderator: We have our next question from the line

of Shrinidhi Karlekar from HSBC.

Shrinidhi Karlekar: Congratulations, Gandharv, on elevation to the Board. Just one clarification I have on your media interaction with CNBC-TV18, wondering did you guide 20% growth in FY 23?

Gandharv Tongia: Thank you, Shrinidhi. Thank you so much for your kind words and wishes. We did not guide for 20%. I think what we were trying to highlight in the call was that we will be able to register the growth, which is going to be significantly better than the industry growth in FMEG and Cable & Wire going to be better than industry.

Shrinidhi Karlekar: Okay, understood. And, Gandharv, you highlighted that -- hello? Yes, can I go ahead?

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Gandharv Tongia: Yes. I was saying that we are very confident of achieving INR 20,000 crore of top line by fiscal '26 and that can be done easily, if we were to just follow better than industry average growth in Cable & Wire, and I think it will be better in FMEG.

Shrinidhi Karlekar: Gandharv, you highlighted that Wire business margins are materially higher than the cable business, about 15% in wire and about 11% in cable. Would it be possible to throw some light on how gross margins different for these product categories?

Gandharv Tongia: Within Cable & Wire, it's difficult to compare at contribution margin. I'll give you one example to illustrate what I mean. In fact, when cable is concerned, there is no need to incur ATL spend.

For example, you know TV advertisement, whereas in the case of Wire, it would be natural expectation to incur such expenses.

And I'm sure you would have noticed you know a few of our advertisements in last few months.

For example, you know what was done in the during the ICC T20 Cricket World Cup. So that is where I don't think it is comparable as far as gross margin is concerned. It is better to see at EBITDA margin level and that is where the wires business is better than cables.

Shrinidhi Karlekar: And last question from my end, Gandharv, would it be possible to throw some light on fiber optic cable business for Polycab? How large is it? How is margin profile in that business? And how is inquiry pipeline looking like in that business?

Gandharv Tongia: Optical fiber cable business is generally done under two arrangements. One is where the end customer is expecting laying of the cable and supply of cable, and in the few cases, even

maintenance afterwards. We have done few of those projects under Government of India initiatives. For example, in the State of Gujarat, as well as in the State of Bihar in last few years. We have another model, which is being strengthened now is direct supply of optical fiber cable to the end customer through our existing distribution. And the work on both is progressing well. Initiatives like 5G or digitalization augurs well with the OFC business. The only thing which I would like to highlight to you is, we don't have backward integration in place as far as optical fiber cable is concerned.

So, we don't have any manufacturing capability or capacity as far as optical fiber is concerned.

What we do is we procure optical fibers and then manufacture optical fiber cables.

Shrinidhi Karlekar: Last one if I may. So, Gandharv, we are building these two new brands. One is on the mass, which is Eтира and on the premium side Hohm. Would it be possible to update us on the progress, how these brands shaping as for Polycab?

Gandharv Tongia: I think both of them have helped us immensely in terms of improving our growth rate. While this is being done, we are fairly almost on the verge of completion of our entire brand

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architecture. And I would expect by end of the current calendar year we should be able to get to a stage where we can launch our revamped brand and offer differentiation across the product

categories on the basis of product feature or on the basis of end customers. But as of now, whatever we have done has helped us improving the top line in the last few quarters and the increase in spend is in line with that particular piece.

Moderator: We have our next question from the line of Aniruddha Joshi from ICICI Securities.

Aniruddha Joshi: Sir, most of the durable companies we are seeing are going and acquiring the kitchen appliances brands or companies and we have seen multiple such transactions in past 2, 3 -- 2-odd years. Whirlpool acquiring Elica, then Crompton and then V-Guard also. So what are Polycab's aspirations in kitchen appliances space? And is the company looking at any organic, inorganic route over next 1, 1.5 years?

Also, the export business, as I understand, would be a relatively low ROE business, considering it's largely a B2B business. So, is that the business company really wants to invest a lot from the medium to long-term perspective? So, what are your thoughts on these two?

Gandharv Tongia: Thank you, Aniruddha. Thank you so much. As far as kitchen appliances are concerned, we believe we have enough and more to do in the existing electrical ecosystem, and we don't believe that at this stage we need to think outside the existing electrical ecosystem. As I mentioned to couple of other participants, there is a fair amount of work which is being done in FMEG, and we believe that, if we do what we are expecting us to do, we should be able to get to top three market position within few of those FMEG product categories in years to come.

In Cable & Wire as well, one is exports market, but within that business in India is growing.

New products like EHV provide us good opportunity. So to answer your question, we are not looking for any foray into kitchen appliances.

Having said that, M&A would continue to be an active driver for our growth because organic growth we will achieve, but for a large organization like us, if we want to fasten the pace of top line growth, we'll have to consider inorganic route and that is where we are doing lot of work and we are hoping that if we get a right asset in the right place at the right valuation, we would like to explore.

As far as exports is concerned, let me give you a broad overview. In last 4, 5 years, in addition to doing project-only export business, slowly and gradually we have started moving towards distribution business. This is what we did in the country as well in the last 10 years, till 2012 or thereabout, we were more institutional-driven business and distribution-driven business. And today, we are practically 85% distribution-driven business.

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And we believe if we are able to do what we did in last 10 years, in the overseas market, we should be able to get to a respectable position in same year from now. And distribution business is equally profitable in overseas market the way it is in India, and that is where we are confident on both, growth trajectory of exports, as well as profitability of exports.

Moderator: We have our next question from the line of Abhineet Anand from Emkay Global Financial Services.

Abhineet Anand: So I have two questions, one on your EHV investment. How much -- I understand you said you indicated 2.5 years for this plant to commission. So, what could be the investment and revenue potential for this plant?

Gandharv Tongia: Thank you, Abhineet. Thank you so much for your kind words and wishes. You are right, it will take around 2.5 years to construct, and a part of the investment will be done in the current year and the balance will be done in the following year. It would be difficult for me to give you a specific capex guidance for a particular project. But I can certainly tell you that we expect to incur around INR 600 crore in the current calendar year – INR 600 crore to INR 700

crore in the current calendar year, and 3/4 of that would be for Cable & Wire, and most of it would go for initiatives like EHV.

Abhineet Anand: And typical in EHV, what is the asset turn, if you can help us with that?

Gandharv Tongia: I mean, these are early days. We are still exploring and getting you detailing. The asset turn is generally comparable with the existing Cable & Wire business, but I think closer to the project commissioning we will have slightly better visibility and that is when probably we can decide in terms of what type of guidance we want to give.

Abhineet Anand: Secondly on this, raw material volatility has been one of the key concerns, right? Copper is again up almost 20% in the last two months. I mean, given that your requirements of copper and aluminum is so high and copper typically is being imported as of now. I mean, what is the strategy to avert any high inventory gain or loss? What is the strategy behind hedging in your case?

Gandharv Tongia: So, Abhineet, you know this already that as far as finished goods is concerned, for distribution business, the prices are revised on monthly basis depending on changes in commodity prices and USD/INR exchange rate. And to that extent, we don't have any material risks of volatility or changes in copper prices or aluminum prices or USD/INR exchange rate.

And that is what you can correlate as well with our performance over the last few quarters.

Despite volatility between Q2 and Q3, there is no significant change in our margins, both at contribution level, as well as at the EBITDA margin level. So the effective hedging framework

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which we have in place and the pricing mechanism, these help us in avoiding any negative impact on the EBITDA margin.

Moderator: We have our next question from the line of Abhijit Akella from Kotak Securities.

Abhijit Akella: I just have a couple of questions, one is on the Cable business, is it possible to give us a broad split between B2B and B2C, if there is any significant mix out there?

Chirayu Upadhyaya : So, Abhijit, we hardly do any B2C business in the Cable segment. Most of it is B2B. And again, the split between dealers and distribution business and institutional business, is broadly 85% to 15%.

Abhijit Akella: And with regard to the share of wires in the overall mix which you said has now gone up to 40%, is there a broad target we have in mind for our 2026 aspirations about where we want to take it?

Chirayu Upadhyaya : So when we think about our 2026 aspirations, we think more on the lines of B2B versus B2C. We want to take that to 50 -50 by FY 26, and that is wherein we are progressing. So B2C will consist of both of wires, as well as FMEG and B2B will be your Cable business and EPC business, and that is how we are looking at it.

Moderator: We have our next question from the line of Venkatesh Balasubramaniam from Axis Capital.

Venkatesh B: I had a couple of questions on the FMEG business and maybe one question on your Cable & Wire business. On the FMEG side, you have this Project Leap plan of INR 20,000 crores by FY26. How much of that INR 20,000 crores is – are do you think can come from FMEG? That is the first question.

The second question is, I think we will close out this year may be close to 1% or 2% kind of EBITDA margins in the FMEG. What kind of margin improvement is possible next year, given that you could possibly end up doing 20% -plus kind of revenue growth? So that is the first two questions on FMEG.

Chirayu Upadhyaya : Sure. Thanks, Venkatesh. So, like I said, in the previous question to Abhijit, we don't normally look at contribution from FMEG to overall. We more look at B2B versus B2C contribution and we expect that to go to 50 -50 by FY 26, and that is where we are working at.

In terms of margins expectations for FMEG, what we have guided the

market is that, by FY 26

we want FMEG to be operating at a margin of about 10 -odd percent and we have taken various initiatives, which Gandharv mentioned. And we are quite confident that we should be able to reach by about 10% of EBITDA margins for FMEG by FY 26.

Moderator: We have our next question from the line of Praveen Sahay from Prabhudas Lilladher.

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Praveen Sahay: So, first question on the fan. As you had mentioned 24% of a sequential growth you had observed, how much is the volume? And is there any price hike have you taken or plan to take?

Chirayu Upadhyaya : So there was no price hike which was taken. The price hike would be taken once the BEE -compliant inventory is given in the market, which is from 1st of January onwards. Last quarter it was non -BEE -compliant inventory. So, there was actually a pricing revision on the downward side which happened across the industry. So, price hikes will be something which will happen from this quarter onwards when BEE -compliant inventory will be out in the market.

Moderator: I would now like to hand the conference over to Mr. Gandharv Tongia for closing comments. Over to you, sir.

Gandharv Tongia: Thank you so much, participants for taking out time and attending this call. In case participants have unanswered questions, they can get in touch with us by writing an email to investor.relations@polycab.com and we will be extremely pleased to attend their queries. Thank you for your time participants. Have a good day. Bye.

Moderator: Thank you. On behalf of Polycab India, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2023

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Date: 19th May 2023

To

Department of Corporate Services

BSE Limited

Phiroze Jeejeebhoy Towers, Dalal Street

Mumbai – 400 001 To

Listing Department

National Stock Exchange of India Limited

C-1, G-Block, Bandra -Kurla Complex

Bandra (E), Mumbai – 400 051

Scrip Code: 542652 Scrip Symbol: Polycab

ISIN: - INE455K01017

Dear Sir / Madam

Sub: Submission of Transcript of Earnings Conference Call held on May 15, 2023

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of Earnings Conference Call held on May 15 , 2023.

Kindly take the same on your record.

Thanking you

Yours Faithfully

For Polycab India Limited

Manita Carmen A. Gonsalves

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“Polycab India Limited

Q4 FY 2023 Earnings Conference Call ”

May 15, 2023

MANAGEMENT : MR. INDER T. JAISINGHANI – CHAIRMAN AND
MANAGING DIRECTOR – POLYCAB INDIA LIMITED

MR. GANDHARV TONGIA – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – POLYCAB INDIA LIMITED

MR. CHIRAYU UPADHYAYA – HEAD, INVESTOR
RELATIONS – POLYCAB INDIA LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Polycab India Limited Q4 FY 2023 Earnings Conference Call. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Gandharv Tongia, Chief Financial Officer, Polycab India Limited. Thank you, and over to you, sir.

Gandharv Tongia: Thank you, operator. Good afternoon, everyone and thank you for joining us. I hope you all are staying healthy and safe. I am Gandharv Tongia, Executive Director & CFO at Polycab India Limited. On this call, we shall discuss the Q4 and full year FY23 results which were approved in the board meeting held on Friday last week. We will be referring to the earnings presentation, financial results and financial statements which are available on the stock exchanges as well as investor relations page of our website. Joining me today from the management team, we have our Chairman and Managing Director – Mr. Inder Jaisinghani and Mr. Chirayu Upadhyaya – Head Investor Relations on the conference call.

Let me now turn the call over to Inder bhai for his comments.

Inder T Jaisinghani: Good afternoon, everyone. We concluded the financial year 2023 on a promising note, with several key achievements that have helped solidify our strong market position. The most notable of these achievements is our all-time high revenue and profitability, which is a testament to the hard work and dedication of our employees and management team. Throughout the year, we have demonstrated consistency in our business by paying more attention to our “i-POWER” values. By prioritizing integrity, customer satisfaction, and innovation, we have been able to differentiate ourselves and build a loyal customer base. The combination of our solid market position and potential growth opportunities bodes well for our future success.

I now request Gandharv to take you through our earnings presentation.

Gandharv Tongia: Thank you, Inder bhai.

Before I take you through the quarterly and yearly performance, let me give you a flavour of the macro environment. Despite a volatile global environment, India's economy remains resilient, with several high-frequency indicators showing sustained positive momentum. Key indicators such as manufacturing PMI, services PMI, and core 8 industries consistently remained above long-term averages, while growth momentum was visible in steel and cement output, GST collections, e-way bill generation, capacity utilisation, and rising demand for electricity and travel. Also, double digit credit growth, improvement in passenger vehicle sale, and downward trajectory of inflation indicate positive momentum for the economy. On rural front, sequential improvement in two-wheeler sales along with robust rabi sowing exhibits positive signs.

Specific to our sector, the government's continued focus on infrastructure, through increase in budgetary allocation to an all-time high of ₹ 10 trillion, at 3.3% of GDP, augurs well for the cables industry. The residential sector being in its upcycle, with residential sales hitting 9-year high in CY2022 and new project launches exceeding sales for the first time since 2013, exhibits

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extremely potent signs for the wires and FMEG industry. On the whole, we remain optimistic on the Country's future growth as well as prospects for our areas of operation.

Moving on to the presentation, please refer to slide number 4.

For the quarter ended March 31, 2023, our consolidated revenue grew by 9% YoY on the back of strong growth

h in the international business. EBITDA grew by 27% YoY with EBITDA margins at 14.0%, a growth of ~200 bps YoY. The Company registered its highest ever quarterly PAT at ■ 4,284 Mn, a growth of 32% YoY and 19% QoQ. PAT margin stood at 9.9%, an improvement of ~170 bps over that of same quarter last year .

The year was a remarkable one for the Company as we surpassed the revenue threshold of ■ 140 Bn for the first time ever, growing by 16% year-on-year. Achieving this growth in spite of a high base and lower commodity price environment is an exemplification of the kind of demand that exists in the market and the execution capability of the Polycab team to capitalize on this opportunity. What is very important to note here is that the growth hasn't come compromising on the margins. Our EBITDA has in fact grown at a much higher pace than revenue growth, at 46% YoY, with EBITDA margins at 13.1%, an improvement of ~270 bps YoY. On the back of this, we registered our highest ever yearly PAT, at ■ 12,823 Mn, a growth of 52% YoY. Given that the commodity prices were on a downward trajectory this year, partly offset by the depreciation in INR vs US Dollar, the strong growth this year is completely on account of robust volume growth in the cables business. Our net cash position stood strong at ■ 18.9 Bn, against ■ 11.0 Bn, same time last year. A detailed break-up of the other income and finance costs have been provided on slide 31 of our earnings presentation .

Moving onto slide 5

Herein, we have presented the key highlights for the year. I already talked about the improvement in EBITDA margins, in spite of the volatile commodity price environment. During the year, we also continued to work on optimization of working capital days, one of our key areas of focus since listing, successfully reducing it further to 50 days, a reduction of 11 days from last year. The reduction was achieved on account of improvement in channel finance penetration in the business. For the wires and cables business, the channel finance penetration stood at 83% during the year, up from 75% last year. Our trend of improvement in channel finance penetration since listing in the W&C business is presented on slide 11 for your reference. You may also compare our journey of improvement in working capital days over the past 3 years through slide 31 of the earnings presentation. A natural outcome of improvement in working capital days is an improvement in cash flow, leading to higher cash available for the business. As I mentioned earlier, the net cash on balance sheet increased by 72% this year over the last year. An important use of the cash available to the Company, other than for capex, is to reward our shareholders, through dividend payments. In-line with the business growth and as has been our trend since listing, we increased our dividend payout for the year, to 23.5%, paying dividend of ■ 20 per share, a 43% increase over ■ 14 per share paid last year. The last, but a very important highlight for the year is the strong growth achieved in international business, which registered a growth of 50% during the year, to stand at ■ 13.8 Bn, contributing to 9.8% of the Company's

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total revenues vs 7.6% last year. One of our goals within project LEAP was to achieve a top-line contribution of 10% from the international business. During the year, we expanded our global footprint to 70 countries. On slide 12, we have presented the performance of our international business since listing, along with how we are continuously expanding our reach globally across more and more countries. With tremendous increase in spends globally in sectors such as Renewables, Oil & Gas and Infrastructure, the Company is confident of growing the international business further, strengthening our foothold in various international markets .

Moving onto slide 6.

As is visible i

n the first chart, the wires and cables business accounted for 89% of our sales during the year, with FMEG contributing 9%, and other segments, which mainly comprises of the EPC business, accounting for the remaining 2%. We will now go deeper into each of this business segment performance during the year .

Please refer to slide number 10.

During the fourth quarter, the wires & cables business grew by 12% YoY, on account of strong traction in international business, to register its best quarterly sales . EBIT margins too came in strong at 14.6%, an improvement of ~300 bps YoY. For the year, the business registered a revenue growth of 17% YoY, on the back of strong volume growth, both domestically as well as internationally. The domestic distribution business grew by 20% YoY with volumes growing by an impressive 21% YoY. The outperformance was primarily on account of benefits realized through the merger of HDC and LDC verticals last year. Within domestic distribution business, cables grew faster than wires. We have given a zone-wise split of our distribution channel on slide 11 for your reference. Special purpose cables business also gained momentum with sales growing 1.7x over last year, mainly driven by the railway and defence segment. Profitability within the segment was robust, with EBIT margins at 13.1%, an improvement of ~340 bps over

last year. Overall, the demand environment for the wires and cables business continues to remain strong supported by government measures and revival in private capex. The Company will leverage its strong market position, largest distribution network, product innovation, ample available capacity created by investments ahead of the curve and digitalization to capitalize on the market opportunity.

Performance update on FMEG business is given on slide 14.

The FMEG business had a soft year on account of the realignment of distribution channel exercise undertaken during the year, as part of Project LEAP, to enable improved pace of future business growth as well as weak consumer demand due to continued high inflation. Revenues were flat year-on-year for FY23 and grew 20% YoY in Q4FY23. Segmental EBIT turned negative during the year largely on account of higher A&P spends, staff cost and input cost pressures. If we look at individual categories, fan business was impacted in Q4 due to heavy channel inventory stocking done ahead of the transition to the new BEE norms in Q3. However, the channel inventory of non-BEE compliant stock has now been largely sold, with the new BEE compliant inventory primarily being sold today in the market. Post the transition, the Company introduced ~40 new BEE-compliant SKUs during the quarter, with ~60% of them in the

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premium and super-premium categories, in-line with the Company's premiumization strategy. Our new fan manufacturing plant in Halol is now operational, adding an annual capacity to produce 6 million fan units. The Company will manufacture the TPW i.e. table, pedestal & wall fans in-house at the Halol plant, in addition to manufacturing the ceiling fans. The switches business witnessed a healthy growth in Q4 growing 1.5x YoY and 1.9x QoQ as we reaped the benefit of our in-house manufacturing plant that became operational mid-last year. With the distribution realignment completed, we are confident of improving top-line and bottom-line from FY24 and are committed to achieving 10% -12% annualized EBITDA margin in this business by FY26.

In our numerous interactions with investors and analysts, we have been asked about our drivers of growth for the FMEG business, to achieve our project LEAP goals. On slide 15, we have given the details of the key elements that will form the growth engine for our FMEG business going ahead. Our top-line growth will be on the back of 1) distribution expansion; 2) product innovation; 3) o

ur structured influencer management program; and 4) investment in brand building, while the drivers for our bottom-line growth will be 1) premiumization strategy; 2) higher focus on product categories with better margins; 3) strong backward integration; and 4) economies of scale. Let's delve deeper into each one of them.

As I touched upon on previous slide, for distribution expansion, we are already done with the rejig of our distribution channel, wherein we have moved on to a super-distributor model of operation, whereby, a super-distributor, supported by 8 – 10 sub-distributors, will cater to the demand from a cluster of towns. Through our acquisition of Silvan last year, we have improved on our R&D efforts for the FMEG segment, stoking innovation, as well as product development and launches across price points, to cater to customers from all segments. Going ahead, basis the positive outcome achieved through our structured influencer management program, which we piloted in select cities, will be expanded to more cities, as well as across dimensions of influencers, to improve brand awareness as well as increase sales. Lastly, the Company will increase its investment in brand building through higher spends for its ATL and BTL marketing activities, in-line with its larger FMEG peers. The Company has tied up with Ogilvy for its A&P activities and Interbrand and has already scaled up its efforts in this direction through its sponsorship of the three major International Cricket Council (ICC) events of CY 2023, namely, the ICC Women's T20 World Cup, the ICC World Test Championship Final in the United Kingdom and the ICC Men's Cricket World Cup 2023 scheduled in India later this year. In FY23, the Company's A&P spends, which are largely for the FMEG segment and wires, increased by 51% YoY to ₹ 1,244 million. This trend will continue in years to come as well. On the profitability side, we will focus on improving margins through premiumization of our offerings, leveraging on the brand building and product innovation efforts. Also, going ahead, we will have a greater focus on the product categories of switchgears and switches, wherein, the competition is lower and hence, margins are higher. In-house manufacturing and strong backward integration have always been our areas of focus, and the same will start deriving benefits for us through lower costs and economies of scale in addition to better product quality and availability. So, through our focus on all these strategic areas, we are confident of being able to scale up our FMEG business from FY24 onwards to improve its contribution share to overall revenue as well as improve its profitability to achieve our FY26 Leap goal.

Moving onto slide 17, which gives performance details about our other business segments, which largely comprises of our strategic EPC business. The segment witnessed a revenue growth of 22% YoY in FY23 to stand at ₹ 3,584 million, with EBIT margins at 12.1%. We expect the annual sustainable operating margin in this business to be in high single -digit over mid -to-long term.

Overall, the financial position of the Company continues to remain healthy with debt -to-equity ratio at a miserly 0.02x and the business generating good cash flows. Key financials are available on slides 28 to 31 of the earnings presentation .

So, that was the financial update for the quarter. Now, let us talk about our key transformational project called, "Project Leap", which completed 2 years this month. As you all are aware, we embarked on this project post FY21, partnering with BCG, to work on a range of strategic themes and initiatives focused on growth, profitability and long -term capability building for the organization across B2B and B2C businesses with a goal of achieving ₹ 200 Bn of top -line by FY26. Under the project, we have been working on vari

ous streams, clubbed into four key strategic themes, namely Customer Centricity; Go -to-Market Excellence; Winning with new products; and Setup of organization enablers. We have made tremendous progress in each of these key areas over the past 2 years. I'll take you through each of these topics one -by-one. Under Customer Centricity, we have been redesigning our business operations keeping the customer's needs and convenience at the centre. Keeping the same in mind, we had undertaken the merger of our HDC and LDC verticals last year, realizing the customer as well as distribution overlap between the two segments. Our robust performance during the year, in the cables business, was an outcome of this strategic manoeuvre. On similar lines, during the year, we undertook the merger of Fans vertical with Lights & Luminaries vertical and Retail Wires vertical with Switches and Switchgears verticals. We are confident of starting to realize the benefits of this mergers through increased cross -sell and operational efficiencies from FY24 onwards. Further, being a largely distribution driven business, we did not have a complete handle on our end -customers. So, we started deploying our own feet -on-street team to get to know our end customers, understand their needs and thereby generate higher business from them. Through these efforts, direct quotes from Polycab have increased from 16% in FY22 to 34% Q4FY23, indicating a strong shift towards control over pricing, market dynamics and direct dealing with customers. We have also initiated an integrated and structured approach for strategic key accounts across real estate, OEMs and Data centers and special cables industries, making it easy to serve customers with custom or tailored solutions .

Under the agenda of improving our Go -To-Market strategy, we have been focusing on enhancing our distribution reach in B2C business and increasing presence in white spaces for B2B business. We expanded our reach to 146 under penetrated cities for B2B business as well as onboarded 317 and 371 new distributors respectively for our retail wire and FMEG businesses. We have also identified distributors with the opportunity to cross -sell as well as are working on activating distributors with low -growth rate or de -growth by actively working with them. We are also strengthening our presence in alternate channels of sales such as Modern trade and E -commerce to increase penetration in Tier 1 & 2 cities .

As part of winning with new products strategy, we have revamped our entire fans portfolio. With premiumization at core, we are focusing on more design and aesthetic oriented product portfolio with fans up to 5 -star ratings. We have also changed our strategy for the switchgear segment, with focus on gaining market share. Following the same, we took price revisions for 10kA portfolio to ensure parity with competition, as well launched new 6kA MCB products. Following success of Etira wires, we have launched the Etira brand in the switches segment as well to capture the price -sensitive customer base. Overall, we have robust product pipeline across segments supporting our future prospects .

On the setup of Organization enablers, we are pursuing structured distribution addition planning and monitoring with focus on technology to exemplify as well as simplify the entire process. We are also leveraging technology to manage the key cost drivers in the FMEG business, to drive up its profitability. As I had communicated in our quarter 2 earnings call this year, we have set

up a digital vertical focused on advancing our business initiatives. A digital council set up under the vertical is looking after implementation of all the initiatives of the vertical through a detailed B2C and B2B digital roadmap. Also, towards the end of the year, we also upgraded our ERP technology to the latest version of

Oracle. This will allow us to utilize relevant business insights in real time and deliver more accurate business decisions.

On slide 20, we have presented the key themes and priorities for the Company under project Leap for FY24. We will be regularly updating our stakeholders of our progress on the same. Now, coming to a topic that is extremely important for us, and which will form the bedrock of our business operations in the future, which is our ESG strategy. Polycab has finalized its ESG framework, aligned with international ESG protocols, guidelines and standards along with the ESG charter. The ESG framework will be ingrained into the Company's ethos with all business decisions taken now onwards focused on sustainability on the pillars of environment, social and governance principles. On slides 23 & 24 of the earnings presentation, we have presented our ESG strategy and approach. The ESG material topics have been identified keeping in mind our business as well as its effect on the environment and the society as a whole. The ESG Council, consisting of various functional heads, will be responsible for implementing the policies, formulated under the framework, with the help of ESG working group. The Board along with the CSR and ESG committee will be responsible to monitor the implementation of the framework. We have taken various internal goals, across different ESG material topics, and will be communicating the progress we make on each of those goals in our Annual Report. We will also be looking to get an ESG rating from a well-known ESG rating agency during the year. While the Company has always been aware and focused on carrying out its business in a sustainable manner, we believe that implementation of a structured ESG framework will enable us to build resilience in the business, transform culture and create long-term value for all our stakeholders.

To conclude, I would like you all to have a look at slide number 7, wherein, we have given details of our performance on certain key parameters, since listing. The Company's revenues have grown at a CAGR of 15% over the four years, growing from ₹ 80 billion in FY19, to crossing ₹ 140 billion this year. The remarkable growth has been achieved in a profitable

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manner, with EBITDA margins improving by ~120 bps from 11.9% to 13.1%. From a paltry ₹ 450 million net cash in hand in FY19, and negative net cash prior to that, we have improved our cash flows, optimizing on our working capital and reducing debt, to have ₹ 18.9 billion of net cash on balance sheet as at end of FY23. From being largely a domestic player, the Company has evolved into an international player, being one of the top 15 wires & cables companies in the world, aiming to be among the Top 5 in the near future. Our international business has grown 6x in the four years since the listing, to now contributing to ~10% of the Company's overall revenues. Domestically too, we have seen healthy growth in our market share, from 18% in FY19 to 22% - 24% in FY23. And while we have progressed, we have also generated value for our shareholders, with Polycab being one of the leading wealth creator in the country, with market capitalization growing at a CAGR of 57% since listing and dividends growing at a CAGR of 63%.

While we have made considerable progress in the past, we strongly believe our future growth is going to be exceptional. The domestic as well as international business environment is conducive and the Company is completely ready to capitalize on the macro opportunity to become one of the best success stories of the country.

That was the update for the quarter and the year. Thank you, and we are now open for questions.

Moderator: Our first question is from the line of Sonali Salgaonkar from Jefferies. Please go ahead.

Sonali Salgaonkar: Team, congratulations on a great set of number

s and a wonderful and detailed presentation. A

few follow-up questions from my side. Firstly, your operating margins for Q4 are very strong, growing both year-on-year and quarter-on-quarter. Could you highlight which are the major factors driving such a strong operating margin?

Gandharv Tongia: Thanks, Sonali. Thank you so much for your kind words. I have Chirayu also in the room. I'm going to request him to provide his inputs to your questions. Over to you, Chirayu.

Chirayu Upadhyaya: Hi Sonali. So operating margins have been on the higher side of our guided range, and this has been achieved through better contribution of our export business as well as better margins made on some good orders received in our cables business. So combined for the two, we have been able to generate better margins towards the higher range of our guidance. But if you look at the

overall number on a yearly basis, our EBITDA margin from the cables and wires business was at 13.1%, again within our guided range. We expect that in the future, one should continue to look at the margins to be within the guided range .

Sonali Salgaonkar: Understand. And if I may ask, what kind of operating margins does our international business register? Because if it has grown at 50% year -on-year and we are getting such good margins, then it really matters what operating margin we are working at .

Chirayu Upadhyaya: So, Sonali, it generally depends on product to product. On certain categories, the margins are similar to what we make at a domestic level, while for certain product categories, they are 300 to 400 bps higher. So, depending on what the product mix is in that particular quarter, your margins from international business will vary .

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Sonali Salgaonkar: Got it. My second question is regarding price hikes. So have we taken any price hikes across any of the products in Q4, either cables and wires or fans? Fans, I mean new BEE models . And what would be the quantum of that?

Chirayu Upadhyaya: So, the price hikes we have taken are in line with how commodity prices have moved in the cables and wires business. This would be at the mid -single -digit level. And again, on the fans business, when we introduced the new BEE -compliant products, the price hikes have been from low single digits to high single digits depending on which segment we're looking at , averaging at mid -single digits for the entire portfolio.

Sonali Salgaonkar: Understand. Any guidance for capex for FY24?

Chirayu Upadhyaya: So, as we had guided in our third quarter earnings call, we will be having capex of about ₹ 600 crores to ₹ 700 crores for this calendar year .

Sonali Salgaonkar: Understand. And last question from my side. Private capex remains a strong lever for your cables and wires business; could you help me quantify what is the industry's capacity utilization right now? I do remember you had called out for about 73% -74% last quarter. Does it remain in a similar range?

Chirayu Upadhyaya: We don't have an updated data point on that as of right now. So we'll have to wait for various companies to come out with their results, and maybe after that we'll be able to comment .

Moderator: Our question is from the line of Mr. Atul Tiwari from Citi. Please go ahead.

Atul Tiwari: Congratulations on a very strong performance yet again. Sir, my question is about next year , any definitive guidance for revenue growth in cables and FMEG for FY24 .

Chirayu Upadhyaya: Thanks, Atul, for the kind words. As you are aware, we normally do not give guidance on a yearly basis. We have given guidance of ₹ 200 billion of top line that we want to achieve by FY26 through our Project Leap. So, we are continuing to work in that direction. But depending on how the macro environment is panning out and how we are looking at our business, we expect double -digit growth in revenue

s next year.

Atul Tiwari: Okay. For FY23, out of around ₹ 128 billion of revenue in wires and cables, any qualitative comment on how much of it is cables and how much is wires ?

Chirayu Upadhyaya: So roughly, it is in the same range as last year, which would be somewhere around the 70 -30 range.

Atul Tiwari: 70% is cable, you mean to say?

Chirayu Upadhyaya: Yes.

Atul Tiwari: Right. And say, within cables, how much will be like direct institutional sales that you guys are doing, and how much will be through dealer and distributor networks?

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Chirayu Upadhyaya: So largely, we operate through our dealers and distributors network. So broadly, about 88% to 90% of our sales normally happen through dealers and distributors network .

Atul Tiwari: Okay. So 80% to 90% of 70% because anyway the remaining 30% is wires , which is through the dealers channel itself, right?

Chirayu Upadhyaya: Right.

Moderator: Our next question is from the line of Achal Lohade from JM Financial. Please go ahead.

Achal Lohade: Congratulations for a great performance. What I wanted to understand was, in terms of the margin difference between cables and wires, is it possible to give some clarity? Would the margins be similar, or it would be different for cables and wires?

Chirayu Upadhyaya: Thank you for the kind words. In terms of margins at an EBITDA level, cables and wires would

have a differential of about 400 bps. So, cables would operate at about 10% to 11% of EBITDA margin range, whereas wires should be at about 14% to 15% of EBITDA margin range.

Achal Lohade: Okay. And in terms of the margin improvement you called out that it is the international business which has driven this margin improvement. Is there any mix also which has driven this margin improvement for the fourth quarter?

Chirayu Upadhyaya: Other than the international business, like I said, in the cables business domestically, we were able to get some orders which have better margins, so that is how it has contributed at an overall level. The product mix has broadly been the same. But otherwise, like we have mentioned, cable has grown better than wires this year.

Achal Lohade: Got it. Is it possible to get some idea about the metal consumption tonnage growth Y-o-Y for copper and aluminium put together?

Chirayu Upadhyaya: So, as you are aware, commodity prices as compared to last year have actually been on the decline. But if you look at how the USD/INR rate has panned out, it has more or less balanced the negative impact of the commodity price decline. So, if you look at for us for the year, the revenue growth that we have achieved would more or less be through the volume growth.

Achal Lohade: Understood. And just one last question, if I may. In terms of the raw material, what would be the split? Is it fair to say that most of the cables will be aluminium while the wires will be copper, so split for copper and aluminium assumption would be in similar fashion?

Gandharv Tongia: So, it depends on the end product. We can assume that at the company level, it is going to be 50:50. Wires, as you rightly highlighted, is mainly copper, but when it comes to cable, it has both copper as well as aluminium.

Achal Lohade: So, 50% will be copper and 50% aluminium at the company level.

Gandharv Tongia: That's right. Absolutely correct.

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Achal Lohade: And just one more question, if I may. On the export front, you mentioned we are now exporting to more than 100 countries. Is it possible to get some colour in terms of A) what are the new countries you have added? B) are we there in terms of certification for these key markets in terms of all the certification in place, or there are white spaces there as well?

Gandharv Tongia: So we are now exporting to almost 70 countries. In terms of

certification, every year we are

making progress. One of the success stories is the US, where we have almost all the required approvals in place. Similarly, we have done that in other geographies, including some parts of the EU, Australia, and Latin America. We believe that every year we would be able to add additional geographies, but a chunk of it should come from developed countries like the US, Australia, and a bit of the EU.

Achal Lohade: How much would be the contribution of these geographies at this point in time?

Gandharv Tongia: So, the US would be around 50% to 60%, and the other countries would be ranging between 5% to 12%.

Moderator: Our next question is from the line of Ravi Swaminathan from Avendus Spark. Please go ahead.

Ravi Swaminathan: Congrats on a very good set of numbers. My question is with respect to the cables and wires mix, which is now around 70:30. Is there a chance of wires increasing in proportion over the next 2 to 3 years? What is the kind of ratio target that you have with respect to wires?

Chirayu Upadhyaya: So, with wires being a better margin product, we are definitely focused on improving its mix in the overall cables and wires mix for the company. As you are aware, we are taking various initiatives on that side. We are doing much more brand building. You would have seen a couple of our commercials in the last quarter. We had also introduced the Etira brand to capture the low-economy segment. We had also reintroduced our green wires category into the premium segment.

We are taking a lot of initiatives to make sure that the wires segment grows at a faster pace. And that is, of course, something we will try to do in the future as well. In terms of target mix, we don't actually have a target in terms of cables and wires, but we do look at a B2B versus B2C mix that we want to achieve by FY26, which is 50:50. By B2B, I mean the cables business as well as the EPC business, and by B2C, I mean the wires business plus the FMEG business.

Ravi Swaminathan: Got it. And in terms of the entire cables and wires portfolio, any sense on the volume growth that would have happened over the past 2 to 3 years? It will be very difficult for you, I mean, given many SKUs are there, but any hard guess in terms of volume growth?

Chirayu Upadhyaya: The volume growth has been good for the entire industry. I wouldn't be able to comment on what it has been for the past 2-3 years, as I don't have that data handy right now. But as I mentioned in my previous reply, for this particular year, the entire revenue growth would have been more or less through volume growth. So it would have been somewhere in the mid- to high teens of volume growth for the year.

Moderator: Our next question is from the line of Girish A from Morgan Stanley. Please go ahead.

Girish A : A couple of questions. Firstly, when we are looking at exports , how should we look at the outlook going into the future? Would it mean that from 10% would you continue to grow at a higher clip? Would it be 12% to 14% of your revenues going into the next 2 to 3 years?

Chirayu Upadhyaya: So, we continue to be very aggressive in terms of how we are looking at our international business. As Gandharv mentioned in his opening remarks, we are already among the top 15 cables and wires businesses in the world and are looking to be among the top 5 in the future. For this particular year, the contribution of the export business was at about 9.8%. Within Project Leap, we had taken a target of achieving 10% of overall revenue through international business. We would continue to try and achieve this or continue with this till FY26. As of now, we wouldn't want to revise any guidelines going ahead.

Girish A : In terms of cables and wires, if I had to compare you to your peers like Havells and K El, some of the larger ones, would you say your

margins in cables are probably slightly higher than their numbers?

Gandharv Tongia: That's a great observation. I think on a call, I would not be able to talk about the margins of other large, listed peers. But I can certainly tell you that because of our quality as well as availability in most of the SKUs, we enjoy premium, and that is the reason why it is getting translated in a better bottom line.

Girish A : Okay. So let me ask it differently. Would it mean that your wire margins are comparable because your mix is lower at 30% , so would you say that is more or less comparable to peers?

Gandharv Tongia: Not all the peers, but yes, a few of the large peers it is comparable, and it would differ from geography to geography. So your experience in the western market in Lohar Chawl could be different from what happens in say in Delhi.

Girish A : Okay. And the final question is on FMEG revenue split. Can you help us with the FY23 split because that's something that you can provide . And any outlook on this for margins for FY24, because the margins have been all over the place, how should we think about FY24?

Chirayu Upadhyaya: For the FMEG part, broadly about 60% of the top line is contributed through our fans and lights and luminaries' divisions combined. The switches and switchgears would contribute to about 15% to 16% of the FMEG top line, while the pipes and fittings contributes to another 15% and the remaining would be through our other small businesses such as solar, agro pumps, and so on and so forth. .

In terms of margin guidance, we have been vocal about us achieving about 10% to 12% of the EBITDA margin range by FY26. We are working in that direction and are pretty confident that we should be able to be there. The improvement in margins will be a gradual change that will happen. So, from this quarter or this year onwards, you'll start seeing our margins improve towards our targeted EBITDA margin of FY26, but I wouldn't be able to give you a specific number for this particular year .

Girish A : Just one small question on pumps. Are you growing in line with the industry? And how has the industry trend been for FY23? And I mean, I think some players like Compton have taken a price cut. So, I mean, if you can just explain our positioning in terms of price points ?

Chirayu Upadhyaya: So are you talking about the fan's portfolio specifically or how ?

Girish A : I was referring to pumps.

Chirayu Upadhyaya: The pumps portfolio is actually a very small business as of right now. So, in that sense, price variations wouldn't be contributing much or making much differential to our top line of the FMEG segment.

Moderator: Our next question is from the line of Shrinidhi from HSBC. Please go ahead.

Shrinidhi : Congratulations on good set of numbers. I have one question on capacity utilization. Would it be possible to share company's capacity utilization in full year FY23?

Chirayu Upadhyaya: Thanks, Shrinidhi. Capacity utilisation for cables and wires will be at about sub -70% and for FMEG, it would vary product wise. So, like our switches business, we just started manufacturing last year itself. Switch gear has been operational, so it would be operating at about 65% to 70% of its capacity. And we have pretty much a good capacity in other product categories as well. But the thing about FMEG capacity utilisation is that it will never be a roadblock for us to grow

because you can set up new capacity within a couple of months. So our capacity utilization will never be a roadblock for FMEG growth.

Shrinidhi : Right. And second, if I look at condensed financial statement, there we talked about B2C revenue being flat year-on-year. So just wondering is wires business was flat year-on-year for company?

Chirayu Upadhyaya: Yes, more or less, it would have been flat, low single digits growth.

Shrinidhi : O

kay. So in that way, you look at FY23 versus FY22, the overall cable business grew by about 17% largely led by cables. So mix was actually unfavourable. And despite that, margins have kind of expanded. So is it fair to say that the underlying margins have improved for both cables business as well as wires business because despite unfavourable mix, margins have gone up?

Chirayu Upadhyaya: Yes, that would be a correct observation.

Moderator: Our next question is from the line of Rahul Agarwal from Incred Capital. Please go ahead.

Rahul Agarwal : Congratulations for a very strong year, commendable job again at Polycab to reach investor expectations. Two questions largely first is copper was volatile in the quarter. We've seen two listed players reporting and they haven't seen such a strong wire growth and obviously neither cables growth. I understand LDC and HDC merger, you entering new states, but I understand exports helping out. But purely from an India perspective, what is driving Polycab's outperformance?

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Because whenever we're doing channel checks, we are hearing more competition on wires. We are hearing more fighting between south and north, north getting into south, western players getting into more east. And just getting a bit difficult to understand. And of course, you have mentioned a lot of building blocks like 4 themes, 5 themes on why Polycab is doing great and how your consultants have helped you out, but what could be like a top 2 reasons for Polycab to beat industry growth on cables?

Chirayu Upadhyaya: So Rahul, probably, I would guide you to look at our corporate presentation, wherein we have given the economic moats that work very well for the company. We have highlighted about 4 to 5 different economic moats that have helped Polycab become the largest cables or wires and cables business in the country and continue to be the primary growth driver for us. So first of all, it's because of our largest distribution channel that we have. We have been working with some distributors for almost 2 to 3 decades now. For some distributors, we have also been working with the second or third generation. And as you are aware, within India, the relationship with your distributor is very important. So that is something that is one of a unique advantage that the company enjoys.

Second is the number of SKUs that the company has. As you are aware, we are perhaps the only company on the continent to manufacture each and every type of cables that can be manufactured. And if we look at any particular infrastructure project, there will be a requirement for about 50 to 60 different types of cables, and Polycab is the only company that is able to provide all those different types of cables. And of course, as a developer or as a guy with the project, you would prefer to go to one single guy and get all your cable requirements rather than 2 to 3 different guys to get all your cable requirements. So this is the second advantage.

Third, we have been working very well on our digital enablers. So we have reduced our turnaround time for providing our products to our end dealers or customers to generally almost less than 24 hours. How that helps over here is that this reduces the amount of inventory that the dealer or distributor has to maintain at his end. And hence, it improves his margin. And that is why the dealers and distributors love to work with us. So these three to four different economic moats which the company has and that is the reason why Polycab has been able to perform so well in the cables business and continues to do so.

Rahul Agarwal : Got it. Just follow-up on this was on wires. We hear a lot of other brands being pretty aggressive. We're hearing Ducab entering India as well on wires. Just wanted to understand your thoughts on competition on wires. Like do you expect Finolex, KEI, RR Ka

bel, Apar, V-Guard, most of

these companies have been saying that their wire market shares have been improving. What is your thoughts on this?

Gandharv Tongia : I think it would be unfair to say that there is no competition in any business. We are confident of our quality and availability, and our numbers since listing are, in a way, a testimony to our performance. We have no concerns about the competition, and we will continue to up our game year after year.

Rahul Agarwal : And lastly, on working capital, should we expect more improvement? That's the last question. Like we are already at 50 days. Should we expect anything more or we are at optimum level?

Gandharv Tongia: I mean for the purpose of modelling, it's best to continue with a number between 50 to 55 days. We will, of course, attempt to further improvise. But in our business, we have to always maintain a fine equilibrium or balance between availability and optimized inventory levels. And that is where I believe for the purpose of modelling, we should assume a number of between 50 to 55.

Moderator: Our next question is from the line of Venkatesh Balasubramaniam from Axis Capital. Please go ahead.

Venkatesh B : The first question is on the Cables and Wires business, the international part of the business. Can you throw a little more light what is the kind of sales which you do there? Is it more -- international sales is B2C sales? Or is it more B2B?

Chirayu Upadhyaya: So Venkatesh, largely, we do B2B sales, but we are also in the process of improving our distribution network in all the geographies that we are present in. We are taking incremental steps starting from our largest geographies and would continue to do so in our other geographies as well. So we supply each and every different type of cables that are required. Largely, we are seeing better demand from the renewables, oil and gas and infrastructure sectors. So these are the sectors which are driving growth for us.

Venkatesh B: Okay. But what I was trying to understand is the B2B part would be to large industry or it would be to large conglomerates, builders, what exactly how does the sale happen? Is it happening through a distributor or you're dealing with these guys directly?

Gandharv Tongia: So it's a mix of both. We started with large supplies to large institutional or EPC parties. Over the period of last 2 to 2.5 years, slowly and gradually, we have started setting up our distribution arms. We very recently signed up for a warehouse in the US. And slowly and gradually, we are moving towards distribution. This is the same thing we did in India in the last 10 -12 years. We were more of an institutional driven business, and in last 10 to 12 years have moved to a distribution-led business. This is what we believe we should replicate in the exports arena as well. And every quarter, we are improving our contribution of distribution business to our overall international business.

Moderator: Sorry to interrupt, Mr. Venkatesh, may I request that you return to the question queue for follow-up questions as there are several participants waiting for their turn. Our next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella : Congrats on a great performance again. Just on the margin outlook for wires and cables. So we've been saying 11% to 13%, and yet in the last couple of quarters, we've been significantly ahead of that. Was there some sort of maybe temporary benefit arising because of falling commodity prices? And is that the reason why we are sort of maintaining this guideline? Or should we sort of realistically expect a higher margin trajectory in FY24 as well?

Chirayu Upadhyaya: So Abhijit, we have been guiding 11% to 13% margin range for our cables and wires and that is what we achieved at a yearly level. Of course, at the q

uarterly level, there might be some or the

other volatility because of the different product mix that we might be able to achieve in a

particular quarter. But overall, you should consider at 11% to 13% as the EBITDA margin range for the cables and wires business.

Abhijit R akella Okay. Sure. Sure. And also just one other thing. For the fourth quarter, is it possible to just give us a split of domestic growth between, say, volumes and prices year-on-year?

Chirayu Upadhyaya: If you're looking at our cables and wires distribution channel sales, the volume growth would be at about 21% versus a revenue growth of 17%. So you could say the value growth was negative, but the volume growth is something that took the revenues higher.

Abhijit Akella : Yes. But those numbers are for the full year, right, Chirayu? For fourth quarter, how much would it have been?

Chirayu Upadhyaya: For the fourth quarter, volume growth would be in the high single digits.

Moderator: Our next question is from the line of Alok Deshpande from Nuvama Institutional Equities. Please go ahead.

Alok Deshpande : Yes. Congratulations on a great set of numbers and a great year. Two questions from my side. Firstly, this working capital improvement that has come through, now considering that at going forward, we'll be doing more B2C, how do you expect this working capital trend to go ahead in terms of FY24 to FY26? That is one. And secondly, in terms of your goal of ₹20,000 crores

revenue in FY26, what are the other metrics that you're looking at in terms of where do you think the margins would be? Or where do you target your international business to be by that year? That's my two questions.

Chirayu Upadhyaya: Sure, thanks, Alok. So in terms of working capital cycle, as Gandharv mentioned in his previous comments that one should consider 50 to 55 days to be the ideal working capital days going ahead as well. In terms of our FY26 Leap goals other than the ₹200 billion of top line that we want to achieve, if we look at our margin guidance on cables and wires, we continue to guide between 11% to 13% of EBITDA margin range. On the FMEG segment, we have guided a 10% to 12% of EBITDA margin range that we want to achieve. On the international business, our aim for the international business is to contribute to about 10% and higher to overall top line, and that is where we'll continue to work.

Alok Deshpande : Okay. So there is no revision for the international business share as that number is already close to where you are currently, right?

Chirayu Upadhyaya: That's right, Alok. As of now, we don't want to give any revised guidance on any of our FY26 Leap goals.

Moderator: Our next question is from the line of Praveen Sahay from Prabhudas Lilladher. Please go ahead.

Praveen Sahay : So my question is related to the merger of HDC and the LDC vertical. Can you give some colour how much of the volume growth we had achieved with this and the margin improvement in the financial year FY23?

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Chirayu Upadhyaya: So Praveen, we did the merger of the two verticals in FY22 itself. So in that sense, whatever growth in terms of volume and value we achieved this year has been because of the merger of the two verticals. We won't be able to carve out what has been the difference relatively. But yes, otherwise, that is how we should look at it.

And in terms of margins, of course, like I said, international business doing well and that has contributed to better margins in a particular quarter. The wires business doing well has contributed to better margins in a particular quarter. But overall, if you look at on a yearly basis, we have been within our guided range for the cables and wires.

Praveen Sahay : Yes. And just to clarify on the special purpose cable, there is a good growth in the financial year.

So how much is the contribution? And is that an institutional business?

Chirayu Upadhyaya: The special purpose business has actually been quite well, growing at about 1.7x from what we did last year. And again, that too is a good margin business to have. As far as contribution to overall revenue is concerned it would still be in a small part of the overall mix. So, we would continue to look to improve it going ahead. And I'm sorry, what was your second question that you had?

Praveen Sahay : So is that a institutional business even have a higher margin because you are dealing with the railway and the defence, that is special purpose.

Chirayu Upadhyaya: Right. SPC would be an institutional business.

Moderator: That was the last question of our question-and-answer session for today. I would now like to hand over the conference to Mr. Gandharv Tongia for closing comments. Over to you, sir.

Gandharv Tongia: Thank you, everyone, for taking out time for this conference call. In case if you wish to reach out to us, please write to us at investor.relations@polycab.com, and we would be extremely happy to attend your queries. Thank you and have a nice day ahead. bye-bye.

Moderator: Thank you. On behalf of Polycab India, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jul 2023

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Date: July 24, 2023

To
Department of Corporate Services
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street , Mumbai , MH - 400001 To
Listing Department
National Stock Exchange of India Limited
C-1, G-Block, Bandra -Kurla Complex
Bandra (E), Mumbai , MH - 400051

Scrip Code: 542652 Scrip Symbol: Polycab

ISIN: - INE455K01017

Dear Sir / Madam

Sub: Submission of Transcript of Earnings Conference Call held on July 19, 2023

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of Earnings Conference Call held on July 19, 2023.

Kindly take the same on your record.

Thanking you
Yours Faithfully

For Polycab India Limited

Manita Carmen A. Gonsalves
Company Secretary and Head Legal
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Enclosed : As below

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"Polycab India Limited
Q1 FY 2024 Earnings Conference Call"
July 19, 2023

MANAGEMENT : MR. INDER JAISINGHANI – CHAIRMAN AND
MANAGING DIRECTOR – POLYCAB INDIA LIMITED

MR. GANDHARV TONGIA – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – POLYCAB INDIA
LIMITED

MR. CHIRAYU UPADHYAYA - HEAD OF INVESTOR
RELATIONS – POLYCAB INDIA LIMITED

Polycab India Limited
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Moderator: Ladies and gentlemen, good day, and welcome to Polycab India Limited Q1 FY 2024 Earnings Conference Call. As a reminder all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded. I now hand the conference over to Mr. Gandharv Tongia, Chief Financial Officer, Polycab India Limited. Thank you and over to you, sir.

Gandharv Tongia: Thank you, operator. Good afternoon, everyone, and thank you for joining us. I hope all of you are staying healthy and safe. I am Gandharv Tongia, Executive Director and CFO at Polycab India Limited. On this call, we shall discuss the Q1 FY24 results which were approved in the board meeting held yesterday. We will be referring to the earnings presentation, financial results and financial statements which are available on the stock exchanges as well as on the investor relations page of our website.

Joining me today from the management team, we have our Chairman and Managing Director, Mr. Inder Jaisinghani and our Head Investor Relations, Mr. Chirayu Upadhyaya. Let me now hand over the call to Inder bhai for his comments.

Inder Jaisinghani: Good afternoon, everyone. We have had an excellent start to Fiscal Year 2024, registering strong sales growth as well as robust profitability. Favourable macro-economic environment along with supportive structural measures have translated into healthy demand for our product categories and which bodes well for the future as well. The commendable work done by our teams, within Project LEAP, through focus on customer-centricity, various GTM initiatives as well as new product development have synergized well with the encouraging market conditions, resulting in our highest ever first quarterly revenues and profits in the Company's history. With the current on-ground demand and market outlook, I am confident that this year will be highly rewarding for us, creating significant value for all our stakeholders.

Now I request Gandharv to take you through our earnings presentation.

Gandharv Tongia: Thank you Inder bhai.

Before I take you through the quarterly performance, let me give you a flavour of the macro environment. Amidst the heightened global uncertainty, Indian economy has showcased remarkable resilience, with growth surpassing many large economies. Favourable domestic policy environment and government-led structural reforms have positioned India as a promising economic bright spot. Key indicators such as manufacturing and services PMI have consistently exceeded long-term averages, while growth momentum is also evident in GST collections, diesel consumption, air & rail passenger traffic etc., reflecting India's robust economic standing during challenging times. Furthermore, the domestic demand environment has started to realize the benefit from receding inflation, which has now remained within the RBI's tolerance band of 2%.

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- 6% for four consecutive months, raising hope for an end to the tightening cycle. Consumer demand in urban markets remains steady, and a potential pickup in monsoon will further support the rural markets, which have been showing signs of recovery in recent months.

Moving on to the earnings presentation, please refer slide number four.

For the quarter ended 30th June 2023, our consolidated revenue grew by 42% YoY on account of strong volume growth in the wires and cables business. EBITDA grew by 77% YoY with EBITDA margins at 14.1%, a growth of ~280 bps YoY. The Company registered PAT of ₹ 4,028 Mn, a growth of 81% YoY. PAT margin stood at 10.4%, an improvement of ~23

0 bps

over that of the same quarter last year. As Inder bhai mentioned in his opening remarks, this is our highest ever first quarterly revenue and profit after tax. As evident, this quarter's performance surpasses even our third-quarter figures from last year, a feat unprecedented in our history,

highlighting the remarkable scale of our achievement. However, do note, that the growth percentages seem visibly higher, on account of a soft June last year, whereby sales were affected due to a sudden decline in commodity prices. A detailed break-up of the other income and finance costs have been provided on slide 21 of the earnings presentation .

Moving on to slide five.

The wires and cables business accounted for 89% of our sales during the quarter, with FMEG contributing 8%, and other segments, which mainly comprises of the EPC business, accounting for the remaining 3%. If we slice up the business on geography, the domestic business contributed to 91% of the total sales for the quarter and the international business contributing the remaining 9%. We will now go deeper into business performance of each segment during the quarter .

Please refer to slide number seven .

During first quarter , the wires & cables business grew by 46% YoY, on the back of strong volume growth of 50-60%. Domestic distribution driven business sustained its strong growth momentum, while institutional business exhibited remarkable growth acceleration.

Geographically, growth was broad based, with highest growth coming from North region followed by West, South and East. In terms of contribution, highest revenue came from west, followed by south, north and east .

The wires and cables industry is witnessing robust domestic demand supported by government measures, improving private capex and strong real-estate off-take. Government's capex plan of **■ 10 trillion** investment in FY24 for infrastructure growth is running at full throttle. By June 2023, i.e. within the first 3 months of the financial year, 54 Central public sector enterprises (CPSEs) and five departmental arms of the Central government, with an annual capex target of **■ 100 crore** and above, have already utilized 32% i.e. **■ 2.34 trillion** of their FY24 capex target of **■ 7.33 trillion**. The Ministry of Road Transport & Highways had made significant strides, Polycab India Limited

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utilizing 38% of its **■ 2.58 trillion** budgetary capex allocation. Meanwhile, the Railways has already spent 33% of its **■ 2.4 trillion** budgetary capex allocation, signaling strong progress in capital utilization. Additionally, the government has set its sights on achieving an impressive 80% utilization of budgetary capex by December 2023, underlining the commitment to growth of the nation through infrastructure growth .

Furthermore, even the state governments are joining the capex upcycle after lagging behind in FY23. By June 2023, Centre has already disbursed over **■ 300 billion** of the sanctioned **■ 600 billion** 50-year capex loans to states, with a clear focus on boosting state-level capital expenditure. The government is further planning to sanction the entire **■ 1 trillion** of non-tied budgetary capex and disbursing half of it by July-end. Capex done by states till May-end was higher than similar period last year and is expected to increase to be around **■ 8.4 trillion** during FY24. This financial support has the potential to create a ripple effect, invigorating local economies and fostering holistic development across the Country.

As consumption gradually improves, the private sector too has increased its capex plan. In FY23, private sector capex announcements surged to an impressive **■ 26 trillion**, nearly doubling from the previous year's figures. Sectors such as Chemicals, Air Transport, and Renewables have been leading the charge in these robust investment decisions. In Q1 FY24, private sector capex addition amounted t

o approximately **■ 5 trillion**, with transport services, chemicals, and power sectors playing a significant role in this growth. The healthy capacity utilization of the manufacturing sector, recorded at 74.3% by the end of CY 2022, has spurred corporates to move beyond "maintenance CAPEX" to "discretionary CAPEX." This shift is reflected in the capex to depreciation ratio for listed corporates, which rose to 1.6x in FY23 from 1.3x in FY21, demonstrating their willingness to invest in expanding their operations. Notable private players are anticipating substantial growth in their order books.

The real estate sector too sustained its impressive growth momentum, helping our wire sales.

According to a report, the top eight Indian cities witnessed the highest volume of residential launches in H1 CY2023 compared to any other half-yearly period in the past eight years. Residential unit sales were equally robust, registering the second-highest sales volume in almost a decade. As per another report, out of the total 2,181 acres of land transacted between January 2022 and May 2023, around 84% or 1,822 acres has been allocated for proposed residential developments, showcasing the confidence of real estate developers in continuation of the real estate upcycle and which bodes well for our wires and housing electrical appliances segments. Office market transactions too are showing improvement in momentum, with 14.8 Mn sq ft transacted in Q2 CY 2023, the highest quarterly tally since Q1 CY 2021.

In conclusion, the current landscape presents a highly conducive environment for exponential

Internally, the Company has undertaken various initiatives under Project LEAP to take the maximum advantage of this ongoing opportunity and achieve industry leading growth. On B2B side, we continue to increase our presence in under -penetrated districts, enhancing our distribution reach. In FY23, we expanded to 146 such whitespaces, and we are targeting to penetrate further 140 whitespaces during the current year. We are also employing surgical targeting of select weak markets with different GTM strategy as well as region -specific targeted product development. Our NPD efforts are also bearing fruits, as Class 5 wires, including Etira, which was introduced to capture the price sensitive customer segment in the semi -urban and rural areas has been received extremely well. Our premium segment wire "Green Wire" too is doing well. To further enhance efficiency, we have also established various focused go -to-market verticals across various sectors, which will yield meaningful results over the next few years .

Our goal has always been to achieve growth without compromising on profitability. And this has allowed us to not only maintain margins but improve on it whenever the opportunity arises. During the quarter, profitability within the segment was robust, with EBIT margins at 14.8%, an improvement of ~330 bps over last year. Better margins were driven by judicious price revisions, better operating leverage and strong growth in international business .

Now moving to slide number nine .

Revenue from international business grew by 88% YoY, contributing to 8.9% of the consolidated revenue. This growth was primarily fuel ed by strong demand in the USA, Australia and Europe, with key sectors like Renewables, Oil and Gas, and Infrastructure driving the momentum. During the year, the Company leased its first warehouse in USA, on the eastern coast, and will gradually lease more warehouses to cover all geographies, in -line with its strategy to shift to a distribution -led model in the international business. Over the years, we have invested significant efforts and resources in building robust capabilities for international business expansion, and we are now realising substantial

and tangible benefits from these endeavors. As

a testament to our progress, the Company has successfully expanded its global presence to cover 72 countries .

Please refer slide number eleven for an update on the FMEG business.

FMEG business had a soft quarter as weak consumer sentiment weighed down on sales.

However, the segment showed 3% year -on-year as well as sequential growth as benefits of channel realignment started to play -out.

Fans business exhibited healthy growth sequentially as older non -BEE compliant inventory with channel partners was mostly sold off, leading to fresh sales of newer BEE compliant inventory during the quarter. From January to June this year, since the transition to the BEE norms, we have introduced 80 new SKUs in the market, with 20 more in pipeline to be launched in the

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second and third quarters of this financial year. Switchgears and Conduit Pipes & Fittings businesses too showed sequential growth, tapping on the continued strong momentum in the real estate sector. Within switchgears, pricing revisions we undertook in 10kA MCBs last quarter has helped us improve price realization in this quarter. Moreover, the new 6kA category MCBs launched last quarter is already contributing to 20% of incremental sales done during Q1 FY24. Post merger with the wires vertical, we are focused on improving switchgears sales through cross -selling. For this, we have identified top retailers of wires business which are not yet selling switchgears and will be aggressively pursuing cross -selling through them. Switches business continued with its impressive growth as benefits of improved availability through in-house manufacturing continues to play out. The Etira segment launched in the switches category is generating good response from the market. Lights & luminaires business grew marginally, on a sequential basis, on account of the continued pricing corrections in the LED segment. Till date, prices have corrected by almost 10-12%, with further correction expected as well. In this business, we have plans to launch about 50-60 SKUs in the second and third quarters of the current year.

On the geographic front, Western region, the Company's stronghold, demonstrated positive growth both on year -on-year as well as sequential basis, while Southern and Eastern regions too showed sequential growth.

Segmental EBIT during the quarter continued to be in the negative territory saddled by fixed costs in the absence of scale. However, the quality of earnings have improved, with channel finance penetration now at 91% for the FMEG segment. The Company continues to invest in brand building through increased advertising and promotions such as sponsorship of ICC events, TV commercials, distributor & retailer meets, digital marketing etc. The Company is committed to improving both top-line and bottom-line in the business through our focus on areas of product innovation, influencer management, premiumization and distribution expansion, among others. Now, let's move to slide thirteen, which gives an update on our other businesses, which largely comprises of our strategic EPC business. We clocked revenues of ₹ 1,227 Mn in Q1, a growth of 63% year-on-year. Profitability grew by 47% YoY with segmental margin at 12.5%. Annual sustainable operating margin in this business is expected to be in high single digit over mid to long term.

So, that was the update for the quarter.

To conclude, the Company's dominant wires and cables business continues to experience robust demand, and we are well-prepared to capitalize on this favourable opportunity. Looking ahead, we anticipate the momentum to persist throughout the remainder of the year, helping us achieve growth over the strong base of last year.

Thank you, and we are now open for questions.

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Moderator: Thank you. We will now begin the question-and-answer session. Our first question comes from the line of Atul Tiwari with Citi Group. Please go ahead.

Atul Tiwari: Yes, sir. Thanks a lot and congratulations on yet another very strong quarter. So my question is on FMEG business. So obviously we understand that the demand was a little soft and as a result the revenue growth was about 2%-3%. But one would have expected slightly higher revenue growth, especially given your smaller base compared to some of your peers in the marketplace. And even in the last year, we had a flattish revenue as the company was undertaking the distribution channel overhaul. So, could you throw some light on what kind of growth we can expect this year and the next year in the business, given that the channel rejig is over?

Chirayu Upadhyaya: Sure. Thanks, Atul. On the FMEG side, what is continuing to play out is that the consumer demand is muted, as has been the case for the past two to three quarters. While the inflation is on its downward trend, what is generally the case is that whenever people have more cash in hand with them, you generally see them making more small-ticket size purchases, discretionary spending in the beginning and then going towards more higher-ticket size spending.

So that is something that is going to play out. We expect that going forward, maybe in Q2 or Q3 onwards, you will start seeing consumer demand come up in the FMEG segment as well. As far as our internal issues are concerned, we are done with the channel rejig, and we are in the process of further improving our channel distribution. We are, as Gandharv mentioned in his opening remarks, introducing new SKUs, which are lined up for the next couple of quarters. So through all of this, we expect that our top line as well as bottom line will start improving gradually from this year itself.

As far as growth is concerned, as you are aware, we have committed that we want to achieve an EBITDA margin range of about 10% in the FMEG segment by FY26 and we will continue to work in that direction.

Atul Tiwari: Okay, sir. And my second question is on working capital. So obviously, we understand that when the growth is very strong, it is kind of natural to expect some working capital buildup. But I'm just trying to clarify whether this buildup is temporary or whether we should expect slightly higher working capital this year.

Chirayu Upadhyaya: No. So, this increase in working capital that we have witnessed for this quarter is temporary in nature. As you would have seen, our inventory on books has increased, and that is something that we have done on purpose because we are expecting that kind of demand going ahead and we don't want to be caught off-guard and not be able to supply cables whenever there is an opportunity in hand.

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So whatever increase in working capital you have seen this quarter is temporary in nature. Going ahead, 50 to 55 days of working capital cycle that we achieved a couple of quarters back is something with which we are very comfortable that we will be operating in that region.

Moderator: Thank you. Our next question comes from the line of Ravi Swaminathan with Spark Capital.

Please go ahead.

Ravi Swaminathan: Good afternoon, sir. Thank you. That's a very good set of numbers. My first question is with respect to the growth in the cables and wires business. How has the growth been this quarter?

What has been the growth in the cable side and the wire side, and the mix of cables and wires?

Chirayu Upadhyaya : Sure, thanks Ravi. So both cables and wires have done exceedingly well. Both have grown in excess of what was anticipated previously. But yes, cables have grown faster than wires, and for that, if you recall, for FY23, our mix between cables and wires was at about 70% –30%. This quarter, cables

would have gained about 100 –200 bps on that.

Ravi Swaminathan: So, cables would be 72% –73% and wires would be like the remaining?

Chirayu Upadhyaya : Yes

Ravi Swaminathan: Okay. And within the cable side, how much would be infra, how much would be industrial, and how much would be real estate, which is kind of a broader mix, and how has each of these segments and sub-segments grown?

Chirayu Upadhyaya : So, Ravi, as you are aware, on the cable side, we largely operate through our distribution channels, wherein it is actually the distributor who gets in the final order from the end customer .

While we are moving in a direction wherein we are employing our own people on the ground and trying to get secondary orders from these clients, but that as of now is a comparatively smaller portion.

So, I won't be able to give you an exact pie or proportion of what amount or demand is coming from which sector, but certainly I can tell you that the top two to three sectors that are contributing to cables growth are your infrastructure, which includes road ways, highways, and railways, then there is electricity transmission and distribution, and there is real estate.

Ravi Swaminathan: Okay, have any of these subsegments grown by almost doubling or something similar this quarter, or is there a uniform growth across all sectors?

Chirayu Upadhyaya : No, so like I said, there is will be the top three contributing sectors. We don't have a proportion, neither for this quarter nor for last quarter, that I can give you an exact growth number of which sector would have grown or contributed more in this quarter .

Ravi Swaminathan: And with respect to exports, do we have any revenue target for this year? For example, in the first quarter, we had done close to 300 Crore. Will the year -end target be around ■ 1,500 Crore

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or something of that sort in terms of revenue? And are we seeing any large orders, one-off orders, or something that is in the pipeline?

Chirayu Upadhyaya : So, we continue to work on our international business, which has been an area of focus for us for quite some time. And we are now seeing the results of that continued focus. We are targeting to improve our availability and the number of countries in which we are present , every year. And in that sense, you'll see the amount of international business that we are doing gradually increase. Within Project Leap, as you are aware, when we started in FY21, we set the target that by FY26 we wanted to achieve about 10% of the contribution through the international business of the overall top line .

We are more or less very close to that target. We are operating somewhere in the range of 8% to 10% over the past two to three quarters. What we have realised is that the international opportunity is quite large, and it might be possible that the contribution might increase, but we will have to see and recalibrate that and we will have to come back to you. But yes, we are seeing very good opportunity in international business .

Ravi Swaminathan: Okay, and my last question is with respect to the gross margins. Usually wires carry better margins than cables, but cables seem to have grown faster than wires. But in spite of that, gross profitability has improved by around 150 basis points year-on-year. Is it that the entire profitability of the entire cables and wires portfolio has seen a significant improvement that has led to this?

Chirayu Upadhyaya : So definitely both of them have seen improved margins because, as you are aware, normally when commodity prices are on a decline, every player in the industry sees some kind of improvement in margin. And that improvement in margin is across product categories, so that is one thing .

The second is your scale. When your scale increases at this pace, your economies of scale kick in, and because of that, your operational lever

age improves. Because of that as well, the margins have improved. And the third point is international business, which is again a better margin business and has improved as compared to what we had in Q1 of last year. So, all three of these combined have helped us improve our margins .

Ravi Swaminathan: Okay, exports have 200 –300 bps higher margins at an EBITA level or gross level than regular

business. Is my understanding right, or is it higher?

Chirayu Upadhyaya : So different product categories would have different better margins. For instance, renewable cables have much higher margins compared to normal power cables, which themselves have better margins than the ones we make domestically . But, overall, yes, it would have that kind of premium over what we make domestically .

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Moderator: Thank you. Our next question comes from the line of Manoj Gori from Equirus Securities . Please go ahead.

Manoj Gori: Thanks for the opportunity, and many congratulations on a strong set of numbers. My question here would be on the fact that, as you highlighted in your opening remarks, last year in June, we saw some channel inventory destocking, and accordingly, that would have positively impacted to some extent. So can you highlight that number?

And also , if there was channel destocking last year, it means that probably in Q2 or Q3 there would have been channel normalisation, which would have led to better primary sales as compared to secondary sales. So can we expect some impact, or should we probably see secondary and primary going in line in the coming quarters? That would be my first question.

Chirayu Upadhyaya : Sure. So, Manoj, in Q1 of last year, towards the end of the quarter, the commodity prices, which were very high post -Q4 of last year due to external circumstances, came down. For example, copper, which was at about \$10,500 per metric ton, decreased to as low as \$8,500 per metric ton, and a similar decrease was observed in aluminum .

This trend started to play out from June onwards. So , because of that, the base of Q1 last year was comparatively weakened. Yes, from Q2 -Q3 last year, the commodity prices had comparatively normalized . So, in that sense, yes, that kind of base effect would be there. But in terms of growth, like Gandharv mentioned in his opening remarks, we are seeing pretty good demand on the ground, and we are also working on various strategic initiatives on Project Leap. So, we are confident that through all the steps we are taking, we will be able to get a hold of all the opportunities that are coming up in the cables and wires business and grow there.

Manoj Gori: Right. If possible, can you quantify what was the impact in the June month last year?

Chirayu Upadhyaya : We wouldn't be able to quantify, I don't have those numbers specifically in hand. But like I said, it was one month out of the three months, so you can maybe take an approximation over there.

Manoj Gori: My second question would be on the overall growth profile . We have been very strong, and given that the RM prices are largely steady, we have been reporting a strong set of margins. So even today, if you look at getting into Q2, probably it would be difficult to forecast the copper prices, but given the current trend, can we expect a similar kind of margin profile in the coming quarters because you continue to remain very upbeat on the demand scenario and RM prices are relatively far more settled as compared to the volatility that we were seeing in the previous year?

Gandharv Tongia : So, Manoj, you know our business. As far as copper price volatility is concerned, we have our hedging framework and risk management in place. And to that extent, any volatility in copper or aluminium prices generally has no bearing on our profitability on an annualised basis .

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Having said that, historically, we have been working in an EBITDA range of 11% to 13%. We believe we'll continue to play in a similar range. A while back, Chirayu highlighted that we are getting the benefit of operating leverage. And if we are able to fully utilize that leverage, it's quite possible that there's at least one percentage point improvement in that range. But to answer your question, we don't see any impact on an annualized basis due to changes in the metal prices .

Manoj Gori: So that's what I was referring to. Probably now we are moving on to the higher end. So you answered that. And so on the FMEG side, probably going forward on a sequential basis, probably from Q2 or probably from Q3, should we see improving trends? Obviously, you have already indicated the first quarter trend on profitability and overall on the sales front, right?

Gandharv Tongia : You are right. So , until fiscal 2026, we anticipate that we will be able to get to a 10% EBITDA margin in the FMEG space. And I think year after year there should be some improvement. Not necessarily every quarter we would be able to register growth, but directionally every year we should be able to get positive movement between now and fiscal 2026 .

Moderator: Thank you. Our next question comes from the line of Girish Achhipalia with Morgan Stanley. Please go ahead.

Girish Achhipalia: Yes, thanks, and Gandharv and team, congrats on a great quarter. I just wanted to understand one small thing from your annual report. I read that you are among the top 10 in the world in the

cable and wire category and you aspire to be in the top 5. I wanted to understand what is the current gap in terms of dollars billion ?

And secondly, because you want to ramp up your international business, are there any specific geographies and cable wire product types that you're likely to expand into? And finally, the related question was that given the growth that you're seeing, are you in the process of giving us a new capex assumptions for the next couple of years?

Gandharv Tongia: So, you know, in the global cable and wire business, India is very small in that , it's an almost USD 250 billion market; the U.S. is almost 20% of that, and India is in the low single digits, and to that extent, Indian companies are not necessarily comparable with the top five companies in the world. Directionally, what we have done over the last few years is that from being a simple cable company, we became the largest cable company and simple wire company to be became largest cable and wire company. And now we are trying slowly and gradually to have a sizable footprint across the globe, and directionally, we should be able to get to the top five companies in a few years from now.

As far as capex is concerned, I think we are comfortable with a guidance of around ₹600 Crore on an annualized basis. You are already aware that we are in the process of setting up a factory for EHV and we have a tie -up in place with a partner from overseas. We are setting up facilities to meet and satisfy export requirements and demand, and then some maintenance capex and some capex on the FMEG side.

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The other thing that I would like to highlight is that when we were working on Project Leap and these were initial days , sometime in early 2021, we felt that since the annual turnover in those days used to be around ₹9,000 Crore, we felt that ₹20,000 Crore is a good target to have by fiscal 2026 . Within two years, we have reached almost ₹14,000 Crore of annualized revenue. We believe that in the next three to four quarters, we will have to recalibrate that guidance and see whether we want to revisit a timeline of fiscal 2026 to achieve ₹20,000 Crore. And if that happens, we will also assess whether there will be any consequential impact on any other guidance that we have given so far, including capex .

Girish Achhipalia: Just one follow -up, Gandharv. While you were working on Project Leap, obviously we were just coming out of COVID, and your annual report also talks about supply chain disruption on the cable and wire front. So obviously, you have focused a lot more on exports in the last few quarters. I wanted to understand, directionally, if there are any specific geographies and any specific product segments that you are likely to target more.

Gandharv Tongia : Two sets of opportunities , one is in developed countries, where they have a reliance on imports. To give you examples, it is countries like the US and Australia, and there are some pockets both in the Middle East and the EU. And the second is large EPC players, because when they execute large projects, they need cable , and we are comfortably placed to meet their expectations and requirements .

So that's the overall outlook for exports. In terms of the product categories, I think this entire piece around green and renewable energy is an area where there is an active demand, and we have facilities in place to meet that expectation. And these are slightly margin accretive as well .

Moderator: Thank you. Our next question comes from the line of Sonali Salgaonkar with Jeffries. Please go ahead.

Sonali Salgaonkar: Hi, team. Thank you for the opportunity, and congratulations on a great set of numbers. My first question is regarding the volume growth of cables and wires. Now, is it fair to estimate that the volume growth in your cables and wires business would be about 55%, and if so, how much of that could be contributed domestically and how much from exports?

Chirayu Upadhyaya : Thanks, Sonali. So, in terms of volume growth, you are correct. Depending on various product categories and geographies, the volume growth would be somewhere in the range of 50% to 60%. This is on a combined basis, considering both domestic and international sales. This was the average volume growth we experienced in this quarter.

Sonali Salgaonkar: I understand. Secondly, on pricing revisions, how many rounds of pricing revisions have you taken during Q1, and have there been any in July?

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Chirayu Upadhyaya : Sure. So, during the quarter, the commodity prices haven't been that volatile, and we undertake revisions based on the amount of volatility. So, overall, the reductions that we would have taken during the quarter would have been in the low single digits .

Sonali Salgaonkar: Okay, and any activity in July?

Chirayu Upadhyaya : Nothing so far.

Sonali Salgaonkar: Got it. My third question is regarding the ad spend s. Now if I look at your annual report, on an absolute basis, your ad spend in FY23 has increased by about 54% year on year and is at 0.9% of your sales, versus 0.7% last year. Where do you think they can normalize, considering that you are wanting to create stronger visibility in FMEG ?

Chirayu Upadhyaya : Right, Sonali. So , we are increasingly investing in brand building, especially for our FMEG and B2C categories. We are taking various steps, some of which were mentioned by Gandharv in his opening remarks - we have tied up with ICC as a sponsor, conducting various influencer management meets, retailer meets, and so forth .

So, what we are thinking internally is that we will be increasing spending going ahead. So , we will be spending somewhere in the range of 3% to 5% of our B2C top -line as A&P spends. So it will vary in this range .

Sonali Salgaonkar: Okay, got it. And just lastl y, on your B2B mix of your overall sales, is it still at about 65% or a bit lower?

Chirayu Upadhyaya : No, it is similar to where it was.

Moderator: Thank you. Our next question comes from the line of Renu Baid with IIFL Securities. Please go ahead.

Renu Ba id: Yes, good afternoon team, and congratulations on strong results. My question is on t

he core

cables and wires business. I see that in the last couple of quarters, because of very strong demand and insuffic ient investment by industry peers, the lead time for supplies has significantly increased. Because of this, Polycab was able to benefit .

So how is the situation now in the industry? Has the demand supply situation now relatively eased off? And in your view, this kind of imbalance is likely to persist un til the next round of capacity expansion comes in?

Gandharv Tongia: Thank You. Renu, you know our company. We are known for our quality and availability, and we have always invested in these capabilities over the last several years. We believe that is our unique characteristic and edge, and we continue to develop it. I would not be able to comment specifically on what our peer companies are doing, but we believe that if we want to deliver Polycab India Limited

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industry -leading growth, we'll have to continue to build on these cor e capabilities in the organization.

Renu Baid: Currently, what capacity utilization are we running for the cable s and wires overall?

Gandharv Tongia: So, it would be around 60% to 70%. In few of the factories, it would be slightly higher than 70%, but it is generally in that range.

Renu Baid: Sure. Secondly, when you look at the overall business, FMEG consumption has been fairly weak for the market itself. Now that we are coming out of the old inventory issues in the fans category, what is your strategy to have a much more steady market share in this phase, and what have been the kind of price increases that have taken for the new BEE -rated fans ?

Chirayu Upadhyaya : So, in terms of fans, we are kind of working on two to three different things. We are working on our distribution channel. We are working on product differentiation. Like Gandharv mentioned, we've already introduced about 80 new SKUs since we transitioned to BEE norms. And we are also working on our influencer management. So , through all of these things, we are working on improving our market share in the fan business .

As far as price increases are concerned, no increases or re visions have been made in this quarter.

Whatever increase happened in the last quarter, which was in the mid -single digit , that is the only thing in pricing revisions that has happened till now .

Renu Baid: And lastly, if I may ask, a lot of the strategic initiatives we have taken have been translating into significantly higher volume growth for us. Having seen the environment of macro tailwinds, do you believe this trend of double -digit growth, which is 20% plus growth, will continue for the next 5 to 12 m onths?

Chirayu Upadhyaya : So, of course, I wouldn't be able to give you a specific number or guidance in terms of what kind of volume growth we will be able to achieve. But what I can tell you is that our strategic initiatives that we've taken in Project L EAP are working quite well for us. And the on -ground demand that we are seeing is also on a good pace . So as and when the on -ground demand plays out, we'll be able to capture the maximum growth out of that through our strategic initiatives .

Renu Baid: And one more question, if I can ask, incrementally for the strong free cash that we're generating, apart from the capex plans and spending on A&P and product development, branding, etc., where do we plan to deploy this large cash that we are generating?

Chirayu Upadhyaya : So, the largest part will continue to be on capex. As we mentioned, we'll be investing more in setting up our EHV plant. We'll be utili zing capex to expand our FMEG facilities as and when

required. We will be setting up new facilities for our exports as well. So, Capex will continue to be the largest utilization for our cash. Over and above that, as you are aware, our dividends year - Polycab India Limited
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on-year hav

e kept on increasing, and that is our internal policy, that the absolute amount of dividends will continue to increase.

Third, utilization would be, may be, an M&A. If we come across some company in both either FMEG or wire and cable category, that can add significantly to our abilities, we are open to acquiring such a company. And of course, we'll keep some amount of cash as buffer on our balance sheet. So, through all four of this, we'll be utilizing our free cash flows and the cash on the balance sheet.

Moderator: Our next question comes from the line of Amit Mahawar with UBS.

Amit Mahawar: Gandharv, congratulations on a great set of results. I have two questions. First, you also do a lot of direct project supplies for the domestic market for cables and wires. So, what would be the broad share of that, if you can help us?

Chirayu Upadhyaya: If you look at our domestic wires and cables revenue this quarter, ~9% was through institutional sales, and the remaining was through our distribution side.

Amit Mahawar: And second question, maybe Gandharv or Inder Bhai can comment. What are your thoughts on the channel-led export business that you're thinking about? Because branded wires is largely a unique phenomenon in India. So any thoughts on how we see the attractiveness of branded wires in a U.S. market or any other global market?

Gandharv Tongia: Amit, it is good to interact with you when you are part of a new organization. So as of now, the focus is more on the cable business. Wires are generally a very competitive market in most international areas. We believe we should continue to remain focused on the cable side of it. And probably in a few quarters from now, we will see if we can get to a slightly premium wire product portfolio, which would add value for the international customers. For the time being, the focus is on the cable side.

Moderator: Our next question comes from the line of Amarnath Bhakat with Ministry of Finance of Oman.

Amarnath Bhakat: Once again, congratulations for a consistent set of numbers quarter after quarter. I have two questions specifically. One, with respect to the BCG study, which you started, I think, two years back, has that study been completed, and where are we in terms of implementation or any recommendations coming out of it?

Gandharv Tongia: This is actually, in a way, not a report but a project, and it's a joint project that is being executed by Polycab as well as the BCG leadership team. In the first few quarters of the project, we laid out the priorities and defined the blueprint and strategy. This project was initiated in May of 2021.

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And two years down the line, most of the strategies have either been implemented or are being implemented. And what you see as a result is the improved performance in the P&L for that matter, say, in fiscal 2023 or the first quarter of the current fiscal.

Amarnath Bhakat: Just follow up on that. What I'm trying to understand is that now it's been 2 to 3 years since Polycab went beyond the boundary of India and started switching and making products for the international market. And hopefully, it will become quite aggressive as time passes.

So, I'm trying to understand, in terms of Q2, whether there will be any product diversification strategies that may include maybe some premiumization of some of your existing products or entering into new products that can improve the efficiency in electricity or energy-related sectors, including emerging sectors like hydrogen or electric vehicles. So, in that study, if we are making plans to move Polycab from a current business to a much more value-added side of the business, especially considering the demand coming in India as well as from the export market.

Gandharv Tongia: That is, in fact, one of the objectives of Project Leap. There are some white spaces where we are

not present, for example, Extra High Voltage Cables. To that extent, there's a bit of diversification which is being done now, and we are setting up the factory.

The second thing is that we have probably the largest R&D and product innovation team in the country. We have achieved a fair amount of backward integration over the period. Practically all raw materials are processed in-house, and that is when we convert those materials into

finished goods. And that gives us the capability to innovate products at a rate that is better than the industry. And that's the reason we believe we have almost all types of SKUs, both in cable as well as wires, that one can think of, right from power to data and so on and so forth.

There are some additional avenues that are available, for example, EV cables or some opportunity that is available in terms of premiumization of wires and retail wires. And the same is true for products like fans and lighting, and we are making focused efforts to diversify to ensure that we are able to add value to our customers as well as we are able to get to better margins.

Another example is special cables. This is a business that we have recently developed in the last 2-3 years. To illustrate the type of achievements that we have done under special cables vertical, we supplied cables to INS Vikrant, which was a battleship that was commissioned by the Indian Navy. We have supplied cables to high-end power utilization industries, for example, refineries and automotive. So, to summarize, we are similarly working on diversification with a focus both on the domestic as well as international markets, and we'll continue to hasten the pace of such development.

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Amarnath Bhakat: My second question would be, as you were guiding for a more or less consistent amount of capex for the next few years, and your ROE and ROCE dip in 2021 and 2022, probably due to low market conditions and higher capex, which probably increased a bit in 2023.

How will we look at the ROE and ROCE profiles as your capex continues for the next 2-3 years and your margin, which is so far fine, hopefully, as you are saying, will improve as well? So can you get a better return on capital considering the current scenario?

Gandharv Tongia: Yes. So, I see two parts to that question. One is how best we utilize our existing set of factories, and the second is whether there is scope for improvement in margins or not. Historically, we have been working within the range of 11% to 13%. And as Chirayu alluded to a while back, because of better operating leverage, it seems that we should be able to improve it by almost a percentage point.

The utilization of the factories has improved over the period, and we are now committed to capex closer to the required period rather than sooner, which is also helping us with better utilization.

So directionally, it seems that these numbers should ideally improve.

I mentioned to one of the participants a while back that, as part of Project LEAP, we had guided for ₹20,000 Crores of top line by fiscal 2026. On the basis of performance in the last 7 to 8 quarters, we believe that we would have to recalibrate that guidance, and we should be able to come back to the investor group in three to four quarters from now. And if we do that, there will probably be a positive impact on almost all the ratios.

Moderator: Our next question comes from the line of Achal with JM Financial. Please go ahead.

Achal: Congratulations on the great numbers. Sir, just a couple of questions. One is, with respect to the mix in terms of copper and aluminum, is it fair to say that we would be somewhere around 65% to 70% aluminum wires versus copper? Would that be a fair assumption?

Chirayu Upadhyaya: As far as the mix between copper and aluminum is concerned, it will be 50:50 between the two.

Achal: And in terms of the channel financing, what is the quantum? You've mentioned some 83%. Is that in terms of the number of distributors under the channel financing arrangement, or in terms of the value of your sales?

Chirayu Upadhyaya: So, the number is in terms of value of sales.

Achal: So, is it possible to give the quantum? What is the extent of channel financing as of June 30th? Would that be like ₹700-800 Crore, or less than that?

Chirayu Upadhyaya: About 83% for cables and wires, and 91% for FMEG were through channel financing. You have the top line numbers, you can calculate it through that.

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Achal: Just one more question. If we look at the volume growth, what you're implying is 50% to 60% for this quarter, and I think that has partly to do with the low base, like you mentioned. Is it possible to get some colour in terms of what a 4-year CAGR would be? Would that be 25% - 30%, or 10% - 15%?

Chirayu Upadhyaya: So generally, Achal, as you are aware, normally volume growth in the cable and wire business, ranges between 1.5x and 2x of real GDP growth. In years like this, where there is increased demand because of various reasons, you can witness higher volume growth. But otherwise, what we've been guiding will remain true for most of the time, being 1.5x to 2x of real GDP growth.

Achal : That's a long -term growth, right? I mean for the industry in general, right? 1. 5 to 2x?

Chirayu Upadhyaya : Right. That is correct.

Achal : Both cables and wires.

Moderator: Our next question comes from the line of Praveen Sahay with Prabhudas Lilladher. Please go ahead.

Praveen Sahay: The first one is related to the gross margin improvement. One of the reasons you mentioned was the commodity decline, which led to the improvement. So, in the coming quarters, can we assume some price correction with the expected commodity trends ?

Chirayu Upadhyaya : So, Praveen, I guess even you would agree that nobody will be able to guess where the commodity price movements will be, right? So , depending on where the commodity prices are moving, whether they are going up or down, we pass on those changes to our end -customers . What generally happens is that whenever commodity prices are in a downward movement, we kind of gain on our margins. So that is something that has held true for this quarter, but that will vary quarter -on-quarter, and we'll have to see how the commodity prices play out going ahead .

Praveen Sahay: And the second question related to the inventory. So , the higher inventory is only because of anticipated higher growth? Or is there something else to that as well?

Chirayu Upadhyaya : No. The major reason is because of higher anticipated growth. And the second reason for that was that we are expecting a couple of smelters from where we procure the copper to go in th eir annual maintenance shut down. And because of that, we have preponed our proc urement of copper for th is year .

Praveen Sahay : Is it an annual maintenance or has something new come up?

Chirayu Upadhyaya : No, annual maintenance is something they undergo every year, and that is why, we normally, just ahead of when the annual maintenance is scheduled for, we increase the amount of inventory - raw materials – we procure copper ahead of time.

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Praveen Sahay : And lastly, as you mentioned about meeting the export demand and considering expansion, what are the plans for the capex? Will it be a brownfield expansion or a greenfield expansion for catering the export demand?

Chirayu Upadhyaya : So, we have our faciliti es in place for manufacturing the cables that are required for various different geographies. As we anticipate an increase in demand, we'll need to add additional facilities, which can be both brownfield as well as greenfield, a

s and when we see fit and depending on what kind of requirements we have .

Moderator: Thank you. Ladies and gentlemen, that was the last question. I would now hand over the conference to Mr. Gandharv Tongia for his closing comments.

Gandharv Tongia : Thank you participants for taking out time and attending this call. In case if you have any follow -up questions, you can write to us at investor.relations@polycab.com, and we would be glad to attend your questions. Thank you so much. Have a great day.

Moderator: Thank you. On behalf of Polycab India Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Oct 2023

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To

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BSE Limited
Phiroze Jeejeebhoy Towers, Dalal Street
Mumbai – 400 001 To
Listing Department
National Stock Exchange of India Limited
C-1, G-Block, Bandra -Kurla Complex
Bandra (E), Mumbai – 400 051

Scrip Code: 542652 Scrip Symbol: Polycab

ISIN: - INE455K01017

Dear Sir / Madam

Sub: Submission of Transcript of Earnings Conference Call held on October 19 , 2023

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015,
please find enclosed herewith the transcript of Earnings Conference Call held on October 19, 2023.

Kindly take the same on your record.

Thanking you

Yours Faithfully
For Polycab India Limited

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"Polycab India Limited
Q2 FY 2024 Earnings Conference Call"
October 19, 2023

MANAGEMENT : MR. INDER T. JAISINGHANI – CHAIRMAN AND
MANAGING DIRECTOR – POLYCAB INDIA LIMITED

MR. GANDHARV TONGIA – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – POLYCAB INDIA LIMITED

MR. CHIRAYU UPADHYAYA – HEAD OF INVESTOR
RELATIONS – POLYCAB INDIA LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Polycab India Limited Q2 FY 2024 Earnings Conference Call. As a reminder all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone telephone. Please note that this conference is being recorded .

I now hand the conference over to Mr. Gandharv Tongia, Executive Director and Chief Financial Officer, Polycab India Limited. Thank you, and over to you, sir .

Gandharv Tongia : Good afternoon, everyone, and thank you for joining us. I hope all of you are staying healthy and safe. I am Gandharv Tongia, Executive Director & CFO at Polycab India Limited. On this call, we shall discuss the Q2 FY24 results which were approved in the board meeting held yesterday. We will be referring to the earnings presentation, financial results and financial statements which are available on the stock exchanges as well as on the investor relations page of our website. Joining me today from the management team, we have our Chairman and Managing Director – Mr. Inder Jaisinghani and our Head, Investor Relations – Mr. Chirayu Upadhyaya .

Let me now handover the call to Inder bhai for his comments .

Inder Jaisinghani : Good afternoon, everyone. Leveraging the strong demand environment, the business continued with its robust growth momentum during the quarter, registering the highest -ever second -quarter revenues as well as the highest -ever quarterly profits for the Company. In addition to being a remarkable quarter for the business, the quarter was also a memorable one for everyone at Polycab as we unveiled our new brand identity. The Company is on an exciting course towards a more promising future, and I am filled with enthusiasm for the path that lies ahead . With this, I request Gandharv to take you through our earnings presentation .

Gandharv Tongia : Thank you, Inder Bhai.

In a tentative world, where economic indicators are closely scrutinized daily to anticipate the future trajectory of the economy, India stands out as a notable exception. Here, the force of domestic consumption and beneficial government initiatives have cohesively formed a concurrent narrative of long -term sustainable growth. Latest high -frequency indicators suggest that domestic growth momentum continues to remain strong, with the services PMI at a 13 -year high, industrial production at a 14 -month high, manufacturing PMI being above 50 for 27 consecutive months, and a sharp recovery in domestic tax collections, particularly led by income and corporate tax. Payment systems indicate that business activity continues to be robust, with

UPI crossing 10 billion monthly transactions, while IMPS transactions reaching a volume of 473 million in September. On the consumption side, there is an improvement in domestic demand, as policy rates have been stable and inflation has been on a decline. Bank credit growth touched 20% in September, while with improvement in consumer sentiment, demand for cars, two-wheelers, as well as travel has been booming. Moreover, investment spending is increasing even faster, particularly driven by government initiatives and real estate construction. These positive indicators reflect a strong and resilient domestic economy, making it an excellent backdrop for our quarterly performance review.

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I would now handover to Chirayu to take you through the financial performance for the quarter.

Chirayu Upadhyaya : Thank you, Gandharv.

I would request everyone to refer to Slide 4 of the earnings presentation.

For the quarter ended 30th September 2023, our consolidated revenue grew by 27% YoY on the back of

high volume growth in domestic Wires & Cable business. EBITDA grew by 43% YoY with EBITDA margins at 14.4%, a growth of ~160 bps YoY. Margin expansion was achieved through enhanced operating leverage and a favourable product mix. A detailed break-up of the other income and finance costs have been provided on slide 19 of our earnings presentation. The Company registered its highest quarterly PAT of ₹ 4,298 Mn, a growth of 59% YoY. PAT margin stood at 10.2%, an improvement of ~210 bps over that of the same quarter last year. Net cash position improved to ₹ 15,317 Mn over ₹ 10,132 Mn in Q1, while working capital cycle improved to 50 days, as inventory levels normalized and payable days improved. On half yearly basis, our revenues grew strongly by 34% YoY. EBITDA was up by 57% YoY with margin expansion of ~220 bps to 14.3%. PAT grew by 69% YoY, with PAT margin expanding ~220 bps to 10.3%. I am immensely proud to share with you all that our H1 FY24 Revenue, EBITDA and PAT are the highest-ever in the history of the Company for a half-yearly period. Our outstanding performance reflects the strength of our execution capability, effectively leveraging our strong market position, robust distribution network and favourable market conditions.

Moving on to Slide 6.

During the second quarter, the wires and cables business grew by 28% YoY, on the back of 30%+ volume growth in the domestic business. The domestic distribution-driven segment sustained its strong growth momentum, while the institutional business witnessed remarkable acceleration buoyed by business being generated through our on-ground sales team.

Geographically, the growth was broad based, with highest growth coming from North region, with states of Uttar Pradesh, Delhi and Haryana registering considerable growth.

In the first half of fiscal year 2024, Polycab has witnessed remarkable growth and success across various cable product categories. Notably, Polycab's Special Purpose Cables demonstrated a robust growth in the first half. A primary driver of this growth has been the increasing demand for cables used in the defense sector, the contribution of which soared to north of 21% in the first half of the year.

Polycab continues to demonstrate its commitment to innovation and growth across diverse cable product categories, positioning itself as a key player in the industry.

The demand environment in India's economic landscape remains robust, significantly bolstered by government measures and improving state capital expenditure. The real estate sector is experiencing healthy off-take, providing an additional impetus to the market. The government has allocated ₹ 10 trillion of budgetary monies towards infrastructure growth in the Country. To achieve this goal, various ministries and public sector enterprises are making substantial

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progress. The Ministry of Road Transport & Highways has already utilized 46 % of its budget by August. Similarly, the Indian Railways has spent 59% of its budget by September. Moreover, large Central public sector enterprises too have made remarkable progress, reaching 42.5% of their budget by August. Key players like Indian Oil Corporation, ONGC, NTPC, HPCL, Bharat Petroleum etc have made significant contributions toward their respective capex targets. At the state level, capital expenditure has witnessed substantial growth. The combined capex of 17 major states increased by 45%, reaching approximately ₹ 1.67 trillion by August 2023. Notably, the government has played a vital role by providing ₹ 400 billion out of the sanctioned ₹ 850 billion i.e. 65% of the budget estimate, in 50-year capex loans to states, aimed

at boosting state -level capital expenditure .

Leading private companies are also displaying strong capex plans and order books, which further contribute to the positive economic outlook. The la

rgest domestic EPC company anticipates

significant growth opportunities, with a promising pipeline of prospects amounting to ■ 10 trillion. Key growth sectors for the Company include transportation, renewables, water, and the hydrocarbon industry. Additionally, the renewable energy arm of a state -run power generation entity is planning a capex of ■ 100 billion for renewables this year .

The residential real estate sector too continued with its strong growth momentum. According to a research report by a leading real estate consultant, the top 8 Indian cities witnessed a remarkable 23% YoY growth in the number of residential project launches done during Q3 CY2023, surpassing the 2x sales growth. This trend is particularly significant as it showcases the developers' confidence in future sales. The number of launches in the quarter was 1.5x times that of the pre -COVID period , in the 2019 quarterly average, highlighting the resilience of the market. Land acquisitions have also seen an uptick, with land deals increasing over 50% in 2023. Over 72% of these land deals are for residential purposes, including high rises, plotted developments, and townships , indicating a positive outlook for the residential real estate sector . Supported by robust demand as well as a series of strategic initiatives undertaken by the Company, our wires business too achieved good growth. One key initiative has been to implement a price ladder strategy to cater to diverse customer segments effectively. We have introduced the Eтира, Optima and Green Wire ranges over the past few months to cater to customers across different segments. In the first half of the year , these ranges combined made substantial contributions, collectively accounting for 30 % of the sales .

The Company has successfully pursued a targeted approach in the South ern region, which has translated into impressive growth. Sales from the South ern region have surged by 19% YoY in the quarter , outpacing other regions . The success is highlighted by contributions from key states like Karnataka, Telangana and Tamil Nadu.

These developments reflect Polycab's dedication to expanding its reach and influence within the Retail Wires segment while maintaining a strong focus on product innovation .

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The international business registered a growth of 14% on a sequential basis and 18% on a half yearly basis. During the quarter, the international business contributed 9.3% of the consolidated revenue of the Company. We also expanded our global footprint to 76 countries .

Please refer to slide number eight for an update on the FMEG business.

The FMEG business registered marginal growth, with segmental revenues growing by 8% YoY during the quarter. This growth can be attributed to the benefits of channel realignment, new product development, developing in -house capacity and various other initiatives implemented over the past few quarters, which are now beginning to materialize. All major segments, with the exception of fans and lighting, have experienced good growth, both on a yearly and quarterly basis .

The Switchgears business exhibited robust performance, aided by the Company's focus on specific categories, such as 6kA MCBs and RCCB. Polycab's strategy of leveraging cross -selling through wires distributors has shown positive results .

For switches, our in -house manufacturing capabilities have continued to enhance product availability, resulting in an impressive sales growth of nearly 2x over Q2FY23. The Eтира series, a low -cost offering, has contributed significantly, to the sales during H1. Similarly, the Levanna series, a premium product, has made substantial contributions .

Our Conduit Pipes and Fittings business too has shown robust sales momentum, primarily due to continued healthy real estate activity . Again here, the South Zone has emerged as a notable growth leader.

der.

The Luminaries division witnessed a remarkable growth, benefitting from the set -up of its separate GTM vertical .

Despite muted consumer sentiment, Polycab's fans division has continued its efforts to innovate and cater to market needs. The Company introduced three new fan ranges in Q2, including two in the premium segment and one in BLDC segment, demonstrating Polycab's commitment to product diversification and energy efficiency. The launch of the Silencio Mini, a new BLDC fan, in select cities has garnered an excellent response .

Pricing revisions in the LED segment, primarily due to the Driver-on-Board technology, has impacted the top line . Approximately 25% in pricing corrections have already taken place, with almost 10% to 12% being done in quarter 2 of this fiscal year. We believe the pricing corrections

have bottomed out and expect some relief from here onwards.

Segmental EBIT for the FMEG business continued to remain in the negative territory during the quarter, impacted by fixed costs, in the absence of scale. However, with the product-mix changing towards higher margin products, the decline in bottom-line was contained, despite higher A&P spends done during the quarter.

Let's now move to slide number 10, which gives an update on our other businesses, which largely comprises of our strategic EPC business.

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We clocked revenues of ₹ 1,608 Mn in Q2, a growth of 95% YoY. Profitability grew by 26% YoY with segmental margin at 11%. Annual sustainable operating margin in this business is expected to be in high single digit over mid-to-long term.

So that was the financial update for the quarter and first half of the fiscal 2024.

To conclude, our performance in the initial half of the year has been truly remarkable, establishing a formidable benchmark for ourselves. This achievement reflects the unwavering dedication and tireless efforts of our entire team. Additionally, we have benefited from a favourable macroeconomic environment, with market conditions working in our favour and a consistently strong demand for our products and services. Given these advantageous circumstances, we acknowledge the importance of maintaining a rigorous approach and will continue to delve even deeper in our relentless pursuit of excellence.

Thank you, and we are now open for questions.

Moderator: Thank you very much sir. We will now begin the question-and-answer session. The first question is from the line of Ravi Swaminathan from Spark Capital. Please go ahead.

Ravi Swaminathan: Congrats on a very good set of numbers. My first question is in terms of the volume growth that you had mentioned in cables and wires segment, which is around 30%. And in the press release, you had mentioned that the cables have grown faster than wires. Just wanted your thoughts on cables – where are we seeing such robust growth? Is it from the infra side, the industrial side or the real estate side? If it is from infra, how much from the central government's side, and how much is from the state government's side? If you can give broad break-up numbers on what is driving this growth, it would be great.

Chirayu Upadhyaya: Sure, Ravi. Thank you. So, within the cables segment, we see demand coming from across all sectors, particularly infrastructure, which is largely being driven by the government, and this includes roadways, highways, railways, and metro lines. We also saw demand coming from power transmission and distribution, and a good amount of demand coming from the real estate sector as well.

So, it is a mixed bag. It is from across all the industries. At our end, since we operate through our distributors, or a large part of our sales are through distributors, we don't have an exact proportion of the percentage coming from these sectors. But I can tell you that these are the top three or four sectors

wherein the demand is being generated from.

Ravi Swaminathan: Okay. At least rough numbers - percentage; if you can give for these top sectors, it would be great. Power T&D means how much will it be out of the overall cable demand. Say, real estate, how much will it be; Railways, how much will it be; Metro, how much will it be. Similarly, for 5 to 6 sectors, is there a number you can put? I understand that the majority of your revenue would come from dealers and distributors, but you would have a sense, right? If you can give that, it will be great.

Chirayu Upadhyaya: So Ravi, the thing is that each type of cable has a different end use from across all different sectors. So, at our end, even if you supply a particular type of power cable, we will not be able

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to gather that which end-industry is this being serviced to. So, it is ultimately the distributor who is actually gathering this demand and is servicing those customers. And then, at our end, we wouldn't have a particular idea about what end-industry these cables are being supplied to.

Ravi Swaminathan: Okay. And solar, is it a very big contributor to the overall cable's growth? I mean, as a percentage of overall demand, is solar like significantly, a large chunk of the overall growth?

Chirayu Upadhyaya: So, investments in renewable energy sources, both domestically as well as internationally, have been consistently increasing. And it is very recently that various manufacturers in the country have started manufacturing these solar cables. So, definitely, the growth is there in solar cables, both domestically as well as internationally. But as of now, its contribution to the overall top-line is comparatively minimal.

Ravi Swaminathan: Okay. And the second question is, what kind of volume growth will you see in the second half ? I mean, your sense, given the fact that elections are there in the next 6 months, is this 30% kind of growth sustainable ? Or has there been some kind of front -ending in spend s that has happened from the government that you sense? Your thoughts on that?

Chirayu Upadhyaya: So, Ravi, I wouldn't be able to give an exact number in terms of what kind of volume growth would be possible. But I can definitely say that based on the demand that we are seeing on the ground, the volume growth in the industry has been better than what it has ever been. And we believe that this case will continue in the future as well.

At our end, Polycab, we have always grown ahead of where the industry's growth is at, and we believe we'll be able to achieve that in the future as well. So that is how we see volume growth to be in the near future. But , we definitely believe that it should be much better than what it has been historically in the sector.

Ravi Swaminathan: Okay. And the cable growth and wire growth Y -o-Y, if you can build that quantification? Is it possible?

Chirayu Upadhyaya: Cable's growth again was north of 30% , while wire's growth was again near about 20%.

Moderator: So the next question is from the line of Manoj Gori from Equirus Securities. Over to you sir.

Manoj Gori: Chirayu, here I would like to understand on the realization part because obviously when you said like volume growth was around 30%. So probably, we are talking about increasing -- probably drop in realizations. But if I look at the copper prices as compared to Q 2, those were on the higher side. So was there some impact because of the higher contribution coming from something like E tira or probably can you throw some light over here?

Chirayu Upadhyaya: Sure, Manoj. So when you're looking at value growth, you need to look at three things. One is how the copper price movement has been, how the aluminum price movement has been and how the USD/INR price movement has been. You need to take all three of these into account. And again

, what also you need to take into account , specifically for our case , is that when we work with our vendors, we have those embedded derivatives in the contracts wherein we work on M-1 basis . So, it's a mix of two t hings. Whenever we have institutional contracts that they are back -

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to-back price d, whereas with those that we procure for distributors those are on M-1 basis . So, there's a mix of those two things. If you look in terms of the pricing, for the monthly as well as the quarterly average for copper, copper has increased by about 8%. But at the same time, aluminum was down by 8% and USD/INR rates were up by about 3 % that was for the quarter. If you look at M-1 basis , copper prices were up by 3%, while aluminum prices were down by 13% and USD/INR rates were up by 4%. So, if you take a mix of both these things and then you'll get to know that the value contribution because of whatever price variations that I mentioned was in low-single digits and hence, the growth that we have achieved is actually because of the volume growth.

Manoj Gori: Right, right. Second, if you look at the advertisement expenses, obviously there has been a sharp increase, and that has really led to strong volume growth. So probably, if you look at you have been going very aggressively, you have sponsor in the World Cu p as well. So does H1 account for those expenses or probably that would be purely coming into third quarter? And whether we would be booking it in the entire quarter or we'll be amortizing it gradually?

Gandharv Tongia : So, Manoj, these are period costs. As and when the event has occurred, this has been accounted for in the relevant period. So , till the 30th of September, whatever event has occurred, whatever advertisement has been done, whatever shots have been aired , those have been accounted for. And as the World Cup is continuing, the balance cost as and when it is incurred, it will be accounted for in the third quarter.

Manoj Gori: Sure. Thanks. Lastly, on the FMEG side, so we do understand that somewhat demand has been under pressure and probably there has been delay in revival because we were expecting somewhere around from FY24, probably FMEG on top line and on profitability shoul d improve. So any comment over there? Like how do we see in the second half and probably from FY25, if you can throw some light? And lastly, on the Project Leap, if you can throw some light with regards to any revisions in your guidance or some thing like that.

Chirayu Upadhyaya: Right. So , if you looked at the FMEG basket, there are different product categories, and some of them are seasonal, some of them have demand across the year. So , if you look at the fans business, it is more a seasonal business. And very recently, there has been a change of energy norms. So , this is the first year post those energy norms. And hence the coming season will be the first year post those changes, and we believe that we should have good pickup as and when that season begins from October or November of this year.

If you look at the lighting segment, there has been kind of a pricing corrections that have happened over the past 12 months to 15 months , and which has actually affected top -line for all

the players in the industry. Lighting does have a kind of a pickup in sales during around the festival season. So, we believe that whenever such festivals are there, there might be some pickup that will be visible. At our end, we will be ready for that. We will have our distribution in place. We will have our products in place. We will have our new launches in place so that we will be able to cater to the demand that will be coming during whatever seasonal demand is there.

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If you look at switches, switchgears and other product categories, these are comparatively smaller for

us. We are employing various initiatives so that the growth of this product categories is higher, and the mix improves more towards them. As we've given out in the earnings presentation, we've already realized good growth in this quarter for both switches and switchgears as well as conduit pipes and fittings. And a large part of the demand for these products is linked to real estate. And since real estate is doing well, that consumer demand continues to be there.

At our end as well, we have done a lot of work under Project Leap. So, the entire distribution realignment is something that we've completed. Over the past 12 months, we've launched various new SKUs in all those product categories as well. We are employing the price-laddering strategy and hence now have offerings across prices in those product categories. Wherever we don't have, we will be coming out with new product categories within those price points. We are also working a lot on influencer management as well. And as you are aware, our brand positioning is something that now we are very actively started working on.

So, we believe that based on all these initiatives that we have taken and will be taking, the FMEG will start showing growth, both top-line as well as bottom-line. It will be a gradual growth, but it will be a growth that we have guided the market towards.

In terms of the LEAP targets, we are in the process of recalibrating those targets. We definitely believe that the FY26 target of reaching ₹ 20,000 Cr of top-line is something that can be achieved ahead of time line. We are recalibrating that, along with all the other targets that we had given out along with the top-line target. And we should be out with those recalibrated numbers in the space of a few quarters from now.

Moderator: Thank you. The next question is from the line of Atul Tiwari from Citi. Please go ahead.

Atul Tiwari: First of all, congratulations on yet again, really strong performance. My question is again on FMEG, so just trying to kind of probe a little bit. So, the distribution realignment that we have done, that has been complete, right? I mean there is no further realignment happening on a major scale. I mean I know you can keep on tweaking the business, so just wanted to confirm that?

Chirayu Upadhyaya: Right, Atul. So, the distribution realignment is largely complete. Having said that, but we'll continue to improve our distribution across all the geographies. So that is something that will continue. But yes, on the last part, that entire realignment or tying up with larger distributors that we wanted to do, that is something which is completed.

Atul Tiwari: Okay. And my second question is on the EH V facility that you were setting up. So, what is the update on that? I mean when is it likely to be completed? And how much is the capex and once completed, how much top-line could we do; or what is the capacity; if you could share some vision for that?

Chirayu Upadhyaya: So, we have started incurring capex on that project. This year and next year, a large part of the capex that we'll be doing at the company level or for the cables and wires segment will be going towards that project. As we've guided in the past, we expect that the facility will be becoming

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operational by the end of FY26. And as of now, we are in line with the timeline that we had given out.

In terms of the revenue potential and everything, we'll be coming out with those specific numbers as and when we are closer to that time period. It's still two years away since that facility is expected to become operational, and we'll be coming out with specific targeted numbers for this facility once we are near that time.

Atul Tiwari: Okay. And if you could allow me one more. So, I mean, obviously, we understand that a lot of benefit has happened to the business because of the upfr

onting of capex by government this year.

So once a quarter is over, I'm not asking for your numbers, but have you seen any kind of let up

in the capex because of the election season, etc?

Chirayu Upadhyaya: I mean, definitely, the on-ground demand has been good. There has been various tenders that have been rolled out for various projects across industries and definitely, that has resulted into a better demand for cables. But this is not something which is this particular year's phenomenon. If you've noticed, the government has been increasing the amount of capex that they've been doing for infrastructure every year over the past three years. And this is something that we believe should continue going ahead as well. Of course, the caveat being that the current government comes back to power. But at our end, we do believe that this is something which is a structural story and structural demand driver for the country.

Very recently, I believe yesterday itself, there was a news article that the Ministry of Highways has come out with a 2047 pipeline wherein they will be spending or are thinking of spending somewhere closer to ₹20 trillion in terms of capex. I mean this is the kind of growth story, or the path which is there ahead, in terms of infrastructure growth in the country. And we believe this is a long-term story. This has nothing to do with the pre-election year or something of that sorts.

Moderator: Thank you so much. The next question is from the line of Shubham Aggarwal from Axis Capital. Please go ahead.

Shubham Aggarwal: Just two questions. The first one is on exports. This quarter, the exports trend seems to be weakened a bit. We are at about ₹390 Crores this quarter. Can you give us a sense what kind of exports are expected going forward and the decline, we've seen a decline this year, and we saw a similar decline in Q3 of last year as well. So, is this a one-off? Or do you see that the exports will pick up going forward? That is the first one.

Chirayu Upadhyaya: Shubham, we did around ₹400 Crores of export business this quarter. And here in, it was actually an 11% growth to what business we did in Q1. If you look at the H1 numbers as well, it is actually an 18% year-on-year growth. So, we do believe that the international business holds immense value for the company, and at our end are geared up to capture that opportunity.

We have those capacities available. We have those approvals available in various geographies, and we are incrementally looking to add new geographies as well. So, in the mid-to-long term, Polycab India Limited

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we believe that international business can be a big revenue generator or a contributor to the business top line and bottom line.

Shubham Aggarwal: So, any sense, like this next year, let's say, will like this 10% contribution go up to, let's say, 15% or do you think it's a stretch? Just a broad sense?

Chirayu Upadhyaya: I mean we are recalibrating those numbers, as I mentioned to the previous participant. All those guidelines or all those targets that we have given as a part of our Project Leap numbers, and the 10% of contribution from exports being one of those goals, is a part of our recalibration process and we'll be out with those revised calibrated numbers in a matter of a few quarters.

Shubham Aggarwal: Okay. Just coming on to the second question. Sorry if this has been asked earlier. I missed; I got dropped off the call. So, I just wanted to ask that H1 growth has been very strong for the company and for wires and cables as a whole. And that has also a lot to do with the front ending of the government capex. We might continue to see this growth in Q3 as well. But what is the sense you see as soon as we approach elections? Will this growth probably slow down a bit entering Q4 FY24 and Q1 FY25, could you give a sense?

And just related to that, since the business

will be very high for nine months FY24. And the government, the next budget would spend the one-year budget in one year, there will be no front ending. Do you see that the growth would be relatively lower than, let's say, what we are doing right now, in FY25? Those are the two questions. Those are the two related questions, if you can answer that.

Chirayu Upadhyaya: Sure. So, at our end, what we have always been able to achieve, is that H2 has always been better than H1, and we believe this year will be no different. The performance in H2 should be better than what we have been able to achieve in H1.

In terms of front-ending of capex by the government, again, over here, we believe this is something which is a long-term structural story and not a one-year story because of being a pre-election year.

If you look at the cables as a business, whenever new orders are given out, it is not immediately that the requirement of cables come in. So, in that sense, all those orders which are being given out for the development of new projects right now, the demand for cables is something which will be coming in over the period of next one year. So specific to those particular months wherein the election will be happening, there's not going to be that kind of demand slowdown that might happen.

Second thing is, even if we look at the other avenue, which is the private capex, that is also

something which is picking up. Because of all the government capex that has happened over the past three years, we are seeing that kind of crowding in of private investments coming in from the private payers. And that is also something which will support or add to the demand of cables going ahead.

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So having said that, even if the 9M numbers for this year are high, we don't believe that next year should be difficult. It's a structural story. The demand for cables is rising structurally. And we believe that every year, we should be able to get pretty good growth on that.

Moderator: Thank you so much. The next question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi: Yes, Sir, thanks for the opportunity. Sir, two questions. While we are doing great work, obviously, we are getting helped by the, up move in the infra, real estate, capex, all those cycles. So just from your experience, in 2007 and 2008, we experienced similar situation. But post that, there was a sudden decline in overall capex, real estate activity, etc. So, from your experience, what was Polycab's strategy that time versus the strategy right now? Or do you see it's different this time and probably the capex cycle is going to last for a considerably more period of time, and so that there is more benefit possible for us? That is question number one. And question number two is the spend related to Polycab relaunch. So, whether all the spends are already in Q2 or H1 numbers. Or do you see some more expenses getting incurred in H2 as well? Yes, that's it from my side.

Chirayu Upadhyaya: Sure. Thanks, Aniruddha. So, in terms of the capex from the government, we believe that this time is different. As I've mentioned to many people that we believe that this is a structural story, which will play out consistently over the next few decades.

The current government, the prime minister, they have been very vocal in terms of what they want to achieve in the next couple of decades. They want India to become an advanced nation by 2047. And they believe that, infrastructure growth will have to be a big or a primary driver of this growth. And so, we believe that, going ahead as well, the kind of capex that the government has been incurring over the past three years and the kind of improvement that they have been doing in terms of the numbers that will continue to go on. In terms of the real estate cycle, generally, t

he real estate cycle in the country is about six to eight years long. We are in the second or third year of the current real estate cycle. And so, we believe at least the next three years to four years should be good from the real estate point of view as well. So, I guess that is on the capex side.

On the cost for the relaunch, as Gandharv has mentioned, whatever costs have been incurred during the quarter, they have been accounted for during the quarter itself. And as and when those costs will be incurred going ahead as well, they will be accounted or taken into financials in those quarter itself. We have already incurred the cost, a part of it on the relaunch, but we'll continue to increase our expenses on advertising and promotion.

As we've guided that incrementally 3% to 5% of our B2C top-line will be spent for brand positioning. So, we'll continue to incur this kind of costs, and that is something that will happen pan-years, not in a one month or two months or one quarter or two quarters, but it is something that will happen across the year and all the years going ahead. And they will take them into finance as and when those are incurred.

Moderator: And the next question is from Aadesh Mehta from Motilal Oswal AMC. Please go ahead.

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Aadesh Mehta: Sir, my questions have been answered. Thank you.

Moderator: Thank you so much. The next question is from the line of Rahul Maheshwary from Ambit Asset Management. Please go ahead.

Rahul Maheshwary: Sir, just one thing. Can you explain in your corporate presentation where you have given that the margin protection will be through embedded derivatives in short term, it would be protected against commodity price volatility through access to embedded derivatives from suppliers? So, in long run, what kind of support and protection you are getting. You can throw some color on it; it would be really helpful?

Chirayu Upadhyaya: Sure, Rahul. So, when we work with our vendor, whom we procure our raw material from, we have embedded derivatives within the contracts. What this contract allows us to do is that it gives us a particular time period to firm up the price of those raw materials. What I mean by that is that, when we place an order with the vendor, the price that is prevalent is a provisional price.

But we would have a time period of around three months to finalize the price of those raw materials.

So, what will happen is that from the time that we place the order, we receive the material, we convert it into whatever cables and wires that we wanted to manufacture, until the time that we sold to whatever end customer that we wanted to sell to, whatever changes in the prices of raw material would have happened, that will be completely passed on to the end customer, since we have this time period to decide or firm up the price at a future date. Because of the embedded derivatives, the commodity prices for us will be a complete pass-through. So, irrespective of whether the prices went up or down with the time that we placed in order to the time that we sold the cables and wires, whatever changes would have been there, that volatility would be negated because of the embedded derivatives.

And that is how it has played out over the past many years. So, if you look at our margin trajectory, it has been comparatively very stable, irrespective of what the copper price or aluminum price movement has been.

Rahul Maheshwary: And just a follow-up question on that. In terms of percentage or range, how much is the backward integration in the wires and cables for you, currently?

Chirayu Upadhyaya: Almost 100% for cables and wires.

Rahul Maheshwary: Okay. And just one connected question, as you have entered more into the renewable cables, data center cable, the difference between the realization of the margins, can you give some color that how big

is the difference between the normal cables, which is wires which have been used in real estate or normal cables compared to the emerging sectors, which you are seeing?

Chirayu Upadhyaya: So, the differential in terms of margins will vary depending on what cables you are looking at. But all such cables, which have traditionally been imported, and it is now that the demand for them has been increasing domestically and hence have been started getting manufactured over here, what internally we call special purpose cables, for them, margins are definitely better than

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what we make on the other types of cables. But again, it will vary depending on which cables we are looking at.

Moderator: Thank you so much. The next question is from Rahul Agarwal from InCred Capital. Please go ahead.

Rahul Agarwal: Yes. Hi, thank you for the opportunity. Congrats on another quarter of super performance. Sir, two questions, please allow me to ask them very short. Firstly, on channel finance. My understanding is the balance sheet has improved quite a bit on working capital, purely because our channel finance percentages have increased into FMEG as well as cable & wire. The question essentially is if the channel pays you faster against cash discount, does that mean lower gross margins just from an accounting perspective? That's question number one.

Chirayu Upadhyaya: Sure, Rahul. So no, that doesn't translate into lower margins, because whenever we revise the prices of the cables and wires, we definitely take into account that this is the kind of cash discounts and what kind of the channel financing we have with our distributors. So, we take that into account while revising our prices and hence, that doesn't translate into lower gross margins for us.

Rahul Agarwal: Okay. And the second question is on overall margin. Cables have done better than wires again, but the margin trends are reversed, that they're holding up Q-o-Q, also margins are 14.4%. Your guidance earlier been 11% to 13% sustainable range. On TV today, you said 12% to 14% sustainable range. I understand it's more conservatism, but my sense is ultimately, we're expecting this to normalize, right? So eventually, it should trend down towards 12%. I don't know when it happens, but that should be the reality for the industry. Is that the right way to understand?

Chirayu Upadhyaya: I mean, Rahul, we believe that 11% to 13% range is something that we'll be able to achieve irrespective of what happens in terms of commodity price movement and all and hence, that has been what our guidance has been.

What we have been able to achieve over the past few quarters has been because of various reasons. It might be because of the mix that we have been able to achieve within the cables. It is because of the higher percentage of contribution from exports as well, which is a better margin product. It is also to a large part now because of the scale at which we are operating. So, because of various reasons, we have been able to register better margins than our guidance. But in the long-term or in the mid-term, if you are putting it into your model, you should definitely put or take into account the guidance that we have provided, and then you'll never have a negative surprise on that.

Rahul Agarwal: So, in terms of growth and mix, everything is sustainable, right? The mix is going to sustain ahead, the exports are going to be better. So, I think there is no reason for margins to come down

if that doesn't change?

Gandharv Tongia : If we are able to sustain the current levels or the current scale that we are operating, if we are able to sustain the contribution from international business of HDC, LDC different types of mix, definitely we should be able to sustain the margin. But sitting at this point in time, we wouldn't
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be able to comment that 100% sure that is something that will play out. But 11% to 13% is something that we definitely believe that irrespective of what happens, that is something that we should be able to achieve. And hence, that has been our guidance.

Rahul Agarwal: Perfect. Thank you so much. Thanks , Gandharv for taking up the question. All the best.

Moderator: Thank you so much. The next question is from the line of Praveen Sahay from Prabhudas Lilladher. Please go ahead.

Praveen Sahay: Thank you for taking my question and many congratulations for a very good set of numbers. A few data points I need. So , can you give the capacity utilization in the wire and cable currently, as well as the contribution of cable and wire segments in the quarter? And the capex number for FY24 and FY 25?

Chirayu Upadhyaya: Sure. So , in terms of capacity utilization, we will be operating somewhere in the vicinity of 65% to 70% on cables and wires. In terms of capex, as we've guided this year and the next year, we would be incurring capex of close to ₹ 600 Crores to ₹ 700 Crores and that guidance continues to stay as of now.

Praveen Sahay: Can you bifurcate FY24 and FY 25, equally?

Chirayu Upadhyaya: Both years. So , ₹ 600 Crores to ₹ 700 Crores of capex each year.

Praveen Sahay: Okay. Each year.

Chirayu Upadhyaya: And in terms of mix between cables and wires, again, since cables has performed better than wires, it would have moved a few hundred basis points more towards the cable side.

Moderator: Thank you so much. The next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: Yes, good afternoon and thanks so much for taking my question. I have just one on the capex position right now. So , 65% to 70% utilization we are at right now in wires and cables. Usually, what is the optimal or peak level we can go up to? And at what point would we need to start thinking about adding capacity beyond this EHV project that we are doing? Is there currently something besides EHV that's also going on in terms of capacity debottlenecking? Or is that something we need to consider as we get closer to optimal levels? Thank you.

Chirayu Upadhyaya: So, Abhijit, we can go as high as 95% in terms of capacity utilization. But what we have always done is that we have invested ahead of time in terms of capex, and we incur this capex every year. So , as you know, even prior to the ₹ 600 to ₹700 crores of guidance that we gave , we anyways used to incur about ₹300 crores to ₹400 crores of capex every year and hence, we continue to invest into expanding facilities every year. So that is something that we'll continue to do.

In terms of other projects, that we are doing other than EHV, we are also investing in expansion of our facilities for SPC, which is our special purpose cables and various other product categories. But yes, I mean we'll continue to incur that capex in terms of expanding those

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facilities every year, and we wouldn't wait to reach 80%, 90%, 95% of the capacity utilization to incur more capex.

Abhijit Akella: Got it. Sir, just to clarify this ₹300 crores to ₹400 crores that we keep spending on a usual basis, approximately how much capacity addition would it lead to on an annual basis? Is it like 10%, 15% or higher than that?

Chirayu Upadhyaya: I mean it will vary year-on-year. Roughly , about three -fourth of that goes into cables and wires and one -fourth goes into FMEG. So , on FMEG, we have been moving towards in -house manufacturing. So that is where the incremental capex has been used towards. And in cables and wires, that has been used for various purposes to increase the capacity of domestic cable, to increase the capacity of manufacturing cables which are exported and all and so forth. So , the expansion number will vary

year-on-year depending on what we've spent it towards.

Abhijit Akella: Thanks a lot. All the best.

Moderator: Thank you. The next question is from the line of Natasha Jain from Nirmal Bang. Please go

ahead.

Natasha Jain: Thank you for the opportunity. Congratulations, sir, for a strong set of numbers. I just have one question on the A&P spend s. So, do you bifurcate the A&P spend into cables, wires as well as FMEG? If yes, then can you please give us the split both for this quarter and same quarter last year?

Chirayu Upadhyaya: I mean, Natasha, we normally don't give out the split between the cables and wires and FMEG, but definitely, there is bifurcation that happens in financials as and when whatever that has been incurred for.

Natasha Jain: So just any sense, Chirayu , as to more spend is towards wires and cables or towards FMEG? A qualitative sense will do.

Chirayu Upadhyaya: I mean it will depend on what kind of spend s we have done. So , for example, if there is a particular advertisement that we have come out for wires , for example, the green wires advertisement that we came out for last year , so those costs will be incurred in the cables and wires segment. I f there is something that we are doing on the fan s side, that will be incurred on the FMEG side. So , depending on where it is utilized, those costs will be accounted for in the financials.

Natasha Jain: All right. Thank you so much .

Moderator: Thank you. The next question is from the line of Nilesh from ICICI Securities. Please go ahead.

Nilesh: Yes, thanks for the opportunity. Hope I'm audible. My question is on lighting division. You explained briefly that the lighting division is undergoing difficult phase on change in pricing environment. So , could you please elaborate on the exact situation happening in the lighting division, both at company level and industry level, if you could so? Thank you.

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Chirayu Upadhyaya: Sure, Nilesh . So, within lighting, especially in the LED segment, what has come about is that a new technology, which is known as Driver -on-Board technology has come about. And because of this, there is efficiency in terms of costing which has led to a pricing correction in this.

So, what has happened over the past 12 to 15 months, is that the pricing of LED lighting, they have gone down by almost about 24% - 25%. And that is why you've seen the top -line getting softer for us for other peers in this segment as well. So that is what is an industry p heno menon as of now. As of now, we believe that pricing correction should be done with and now going forward, that should be, but let's see how it pans out going ahead.

Nilesh: Yes. Thanks for the information.

Moderator: Thank you very much. The next question is from the line of Sandeep Agarwal from Naredi Investment. Please go ahead.

Sandeep Agarwal: Hello, Thank you, sir. My question is regarding, wires and cable side. Have you seen any material capex coming in the near future in India, wire and cable side?

Chirayu Upadhyaya: Sorry, Sandeep , are you asking for us in terms of capex?

Sandeep Agarwal: No, for the industry.

Chirayu Upadhyaya: I mean, if you look at across all the industries, so cables and wires have requirement across industries. If you look at roadways, highways, power transmission and distribution, real estate, each and everything. If a private player is constructing a new manufacturing facility for himself or schools are being constructed, houses, commercial real estates are being constructed, everywhere cables and wires a re required.

So, in that sense, and that is the reason why you've seen the kind of volume growth that has been driven by the industry over the past few years because the capex as well as investments in infrastructure growth has been continuously increasing for many years now. And that is something t

hat we believe will continue to go on for many years going ahead as well.

Moderator: Thank you so much. The next question is from the line of Onkar Ghugardare from Shree investments. Please go ahead.

Onkar Ghugardare: Yes. My question was regarding FMEG. You have been highlighting that it would be a 10% margin business. But given the state of the business currently and given the sentiments, I mean, what kind of a target you would be looking at for that? You have stated a t arget of 10%. And when it can turn into black? And excluding A&P spend, what would have been the profit this quarter or loss this quarter?

Chirayu Upadhyaya: Sure, Onkar , when we started Project LEAP, there were various different changes that we did in how we used to operate in the FMEG segment. One of them was the complete realignment of our distribution channel. That is something that took us almost one and half or two years to complete and which is now behind us. There are two to three other things that we are doing on the FMEG side, which should help us on improving numbers on that side.

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For example, we are doing a lot of work on brand positioning. We're doing a lot of work on new product development. We are making sure that we have product offerings across price segments so that we are able to capture the opportunities that comes in the entire industry. We are working a lot on influencer management. If you look at FMEG as a business, the influencers are the one who actually decides or pushes a particular customer to decide a particular brand when they are buying a product. So, we are doing a lot of work on influencer management as well. Through all of this, we definitely believe that the growth in FMEG business should start picking up.

In terms of bottom line, there are two or three things which should help us. One is that we are now trying to change the mix of our product categories within the basket. Till now, fans and lights have been the largest contributor of top-line on the FMEG side. But what now we are trying to do is change the mix more towards switches and switchgears. Switches and switchgears as an industry has lower competitive intensity and hence much better margins than what can be made on the fans and lights side. As and when that mix change will happen, you'll start seeing improvement in margins.

Second thing that should help us is scale. We manufacture everything in-house, even on the FMEG side. And when you are operating at lower capacity, definitely your costs are higher and hence that affects your bottom line. As and when we are able to scale up the FMEG segment, the product categories, you should start seeing improvement in margins there as well.

The third thing that we are trying to do is premiumization. So, in all the product categories, we are trying to be present on the premium side, wherein, again, the margins are better.

Traditionally, we have been only present in one price point but now we have offerings on the premium side in all those product categories. So again, as and when the mix changes more towards sales of our premium products, again, the margins will start to improve.

So, we believe, that going ahead both top-line and bottom line should start to see improvement.

And it will be a gradual improvement, but we still definitely believe that 10% of EBITDA margins in FMEG is something that we should be able to achieve by FY 26.

Onkar Ghugardare: Yes. And the clarification on normalized profit excluding A&P spend, what would it have been?

Chirayu Upadhyaya: So, if you exclude the A&P spends, definitely, there has been an improvement in profitability. I mean, it wouldn't be a significant number but definitely it has been better than what it was in the past quarter.

Onkar Ghugardare: But has there been a profit or a loss or you have broken-even or you haven't still?

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Chirayu Upadhyaya: Again well, if you look at the combination we might have been in a bit of profit.

Onkar Ghugardare: Okay. And in the short term you expect that trend to continue to be in black.

Chirayu Upadhyaya: Definitely. Gradually we'll start seeing much more improvement happening on the bottom-line side as well.

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Moderator: Okay. Thank you so much. Ladies and gentlemen, due to the time constraints that was the last question. I now hand the call over to Mr. Gandharv Tongia for closing comments. Over to you, sir.

Gandharv Tongia: Thank you so much for joining us today. In case if you have any follow-up questions, please do write to us at investor.relations@polycab.com and we will be extremely pleased to attend your queries. Thank you and have a great day. Bye-bye.

Moderator: Thank you. On behalf of Polycab India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2024

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Date: January 25, 2024

To

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BSE Limited

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Listing Department

National Stock Exchange of India

Limited

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Scrip Code: 542652 Scrip Symbol: Polycab

ISIN:- INE455K01017

Dear Sir / Madam

Sub: Submission of Transcript of Earnings Conference Call held on January 19, 2024

Pursuant to Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of Earnings Conference Call held on January 19, 2024.

Kindly take the same on your record.

Thanking you

Yours Faithfully

For Polycab India Limited

Manita Carmen A. Gonsalves

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Encl: As above

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"Polycab India Limited

Q3 FY2024 Earnings Conference Call"

January 19, 2024

MANAGEMENT : MR. INDER JAISINGHANI – CHAIRMAN AND
MANAGING DIRECTOR – POLYCAB INDIA LIMITED

MR. GANDHARV TONGIA – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – POLYCAB INDIA
LIMITED

MR. CHIRAYU UPADHYAYA – HEAD OF INVESTOR
RELATIONS – POLYCAB INDIA LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Polycab India Q3 FY 2024 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need any assistance during the call, please signal an operator by pressing star and then zero on your touchtone telephone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Gandharv Tongia, Executive Director and Chief Financial Officer, Polycab India Limited. Thank you, and over to you, sir.

Gandharv Tongia: Thank you, moderator. Good afternoon, everyone, and thank you for joining us. I hope all of you are staying healthy and safe. I am Gandharv Tongia, Executive Director and CFO at Polycab India Limited. On this call, we shall discuss the Q3 FY24 results, which were approved in the Board meeting held yesterday. We will be referring to the earnings presentation, financial results and financial statements, which are available on the stock exchanges as well as on the Investor Relations web page of our website. Joining me today from the management team, we have our Chairman and Managing Director; Mr. Inder Jaisinghani, and our Head, Investor Relations, Mr. Chirayu Upadhyaya.

Let me now hand over the call to Inder bhai for his comments.

Inder Jaisinghani : Good afternoon, everyone.

Before we get into the main agenda of this meeting, I would request your indulgence to discuss the Company's perspective on some recent developments .

In the last fortnight of the previous calendar year, the Income Tax authorities conducted search operations at our manufacturing plants, facilities and offices. The Company has co-operated fully in their investigations. Since the conclusion of the search, till date, the Company has not received any written communication from the IT department regarding the outcome of the search .

The Company's operations are running smoothly. The entire management team continues to work wholeheartedly to ensure that the Company keeps up on the growth trajectory. The law will take its own course; we will keep our stakeholders posted on future developments .

With that, I turn to the main agenda item .

In the midst of a robust demand environment, our business has maintained strong growth momentum, achieving the highest -ever quarterly revenues during the quarter. Moreover, we achieved the highest third -quarter PAT, as well as the highest -ever nine -month revenue and PAT in the history of the Company. Our exceptional achievements highlight the robustness of our execution skills, skilfully employed through the utilization of our formidable market standing and advantageous market conditions .

With this, I would request Gandharv to give you a flavour of the macro environment .

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Gandharv Tongia: Thank you, Inder bhai.

Indian economy has demonstrated exceptional resilience in navigating global uncertainties, a testament to the government's proactive measures and strategic initiatives. The underlying growth momentum is visible in strong GDP growth numbers, expansion in manufacturing and services PMI s, robust credit off -take, real estate buoyancy, increasing steel and cement output, and higher tax collections. A steady pace of growth in digital payments and consumer goods output have also been noticed.

Furthermore, we can observe that the increase in capacity utilization is coinciding with improved debt positions of the corporate sector. Thus, we believe that the stars are aligned for a pickup in capex activity. All the three elements of the capex cycle: housing, government capex, and corporate capex are now firing, and potential for India's economic growth appears promising with the synchronized momentum across

these sectors.

Supply chain diversification, government's strategic initiatives along with product-linked incentive schemes are driving optimism across industries. Data of new project announcements indicate a notable surge in the chemical industry, metal industry, transport equipment industry and construction materials, including the cement industry.

The favourable momentum observed in the infrastructure, construction and power sector feeds into the demand momentum for cables and wires sector, which has direct linkage with the growth on these industries. The cables and wires sector performance has been robust over the past several quarters and appears promising for the next many years to come.

Against this backdrop, let's delve deeper into Polycab's performance during the third quarter and the first nine months of the current financial year.

I would now hand over to Chirayu to take you through the financial performance for the quarter.

Chirayu Upadhyaya : Thank you, Gandharv.

I would request everyone to refer to Slide 4 of the earnings presentation.

For the quarter ended 31st December 2023, our consolidated revenue grew by 17% year-on-year on the back of healthy volume growth in domestic Wires & Cables business. EBITDA grew by 13% year-on-year with EBITDA margins at 13.1%. EBITDA margins were sequentially lower during the quarter on account of increase in Advertising and Promotion spends, which doubled on a quarter-on-quarter basis to ₹ 90 Crore. Advertising and Promotion expenses accounted for 2.1% of net sales in Q3, a notable increase from 1.1% in the previous quarter. During the quarter, we partnered with International Cricket Council (ICC) to be the official partner of the ODI Cricket World Cup 2023, launched diverse branding campaigns across multiple media platforms and engaged with influencers, including electricians, architects, contractors, dealers, and distributors, to boost awareness among customers. For nine months FY24, Advertising and Promotion spends were at 4.2% of our B2C top-line, in-line with our guidance of Advertising and Promotion spends being in the range of 3% - 5% of B2C top-line every year.

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A detailed breakup of the other income and finance costs have been provided on slide 17 of our earnings presentation.

The Company registered its highest third quarterly PAT of ₹ 4,165 million, a growth of 15% year-on-year. PAT margin stood at 9.6%. Net cash position improved to over ₹ 18,000 million from ₹ 15,000 plus million in Q2, while working capital cycle, at 51 days, was within our comfort range of 50 – 60 days.

On a nine-month basis, our revenues grew strongly by 27% year-on-year. EBITDA was up by 40% year-on-year, with margin expansion of ~120 bps to 13.9%. Margin expansion was achieved through improved gross margins resulting from strategic pricing revisions as well as a favourable change in product-mix. Profit After Tax grew by 46% year-on-year with PAT margin expanding ~130 bps to 10%. As mentioned in the opening remarks, our revenue, EBITDA, and PAT for the first nine months of the financial year are the highest nine monthly numbers in the history of our Company. What's even more remarkable is that our profitability for the first nine months of this year nearly matches last year's full-year PAT number.

Moving on to Slide 6 of earnings presentation.

During the third quarter, the wires and cables business grew by 18% year-on-year, with entire growth coming through volume growth. The domestic W&C business registered a volume growth of 20%+ with both distribution and institutional businesses demonstrating robust performance. Institutional business growth outpaced distribution business growth, albeit on a much lower base. The growth of cables segment continued to be robust, driven by strong government capex, increased infrastructure activity, growing

investments in renewable energy, and a pickup in private capex.

Wires growth, on a year-on-year basis, was soft during the quarter due to rising prices, pause in construction activities in certain states due to pollution concerns, and a slowdown in certain states due to state elections. In spite of this, wires registered healthy sequential growth during the quarter. These factors are transient in nature, and we anticipate that demand will improve in coming months. The demand for residential properties in the country has not only demonstrated remarkable resilience but also soared tremendously, resulting into both launches and annual

sales registering a ten -year high, in calendar year 2023. During both calendar year 2022 and 2023, new launches have outnumbered new sales. As the need for wires in a real estate project typically arises towards the end of the second year or early third year of construction, the launches announced over the past two years will now begin to generate advantages through a heightened demand for wires in the upcoming years .

The International business grew by 22% year -on-year during the quarter, contributing 6.2% to the Company's top -line. For the first nine months of this financial year, contribution from International business to the Company's top -line is at 8.1%. While the past two quarters have seen relatively muted growth, largely on account of transition to the distribution model in the USA and impact of the Israel - Hamas war on the trade route to Europe via the Red Sea, the Company expects International business to exhibit strong performance in quarter four of this financial year as well as beyond .

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Segmental profitability for the wires and cables business remained strong, with EBIT margins at 14%, which is the higher end of our guided range. The sequential decline in margins of ~70 bps in quarter three of this financial year was on account of lower sales contribution from international business and higher Advertising and Promotional spends during the quarter .

Polycab has been actively contributing to the nation -building process for several years. During the quarter, Polycab supplied its cables to various national projects spread across renewables, railways, power, infrastructure, defence sectors and many more .

The demand environment for the wires and cables business is expected to remain strong, for many years to come. As per a recent report, India is likely to spend nearly ₹ 143 trillion on infrastructure in seven fiscals through 2030, more than twice the amount of about ₹ 67 trillion spent in the previous seven fiscals between 2017 and 2023 .

With strong demand momentum and newer opportunities on the anvil, the Company undertook capex of ₹ 636 Crores in the first 9 months of the Financial Year. With further capex planned in quarter four as well, the Company will overshoot its guided capex for the year to incur ₹ 800 – 900 Crores of capex in the current financial year. In FY25, the Company expects to incur ₹ 600 - ₹ 700 Crores of capex .

Please refer to slide number 8 for an update on the FMEG business .

FMEG business has registered a de -growth of 15% year -on-year in Q3 of FY24, primarily on account sustained weakness in consumer demand. Both major verticals of fans and lighting reported de -growth. While fans segment grew sequentially, it exhibited year -on-year de -growth, on account of a higher base of previous year due to stock liquidation activities prior to the BEE transition. On a positive note, premium and BLDC portfolio of the Company is gaining traction, with ~18% of sales in the third quarter generated from these segments. The Company launched 29 new SKUs in the quarter gone by, all of them in the premium and BLDC ceiling fans range. Further, the Company plans to launch another 28 new SKUs in quarter four, again in premium, BLDC and exhaust fans ranges. Th

e Silencio series of BLDC fans launched by the Company

about 3 months back has been very well received. Available in 6 states currently, the Company plans to launch the series in all Indian states within this quarter. With the fans season beginning from February onwards, the new launches are expected to add meaningfully to the FMEG sales for the quarter .

The Lights segment continued its de -growth, driven by further pricing erosion. During the quarter, pricing correction was in the range of 5 -6%, on top of the 20 -22% pricing correction already witnessed in the previous 15 -18 months. Festival related demand too was not as strong as originally anticipated. On the other hand, the Switches & Switchgears segments performed remarkably well, registering a year -on-year growth .

Segmental EBIT for the FMEG business continued to remain in the negative territory during the quarter, on account of higher Advertising and Promotion spends and higher fixed costs in the absence of scale .

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During the quarter, the Company has done a restructuring of its B2C business, merging the FMEG vertical with the Power Business vertical under a unified Business Unit Head. After assessing the performance of the FMEG business in recent quarters, the Company acknowledges that its execution has fallen short of expectations. Consequently, the Company has devised a plan of action to address this issue. As the Company implements these measures, we anticipate

the business to take about 4 quarters to stabilize and be back on the growth path .

Let's now move to slide number 10, which gives an update on our other businesses, which largely comprises of our strategic EPC business .

We clocked revenues of over ₹ 2,000 million in quarter three, a growth of 118% year -on-year.

Profitability grew by 189% year -on-year with segmental margin at 17.4%. Annual sustainable

operating margin in this business is expected to be in high single digit over mid -to-long term.

So, that was the financial update for the quarter and first nine months of the fiscal 2024 .

Thank you, and we are now open for questions .

Moderator: Thank you very much . The first question is from the line of Ms. Sonali Salgaonkar from Jefferies. Please go ahead.

Sonali Salgaonkar: My first question is regarding the exports. You did mention some of the reasons why the exports has declined as a percentage of sales sequentially. Could you give us a little more color into that?

And how -- as in, on what factors do we expect the exports to recover going forward?

Chirayu Upadhyaya: Thanks, Sonali. So as I mentioned in the remarks, a couple of reasons contributed to the decline.

First of them is that we have been transitioning to a distribution -backed model in the US. Now whenever such a change is being made, in the initial few quarters, there are hits and misses that any company goes through. For example, one would like to know which are the faster -moving SKUs and would like to stock those SKUs in the warehouse of the Company. So we are undergoing that change right now. We are getting to know which are those faster -moving SKUs. Once we have that knowledge, we will then stock up on those things and then the sales will recover.

The second reason was the war, which is ongoing between Israel and Hamas. As a result of this, the Red Sea, which is the main route through which we supply our stock to the European region, that has been blocked. As a result, we had to take an alternate route. What this has done is that it has increased our delivery timelines. From what would take initially three weeks, it now takes us six weeks to supply the same stock. As a result, what happens is that whatever business is done in the second half of the quarter, the revenue or profitability from the same will be realized in the subsequent quarter.

So, both of these were the primary reasons because

of which the past couple of quarters have

seen relatively muted growth. But , we are confident that quarter four as well as the next financial year, the business will recover and we will be able to show good momentum on that side.

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Sonali Salgaonkar: Got it. Very helpful. Second question is regarding ad spends. You did mention that you are targeting 3% to 5% of your B2C top -line every year in terms of ad and promotion spends. So , this quarter, that's Q3, would you say this was a bit higher due to the one -off of the -- because of the Cricket World Cup? Do you foresee this as a sustained way of spending in terms of ad spend? And what is the kind of steady -state margins you expect?

Chirayu Upadhyaya: Right. So , we will continue with our guidance of spending on advertising and promotion between 3% to 5% of B2C top -line. Now having said that, not all quarters would be similar in terms of spends. There will be few quarters which will be heavy and some quarters which will be light. And that will largely depend on the major events which are ongoing during that quarter.

So this quarter was definitely one of the heavy ones. But largely, if you look at 9M numbers for this financial year, the A&P spends that we've done would be about 4.2% of the B2C top -line that we've done this year. So again, largely, I mean, everyone should look more in terms of yearly spends rather than any quarterly spends that we have done, and on that front, we will be between our guided range every year.

Sonali Salgaonkar: Understand. And B2C is 35% of your overall sales, right, on an average?

Chirayu Upadhyaya: It would have gone down because B2B has performed relatively better this year. So B2B versus B2C will be more towards 70 :30 now.

Sonali Salgaonkar: Got it. And just last question from my side. This quarter, the other non -operating income at ₹ 71 Crores seems to be a bit higher. Any specific reason or any one -off in here?

Chirayu Upadhyaya: So, we had a one -off income in the form of foreign exchange gains, but this is something which is because of currency movement and not something that will be accrued every quarter, so this was a one -off.

Sonali Salgaonkar: Got it. Sorry, just one last question from my side. You mentioned that the cables growth was robust this quarter and wires demand was softer. Any particular reasons you are seeing? And this softer demand is year -on-year, right? You mentioned it's better Q -o-Q?

Chirayu Upadhyaya: Yes. So wires had a good sequential growth. Last year, Q3 was the best quarter for us for wires sales . So as a result of that, the base was higher for this quarter. And as a result, the growth might seem a little lesser. But largely, the wires market is pretty strong, and we have registered sequential growth in wires as well.

Moderator: Thank you. Our next question is from the line of Mr. Atul Tiwari from Citi Group. Please go ahead.

Atul Tiwari: Congratulations on very strong execution in cables and wires business. Sir, my question is a little off-track, but I thought I would anyways go ahead and ask it, because most of the investors seek to have this question. So obviously, we have seen similar tax search on many other companies listed in the past. And in most cases, it has been resolved and nothing much has happened to the Company.

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And most likely here, the same thing will happen. But what has worried people more in Polycab's case is the press release by income-tax department, even though the press release has not mentioned Polycab. Sir, what is your take on this? This is slightly unusual. So what is your comment on this? And how does it -- does it worry you? Does it not worry you? Any color would be helpful.

Gandharv Tongia: Thank you so much for your kind words. As Inder bhai mentioned a while back, in the month of

December, income tax officials visited our corporate office as well as few other offices and plants and they conducted search, which is a typical section 132 of the income tax search. As you know, search is a slightly longish process because a particular wing of the department is involved initially for search. And once they conclude their process, which generally takes around two months, in few cases probably more than two months, they then provide that report to the assessing officer, and then assessing officer takes the final decision and communicates the final conclusion to the assessee. So, this is what we experienced.

I am aware about the press release you are referring to. I am assuming the department followed its own set of processes and that's why they released that press release. At this stage, since we haven't received anything from the department, we are unable to comment more than what Inder bhai has already covered in his opening remarks. And as we mentioned to the other investors as well, we'll continue to cooperate with the department, and we are looking forward to maintain our focus on the growth and take the Company to the newer heights in the quarters and years to come.

Atul Tiwari: Great. Very clear. And just the last question on the FMEG business. So I mean, obviously, after the distribution rejig, the environment has turned a little hostile for growth in that business. But if we take out the environment part of it, are you happy with the growth that you are doing in the FMEG business? Because to be very frank from outside of the Company, we are yet to see the results of the distribution rejig in the revenue growth number. So any comment on that would be helpful.

Chirayu Upadhyaya: Sure, Atul. So, we will continue to take such steps wherein we believe that such rejigs will help us in the business. While we definitely accept that, yes, the execution hasn't gone as per what we had planned out, and that is why we are now addressing this issue by taking different steps. What we are going to be doing internally is that we have now segregated the business into two verticals, B2B and B2C. The B2B business is being taken care of by Mr. Bhushan Sawhney, and the B2C business will be taken care of by Mr. Ishwinder Singh Khurana. Mr. Ishwinder will have help from various deputy business heads, who will be again helping him with various product level verticals. And that is how we want to proceed on this matter.

While we implement all these changes, it will take us a few quarters, three to four quarters, to make all these changes and for the operations to again run back smoothly, and that is why we believe that next three to four quarters will be required for the business to stabilize and get back on the path to growth.

Moderator: Thank you. Next question is from the line of Renu Baid, IIFL Securities. Please go ahead.

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Renu Baid: My question is, can we quantify the revenue loss in the third quarter from the domestic business, largely due to the IT raid which we had across our facilities, factories and also at the distributors? Because that would have definitely impacted the domestic housing wires as well as the domestic revenue offtake for us.

Chirayu Upadhyaya: So Renu, definitely the end period of the quarter is the best period in terms of sales, but it will be difficult for us to quantify what loss would have been there. But I mean, there will be certain sales which generally happen wherein the distributors stock up their products. And that is something that would have just been postponed to the next month. So that we'll be able to recoup a part of it as well. But it will be difficult for us to quantify on this.

Renu Baid: Sure. Secondly, on the export side, can we share how has been the demand from markets other than Europe, which obviously has been impacted because

use of supply chain. But from U.S. and

other pockets of world, where you're also bidding in projects? And any order book value that we can quantify to share the visibility of the project-driven business in the export market?

Chirayu Upadhyaya: So, the demand continues to be good across the geographies, and we are trying our best to get as many orders as possible from various different geographies, getting ourselves approved in various different geographies. So that continues to go on at our end.

For U.S., specifically, as I mentioned, we are in the midst of a transition to the newer business model. And that is why there will be bit of a slowdown that we are seeing right now. But in terms of demand, there hasn't been any impact.

We do have a good order book, but we don't disclose order books publicly. So that is not something that I'll be able to disclose on this call. But rest assured, we have a pretty good order book for our export business.

Renu Baid: Sure. And currently, at what level would be your factory utilization levels for cables?

Chirayu Upadhyaya: So cables and wires combined, factory utilization would be between 70% and 75%.

Renu Baid: And any clarity on the next leg of capacity expansion that we have beyond the next two years?

Chirayu Upadhyaya: No. So, as of now, we've given our guidance for what capex we are incurring this year and next year. And we continue to incur capex in terms of expanding of the facilities. So even right now, in this year, we've expanded our capacities for cables. And that is something that we'll continue to do. But for any guidance post the next two years, I mean, we'll have to wait for a couple of more quarters, Renu.

Renu Baid: Got it. And lastly, on the FMEG business, while the cables and wires has been a star performer for us, FMEG has been a bit of a drag, can you quantify certain specific measures which you have undertaken apart from change in the leadership to turn around this business over the next four quarters from that perspective?

Chirayu Upadhyaya: So Renu, at this point of time, it would be difficult for us to give out all those points. Over the period of next few quarters, we will be detailing out all the initiatives we are taking in terms of

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operational changes, etc, and if there are any targets that we'll be taking in the future. But yes, as of now, we wouldn't like to comment on it.

Renu Baid: But does the frequent change in the leadership and the teams in the FMEG portfolio worry you, because that has been one of the ailing factors for this business over the last few years. So does that disturb you in terms of the strategic priorities and initiatives that you have been taking in this segment?

Gandharv Tongia: So, Renu, as you know, we are in FMEG business since the last 10 years or so and we have had exits at the leadership level. But as we are one of the emerging challenging brand on FMEG, at times in life you have to take a pit stop, reflect back and see what you need to do next, and that is what we have experienced in the last couple of quarters. We practically have the entire blueprint in place, we have the leadership in place, and the second line under the leadership team is being recruited.

I think at this stage, as Chirayu mentioned, we would not like to divulge everything what we are planning to do, but just give us one or two quarters. Hopefully, once the tyre hits the road, probably we would be able to talk about it with greater detail. But FMEG was and continues to be a focus area, and we firmly believe that this will add a lot of value to all of us at the Company as well as to our stakeholders.

Moderator: Thank you. Our next question is from the line of Amit Mahawar from UBS. Please go ahead.

Amit Mahawar: I just have two broad questions. First is on the cable and wire business. Considering the demand environment

we have, both from domestic and export markets, and the variety you have in terms of offering, especially in cables, and the business profile going ahead, do you want to review and reassess and tell us the profitability direction for cable and wire business? I understand the growth is still going to be very strong, but any comment on profitability? That's my first question, Gandharv.

Chirayu Upadhyaya: Sure. So, on cables and wires, we have always maintained our guidance in terms of EBITDA margins to be in the range of 11% to 13%. We'll continue with that guidance. And again, on the scale front, we've mentioned that if we are able to operate at a better scale, 12% to 14% of EBITDA margin is something that we should be able to realize.

As of now, we are operating at a better scale and hence we are seeing that our margins on the cables and wires business are around 14%. Until such kind of operational level is available to us, we'll be able to continue to operate at this margin range. But if you are putting numbers into

your model, you should consider 11% to 13% as the guided range for this business.

Amit Mahawar: Okay, Chirayu. I'm Assuming and implying there's no change in the cost structure of Polycab. Second question is maybe if we could be helped on FMEG. First of all, I really appreciate and thank you and the management for acknowledging the FMEG business growth path, where Polycab needs to do better.

But from a two to three years view, do you think Polycab needs to be more aggressive and more passionate and more committed about FMEG business, because that is the only segment where Polycab India Limited

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we have not had any significant inorganic path. Most of our competition has followed that and for maybe new product or new market geography. That's on FMEG. And what kind of rejig can we expect in the next two, three years in FMEG? And maybe Inder bhai and Gandharv can also chip-in.

Chirayu Upadhyaya: So, for the FMEG business, we have been and we continue to be very passionate. We have been taking various steps within Project Leap, so that we are able to grow ahead of where the market growth is at.

In terms of inorganic growth opportunities, we continue to evaluate such opportunities practically every day. If and when we do have such an opportunity which is available at a valuation that is acceptable, we might even go ahead and go for this inorganic growth path. But yes, I mean, we continue to evaluate all steps, both internal as well as inorganic growth, so that we are able to scale up the FMEG business and grow ahead of where the market growth is.

Moderator: Thank you. Our next question is from the line of Achal from JM Financials. Please go ahead.

Achal: Sir, the question is, in terms of volume growth, you mentioned about 20% of growth in volumes for domestic segment in wires and cables. Possible to break it up in terms of cables and wires? Is it like cables has grown 30% and wires is kind of 9 -10% or something like that?

Chirayu Upadhyaya: So, cables would have definitely grown faster than wires, and wires volume growth would have been in single digits. And to that extent, you can quantify the cables growth as well, which would be higher than that.

Achal: Understood. Secondly, with respect to the pricing, you did mention that the higher margins are to do with the strategic price revisions and the product mix. Can you help us understand, in terms of the price premium, broadly, I know it will vary SKU to SKU, industry to industry, but is it fair to say that our price premium to the peers would be anywhere between 2% to 5%. Would that be a fair assumption?

Chirayu Upadhyaya: Yes, that's a fair assumption.

Achal: Understood. And would that be true for both wires and cables? Or it is more so for cables

Chirayu Upadhyaya: It would be true for cables. On wires, us and couple of other large peers

, we generally operate at similar price points.

Achal: Understood. And you mentioned about the capacity utilization, 70 -75%. Was that for Q 3? Or was it for nine months?

Chirayu Upadhyaya: Third quarter.

Achal: Third quarter. So given the SKUs what you have, is this the peak utilization or you can actually scale it up to 90 -95% as well?

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Chirayu Upadhyaya: We can go as high as 95% in terms of utilization, but the idea is never to wait to reach that level and continue to do capex every year, so that we have enough and more capacities available to cater to the increased demand that is currently visible in the country.

Achal: Understood. And just last one bit, Chirayu. You mentioned about the Capex. What percentage capacity will it add to? Will it be 10%, will it be 20%? And given the robustness of the demand or the outlook, could there be a possibility of any substantial revision to this just from a next couple of quarter perspective? Could there be a possibility?

Chirayu Upadhyaya: So, we are doing expansion not only in domestic cables, but also OFC cables, cables for export or special purpose cables. So it would be difficult for me to right now give you what percentage growth in terms of capacity will be there for each of them. But definitely, as I mentioned, we wouldn't wait for us to reach 90 -95% of utilization. We would want to be ahead of time and go ahead with that expansion.

As of now, as again, we've guided, we will be incurring between ■ 800 Crores to ■ 900 Crores of capex this year. And next year, we expect to incur between ■ 600 Crores to ■ 700 Crores of capex. But I mean, we are very dynamic at our end. If there are enough and more opportunities

which are available to be captured, we wouldn't shy away from doing additional capex .

Moderator: Thank you . Our next question is from the line of Praveen Sahay from PL India. Please go ahead.

Praveen Sahay: So the first question is related to the wire and cable. If you can quantify how much is the wire contribution for the quarter and nine months? And also in that you had made a statement that pause in the construction and also the price hike has led to the lower growth for wires. So how much is the price hike you had?

Chirayu Upadhyaya: So the price hike, I was referring to the copper price increase that has happened, if you look at last four to five months. But in general, at our end, the price hikes as well as the price decrease that we've done on a net basis in Q3, the contribution from value increase or decrease was nil.

The entire growth that we've been able to achieve is because of the volume growth.

Praveen Sahay: And contribution, if you can give third quarter and nine months?

Chirayu Upadhyaya: So, we used to operate around 70 :30 in terms of cables and wires mix . Because cables has grown faster this year , cables contribution has gone up by couple hundred basis points.

Praveen Sahay: So is this for nine months? Maybe third quarter is lesser than that?

Chirayu Upadhyaya: Similar story for the third quarter as well.

Praveen Sahay: Okay. And one clarification related to the gain and loss on the reduction of investment, which looks a little on the higher side for this quarter. So is that something one -off, and it will not come back in the coming quarters? Is it like that?

Chirayu Upadhyaya: So there were couple of line items. One was a gain from redemptions of mutual funds that we' ve done. Again, that is something that we continue to do every quarter. We have very good cash on balance sheet. Depending on where we invest and when we believe that we are receiving the

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maximum returns, we continue to do the redemption. But it will be difficult to quantify whether this number is something that will be there every quarter or not.

And again, the second

line item was the exchange difference, the gain that we were able to realize because of favourable movement in currency. And again, that is something we can't comment on where the currency movement will be. Again, so that is you can consider it as a one-off, and we'll have different trajectory every quarter on that too.

Praveen Sahay: Great. Then last question on the export. So Y -o-Y side if I look at, there is a good growth . Even though contribution is lower , the growth on the Y -o-Y side for the export is good. And also in the press release you had said that the company anticipated a healthy performance in the business in Q4 and beyond. So is that a reflection that you have a very strong order book, fair to say that?

Chirayu Upadhyaya: Right. So as I mentioned, we do have a pretty good -- pretty strong order book for us on the export business. And again, as I mentioned, there is some form of delay that happens when we're right now supplying our goods to the European region. So again, that postponement of sales is something that played out this quarter. So both of these combined, we expect that Q4 and beyond should be good for the exports business.

Moderator: Thank you. Our next question is from Shrinidhi from HSBC. Please go ahead.

Shrinidhi: Just one question from my end . So the increase in the capex guidance, may I ask what is really driving this increased capex ? And which product category this capex is going?

Chirayu Upadhyaya: So Shrinidhi, because of the better opportunities that we are seeing across all the sectors, we believe that we should be doing this additional capex ahead of time, so that we have enough and more capacity available to capture this demand. Again, we are doing it across all the different types of cables. So , as I mentioned, domestic cables, OFC cables, cables which we are exporting, special purpose cables, etc. So, against all of this and also on EHV plant . So, all of this combined, we are doing this additional capex .

Shrinidhi: Right. And a second question, if I may, one of the drivers for superior margins you have been alluding for recent quarter has been superior product mix. May I ask to give more color on this aspect?

Chirayu Upadhyaya: So, when you look at domestic cables, there are two different types of cables, HDC and LDC, high density and low density. LDC cables are generally better margin cables, and we've been able to improve our mix more towards LDC. So LDC has grown faster. Even in exports, there are different types of cables which accrue us different margins, and we've been able to change the mix more towards those products which help us make better margins. So both of this combined has helped us on the margin front.

Moderator: Thank you. Our next question is from the line of Ashish Jain from Macquarie. Please go ahead.

Ashish Jain : So Chirayu, I had two questions. One is on the capacities which we're adding. How fungible is it across products ? Or is it dedicated for a particular type of product?

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Chirayu Upadhyaya: So, for example, the facility which is there for OFC will be utilized only for OFC. The facility which is used for manufacturing cables which are exported, again, that is not fungible. Within the domestic cables, we have better fungibility available.

Ashish Jain : Okay. Okay. And my second question was on this FMEG business. So why even we are now thinking of restructuring the business or through rework, what is the rationale behind ramping of advertising costs so much in this quarter? Because clearly, next two to three quarters, is a lost opportunity , it might be for us . Or is it like more tinkering kind of stuff that we are doing, or are there things w hich can evolve or how are we do ing on the FMEG side ?

Chirayu Upadhyaya: So, Ashish, the advertising and promotion spends are not only done just for the FMEG business, it also is done widely for the wires business. So again, we have to continue to spend on that part. And again, advertising and branding activities are not something that we can stop for one year, start next year, whenever we want to ramp up that business. It is something that has to be done continuously. That is how we will continue to be in the minds of the customer. And hence, we will continue to do this A&P spends , which is 3 to 5% of B2C top -line, every year .

Ashish Jain : Right. And FMEG, are you kind of looking at a major revolve of what we're doing? Just to understand what the target to change the FMEG to change in that ?

Chirayu Upadhyaya: Ashish, sorry, you were not audible.

Ashish Jain : No, no. I'm saying, FMEG, what are the main -- like what are we looking to change there ? Because this has been a work for us for the last two, three years also. And again, we are coming back and trying to do some recall of that. So what is that we're trying to do different now ?

Chirayu Upadhyaya: So as Gandharv mentioned a few minutes back, we are right now in the initial part of that process of making all this changes . Give us couple of quarters time. Once we have all of this firmed up, we'll be out with detailed information of what exactly are we trying to do differently and what exactly we have done till then.

Moderator: Thank you . Our next question is from the line of Mr. Alok Deshpande from Nuvama Institutional Equities. Please go ahead.

Alok Deshpande: Congratulations on a good set of numbers. Two questions from my side. One, in the next 12 to 18 months, we have a couple of your peers coming up with new capacities in cables. I just wanted to understand that have you in the past ever seen that when new ca pacities come up in the sector, it has impact on pricing? And do you see a situation where it can, because of the added capacity in the market, it can impact your pricing, especially in cables?

Chirayu Upadhyaya: So yes, look, it's true, over the next 12 to 18 months, we'll be seeing a lot of our peers adding capacity. Historically, what has been our experience is that while there might be some pricing revisions that would be done, but they're not material in natur e. In general, the industry has always acted rationally. There has never been an irrational pricing that any peer ha ve undertaken. And we believe that, that is something that will continue to happen in the future as well.

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Anyway s, the demand momentum in the country in various infrastructure and real estate sector is so strong that enough and more capacity is needed from all manufacturers here domestically.

So we don't believe there's going to be any irrational competition to gain market share growth.

Alok Deshpande: Yes, understood. Sir, just one question on FMEG. What are the two, three product lines which you think where you need to sort of work the most within FMEG in terms of either their current sizes or where you think the maximum potential is?

Chirayu Upadhyaya: So Alok, we are focusing a lot on switches and switchgears products within the FMEG business. We believe we have enough and more potential to be one of the big players in those product categories. Over the past one to one & half years, we've set up in -house manufacturing as well as expanded manufacturing capacities wherever were required. We are working on a price -laddering strategy wherein we are trying to have our presence across price points. We are trying to improve our distribution channel and trying to enter as many geographies as possible. We are even trying to do a lot of cross -selling between wires and switchgears. So through all of this, we believe we should be able to do much better on switches and switchgears in the future than what we have done in the past. And the contribution from those two product categories will increase as a percentage o

f the FMEG sales in the future.

Alok Deshpande: And Chirayu, any sense you can give us on what that contribution is ballpark currently? Is it very low? Or is it becoming meaningful? Any color on that.

Chirayu Upadhyaya: So as of now, combined switches and switchgears would contribute in mid -teens to the overall FMEG top -line.

Moderator: Thank you . Our next question is from the line of Natasha Jain from Nirmal Bang. Please go

ahead.

Natasha Jain: Chirayu, my first question is on the wires and cables segment. So the segment revenue has grown by 17% and you said volume has grown by 20%, right?

Chirayu Upadhyaya: Wires and cables top-line has grown by 18%, and the entire growth has been achieved through volume growth.

Natasha Jain: So just wanting to understand, copper prices have risen in the quarter. So, was there a bigger contribution from something like an Etira wires, which is probably a lower margin component in the product basket?

Chirayu Upadhyaya: So, Etira wires are not lower-margin products. On Etira, we make similar margins to our other product categories. Etira is something that we've introduced a couple of years back, and that is something that we introduced to capture the unorganized market, largely Tier 3 to Tier 5 towns or cities of the Country. Etira has seen pretty good penetration in these geographies, and we believe that going ahead, the contribution from Etira wires will continue to increase. But on the margin profile, they are similar to other wires that we have. They're not of lower margin.

Natasha Jain: Understood. My second question, Chirayu, is on the EHV facility. Where are we on that? Are we on track to commission it by fourth quarter of FY'26?

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Chirayu Upadhyaya: So we've guided that the EHV manufacturing plant will be operational by late FY'26. And as of now, we are on track with the timeline.

Natasha Jain: Understood. And lastly, in terms of the FMEG, especially lighting, while I understand value erosion was there, what about the volume? Did it pick up in quarter three, or has that also been a drag?

Chirayu Upadhyaya: So around the Diwali festival, there was a bit of a pickup, but it wasn't on the expected lines. So again, if you look at year-on-year basis, still the volume would have not been on the growth trajectory.

Natasha Jain: Understood. And lastly, one more question, Chirayu. While I understand that in quarter three, the amount of ad spend was high, obviously because of the one-off that the World Cup spend is there, is it possible for you to quantify, actually, because of those ad spends, what is the kind of revenue that we've seen through happening after that?

Chirayu Upadhyaya: Sorry. What do you want me to quantify?

Natasha Jain: So in terms of the ad spend that you did during the World Cup season, how has that positively impacted your sales? Is it possible to throw some color on that, because the ad spend was very high, right? So are we seeing those kind of sales that we anticipated because of this ad spend that we did?

Chirayu Upadhyaya: So Natasha, these are very initial days. As I mentioned, this is something that we have to do every quarter of every year. Definitely, we are seeing a level of improvement in terms of visibility and capturing of the mindset of customers, and our customers are pretty much very well aware of all the product categories that we have on the FMEG offering.

But again, I mean, it will be very, very difficult to quantify what exactly has this ad spend translated to in terms of sales. This is something that will continue to help us in the long run, and we'll continue to spend every year on advertising and promotion in the 3% to 5% range that we've guided.

Moderator: Thank you. Our next question is from the line of Abhijit Akella from Kotak Securities. Please go ahead.

Abhijit Akella: First, just on the

revenue growth and margin profile. So I mean this quarter was a bit soft on the back of whatever issues we've discussed. But next quarter, should we expect an acceleration in terms of both growth and maybe margins versus these levels?

Chirayu Upadhyaya: So, Abhijit, we believe the second half of this year will be better than the first half of this year. That is something that we've guided, and we believe that will continue to happen. It will be, again, very difficult to quantify that and we never give out yearly guidance. So won't be, again, diverging from that practice. But as I mentioned, the second half should be better than the first half of the year.

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Abhijit Akella: Okay. On the EHV capex with Brugg cables, could you just quantify how much of capex has already been incurred on that project?

Chirayu Upadhyaya: So, at this point of time, we wouldn't like to give out the details of this capex. Still the plant becoming operational is still quite far away. So when we are near to that time period, we'll be

able to quantify-- will be quantifying the capex that we've incurred and the various other parameters in terms of what revenue expectations we have and so on and so forth.

Abhijit Akella : All right. And then just to clarify, the FMEG merger with Power, is that the power cable business? And if so, what exactly is sort of the thought process underlying that?

Chirayu Upadhyaya: So Power vertical comprises of wires, switches and switchgears. It has no relation with the cables. Cables is what we call internally more B2B in terms of what I mentioned in terms of different verticals. So this will be a merger of wires, switches and switchgears with the other FMEG product categories, which are fans, lights, and other appliances.

Abhijit Akella : Okay. Understood. Fine. Just one last thing from my side. The main allegation made in the press release by the PIB was regarding the unaccounted cash transactions. So would you like to formally sort of deny that either the company or the promoter group is involved in any such cash transactions?

Gandharv Tongia: So as I mentioned a while back, Abhijit, we haven't received anything from the income tax department so far. Whatever filings we were supposed to do clarifying our position, we have already done that to the stock exchange. And since we haven't received anything from the department so far, the operations are going on. And at this stage, there is no incremental data points which are available on which we can or on which we should provide our comments.

Moderator: Thank you. Our next question is from the line of Mr. Rahul Agarwal from Incred Equities . Please go ahead.

Rahul Agarwal: Firstly, on entire episode, whatever has happened, just wanted to clarify, and I think the previous participant was also looking for the same answer. Purely from a Polycab perspective, I am not bothering much about what income tax thinks, but from your own perspective, in terms of your own internal processes, there were three , four things which were mentioned about sub - contracting expense, logistics, and sales.

The distributors and dealers obviously are free to do whatever wrong they want to do in life. But from Polycab's perspective, from internal process perspective, could you highlight certain steps or certain things which you have done over the years to get your larger distributors and dealers not to engage into such activities. Because I did some checks around this. My sense is there are other companies and peer sets, who are also listed, who have actually gone ahead so much that they've involved their bankers also to ensure that distributors and dealers are part of the same agreement when they do channel finance, and they're also going through a lot of stickiness and compliance. So just from that perspective, that's my first question. If you would highlight you

own internal processes of the channel not getting into such activities.

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Gandharv Tongia: Thank you, Rahul. You know the industry and, of course, the Company. We are the pioneer as far as channel financing is concerned. We do almost 80% to 90% of our business through dealers and distributors. And out of that probably 80% to 90% and some business, more than 90% of the business is done through channel financing. Most of it is without any recourse. And what you are narrating is what we actually introduced to the industry and we are very happy and glad that we are continuing with the same.

On the ethics and governance, we have been extremely, extremely cautious and fully compliant. You know about the pedigree of the compliances we have, right from the Board structure to the auditor to so on and so forth. And since all the audit reports are already in public domain, I don't think at this stage we need to offer any additional comment.

As I mentioned to the previous participant as well that we haven't received anything from the income tax department in terms of the conclusion of the search proceedings. As and when we receive any intimation from the department, we'll proactively come back to the stock exchange and notify. And since we haven't received anything, I don't think it requires any further deliberation at this stage.

Rahul Agarwal: Sure, sure. So obviously, they'll come back with a notice if they have any issues. But from your side, could we assume, as shareholders, that from your side, all the standard practices are being followed and whatever the allegations are made are completely false? Can I make that statement?

Gandharv Tongia: You can certainly make all the statements. I am saying that we haven't received anything from the department. As and when we receive anything from the department, we'll be happy to review that or use that and comment on that. As far as our compliances are concerned, I've already explained as a response to the previous question that we are the pioneer as far as channel finance is concerned in the industry. We have been following that, and we are very confident on our governance and processes.

Rahul Agarwal: Perfect. Just two smaller questions. On FMEG, since the guidance is essentially that it will take another four quarters to stabilize this business because of whatever internal changes is going to happen, should we expect revenue growth next year? Or is it going to be similar to what we saw

fiscal 24, 23 and 25 will look similar?

Gandharv Tongia: So Rahul, you know, our FMEG business, we have had difficulty in actually realizing the potential in last few quarters of FMEG business. And that is why we have decided that for next four quarters, we will probably do what we wanted to do and implement it in a manner which is acceptable to all of us internally. I would request you to give us a couple of quarters, so that we are able to implement what we intend to implement, and then we'll probably give you more guidance on FMEG.

Any which ways, you know, in terms of the contribution to top-line of FMEG to the total business at this stage is not necessarily very material. So if you can give us a couple of quarters, I think that will be a great help.

Rahul Agarwal: Get it. And lastly, on this capex, I think multiple questions have been asked. Essentially, what we all are looking for is to understand where is the capacity getting increased. Now obviously, Polycab India Limited
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from your perspective, it is getting increased across products. For us, I understand EHV is something which you don't want to disclose too early in the cycle, I understand that. But if you could elaborate a bit on whether it's volume-wise or revenue-wise, like what kind of revenue increase should we see in terms of your investment done today? And which are

these

products? It will help us all understand this capex better. So, anyway effort is towards that. Whatever, Gandharv, you can help us understand on this call will be really helpful.

Gandharv Tongia: Sure. So Rahul, let's do it this way. I think it's a very good observation and thanks for highlighting that. Allow us time to come back to you with a more holistic picture on the impact of the current capex and the planned capex on the top-line and bottom line. And we'll probably provide more color in our subsequent calls. But broadly, what Chirayu earlier alluded to, our thought process is not to get to 90% or 95% utilization. And before that, we should be able to add the capacity. But I have taken note of your suggestion. We'll come back to you in the subsequent call and attempt to provide you additional color.

Moderator: Thank you. Ladies and gentlemen, that was the last question of the day. I now hand the conference over to Mr. Gandharv Tongia for closing comments.

Gandharv Tongia: Thank you so much for taking out time. We know that these are -- for many of us are difficult times, for the Company. Since the time of listing, you have supported us. We are looking forward to your support. We never ever did anything which would put anyone in a wrong spot, and we are confident on our compliances. We look forward to come back to you in the next quarter and provide you additional update. Thank you, and have a great day ahead.

Moderator: On behalf of Polycab India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2024

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Date: 17th May, 2024

To

Department of Corporate Services

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai, MH - 400001 To

Listing Department

National Stock Exchange of India Limited

C-1, G-Block, Bandra -Kurla Complex

Bandra (E), Mumbai, MH - 400051

Scrip Code: 542652 Scrip Symbol: Polycab

ISIN: INE455K01017

Dear Sir(s) / Madam(s),

Sub: Submission of Transcript of Earnings Conference Call held on May 10, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 , please find enclosed herewith the transcript of Earnings Conference Call held on May 10, 2024.

Kindly take the same on your record.

Thanking you

Yours Faithfully

For Polycab India Limited

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"Polycab India Limited

Q4 FY 202 4 Earnings Conference Call"

May 10, 202 4

MANAGEMENT : MR. INDER JAISINGHANI – CHAIRMAN AND

MANAGING DIRECTOR – POLYCAB INDIA LIMITED

MR. GANDHARV TONGIA – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – POLYCAB INDIA
LIMITED

MR. CHIRAYU UPADHYAYA - HEAD OF INVESTOR
RELATIONS – POLYCAB INDIA LIMITED

Polycab India Limited
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Moderator: Ladies and gentlemen, good day, and welcome to Polycab India Limited Q4 FY24 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Gandharv Tongia, Executive Director and Chief Financial Officer, Polycab India Limited. Thank you, and over to you, sir.

Gandharv Tongia: Good evening, everyone, and thank you for joining us. I hope all of you are staying healthy and safe. I am Gandharv Tongia, Executive Director and CFO at Polycab India Limited. On this call, we shall discuss the Quarter Four and Full Year 2023-24 results which were approved in the board meeting held earlier today. We will be referring to the earnings presentation, financial results and financial statements, which are available on the stock exchanges as well as on the Investor Relations page of our website.

Joining me today from the management team, we have our Chairman and Managing Director – Mr. Inder Jaisinghani and our Head, Investor Relations – Mr. Chirayu Upadhyaya. Let me now hand over the call to Inder bhai for his comments.

Inder Jaisinghani: Good evening, everyone.

Before we discuss our financial performance, I would like to provide an update on the recent development in the respect to the Income Tax Search event.

Further to the sequence of events that happened during the last fortnight of the previous calendar year, the Company has received requests from the Income Tax Department for filing certain details and providing explanations, all of which are being diligently complied by the Company.

As of the present date, we want to emphasize that no tax demand notice or any other order has been issued to us by the Income Tax department.

We are confident of our compliances and remain committed to maintaining full cooperation with the department's investigative process, extending all necessary assistance as required. Our priority continues to be ensuring transparency and adherence to all regulatory requirements. We appreciate the continued support and understanding of our stakeholders during this period. With that, I turn to the main agenda item.

This past year has been nothing short of extraordinary for us, marked by milestones, growth, and a commitment to excellence that defines our journey. The Company surpassed the monumental milestone of ₹ 180 Billion in revenues during FY24, marking a significant win for our entire Polycab family. This achievement underscores our unwavering dedication to innovation, quality, and customer satisfaction. In addition to our impressive revenue growth, we also achieved the highest-ever yearly profits in our Company's history, further solidifying Polycab's position as the most profitable Company in the consumer electrical industry. With the demand environment expected to remain strong, we are fully prepared to capitalize on this momentous opportunity.

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With this, I would request Gandharv Tongia to give you a flavour of the macro environment.

Gandharv Tongia: Thank you, Inder bhai.

The Indian economy continues to outperform global counterparts, underpinned by a plethora of high-frequency indicators showcasing robust resilience. From strong forex reserves to improving industrial production, higher tax collections and credit growth, the Indian economy remains on a solid footing. Particularly encouraging are the significant milestones achieved in the manufacturing and services sectors, with PMI readings reaching multi-year highs.

Furthermore, the housing market has been a

standout performer, witnessing robust growth in

both volume and value terms, signalling a promising trajectory for the medium term.

On the consumer front, there is encouraging discourse surrounding signs of rural demand resurgence, translating into improved sales for FMCG products. The RBI's consumer confidence index reinforces this sentiment, surging to its highest level since mid-2019. With anticipated normal monsoons, declining inflation rates, and expectations of a rate cut within the calendar year, consumption-driven demand is poised to gradually ascend, resulting in enhanced sales for consumer products and an upswing in private sector capex to bolster capacity in anticipation of the projected demand surge. In conclusion, the Indian economy stands steadfast on a robust trajectory, poised for continued growth and resilience.

Against this backdrop, let's delve deeper into Polycab's performance during the fourth quarter and full year 2023-24.

I would now handover to Chirayu to take you through our financial performance.

Chirayu Upadhyaya: Thank you, Gandharv.

I would request everyone to refer to Slide 4 of the earnings presentation.

For the quarter ended 31st March 2024, our consolidated revenues grew by 29% year-on-year, on the back of healthy volume growth in the Wires & Cable business. This was the first time ever that the Company surpassed ₹ 50 Bn of quarterly revenues. Moreover, our top-line of ₹ 56 Bn for the current quarter is also the highest within the consumer electrical industry. EBITDA for the quarter grew by 26% year-on-year with EBITDA margins coming in at 13.6%, a ~50 bps improvement quarter-on-quarter, on the back of better operating leverage and lower Advertising and Promotion spends, partly offset by lower gross margins on account of increase in contribution from the lower margin EPC business. The Company also registered its highest quarterly PAT, exceeding the threshold of ₹ 5 Bn for the first-time ever, growing 29% year-on-year. PAT margin stood at 9.9%.

For the full year, our revenues grew strongly by 28% year-on-year, surpassing the ₹ 180 Bn mark, which brings us strikingly close to our Project LEAP target of ₹ 200 Bn in annual revenues. EBITDA was up by 35% year-on-year with margin expansion of ~70 bps to 13.8%. Margin expansion was achieved through improved gross margins resulting from strategic pricing revisions as well as a favourable change in product-mix. Profits After Tax grew by 41% year-on-year, with PAT margin expanding ~90 bps to 10.0%. As mentioned in the opening remarks, Polycab India Limited
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our revenue, EBITDA, and PAT for the year are the highest yearly numbers in the history of our Company. A detailed breakup of the other income and finance costs have been provided on slide 27 of our earnings presentation. Net cash position improved to ₹ 21.4 Bn over ₹ 18.9 Bn in Q4 of the previous year, while working capital cycle, at 48 days, showed a tad improvement over the previous year.

Delving deeper into the business-wise performance, please refer to slide 10 of the earnings presentation.

The Wires & Cables business exhibited a growth of 22% year-on-year during the quarter, capping off a stellar year wherein the business grew by 27% over the previous year. Robust domestic demand as well as strategic internal initiatives led volume growth drove the outperformance for the business. The domestic Cables & Wires business registered a volume growth of between 30% to 40%, both for quarter four as well as for the entire year. We believe Polycab has significantly gained market share during the year, with our share of the domestic organized Cables & Wires market increasing to about 25% - 26%, from the 22% - 24% estimated in the previous year. At an industry level, this should translate to a market share of between 18% & 19% for Polycab.

Revenue from international

business bounced back during the quarter with a 60% sequential growth to stand at ₹ 4.3 Bn for the quarter. On year-on-year basis, the international business registered a de-growth during the quarter, which can be attributed to the transition in business model being undertaken in our largest demand geography, the USA. We believe this transition will take another 3-5 quarters to stabilize. During this time, we expect business from other geographies to continue to show robust growth. For example, in the fourth quarter, sales to Middle East, specifically, Saudi Arabia, UAE and others, contributed 60% of the sales for the quarter. We will continue to add newer geographies in our international business so as to create further avenues of growth as well as to reduce any concentration risk. Overall, for the year, contribution from the international business to the consolidated revenue stood at 8.0%. The Company has expanded its global footprint to 79 countries spread across all the continents. Moving on to slide 13 for an update on the FMEG Business

The FMEG business exhibited decent growth during the quarter, as we were able to capitalize on a seasonally strong quarter for fans, our biggest segment within the FMEG business. On YoY basis, the revenues grew by 17%, partly also supported by a lower base in quarter four of the

previous year, which was affected due to high channel inventory on account of the BEE transition in the fans segment. Within fans, we launched over 90 SKUs during the year, with a majority of them in the premium and BLDC range, in line with our premiumization drive. We launched our new range of fans, Silencio, pan-India during the quarter and have received encouraging response. The premium range along with the BLDC range contributed to almost 28% of the fans sales during the quarter, a marked improvement from historical performance, as we derived benefits of focused initiatives to drive premiumization in fans.

The Switches & Switchgears segments continued their strong growth momentum during the quarter, riding on the back of uptick in real estate. Within both these categories, our New Product

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Development initiative is bearing fruits, supported by our efforts on brand building, improvement in distribution network and focus on influencer management. Within the switches segment, the Eтира range, which we introduced towards the beginning of FY24, contributed significantly to the sales for the year. Within the switchgears segment, the 6kA MCBs, again introduced during the beginning of FY24, contributed in early double digits to the yearly sales. As we have communicated in our previous quarterly result calls, we aim to increase the contribution of both these segments in the FMEG basket to improve our profitability, and based on the results so far, we believe we are progressing well in this direction.

Coming to lights & luminaries, the segment registered sequential growth during the quarter, although, the industry still saw a decline in prices in the range of 7% - 8%. We believe, there may still be more price correction in the offing. Within this category too, we are looking at improving the contribution of premium offerings such as panel, ceiling, cob, cove, down lights and so on in the sales mix.

The EBIT margins for the segment registered a significant decline during the quarter, largely on account of couple of one-time impacts. An impact of ₹ 105 million was on account of impairment of our investment in Techno Electromech, wherein we have a 50:50 JV. Due to the losses incurred by Techno on account of the continued pricing decline in lights and corresponding impact on business, the net worth of the Company has eroded completely. As a result, out of abundant caution, we have written off our investment in the JV. The second impact of almost similar size was on account of provisioning we undertook on our aged inventory of lights and fans.

Operational inefficiencies due to lower utilization of capacities further accentuated the margin decline.

Overall, as we communicated in our last earnings call, we are in the process of taking steps to improve our execution of the strategic roadmap. We are making good progress on that front. We anticipate the process to be completed by the end of this calendar year, post which we expect the FMEG business to start growing at a rate better than industry averages.

Let's now move to slide number 16, which gives an update on our other businesses, which largely comprises of our strategic EPC business.

We clocked revenues of ₹ 4,676 Mn in Q4, a 4x growth over the same quarter last year. For the year, the revenues in this business grew by 169% Year-on-Year, to reach ₹ 9,642 Mn. Largely, the increase is on account of the projects we've won under the RDSS scheme of the government, wherein, we now have a good open order book, which is to be executed over the next 3 to 4 years. We expect this business to continue to contribute in single digit to the consolidated Company top-line going ahead.

Profitability for the business grew by 605% Year-on-Year for the quarter with segmental margin at 8.5%. On annual basis, the profitability registered a growth of 156% Year-on-Year, with margins at 11.5%. Annual sustainable operating margin in this business is expected to be in high single digit over mid-to-long term.

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That was the financial update for the quarter. Now, let us talk about our key transformational project called, "Project Leap", which completed 3 years this month. As you all are aware, we embarked on this project post FY21, partnering with BCG, to work on a range of strategic themes and initiatives focused on growth, profitability and long-term capability building for the organization across both B2B and B2C businesses with a goal of achieving ₹ 200 Bn of top-line by FY26. Under the project, we have been working on various streams, clubbed into four key strategic themes, namely Customer Centricity; Go-to-Market Excellence; Winning with New Products; and Setup of Organization Enablers. We have made tremendous progress in each of

these key areas over the past 3 years. I will highlight a few initiatives we've undertaken in the last year under each of these topics one -by-one.

At the heart of our customer -centric initiatives lies a commitment to excellence and innovation. We've bolstered our Key Account Management (KAM) strategy, ensuring that our complete portfolio reaches key builder accounts, thereby enhancing our relationship and service offerings. To amplify our support to influencers, we've assembled a formidable team while integrating a digital -first platform, facilitating seamless engagement and assistance. Moreover, leveraging CRM, we've significantly ramped up efforts by our TSIs, to enhance our outreach and service efficiency, to get better control over pricing, market dynamics and direct dealing with the customers for secondary sales. Leveraging the power of AI/ ML, we've developed a cutting -edge pricing engine, optimizing win rates and mitigating human errors, thus ensuring competitive pricing strategies that resonate with our customers .

In our pursuit of Go -To-Market Excellence, we've undertaken transformative initiatives to fortify our brand presence and market penetration. We've successfully completed a Brand Identity Refresh, unveiling the new brand identity "Ideas. Connected.", symbolizing our commitment to innovation and connectivity. Furthermore, we've intensified our Brand Building efforts by augmenting advertising and promotional activities, amplifying our reach and visibility. Based on data analytics, we've also adopted geography specific GTM initiatives to drive growth, ensuring sustained market expansion. Additionally, we've implemen

ted targeted

initiatives to unlock potential in untapped markets, fostering inclusive growth and market diversification .

In our commitment to innovation and meeting evolving market demands, we've embarked on a series of initiatives to drive New Product Development. Fostering product -led growth, we've expanded our brand portfolio across multiple price tiers in wires, ensuring comprehensive market coverage. The initiative has worked exceedingly well for us, with the new ranges of wires launched over the course of past 2 years, namely Etira, Primma and Green Wires, having contributed north of 30% of the retail wire sales during the year. Impressive performance of similar NPD initiatives within the fans, switches and switchgears have been discussed in our segmental commentary .

In our quest to enable organizational excellence, we've implemented transformative measures aimed at enhancing operational efficiency and strategic alignment. Embracing Vertical Specialization, we've created distinct verticals across all product portfolios in B2C, fostering strategic focus and agility in our operations. Additionally, we've recently launched a new revamped version of our loyalty app tailored for electricians and retailers, with improved Polycab India Limited

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functionalities, fostering stronger engagement and loyalty within our ecosystem. Moreover, through the revamping of our B2B CRM system, we've achieved a remarkable 80% reduction in enquiry time, ensuring swift and seamless customer service. Furthermore, by streamlining our back -office support functions, we've significantly slashed response times by two -thirds, thereby minimizing losses attributable to delayed responses and bolstering overall organizational effectiveness. A continuous endeavour within this arc for us will be identifying the right set of individuals capable of propelling the Company towards its objectives and unlocking its full potential .

On slide 19, we have presented the key themes and priorities for the Company under project Leap for coming years. We will be regularly updating our stakeholders of our progress on the same. We are swiftly approaching our project LEAP target of achieving an annual turnover of ₹ 200 Bn. As previously communicated, we will unveil our new mid -term goal plan during the course of the current financial year .

The previous month marked a significant milestone for us as we celebrated five years since our listing on April 16, 2019. We take immense pride in Polycab's pivotal role in nation -building, and in the process, being able to deliver remarkable growth and generate substantial wealth for our shareholders. Key performance indicators highlighting the Company's achievements since listing have been outlined on slides 7 and 8 of the earnings presentation, while slide 12 provides a brief overview of Polycab's contribution to powering India's development through the supply of cables and wires to diverse infrastructure projects across sectors .

Amidst a significant infrastructure upcycle sweeping across the nation, Polycab reaffirms its unwavering dedication to playing a pivotal role in the country's development journey. We steadfastly pledge to harness our extensive expertise and ample resources towards bolstering vital infrastructure projects critical for the nation's progress. To be able to succinctly deliver on this promise, we have augmented our capital expenditure to enhance our manufacturing capacities. In FY24, we allocated ₹ 8.6 Billion towards capex. Over the next 2 -3 years, we will

be investing between ₹ 10 Bn & 11 Bn, each year, to expand our capacities .
To give you a more granular picture of the capex that we've undertaken in this and coming year, almost 20% of the capex that I just mentioned, will go towards the EHV manufacturing plant in Halol. This will have an asset turnover of 5x to 6x at peak capacity. The plant is expected

to become operational by the end of FY26, contributing to the company's top line from FY27 onwards. A further part of the capex will be utilized towards setting up plants for special purpose cables, cables used in our International business as well as OFC cables. All of this will be in our Halol facility. Over and above this, there will be expansion of facilities for high tension, low tension and other cables at the Daman facility. Across all the incremental capex that we are doing, we expect an asset turnover of about 5x to 6x, thus creating enough opportunities for the company to grow in the future and cater to the incremental opportunities coming in the market . So, that was the update for the quarter and the year. Thank you, and we are now open for questions .

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Moderator: Thank you very much. The first question is from the line of Natasha Jain from Nirmal Bang.
Natasha Jain: Chirayu, just wanted to confirm, you said the volume growth has been 30% to 40%, right?
Chirayu Upadhyaya: Cables & Wires business volume growth was between 30% and 40%, both for quarter four as well as for the entire year.
Natasha Jain: Got it. And in that, can you give me the split between wires and cable separately, if possible?
Chirayu Upadhyaya: So, cables have grown faster than wires. So , cables would be in high 30s whereas wires would be in lower 30s.
Natasha Jain: Okay. So my next question is on the capex figure that you said. So you've said in combination, it will be close to ₹ 12 Bn for 3 years, right, or each year? I could not get that clearly.
Chirayu Upadhyaya: Right. So initially our target for doing capex for next year was between ₹ 6 Bn to ₹ 7 Bn. But looking at the opportunities that are ahead, we believe that we will need to invest much more. And as a result, we'll be investing about ₹ 10 Bn to ₹ 11 Bn each year over the next 2 to 3 years.
Natasha Jain: Got it. And my next question is on copper pricing. So now we've seen a rise in copper prices. And given that the volume growth was 40%, there's clearly a pricing pressure also. So I want to understand, going forward, how do we, in combination, see the pricing pressure plus raw material price increase and therefore, what kind of gross margin can we expect?
Chirayu Upadhyaya: Natasha, we've been in such instances wherein there has been a rise in copper and aluminium in the past, but we have a very robust pricing mechanism within the industry. And we have not seen any material impact of any such rise in copper prices or aluminium prices in the past. So , we believe that even this shouldn't have any form of material impact on neither on our gross margins or on growth.
Natasha Jain: Understood. And in terms of your strong growth, now I understand that copper prices have been rising, and therefore, there has been an increased inventory stocking by the channel. And if that is the case, I just want to understand what kind of growth moderation can we expect in the immediate quarters as a result of this high inventory stocking which happened in the fourth quarter?
Chirayu Upadhyaya: So, Natasha, we don't believe that there is a material increase in the sales number just because of the increase in our copper prices , while there might be a bit of an impact, but we don't believe that it is material in nature. The growth that we have been able to achieve is rather more because of the demand environment, which is there. Over the course of the past one to one and a half years, there are various infrastructure projects which the government has started . We also started witnessing a good amount of progress in private capex as well. And across all the industries, we are seeing pretty good demand. So , we believe that as a result of all of this things, we are realizing good amount of sales, and there shouldn't be any material impact because of increase in copper prices that would have resulted into higher sales in this particular quarter.

Moderator: The next question is from the line of Venkatesh Balasubramaniam from Axis Capital.
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Venkatesh B: The first question is, if you actually look at your cables and wires margins for the full year, it is at historic highs. So , if you look at the EBITDA margin, it is at 16%. If we look at the EBIT margins for cables and wires, it's at 14.7%. The first part of the question is what has driven these

historic highs in margins in FY24?

And the second part of the question is, as you yourself have upped your guidance, you are expanding capacity. I think Havells' cable capacity is coming online in first quarter of the current year. KEI's greenfield capacity is coming online in one year. Do you think that will have an impact in terms of lowering your EBITDA margins because the supply will increase or it just doesn't matter because the demand is so strong?

Chirayu Upadhyaya: So first, answering your first question, the improvement in margins from the cables and wires business during the year has been on account of multiple reasons. First and foremost has been the good amount of operating leverage that we realized because of higher utilization of our capacity. Over and above that, we've been able to improve our margins because of change in product mix. For example, this is something that has played out over the course of the entire year. Between HDC and LDC cables, we've been able to grow the LDC cables at a much faster rate, which are better margin accretive. Other than that as well, in our exports basket, we've been able to get orders for such type of cables, which are better margin accretive. Even in wires, we've been able to realize good amount of margin. Within our FMEG businesses as well, across all the product categories, we have been able to improve on our gross margins. So, on account of all of these reasons, the change in product mix, a bit of change in business mix, all of that has contributed to better margins.

Coming to your second question, in terms of the capex that we're undertaking, it is largely because we see good amount of demand coming in for the next five or ten years, and we don't believe that the current amount of capacities, which is there with the existing players would be able to cater to this new higher demand which is coming up. If you look at various targets which have been laid out by different types of infrastructure sectors, for example, we are going to be increasing our highways by almost 33% over the course of next decade. We are going to be expanding our railways and investing almost ₹7 trillion over the course of next decade on that improvement. On the power side, we are going to be requiring much more power because there was an article just during the day that we are expecting there to be power deficit in India in June. So, there is definitely going to be a need for power capacity expansion. India is betting on the renewables in a big way, targeting to reach 500 gigawatts of energy generation through renewable sources by 2030. On PLI as well, there is a lot going, a lot of investment happening and that too will result into a lot of new set of private capex coming up. So, across all of these sectors, we see enough and more demand coming in over the course of next five to ten years. And as a result, we believe there is need for more capacities from domestic players. In spite of the other capacities coming up from other players, we don't believe that there will be any such case where there will be any form of pressure on pricing or growth because of capacities. We believe the demand is more than enough to support growth for all the players.

Venkatesh B: Now the second question is your cables and wires exports was a little bit weak this year, 4% growth. Now can you please explain why was it weak?

And are those factors reversing next year? What is the outlook for exports growth, cables and wires exports growth for FY25?
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Chirayu Upadhyaya: Right. So, as you are aware, within our International business, we are trying to move to a distribution model, similar to something that we did in India a decade back. We believe that there are a lot of advantages of operating through a distribution model, that is why we want to replicate it in our International business as well. We have started implementing that model within the US, which is our largest demand geography.

Now any business model transition takes some time to stabilize. We are within that phase wherein we are trying to get to know or trying to engage with as many distributors as possible, trying to get to know which products are required in which geography and then manufacturing and stocking within the warehouses of the those geographies. Until the entire stabilization continues, the sales to the US geography will be a bit soft.

But having said that, demand from other geographies is very robust, and we'll continue to add newer geographies to our International bouquet. We keep on adding one or two newer countries every quarter to our international bouquet. And that is where we believe that a lot of growth will be coming up. A very good example of it is in our Q4, which as I mentioned in our initial comments, while the sales to the US was relatively soft, but we were able to grow a lot in the Middle East. Similarly, we see a lot of demand coming in from Europe, Australia and other countries as well. So, we believe that we will continue to grow in our International business. Specific to what amount it will or what rate it will be growing at, I wouldn't be able to comment. But largely, we believe that under our project LEAP, the target that we have taken that we wanted International business to contribute about 10% of our top line by FY26, we should be able to achieve that within that time frame.

Venkatesh B: Okay. Just one small data question. What was your capacity utilization in cables and wires, separately? That is also one.

Chirayu Upadhyaya: So, we don't give out separate utilization rates, but largely combined for cables and wires, we were operating in mid -70s during the quarter.

Moderator: Thank you. The next question is from the line of Girish from Morgan Stanley. Please go ahead.

Girish: Thanks for the opportunity. I just wanted to understand the sustainability of this 15% EBIT margin in the cables and wires business because always you've spoken about at a lower number, but the number keeps going up.

And then the second question is on EPC segment. In the presentation, you said high single digit, but for last 2 years you've been doing 11% EBIT margin in the other segment. I wanted to know the backlog and what should be the sustainable margin in EPC business?

Chirayu Upadhyaya: Sure, Girish. So, on the margins for the cables and wires business, we believe that about 12% to 13% is the margin profile that we should be able to consistently deliver on the cables and wires business. Depending on what kind of product mix, business mix we are able to achieve on quarter-to-quarter basis, the margins might have a positive trajectory. But largely, in the long term, 12% to 13% margin profile is something that we should be able to consistently deliver on.

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Coming to the EPC part. Yes, we have been able to deliver better margins in that business, but we have been very selective in that business until now. Going ahead we are seeing a lot of opportunities coming. For example, we have mentioned the RDSS project undertaken by the government where we have received good amount of orders. We have an open order book of almost ₹48 billion in that business which we have to complete

over the next 3 years to 4 years.

And we believe that if you take a mid to long-term view we should be operating in mid-to-high single digits in that business.

Girish: Okay. And then maybe on the FMEG side if you can help us on an annualized basis, what is the kind of contribution by fans, switches in other segments. And you said that contribution margin has increased broadly for the quarter and probably for the year in FMEG. Can you quantify like what has been like, is it 200 bps delta through the year for FMEG on gross margin level or is it more than that? If you can help on that.

Chirayu Upadhyaya: Sure. So, on your first question, a question of segmental mix. Largely, the fans and lights business both combined would have contributed almost 50%. Both of the segments used to contribute about 60% of the FMEG top line, but because of de-growth that we witnessed in the light segment, the contribution would have fallen to about 50%. The contribution from other segments or business product lines will be almost similar with a bit of improvement in contribution from switches and switchgears segment.

On the contribution margin front, yes, we've been able to realize a good amount of improvement, but we are still lagging a lot as compared to where the industry peers are operating. We are still a long way off as far as what we visualize the gross margins coming in from those product categories should be. So, once we are within reach, we'll be giving out exact numbers of the contribution margins within these product categories.

Girish: Just in terms of your key sectors contributing to cables and wires, if you can help the top two or three sectors which are there and how much they would have contributed for the full year? And on exports the percentage of revenue that is there for FY24, do you think based on your comments that it will probably take some time so how should one think about will it be similar contribution or maybe there is a big step-up in FY26. How should we think about exports contributing?

Chirayu Upadhyaya: So, Girish on the exports front, as I mentioned, we had this target of reaching 10% of contribution from International business by FY26. Based on the demand environment that we see within all geographies wherein we are able to export, we believe that we should be able to achieve that target within that time frame. So largely, I believe over the course of next couple of years we should be able to improve the contribution from the International business. Sorry, I forgot, your first question was on?

Girish: The key sectors contributing to cables & wires growth, if you can quantify the top two, three sectors based on your assessment?

Chirayu Upadhyaya: So, Girish, it would not be possible for us to know which end-sector is exactly contributing to what amount of demand since almost 89% -90% of our sales are done through distributors. Only

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in about 10% of the sales it is wherein we're directly getting in touch or deal with the customers. And the breakup of those 10% might not be equivalent to the 100% mix. So, it will be difficult for us to give the exact end-sectors which are contributing to the demand.

Girish: And then the ₹3,000 crores capex that you've highlighted, ₹3,000 Cr- ₹3,300 Cr, how much of that is going towards FMEG?

Chirayu Upadhyaya: So, it will be a smaller part. We will be expanding our capacity for switches and switchgears plants over the course of next 2 years to 3 years. But yes, relatively, a large part of that ₹3,000 Cr of capex would be going towards cables & wires and a bit towards backward integration and a small part towards the FMEG business.

Girish: There is no new category that you are looking to invest right now?

Chirayu Upadhyaya: Not as of now.

Moderator: Thank you. The next question is from the line of Chandr

a Govindaraju from Ashmore Group.

Please go ahead.

Chandra Govindaraju : Thank you for the opportunity and congratulations on great set of numbers. Sir, on the FMEG project and product side specifically on the fan side, if you could share the volume growth for the year and for the quarter. And in terms of market share where you stand at and how it moved in the last one year - two years?

Chirayu Upadhyaya: So, Chandra, on the fans, this particular quarter has been good for us because this being the peak season for fans, prior to the summer season. We've been able to deliver good growth, but largely, we shouldn't read much into it because the base was relatively smaller as well as we are a relatively smaller player in the fans segment. So, we will be one among the top 10 or top 8 within the fans segment. But we still have a long roadway ahead.

As you are aware, the DNA of the company is always to be the market leader in all the product categories that it is in. We've gone through that journey in cables and wires and we would want to go through a similar journey in all of our product categories within the FMEG business. So, we have a lot of work to be done on the fans side. So, because of our smaller size we might have been growing at a faster rate as compared to the industry or as compared to peers. But I mean, over the long run, the target, the ultimate target is to be first among the top five and then the top three players within each of the product categories.

Chandra Govindaraju : Honestly why I'm asking this question. In the FMEG segment which segment within that segment is contributing higher negative profits for you people either is it lights or fans or the switchgears?

Chirayu Upadhyaya: So, Chandra, on the top line, as I had mentioned in the previous question, the contribution from Fans and Lights combined would be almost 50% of the overall FMEG top line. Switches and Switchgears are the second largest, again, will be contributing in high teens also. And then other categories are pretty small as of now.

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Chandra Govindaraju: Okay. When should we expect positive operating margins in this segment? Will it take another 1-2 years?

Chirayu Upadhyaya: So, Chandra, in this business, we operate a bit different than how our peers operate. What we do is that we manufacture everything in-house. As a result, over the course of past few years, we've invested a lot in building in-house capacities. As of now, the capacity utilization of this capacity is on the lower side.

Over the course of next 2 to 3 years, once we are able to scale up the sales across all of the categories and improve on the capacity utilization, we believe we should be able to improve on the operating leverage or operating efficiencies that we have in that business. Over and above that, what we are trying to do is improve the mix more towards Switches and Switchgears, which are, again, better margin product businesses.

Again, as I mentioned, as of now, it is contributing in high teens, but we will aim to increase their contribution even higher. Again, as we are able to achieve it, that should incrementally add to our profitability.

So largely, these are the levers which are available to us. So, we believe over the course of next 2 to 3 years as we are scaling up our FMEG business, we should gradually be able to deliver on profitability as well.

Moderator: Thank you. The next question is from the line of Shrinidhi from HSBC Asset Management, India. Please go ahead.

Shrinidhi: Thank you for the opportunity and congratulations on great set of numbers. A couple of questions on other segment. You alluded to some RDSS orders. Can you please elaborate this basically orders? And what is the real scope of work here?

Chirayu Upadhyaya: Right. So RDSS is a scheme which is undertaken by the Indian government, wherein the

government is expanding on the power generation and distribution capacities as well as setting up new capacities in spaces where there is a need for one. Over here, there is a component of supplying cables to the projects as well. As a result, we have bid for this project and we've been able to gain a good amount of orders. Overall, the total outlay by the government within this scheme is of about ₹1 lakh Cr. And as of now, we would have roughly an open order book of close to ₹50 billion, which we have to execute over the course of next 3 to 4 years.

Shrinidhi: And would you have a lot of cable going into this ₹50 billion? Or it's just a construction contract?

Chirayu Upadhyaya: No. See, the EPC business for us, as you are quite aware, is kind of an enabler for the cable business. So, we wouldn't go and bid for a project if it's just an execution project. We've undertaken that project because there is a supply of cable element as well. So yes, there is a supplying of cable.

Shrinidhi: Yes. The ₹50 billion, is including the cable what you would be supplying? That's what my question was.

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Chirayu Upadhyaya: Yes.

Shrinidhi: Okay. And here, you are in this order segment, you captured only the construction part of it right? For example, the ₹964 Cr revenue you have had in financial year 2024, that doesn't include cable. Is that understanding correct?

Chirayu Upadhyaya: That's right.

Moderator: Thank you. The next question is from the line of Amit Mahawar from UBS. Please go ahead.

Amit Mahawar: Just one quick question. Congratulations on great year. In FY24, what's our retail house wires top line and market share?

Chirayu Upadhyaya: So, it will be difficult. We wouldn't have done that calculation as of now, probably we'll have to wait for other peers to come out with their results, and then probably we can have a bit more clarity in terms of what is our market share on retail wires, but we are definitely the largest within that segment. But perhaps we can wait for a few more days. And once the results of the other larger peers are out, we will be able to give a more concrete number as far as our market share in retail wires is concerned.

Amit Mahawar: Sure, sir. Maybe the share of Cables & Wires, within that, what's the branded wire? At least you can tell that in FY24?

Chirayu Upadhyaya: I'm sorry, are you asking in FY24, what is the mix of cables?

Amit Mahawar: Yes.

Chirayu Upadhyaya: So last year, it was at about 70-30, 70 cables, 30 wires. This year, since cables have grown at a bit faster rate than wires, it would have moved by a couple of hundred basis points in favor of cables.

Amit Mahawar: Okay, fair. One parting question maybe quickly. We are the only Company which is able to pre-empt the B2B demand, especially on government projects across a few important states, who are spending on the underground cable or other sorts of cable, and the capacity advantage we have, we are the only player amongst, maybe one or two, more. In FY25, any idea of what kind of top line because you have the idea of your order book, in FY25 and FY26, any idea what kind of turnover we do on the domestic government projects?

Chirayu Upadhyaya: So Amit, as you are aware, we don't normally give out yearly guidance. We have closed this year at ₹18,000 Cr of top line. We had the target of reaching ₹20,000 Cr of top line by FY26.

So, we'll revise or will come out with our new mid-term guidance on top line over the course of this financial year. Perhaps at that time, we can give a bit more granular information on what is the mix that we expect between cables and wires, and what level of growth can we achieve.

Moderator: Thank you. The next question is from the line of Anupam Goswami from SUD Life. Please go ahead.

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Anupam Goswami: Sir,

can you give some light on the EHV segment, where are you currently? And overall, there was a plan to merge with some foreign company and partner. So how are these things looking at? And if the EHV segment comes out, what kind of a margin accretion we can see?

Chirayu Upadhyaya: Right. So Anupam, we have started with this EHV manufacturing plant a year or so back. We've guided that we expect that this plant will become operational by the end of FY26 and start contributing towards the company's top line in FY27. We are on that part right now. We are moving in that direction. Yes, we have tied up with a large international player. It is a tie up to get the technology for manufacturing that EHV cables.

As far as the contribution from the EHV segment is concerned, we believe that this plant will help us or will give an asset turnover of between 5 x to 6x. But yes, this is something that's at full capacity, but this is something that will become operational only in FY26 and start contributing in FY27.

On the margin profile, again, I mean, as of now, we only have a visibility of what our other peers who are within this segment are earning, but that might not be the case 2 or 3 years down the line. So perhaps maybe we can comment more on the margin profile that we expect from this business a bit closer to when our plants are close to becoming operational.

Anupam Goswami: Okay, sir. Thank you. I'll turn back.

Moderator: Thank you. The next question is from the line of Onkar Ghugardare from Shree Investment. Please go ahead.

Onkar Ghugardare: Yes. My question was regarding FMEG business. You mentioned that at the end of this calendar year, there will be turnaround in the FMEG business. I mean, could you list out some factors what exactly are doing because if you see quarter -on-quarter, it's been the losses are increasing?

So, any specific points you can give on transformation when it can turn black?

Chirayu Upadhyaya: Sure, Onkar. So specifically, first, commenting on the margins or the losses, which are in this segment, as I've given more colour in terms of what led to these high losses. This was as a result of 2 onetime impacts. But again, having said that, we are on a path to improving profitability within this business. There are a few things that we are doing - we are going to do differently over the course of next 2 -3 quarters.

A large change that we have done is that now we have merged all of the B2C business verticals under one business head. There will be a lot of decentralization of decision -making within that business. And over and above that, what we did was we've identified a few execution gaps that were there on the strategic road map that we had identified for this business within Project Leap. What we are going to be doing over the course of next 2 -3 quarters is allocating responsibility to these new heads who are responsible for this business to close out those execution gaps, and do more precise job of execution – on the improvement of distribution network that we are going to do, more focus on new product development, more focus on influencer management and so on.

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So, over the course of next 2 to 3 quarters, this is the thing - these are the few changes that we are going to do. And hence, we believe that once this is behind us, the FMEG business for us should start growing at a rate which is better than industry average.

Onkar Ghugardare: So, I mean, you are quite certain that by FY26 will be in the black for FMEG?

Chirayu Upadhyaya: So Onkar, one can only believe and try to execute, and that is what we are trying to do. We believe, we have identified the gaps that were there in our execution. And hence, that roadmap is ahead of us in terms of what it is that we need to do differently over the course of next 2 to 3 quarters. If we are able to do what we are planning out to do

, we believe that we should be able

to start growing, at rate, which I just mentioned.

Moderator: Onkar, can you rejoin the queue for your follow -up questions? Thank you. The next question is from the line of Ashish Jain from Macquarie. Please go ahead.

Ashish Jain: Hi, good evening. Sir, my first question is on the EHV. So where are we in terms of our product approvals and all that can it happen parallelly, I guess, for the EHV cables, sir?

Chirayu Upadhyaya: Ashish, there are a couple of things over here. One is, we are still in the process of setting up that manufacturing plant, and the plant will only become operational by end of FY26. So anyways doing commercial - sale of that will only happen from FY27.

In terms of approvals, yes, when there is case for EHV, generally what happens is that you have to get your product approved and you also have to be approved as an EPC Player. Both of this is something that we will be able to get. One of them is because we have a JV with such a player, who has been manufacturing EHV cables for a long time in India and as a result, we have this in place.

As far as the EPC is concerned, we've been in the EPC business for many years, and again, there are 2 more years until our plant becomes operational. So, by the time that our plant will become operational, we will be qualified to supply those cables to the end customers. And hopefully, that should start resulting to a good amount of contribution to the top line from FY27 onwards.

Ashish Jain: Okay. So approvals will not hold us in FY27 in particular, from a revenue point of view, we are confident about that?

Chirayu Upadhyaya: Right

Ashish Jain: Okay. And similarly, a similar question for our Switchgear business. That's another category which historically has been within select players because of the technicality maybe, at least. So where are we on that in terms of our technology partnership and a JV? What have we done there?

Chirayu Upadhyaya: So, in switchgears, we don't have any technology partnerships. We manufacture those in-house. We have our very robust R&D setup. As you'll be aware, a couple of years back, we acquired a small startup by the name of Silvan in Bangalore, and now that team is working as our R&D division for the FMEG business. So those guys are helping us in coming out with newer SKUs,
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newer products, on all of our FMEG products. And that is where we are also coming out with or filling all of our product gaps on the Switchgears business as well.

Ashish Jain: Got it. And last question on the cables & wires export, I know you gave a certain number of - as a percentage of revenue. But can you also talk about where do we see this potential in the next 3-5 years? Can it be a big thing? Or will this 10% as a percentage of overall revenue is the kind of gap we should think about? Or can it be much bigger than that?

Chirayu Upadhyaya: So, Ashish, again as I mentioned, the Project Leap top line guidance is something that we are very close to achieving. And as a result, we'll be revising or coming out with our new midterm guidance in this financial year, perhaps at that time, we'll be coming up with a revised guidance for the international business contribution and growth things as well.

Ashish Jain: Okay. Got it. Thanks a lot and best of luck.

Moderator: Thank you. The next follow-up question is from the line of Natasha Jain from Nirmal Bang. Please go ahead.

Natasha Jain: So, my question - a previous participant already asked, but I'm still not able to clearly go into how do we see it. So, Polycab has consistently over a couple of quarters, rather, a couple of years, been giving guidance in a particular range and they almost always seem to exceed those guidances. Now even for EPC, the newer guidance that you've given, that is the high single-digit, but still we s

seem to exceed that guidance as well. Just a request, as to if you know, we could get more in line with the guidance rather increase the number if that is what we are going to sustainably achieve. That's just one request from our side because it's difficult to then estimate because you consistently beat your own guidances. That's it. No question.

Chirayu Upadhyaya: Thanks, Natasha.

Moderator: The next follow-up question is from the line of Girish from Morgan Stanley.

Girish: Sir, my question was on exports and the right to win in places like U.S. I know we are doing a lot of work there, but I wanted to understand that whether these geopolitics that is there right now, is there any taxes that are levied on U.S. importing the Chinese wires or Mexican wires or anything of that sort which is helping us or which would help us in the next couple of years? Or is it like purely economical driven because they can import wires from or cables from any part of the world. So I'm just trying to understand what's our right to win as a country and as Polycab?

Chirayu Upadhyaya: So, Girish, there are multiple reasons through which we are able to win orders in the U.S. One is definitely the China plus one thing, as you mentioned. Definitely, U.S. and other countries are looking to diversify their supply chain as they don't want to be over-reliant on one single player. That is why they are looking for other alternatives.

Now when looking for other alternatives, obviously, they would want to look at a player who'll be able to provide them at a cheaper price point. And that is wherein they are looking at countries from Asia. And again, India is something that obviously comes among the top 3 in that list. If you look at other players within India as well, I mean we've been working on this geography for
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almost three, four years now. We need to get approvals for various different types of products that you want to supply or provide in that geography. And we have almost all the approvals for all the different types of products that we want to supply. So that is one major reason where we've been able to grow a lot on the US front.

Second thing, and this is something that will help us out in the future is that we establish our distribution network. We will be able to even curtail on our delivery time lines as compared to other exporter of cables. So as of now, how we operate or other people operate is that we manufacture it in India and then there is a transport time of a few weeks to transfer it to U.S. But once we have our warehouse there, our products will be stocked up over there, and we'll be able to deliver within a few days, similar to how we're operating in India. So that can be something that will help differentiate us in the future.

The third point, wherein we are able to win against, let's say, our Chinese competitor is that there is a lot of consistency in terms of the quality and the availability of our products, something which is not very well true or executed by the Chinese players. So even if, let's say, four years,

five years down the line, the import duties, which are there on the Chinese cable is lifted up , there will still continue to be this differentiator in terms of the consistency of quality and product availability as well as the kind of service levels that we are delivering to the end customers. So , I believe it's a host of reasons, so all these host of reasons are the ones which gives us the right to win in U S or rather in all the international geographies.

Girish: Thank you and all the best.

Chirayu Upadhyaya: Thanks, Girish .

Moderator: In the interest of time, that will be the last question. I would now like to hand the conference over to Mr. Gandharv Tongia, Executive Director and Chief Financial Officer, for closing comments.

Gandharv Tongia: Thank you so much for taking out t

ime and reviewing our performance. We deeply appreciate

your support over the years. In case if there are any unanswered questions, please feel free to write to us at our IR mailbox, and we will get in touch with you at th e earliest. Thank you, and have a great day ahead. Bye -bye.

Moderator: On behalf of Polycab India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Jul 2024

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Date: 26th July 2024

To

Department of Corporate Services

BSE Limited

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Dalal Street, Mumbai, MH - 400001 To

Listing Department

National Stock Exchange of India Limited C-1, G- Block, Bandra- Kurla Complex

Bandra (E), Mumbai, MH - 400051

Scrip Code: 542652 Scrip Symbol: Polycab

ISIN: INE455K01017

Dear Sir(s) / Madam(s),

Sub: Submission of Transcript of Earnings Conference Call held on July 19, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of Earnings Conference Call held on July 19, 2024

Kindly take the same on your record.

Thanking you

Yours Faithfully

For Polycab India Limited

Manita Carmen A. Gonsalves

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"Polycab India Limited

Q1 FY 2025 Earnings Conference Call"

July 19, 2024

MANAGEMENT : MR. INDER JAISINGHANI – CHAIRMAN AND
MANAGING DIRECTOR – POLYCAB INDIA LIMITED

MR. GANDHARV TONGIA – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – POLYCAB INDIA
LIMITED

MR. CHIRAYU UPADHYAYA – HEAD OF INVESTOR
RELATIONS – POLYCAB INDIA LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Polycab India Limited Q1 FY 25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Gandharv Tongia, Executive Director and Chief Financial Officer, Polycab India Limited. Thank you, and over to you, sir.

Gandharv Tongia: Thank you so much, Moderator. Good afternoon everyone and thank you for joining us. I hope all of you are staying healthy and safe. I am Gandharv Tongia, Executive Director & CFO at Polycab India Limited. On this call, we shall discuss the Quarter One Fiscal 2024 -25 results which were approved in the board meeting held yesterday. We will be referring to the earnings presentation, condensed financial results and statements which are available on the stock exchanges website as well as on the investor relations page of our website. Joining me today from the management team, we have our Chairman and Managing Director – Mr. Inder Jaisinghani and our Head, Investor Relations – Mr. Chirayu Upadhyaya .

Let me now hand over the call to Inder bhai for his comments.

Inder Jaisinghani: Good afternoon, everyone. We are pleased to have commenced the year on a strong note, achieving the highest ever first-quarter revenue in the Company's history. Our operating margins too remain healthy, reflecting our ability to adapt and succeed in a dynamic market environment. The robust domestic economy, supported by structural reforms focused on infrastructure development, promises strong growth for our diverse product categories. As the demand landscape continues to show strength, we are fully prepared to capitalize on these significant opportunities and drive sustained growth .

Gandharv Tongia: Thank you, Inder bhai.

India continues to be a bright spot on the global map, as is evident from the fact that most high-frequency indicators indicate that the domestic economy continues to remain resilient. Both manufacturing and services PMI rebounded after moderating in May 2024 from the high in March 2024, driven by a sharp rise in new orders. UPI transactions have shown a steady upward trend since their inception, continuing to remain near a record high in June 2024, while credit growth remains healthy at 15.6% year on year in June 2024. GST revenues stood at ₹1.74 lakh crore, marking an 8% growth on a YoY basis, and thus remained above the ₹1 lakh crore mark for 28 consecutive months. Furthermore, the RBI has upgraded the FY25 GDP forecast to 7.2% from its earlier projection of 7%, indicating strong prospects for the domestic economy going forward. This growth was propelled by the ongoing strengthening of manufacturing activity, positive trends in the construction sector, and a gradual recovery in the rural segment. These factors are anticipated to enhance the prospects of household consumption in the future.

However, infrastructure and construction growth slowed down in May 2024, mainly on account of lower government ordering activity due to elections in April -May 2024 and labour shortages. This was a temporary phenomenon and should reverse as government spending picks up in the

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coming months. With stability at the centre, we anticipate policy continuity to drive the overall economic momentum further, with a sustained focus on infrastructure, capital expenditure, and manufacturing, which will occupy centre stage. Furthermore, the improved balance sheet position for the corporate sector and financial sector, alongside a rise in capacity ut

ilization to

an 11-year high of 76.5% in March 2024, is providing support to the nascent recovery in private capital expenditure. Meanwhile, alongside structural policy initiatives such as reduced corporate tax rates, PLI schemes, and the global shift towards multipolarity, encouraging procurement diversity, we foresee these cyclical and structural shifts sustaining a positive cycle of increased investment.

I would now hand over to Chirayu to take you through the financial performance for the quarter gone by.

Chirayu Upadhyaya: Thank you, Gandharv.

I would request everyone to refer to slide 4 of the earnings presentation.

For the quarter ended 30th June 2024, our consolidated revenue grew by 21% year on year, driven by steady performance in Wires & Cables business, ably supported by strong performances in the EPC and FMEG businesses. EBITDA grew by 6% year on year, with EBITDA margins at 12.4%. The notable decline in EBITDA margins was influenced by a shift in our business mix towards segments with lower margins. Specifically, the contribution from our higher -margin international business declined from 8.9% in the same quarter last year to 5.3% in quarter one of fiscal year 2025, while that from our lower -margin EPC business increased from 3% last year to 10% in the current fiscal. The contribution increase from EPC business was accompanied by its own margin decline of ~150 bps year on year, which further added downward margin pressure. Additionally, domestically, our lower -margin institutional business grew at a faster pace than our channel business, which further dampened margins. Our profit after tax stood at ₹ 4 billion, with PAT margin at 8.5%.

Overall finance costs stood at ₹ 413 million and other income at ₹ 584 million. A detailed break-up of our other income and finance costs is provided on slide 17 of our earnings presentation.

Net cash position improved to ₹ 16.3 Bn over ₹ 10.1 Bn in Q1 of the previous year, while working capital cycle, at 64 days, was higher than our comfortable range, due to finished good inventory build-up in the Wires & Cables business. The finished goods inventory build-up was due to sudden fall in demand towards the end of the quarter on account of the sharp decline in commodity prices. The inventory days are expected to normalize in the coming quarters.

Moving on to slide six.

The Wires & Cables segment recorded a steady 11% year on year growth, with the domestic business registering a 15% year on year growth. The past quarter witnessed high volatility in commodity prices, with the sharp decline in the 2nd half of the quarter impacting channel sales. As the commodity prices now seem stable and channel inventory at normalized levels, we expect an improvement in sales performance in the forthcoming quarters. Our optimism stems from the resilient demand environment in India, which continues to outpace many global counterparts, as Polycab India Limited

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highlighted in Gandharva's macro commentary. Looking ahead, we believe that the upcoming Budget will proactively set the tone for economic development in the coming years, aiming for a "Viksit Bharat" by 2047, building upon the transformation witnessed over the last few years. The real estate sector too continues to maintain its impressive growth momentum, as it stepped into 2024 with sales in H1 2024 scaling an 11-year high in terms of half-yearly sales. The sales volumes achieved in the first half of the year, despite the general elections being conducted in quarter two of this year, showcases the strong undercurrent of demand in the market. Project launches too are on a very strong footing. The calendar year 2023 witnessed a 10-year high in terms of beginning of construction in new projects. The first 6 months of this calendar year has already surpassed 80% of the last year's numbers. All such projects will require

wires over the

course of next couple of years, aiding an accelerated industry growth.

Meanwhile, our international business registered a 28% year on year decline, resulting into a contraction in its contribution to the Company's top-line. Further, elevated freight costs compressed the margins in this business.

Overall, the shift in business mix from distribution to institutional sales, coupled with lower international business revenue, contributed to a reduction in margins in the Wires & Cables segment.

Moving on to slide 8 for an update on the FMEG business.

FMEG business recorded solid growth of 21% this quarter, driven by strong demand for fans due to heatwave across several parts of the country. The fan business achieved its highest quarterly sales in the past couple of years. Both the switches & switchgears and conduit pipes & fittings segments showed robust growth, supported by healthy demand in the real estate sector. Besides, our switches business continues to benefit from improved availability through in-house manufacturing, while the switchgears business continues to reap the benefit of our new product development initiatives. The lights & luminaires segment continued to face challenges due to pricing pressure and weak consumer demand. In terms of profitability, we've seen a decline in losses, attributed to lower advertising costs, and boosted by higher contributions from switchgears and conduit pipes & fittings product segments. At an annual level, our advertising and promotion spends will continue to be within our guided range of 3% to 5% of the B2C top-line.

Moving on to slide 10.

This slide provides an update on our other businesses, which primarily comprises of our strategic EPC business. We achieved revenues of ₹ 4,815 Mn in Q1, marking a 292% year on year growth.

Profitability increased by 244% year on year, while segmental margin registered a decline of ~150 bps to 11%. The robust growth within the business was driven by strong execution of the RDSS order book. Looking ahead, we expect this business to maintain its contribution in mid - to-high single -digit range to the Company's consolidated top-line. The annual sustainable operating margin for this business is expected to remain in the high single digits over the medium to long term.

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To conclude the financial update, the industry is experiencing robust demand environment and Polycab is well -positioned to capitalize on this favourable market dynamics. Looking ahead, we anticipate sustained demand momentum throughout the remainder of the year.

As an update on our continuous efforts to improve on corporate governance practices, the Board yesterday has reconstituted its Audit and Nomination and Remuneration Committees. Both these committees will now fully comprise of Independent Directors, in -line with globally accepted best governance practices. This change underscores our commitment to maintaining transparency, accountability, and integrity in our corporate governance framework.

As another positive update, India Ratings has improved the outlook on our credit rating to "positive" from the earlier "on watch with negative implication".

So, that was the update for the quarter. Thank you, and we are now open for questions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question from the line of Praveen Sahay from PL India. Please go ahead.

Praveen Sahay : So, the first question is related to the domestic Wires & Cables business, where if I look at around 15% of the value growth you have reported, can you give some colour on how much is the volume number? Because raw material or copper and aluminium prices also elevated for the quarter quite significantly. So that is the first question.

And the second question, sir, on the international business. So as the

international business are

down by 28%, and in the last call also, you had mentioned about the 3 to 5 quarters, it is going to be impacted, so the current quarterly run rate to be maintained in the rest of the year, how to look at? And also in earlier quarter, you had given a guidance of a 10% contribution by FY26.

So, is that an impact or no?

Chirayu Upadhyaya : Sure. Thanks, Praveen. On your first question, as far as the volume growth is concerned, the domestic Wires & Cables business registered a volume growth of about 10 % while the value growth, because of the increased commodity prices, was there but to a large extent, it was negated because of the effect it had on sales – largely on the channel sales. So that is where the volume growth was. And one needs to take into account that this is on a very high base of previous year. So that is where we believe that the wires & cables business has done reasonably well in this quarter.

On your international business related question, one needs to look at the yearly run rate in this business. So, as against the domestic business, wherein we supply our products within 24 hours or in a matter of few days, an international business has a transit time within that. And as a result, the numbers that one has in a particular quarter is largely the end of the quarter number, but there might be some revenue accruals that might be delayed and will come in the second quarter. So that is where one needs to look at a yearly number as far as the international business is concerned.

But having said that, yes, we've guided that there is a bit of demand softness in one of our largest geography. That is where the international business numbers are a bit softer as compared to

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previous year. But we believe that this will improve gradually going ahead. As far as the contribution to the overall top -line is concerned, we will continue to work on what we have guided. We want the international business to contribute 10% of the company's top line.

Praveen Sahay : Okay. And lastly, if you can give any guidance related to the Leap Project for ₹200 billion revenue for FY26, so is that going to be preponed or how is the target going to change?

Chirayu Upadhyaya : So, Praveen, as you are quite aware, we had this target of reaching ₹20,000 crores of top -line by FY26. We exited the previous year at a top -line of about ₹18,000 crores. And that is where we believe that we should be either able to achieve or beat the guidance ahead of its time. As again we've guided in our previous calls, we are in the process of calibrating our new mid -term guidance. And we will be releasing the new guidance during the course of this financial year.

Mod erator : Thank you. The next question is from the line of Umang Mehta from Kotak Securities. Please

go ahead.

Umang Mehta : My question is primarily on mix. Would it be possible to share the margin differential between your international and domestic and even between domestic distribution and institutional? The context is that somehow 200 -250 basis points contraction in Wires & Cables seems that there is some other element at play as well. Possible to elaborate it on this?

Chirayu Upadhyaya : So Umang, on our domestic business, generally, we make EBITDA margins somewhere between 9% to 11%. And on our international business, the margin profile is a bit better. But this is what plays out in a normal scenario . The last quarter was a bit different , where the commodity prices were quite volatile. This has a material impact as far as the channel sales are concerned , but not as much on the institutional sales, wherein we have back -to-back pricing. So, the margin profile for the past quarter will be a bit different than what we normally have. But again, as we've commented, this is something that we believe should normalize as the commodity

prices now seem stable and even the inventory levels in the channels have normalized. So going ahead, we believe we should be able to resume back towards our margin profile. Even now , we are at the higher end or at a bit higher than our guided margin range within the wires & cables business, and we should be able to improve upon that in the quarters to come.

Umang Mehta : Understood. Sir, just one clarification, so 11% to 13% is your guidance in wires & cables. But last year, I understand we benefited lot from higher capacity utilization. But it would be based on when the commodities are stable, doing better than the top end in the coming quarters. would that be fair to say?

Chirayu Upadhyaya : See, our guided range on cables & wires for the long term is 11% to 13%. But we also think that because as of now, we are realizing better operating leverage, we should be able to generate somewhere between 12% to 14% at EBITDA level. And that is where even now our EBITDA margins are in the first quarter. So , we believe that this level of margins should be able to continue , as well as improve upon as the entire issue with channel sales, which happened in the first quarter, moves away if the commodity prices continue to remain stable.

Mod erator : The next question is from the line of Natasha Jain from Nirmal Bang.

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Natasha Jain : Sir, I have a couple of questions on wires & cables. Firstly, your comment and your peers, too, you said that there was a very sharp inventory destocking by the channel in June. So while I understand this reasoning, there was also a very sharp rise in copper prices from mid -March onwards until May end . So going by that logic, channel must have even restocked inventory at a very high rate. So ultimately, this should actually negate that and not further depress the margin. So sir, can you please comment on this phenomena that how does it play out?

Chirayu Upadhyaya : So, Natasha, your understanding is quite correct. In the first couple of months, the offtake was very good because the copper prices were on the rise. And that is where industry had or the channel had stocked up on inventory. June saw a very sharp decline in commodity prices. And that is where the channel , they kind of went slow as far as new orders were concerned , and utilized the inventory that they had stocked up in the first couple of months. That is why we believe that now, at the channel level, the inventories are at a normalized level. If the commodity prices will continue to be stable, as we've seen over the past few days, then hopefully, that should mean that there should be an improvement in sales as well as margins going ahead.

Natasha Jain : Understood, Chirayu. My second question is on the international business. While that registered a degrowth, so all this while, we've been saying that we're moving to a distribution -based model in the U.S. And now a new commentary is that there is a demand slowdown in that market. So just trying to understand, is it one -off election -based or the dynamics are changing fundamentally there?

Because if that is the case then, are we going to further lose out on order booking in the international market? Is there a preference for other players or other global players and not Indian players? So a little bit if you can touch on how U.S. market is panning out in terms of cables?

Chirayu Upadhyaya : So, Natasha, there has been no material change as far as any preference for particular country players are concerned. We don't believe there is any such sentiment that the country is preferring players from other countries. Largely, the demand slowdown or a slowdown in the sales that we have realized is because of the movement in our business model over there. Of course, we've guided that it will take some more quarters for the new model to stabilize. So once, hopefully,

that is done, the sales from that geography should recover back to its normal levels.

Natasha Jain : So Chirayu, can we expect that the impact from moving to a distribution -led model is greater in terms of numbers getting depressed and lower in terms of really demand not picking up in the U.S.?

Chirayu Upadhyaya : To a certain extent, yes, that is what we can say.

Natasha Jain : Okay. And just one last question, if I may. So you also mentioned that domestically, the institutional business outpaced the distribution. First of all, can you explain is the company taking more orders directly and, therefore, there is more of institutional booking than GT? Because if that's the case, we could probably see more sales and margin moderation because distributors are of the opinion that they prefer Polycab because they are not bypassed in the value chain. So just thinking out loud, if you can help why exactly institutional outpaced the GT this time, that's all. Thank you.
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Chirayu Upadhyaya : So, Natasha, as I mentioned, in institutional orders, we have back-to-back pricing, so we don't get largely affected because of this volatility in commodity prices. And that is why the orders that we have taken in the past 3 to 6 months and where we had to supply cables, those are something that we continued to supply. Whereas the distributors, they take a view on where the copper prices are headed. Generally, the volatility in commodity prices or copper prices in a month is only about 4% to 5%. But last quarter, the volatility was quite high. From mid-March to mid-April, it went up by almost 15%, mid-April to mid-May up by almost 11% and from mid-May to mid-June went down by almost 12%. So, the volatility was quite high. And that is where the distributors, they obviously would not want to miss out on the lower prices that might be available to them in the next month. And that is why there was a slowdown as far as channel sales are concerned. So largely because of this, the mix or the growth rate for institutional was higher than the channel.

Mod erator : The next question is from the line of Rahul Agarwal from IKIGAI Asset Management.

Rahul Agarwal : Thank you for the opportunity. So, two questions firstly on the operating cash flow for the quarter it looks like the cash profit is about ₹450 crore-plus, but the operating cash flow is negative ₹200 crore. I think partially Chirayu explained about inventory being higher, but this thing appears to be larger than that. Could you explain this number please?

Gandharv Tongia : Your observation is right. As Chirayu mentioned a while back, because of change in volatility of copper prices in the month of June we witnessed a slowdown in demand particularly from the channel. We had a very robust run in the last fiscal, and in anticipation we had a slightly higher than actual required inventory at RM level as well as the finished goods level. So that is the reason why the working capital has stretched a bit.

And second reason which he mentioned a while back is the uptick in EPC business and institutional business. As you know, both of these businesses are not on channel financing, which has some impact on our receivable days. So by and large the cash flow which you are reading got impacted because of the change in mix and higher inventory which we believe is transitory in nature and in the quarters to come we should be able to normalize and go back to regular working capital cycle of 50 or 55 days or thereabouts.

Rahul Agarwal : Got it. Fair point. Secondly, on the balance sheet I'm referring to the March balance sheet there is some long-term receivables shown about ₹120 crores which are overdue 12 months. Just wanted to know the nature of these line items please?

Gandharv Tongia : Yes, sure. Your observation is right. As Chirayu mentioned we have a small EPC business. In

general, if you were to reflect on the last year June it was almost 3% of our top line. This year it is 10% of top line. In the EPC business, there are some balances which are retained by the customer as retention money which ranges between 5% to 15% depending on the customer in contractual terms and these as per the accounting standards are required to be classified as long-term receivables. That ₹120 crores is comprising of such balances.

Rahul Agarwal : All right. So when does it get liquidated broadly 15 months or 18 months? What is the timeline there?

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Gandharv Tongia : It ranges between 12 months to 24 months from the end of the contract and any which way, as part of the accounting requirements we are required to carry provision in the books for all types of receivables including short-term and long-term receivables. So that provision in any which way it comes is called expected credit loss provisioning.

Rahul Agarwal : Perfect got it. And just one feedback, not a question. If Inder bhai is on the call, we have been waiting for a Polycab analyst meet to be done from the company's side wherein we could spend some time with the BU heads as well as the next generation of the promoter family Nikhil and Bharat. We would appreciate that this might be helpful to understand what are their thoughts in terms of building this business ahead. So, if that is possible and practical, would request the

company to essentially consider this whenever convenient ?

Gandharv Tongia : Great feedback. Thanks a lot for using this forum to share this feedback with us. As Chirayu mentioned that during the course of the current year we will probably recalibrate the existing guidance. And I think it would make sense to have such interactions once we have the revised guidance in place. So , allow us some time and hopefully in the current fiscal, we should be able to do both of the things .

Rahul Agarwal: Appreciate that, Gandharv. Thank you so much. All the best.

Moderator: Thank you. The next question is from the line of Sanidhya from Unicorn Asset Management. Please go ahead.

Sanidhya : So, my first question is on the part of the margins in the EPC business. So , as observed , the margins on the EPC segment has been quite volatile ranging from somewhere -- positive of 12% -- north of 12% , to currently at 11% stage . And some time back it was less than 10%, that is in single digit . So how do the margins in the EPC business look to us going ahead? And what kind of revenue share it could be in the total revenue?

Chirayu Upadhyaya : Sure. So as far as the EPC business is concerned , you know this is a very strategic business for us, wherein we go and bid in for such a project where there is a good or a large element of cable supply. So, it has not been an area of focus. As and when, whatever quarter we come across such a project where there is a good cable supply we go in and bid for these projects and that is where the margin profile for that segment has varied.

Going ahead, we have a pretty good order book. And that's largely because of the RDSS scheme of the government. We've always guided that within the EPC business , the margin profile in the long term will be in high single digits. And that is something that we'll continue to guide the market. As far as the contribution to the company's top line is concerned, we believe that the contribution will range somewhere between mid to high single digits going ahead.

Sanidhya : So currently you were saying it is around 10%?

Chirayu Upadhyaya : Right. In the first quarter of this financial year , it is at a higher level , of 10%, but that's largely because the normal business , the cables and wires business , it registered a bit lower growth compared to what we generally do, but going ahead , on a consistent basis , if you take a yearly view,

the contribution from the EPC business will range in mid to high single digit .

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Sanidhya : Okay. So , you are suggesting a higher contribution in the top line from the other segments rather than the EPC for the year going ahead that would directly or indirectly help us in EBITDA margins?

Chirayu Upadhyaya : That's right.

Sanidhya : Okay. Thank you. And secondly on inventory days and inventory turnover so we are seeing quite a volatile nature there. In recent last 3 years as well , our inventory days have been continuously increasing. So is it due to the EPC business or it is on the retail side, distribution basically ?

Chirayu Upadhyaya : See again over here you'll have to take a more yearly view rather than a quarterly view. Because depending on the business circumstances in every quarter the inventory days will vary. But in general what we have been able to achieve over the past four to five years is that the inventory days have come down. If you look at the inventory levels that we used to maintain while we got listed five years back , they used to be as high as 130 - 140 days , but since last year , we are now generally averaging somewhere between 100 to 110 days of inventory.

We believe this is a more optimized level of inventory days. We've been able to optimize on that because of the advanced supply chain that we've been able to implement within our system in the country. Depending on what quarter you are looking at , it might be high. In the past quarter as I've already informed in my initial remarks , the inventory levels were high because of higher levels of finished goods that we had on our books because of the kind of demand that we were expecting in June.

But again , what we've guided is that this is transitory in nature and these inventory levels will moderate going ahead in the quarters to come. So, generally at a working capital day view , we believe 50 days to 55 days of working capital days is what is an optimum working capital cycle for us. Within that, the inventory days will be somewhere closer to about 100 days. The receivable days should be somewhere closer to 30 and the payable days will be about 20 days or so minus where the inventory days are. So that is where we believe we'll continue to operate in the mid - to long term.

Sanidhya : Lastly on the FMEG business so even though this was a great quarter for the FMEG business, but you're still not seeing EBITDA positive. So what's your take on this?

Chirayu Upadhyaya : So, we are working on the FMEG business. As we've been guiding in the past few quarterly calls, there are a lot of different things that we are doing within that business. We have a strategic roadmap in front of us on how we want to change that business. We have identified the four

areas where we have to do a lot of work. We are working on improving our reach. We are working on new product development. We are working on improving our brand positioning and we are also working on influencer management. The goal going ahead for us will be to do a good job of execution on all these four identified areas.

As far as the profitability is concerned, that will also gradually improve with time. Over there, there are three levers on which we are working on. Within the product categories that we have in the FMEG business, historically, we've been focused more on fans and lights. But over the past year or so we've started working more on the switches and switchgear segment and both of

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them are such product segments wherein at an industry level the competitive intensity is relatively lower and hence the margin profile is better. So, we are working on increasing the mix of those two product categories within the FMEG business. We've had some success over the past years where the contribution from those two prod

uct categories have inched up. We'll

continue to work on that strategy and that should result into an improvement in margins as far as the FMEG is concerned.

Within the larger product categories of fans and lights, we are working on the premiumization of our offerings. Through our new product development initiatives, we now have offerings across price points. Within both fans and lights, we have been able to improve the contribution from premium products. And that is where we are actually seeing improvement as far as the margin profile is concerned.

And third and again an important point is the scale in the business. As you are well aware, within our FMEG business, we manufacture everything in-house. As of now, the utilization rates are quite low, but as the business scales up and utilization scales up, we'll have operating leverage and that should again help on the margin front. So as far as the goals are concerned, in the near term our first goal will be obviously to curtail the losses and become break-even at an EBITDA level and then gradually enter into profitability.

Sanidhya: Okay. Thank you so much and all the best.

Chirayu Upadhyaya: Thank you.

Moderator: Thank you. The next question is from the line of Sonali Salgaonkar from Jefferies India. Please go ahead.

Sonali Salgaonkar: Thank you for the opportunity. So, my first question is any update on the income tax issue?

Chirayu Upadhyaya: So, Sonali, as of now there is no further update than what we had communicated in our previous investor call. Even as on the present date, we have not received any tax demand notice or any other orders from the income tax authorities. Having said that, it goes without saying, that we are fully committed and we will cooperate with the income tax authorities as far as their procedure is concerned. Our priority still continues to remain transparent and adhere to all regulatory requirements and as and when there is an update to be given we will be very proactive and provide the same to the market as we have been doing in the past few months.

Sonali Salgaonkar: Understood. Helpful, Chirayu. Second question is again on the exports because exports seems to be the main reason for the margin dilution this quarter. So, we understood that there is an interim transition of the business model to a distributor led model in the U.S. How many quarters do you think this impact can sustain?

Chirayu Upadhyaya: So, Sonali, it will still take us a bit of time as far as the geography that we're discussing is concerned, will take us a few more quarters. It's a large geography. And we'll have to have enough distribution in place. We'll need to have knowledge of the fast-moving SKUs and hence, it takes a bit more time to completely move to a different kind of a business model. But having said that, while that continues in the U.S., we continue to work on other geographies. Every

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quarter, we keep on adding new geographies, where we can supply our inventory to. And that is where we'll continue to scale up the business, or international business from the other geographies.

You're correct in your assessment that the larger decline in margins during this quarter has been because of the international business. So, while we had good sales happening in the other geographies, what has also happened is the freight costs have increased over the past few quarters. And hence, when you compare this, the margin profile of international business in Q1 of this year versus Q1 of last year, we had that additional impact. So even in the international sales that we've done in this year, the margin profile is a bit weaker than what we had in the past

year. So that is contributing a bit more as far as the margin suppression is concerned. But as far as the overall demand momentum is concerned, we believe that it's very strong and

that's from across all the geographies. Us being a very small player, we still have a lot of

opportunity to do over here and continue to grow. We'll keep on adding new geographies to diversify our risk over there and keep on adding newer approvals and that is how we'll be able to continue to scale up the international business.

Sonali Salgaonkar : Understood. And our target of exports reaching 10% of sales is by when , FY26?

Chirayu Upadhyaya: Yes. As part of the Project Leap, we target to reach 10% of contribution from international business for FY 26.

Sonali Salgaonkar : Understood. And just one last question, any change in your earlier capex guidance?

Chirayu Upadhyaya: No, there is no change. As you would have seen, during the first quarter, we've done capex of about ₹280 crores. So , we are on track to do the capex on our guided range of ₹1,000 crores to ₹1,100 crores for the year . We believe it should be more towards the higher end of that range.

But yes, we are on track. We believe the demand momentum in the domestic cables & wires business is very strong and believe will continue to be the case for many years to come . We believe there is enough and more requirement for large players like us to add on capacity for us to be able to cater to all the increased demand that will be coming over the next few years. And that is why we continue to work on the capex guidance that we've given.

Sonali Salgaonkar : What's our current average capacity utilization in cables & wires?

Chirayu Upadhyaya: For the first quarter, it was somewhere between 70% and 75%.

Moderator: Thank you. The next question is from the line of Ashish Jain from Macquarie. Please go ahead.

Ashish Jain : Hi sir, Good afternoon. Sir, my first question is my understanding for any particular project, cable & wire is like 4 -5% of the total project cost. So what are these projects?

Chirayu Upadhyaya: You are not very clearly audible. Can you please repeat?

Ashish Jain : I think that to my understanding, for any project cable and wire is like less than 10% of the total project cost. So what are the kind of projects that we are taking where cable and wire is a substantial portion and it makes sense for us to take a full project?

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Chirayu Upadhyaya: As we mentioned, within the EPC segment, we are largely taking the RDSS orders. The RDSS scheme is for revamping the power distribution infrastructure in some geographies and that is where the component of cable supply is high.

So generally, you are correct, in normal projects, the component of cable supply is roughly in low single digits somewhere between 3% to 4%. But in power transmission and distribution , the component of cable supply is higher. And those are the kind of projects we largely undertake in the EPC business.

Ashish Jain : Okay. So this is where the cable is being redone these are not new distribution lines being set up?

Chirayu Upadhyaya: Yes. So as of now , it's kind of an upgradation of existing infrastructure. But what has been guided by the government , is that it might be in the future , in the new RDSS scheme that they might take up post completion of this scheme, which might be also for new infra. Because as you know, in India the power infra has a requirement to be scale up, because of all the investments that we've been doing in the renewable space and the new infrastructure which is required over there . There might be such projects which come up in the future. But as of now, within the RDSS scheme , the outlay is for revamping of existing infra.

Ashish Jain: Right. Secondly, can you share a breakup of your cables & wires revenue between B2B and B2C and what it was, let's say for the whole of last year?

Chirayu Upadhyaya: So, cables versus wires, mix within the segment , cables would have contributed closer to 75% whereas

wires would have contributed closer to 25%.

Ashish Jain : And what is this number for FY24?

Chirayu Upadhyaya: Again, similar, just a few bps lower. So again, as we mentioned, even in this quarter the cables have outgrown wires. And that is where the mix has again gone in favour of cables. But largely, pretty much similar contribution from cables & wires in FY 24.

Ashish Jain: So just one housekeeping question between international and B2C, which is the higher -margin business for us?

Chirayu Upadhyaya: Yes. So, within B2C , the wires business is a better margin business. So generally, when the commodity prices are stable, we make somewhere between 15% to 16% at EBITDA level on the wires business, whereas on domestic cables, we generally make between 9% to 11%.

International businesses is again much higher margin business. But within the B2C as of now it's the wires business which is of better margin . FMEG business is something that obviously is

the future will have profitability coming in.

Ashish Jain : So, the exports is even higher than wires' margin ?

Chirayu Upadhyaya: Yes, that is correct.

Moderator: Thank you. The next question is from the line of Swati Jhunjhunwala from JM Financial. Please go ahead.

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Swati Jhunjhunwala : I just wanted to understand, within the FMEG segment, what are the focus regions that we are looking at in terms of expansion? And do we have any target as to what will the 2,900 retail FMEG dealers that we have, any expansion plan on that? And also related to the FMEG business could you also give me a broad understanding of the mix within the FMEG segment?

Chirayu Upadhyaya: Sure, Swati. So, within the FMEG business, as of now, we have pretty good stronghold in the Western zone of the country and that is where largely our distribution is placed. But obviously, the idea is to improve it across the country. Those 2,900 dealers or distributors which are currently distributing our FMEG products, obviously the number should go up materially. And that is what we are working towards. This is something that will play out in the near future as and when we keep on tying up with newer distributors and dealers.

If you look at the industry leader, they have over 16,000 dealers and distributors. So, there's a lot of work that is required to be done by us on distribution expansion and we are working on that. We have identified the kind of distributors that we want to work with across all the geographies. And the idea will be to improve our presence in all the geographies across the nation.

As far as the mix is concerned, the fans and lights both of them are the larger contributors within the FMEG segment contributing somewhere between 50% and 55% of the FMEG top-line. Switches and switchgears would contribute in high-teens. A similar contribution will be from conduit pipes and fittings and the other businesses are relatively smaller contributing in single digits.

Swati Jhunjhunwala : And just one more thing, cables and wires, which is currently 75 :25, do you expect this to materially change over the next 2 -3 years? Or is it expected to stay within the territories given that there is significant real estate registration that we are seeing in the country?

Chirayu Upadhyaya: So, Swati, as far as the company's intention is concerned, obviously, we would want to improve the mix more towards wires, because wires is a better margin business. But ultimately, the growth rate depends on what kind of growth is being seen as far as the end demand and infrastructure or real estate demand is concerned. For wires, almost 70% of the demand comes from real estate. And that is where, continuous growth in the real estate is important for wires' case.

As far as cables is concerned, the demand is from across various infrastructure sectors as well as industries. And over the past 2 to 3

years, we've seen a lot of investments happening within

that space. And as a result, we've seen that cables are outgrowing wires. But what we do believe is that we are now in that phase of real estate upcycle wherein the demand for wires should start picking up.

We've already seen a couple of quarters where we've seen the demand for wires improving than what we have witnessed over the past decade or so. And that is why we believe that if what we think will pan out, that is where the wires growth will also pick up. And that is where the mix might move more towards wires. So, it will be difficult to say as to what that 75 -25 will look like in next 3 or 4 years. But we do believe that, that mix should change more in favour of wires.

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Moderator: Sorry to interrupt, sir, but the current participant has been disconnected. The next question is from the line of Nikunj Gala from Sundaram Asset Management. Please go ahead.

Nikunj Gala : Just continuing on that part, so in this quarter, where you mentioned 10% volume growth in domestic business, how the growth rate would be bifurcating between Cables & Wires?

Chirayu Upadhyaya: So Nikunj, cables have grown faster than wires. So, it will be in double digits while wires' volume growth will be in single digits.

Nikunj Gala : Sure. So, in the last few quarters like we have seen wires the growth rates are pretty much lower than the cables. I understand, I take your point of real estate. But in the next few quarters, what's the outlook there? Do you see the real estate demand leading to a better volumes in wires?

Chirayu Upadhyaya : So Nikunj, that was what I was referring to. We do believe that there should be a pickup in the demand for wires over the course of the next few quarters. And if that pans out, there should be

an improvement in the mix more towards wires going ahead. It will be very difficult to say whether it will be from the next quarter or a couple of quarters from now. But if we take, let's say, the next 4 quarters or the next 8 quarters view, one should definitely see a pickup in demand for wires because of all the real estate projects which are now undergoing construction across the country.

Nikunj Gala: Sure. And lastly, what would be our capacity utilization in Cables versus capacity utilization in Wires?

Chirayu Upadhyaya: So, utilization rates will be higher in Cables. See, at the company level, we were operating between 70% and 75%. So, cables will be at the higher end of that range whereas wires will be at the lower end of that range.

Nikunj Gala: Okay, thank you.

Moderator: Thank you. The next question is from the line of Girish from Morgan Stanley. Please go ahead.

Girish: Yes, hi gentlemen. Thank you for the opportunity. I'm sorry if I missed this, but a couple of questions. So my first question is to Inder bhai. I think promoter family sold 2% stake at the end of June. Outlook-wise, all comments that are coming through from the business are very positive. I just wanted to understand, it's not a small sum because it's almost ₹2,000 crore. If you can just probably highlight or want to comment on the use of funds and timing of the decision to sell the stake. That was first question.

Gandharv Tongia: Girish, why don't you continue and share all your questions, and then we will go on one-by-one?

Girish: Yes. The second one was this particular quarter, exports were reasonably explained. If you can just provide us some outlook for fiscal 2025 because this number obviously is sub -6%. Can we expect for fiscal 2025 this number to be between, 6% to 6.5% of overall revenues? And the third one is more of I saw there are a couple of changes that have happened on the committee on where it's become more independent. Any initial feedback for the strengthening governance, etc. that have come through, if you'd like to share

any of that update?

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Gandharv Tongia: Thanks a lot. So, I'll probably start in reverse order. We got listed around 5.5 years to 6 years back and corporate governance is at the centre of whatever we do. And it's a journey, right, it's not a destination. So, in our recent interactions, we realized that there are still better practices than what we were following.

In the case of these two committees, which you have rightly pointed out, we had a presence of Chairman in those committees as a member. Though these are perfectly totally aligned with the legal requirement and totally compliant, we realized that if you pick up the large companies in the country, there are only limited instances which are available wherein the Chairman of the company, who is an executive, is also a member of such committees. And we felt that in a step in the right direction would be to not have executive directors in the committees like Audit Committee or NRC. And that is why our Board yesterday decided to reconstitute the committee. Both of these committees now have only independent directors. And that is why that change was done. And we believe that's a step in the right direction. And we will continue to make efforts to further improve our corporate governance practices wherever we believe there is a scope for improvement. Having said that, I would like to call out, that the previous composition was exactly in-line with the legal requirement. So, it was anyway compliant.

Now moving to the first part of the question. Though it is for the shareholders to answer and it's a shareholder's decision, since I'm privy to the decision-making process, I'll probably share that. It would be more comfortable not answering those conversations in a formal setup. But since you've raised it in the formal setup, I will probably attend to that question. So, the promoters raised the money as part of the IPO in 2019. And since then, there was no material transaction. Because it's a fairly large family, as Inder bhai, along with three brothers founded this company almost 50 years, 60 years back. And whatever money was earned by the company was deployed into the business. And over the period, now the second generation is also available, and they also want to do several other things. So, to meet the personal requirements from the second generation of the people who are not involved in the company, they decided to raise some money. Though on the face of it, it looks like a sizable amount, but it's not necessarily a sizable amount when you start thinking about the number of individuals who are involved. And they have their personal needs. They want to have better houses or properties outside of what they already have, few of them would like to explore investment outside of what they have. So, it's only for personal consumption. It is not for any other business ventures or otherwise. And I don't expect this to be a regular feature. This was done practically, if I'm not wrong, first time or second time since the time we got listed. I would tend to believe this is going to be a once-in-a-while-type transaction, not necessarily a regular transaction.

On the second part on exports, I'll probably defer it to Chirayu as he will take the question.

Chirayu Upadhyaya : So, Girish, as I've mentioned in my reply to Sonali, the last quarter was a bit weak because of softness in one of our larger geographies. And again, something which I mentioned to one of the earlier participants was that one needs to take a yearly view rather than a quarterly view as far as this business is concerned.

We believe if you look at our numbers going ahead in every quarter, you'll see an improvement.

And that is why the contribution from international business to the overall company's top -line

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will al

so see an improvement compared to what we have been able to register in the first quarter of this year .

Girish : Thank you and all the best.

Moderator: Thank you. The next question is from the line of Nirransh Jain from BNP Paribas . Please go ahead.

Nirransh Jain: Firstly, I just want to understand, what is leading to this high interest cost in Q1 ? And especially, I understand this might be on the back of higher channel financing, but my understanding is that we are already close to 20% to 25% of channel financing. So in that context, why do we see there's a sharp jump in the finance cost as compared to our top -line growth?

And secondly, my question is more on the margin front. Again, I'm sorry if this has already been answered. But I just want to better understand the major reasons that have been highlighted for margin contraction is on the higher contribution from EPC business as well as the decline in exports. But these two issues seems likely to be there at least in the near term for the next 2 quarters to 3 quarters. Your EPC business is likely to contribute roughly high single -digit versus what it used to be, 2% to 4%, in the last 2 years to 3 years as well as on the export side that, distribution model change has yet to stabilize. So , what is leading to our optimism on these margin expansion from here onwards versus what we saw in the first quarter? That's all. These were my questions.

Chirayu Upadhyaya : Thank you, Nirransh. On your first question on interest costs, interest costs are linked to our procurement, not to channel financing. And channel financing , it's a non -recourse facility, and the facility is between the distributor and the bank. We are not liable to pay any interest on that. As far as the interest or financing cost is concerned, it's because the acceptances have been going up. So , when we procure our raw material, we would employ LCs over there , which is an interest -bearing facility. If you look at the acceptances number, compare it for past Q1 versus this Q1, you will see that there has been a material change. And accordingly, there has been a rise in the financing cost.

On your second part, on the margin of the company, you are correct on your two assumptions, where the EPC business will relatively contribute higher than what it has done in the past. But there are two other things to be considered as far as the international business and the domestic business is concerned.

Within quarter one, since the channel business was affected because of higher commodity prices, and that is where the contribution from that business went down, that had a material impact as far as the margin profile of that segment is concerned. Since the commodity prices are now relatively stable, we believe that this one -off instance, which happened in the past quarter, shouldn't be the case in the quarters to come. And that should result into better or improvement in the margin profile.

On the international piece, again as I've mentioned, there has been an increase in freight cost across the geographies. Again, this is something which is temporary. It should come down in

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the near future. As and when that happens, that should result into an improvement in margin profile.

So, both of this is something which will result into improvement in margin profile and gives us the confidence that we should be able to show an improvement in the quarters to come.

Nirransh Jain: Sure, sir. Thank you for the opportunity.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today's conference call. I would now like to hand the conference over to Mr. Gandharv Tongia for closing comments.

Gandharv Tongia : Thank you so much for your time. We look forward to your continued support. In case if there are any unanswered questions, please feel free to reach out to our group e -mail

ID,

investor.relations@polycab.com. Thank you and take care.

Moderator: On behalf of Polycab India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Oct 2024

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To

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Dalal Street, Mumbai, MH - 400001 To
Listing Department
National Stock Exchange of India Limited
C-1, G-Block, Bandra -Kurla Complex
Bandra (E), Mumbai, MH - 400051

Scrip Code: 542652 Scrip Symbol: POLYCAB

ISIN: INE455K01017

Dear Sir(s) / Madam(s),

Subject: Submission of Transcript of Earnings Conference Call held on October 18, 2024
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations,
2015, please find enclosed herewith the transcript of Earnings Conference Call held on October 18, 2024 .

Kindly take the same on your record.

Thanking you
Yours Faithfully

For Polycab India Limited

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"Polycab India Limited
Q2 FY '25 Earnings Conference Call"
October 18, 2024

MANAGEMENT : MR. INDER JAISINGHANI – CHAIRMAN AND
MANAGING DIRECTOR – POLYCAB INDIA LIMITED
MR. GANDHARV TONGIA – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – POLYCAB INDIA
LIMITED
MR. CHIRAYU UPADHYAYA – HEAD OF INVESTOR
RELATIONS – POLYCAB INDIA LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Polycab India Limited Q2 FY '25 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Gandharv Tongia, Executive Director and Chief Financial Officer, Polycab India Limited. Thank you, and over to you, sir.

Gandharv Tongia: Good afternoon, everyone, and thank you for joining us. I hope all of you are staying healthy and safe. I'm Gandharv Tongia, Executive Director and CFO at Polycab India Limited. On this call, we shall discuss the Q2 FY '25 results, which were approved in the Board meeting held yesterday. We will be referring to the earnings presentation, financial results and financial statements, which are available on the stock exchanges as well as on the Investor Relations page of our website.

Joining me today from the management team, we have our Chairman and Managing Director, Mr. Inder Jaisinghani; our Head, Investor Relations, Ms. Chirayu Upadhyaya. Let me now hand over the call to Inder bhai for his comments.

Inder Jaisinghani: Good afternoon, everyone.

Building on a strong market demand, our business achieved remarkable growth, setting new revenue records for the second quarter and first half of the year. This outstanding performance underscores our exceptional execution capabilities and the strength of our extensive distribution network. Our ability to adapt and respond swiftly to evolving market dynamics has further enhanced our growth trajectory. As is typical, demand is expected to pick-up in the second half of the year, and we are fully prepared with the right team, capacity and operational expertise to capitalize on the opportunity. With ₹100 billion of revenue achieved in the first half, we are set to achieve our Project LEAP goal of ₹200 billion revenue a year ahead of the targeted FY 26 timeline.

With this, I would request Gandharv to give you a flavour of the macro environment.

Gandharv Tongia: Thank you, Inder bhai.

India continues to shine on the global stage, as evidenced by recent projections from major international organizations. Moody's Ratings has revised India's GDP outlook upward to 7.2% for the current fiscal year, an increase from its previous estimate of 6.8%, and has also raised its FY26 forecast to 6.6% from 6.4%.

Supporting this optimistic outlook, GST collections have shown a healthy run rate of over ₹1.8 crores in the current fiscal and have remained above ₹1 lakh crore for 31 consecutive months, indicating sustained domestic demand. Additionally, a higher-than-normal monsoon and an increase in kharif sowing suggest improved prospects for rural demand in the coming months, with festive demand expected to further bolster momentum.

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The services and manufacturing sector PMI has consistently remained above the threshold of 50 since the last 38 months and 39 months, respectively, indicating an expansionary phase. Although the services PMI slightly slowed in September due to cost pressures and subdued international orders, major firms still reported solid job creation and improved business confidence. Further, the recovery in rural demand, coupled with the acceleration of private consumption and a pickup in government expenditure signals continued growth momentum during the remaining part of the year.

The Reserve Bank of India in its latest MPC meeting last week shifted its stance on monetary policy from "Withdrawal of Accommodation" to "Neutral" by unanimous

vote – the first change

since April 2022 and has also retained its FY 25 inflation projections unchanged at 4.5%. Further, RBI remains positive on the country's growth outlook, maintaining a GDP projection at 7.2% for FY 25. Expected interest rate cuts in the 2nd half of the year by the RBI, in-line with global counterparts is expected to further boost the demand momentum.

Overall, the combination of positive growth projections, supportive government policies and improving demand dynamics positions India for sustained economic momentum moving forward.

I would now hand over to Chirayu to take you through the financial performance for the quarter gone by.

Chirayu Upadhyaya: Thank you, Gandharv.

I would request everyone to refer to Slide 4 of the earnings presentation.

For the quarter ended 30th September 2024, our consolidated revenue grew by 30% year -on-year, driven by strong performance across all the business segments. EBITDA grew by 4% Y -o-Y with EBITDA margin at 11.5%. The sequential decline in EBITDA margins of ~90 bps was on account of 3 reasons: first, decline in FMEG segment margin s due to increase in advertising and promotional (A&P) spends relative to the first quarter. This is in-line with industry A&P spend trend , where spends pick up gradually during the year, especially ahead of anticipated festival and seasonal demand. Over and above that, increase in employee expenses , as we added manpower to create vertical -wise sales team, also negatively impacted the margin s. Secondly, within the retail wires business, we witnessed heightened competitive intensity as players looked to maximize volume growth during the heightened demand witnessed in the later part of the quarter as copper rallied by 14% cumulatively, leading to margin compression. Third, the high growth in our lower margin institutional business relative to the channel business on account of continued commodity price decline in July further impacted margins for the quarter. On a year -on-year basis, the EBITDA margin decline was because of 4 reasons: 1) Within the Wires & Cables segment, lower contribution from the higher margin international business, 6.1% this quarter versus 9.3% in Q2 of FY 24 led the bulk of the contraction ; 2) As mentioned in the quarter -on-quarter reasoning, margin compression in wire s, because of the sharp commodity uptrend added to the compression ; 3) Higher losses in the FMEG business on

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account of higher organizational expenses was the third reason , and; 4) higher contribution from the lower margin EPC business also added to the decline.

At the PAT level, our Company achieved its highest ever quarterly PAT of ₹ 4,452 million with a PAT margin of 8.1%. Finance costs for the quarter stood at ₹ 453 million, while other income totalled ₹ 762 million. A detailed breakdown of finance costs and other income is provided on slide 18 of our earnings presentation. Further, our net cash position improved to ₹ 24.3 billion , compared to ₹ 16.4 billion in Q1FY25. In addition, our working capital cycle improved to 44 days, facilitated by the clearance of finished goods inventory built-up in the Wires & Cables business at the end of the previous quarter and improvement in payable days , supported by the increase in acceptance s. Furthermore, our capex for Q2 FY 25 stood at ₹ 2.9 billion, accumulating to ₹ 5.7 billion for the first half of the year, in -line with our guidance of doing ₹ 10 billion to ₹11 billion of capex during the year.

On a half yearly basis, I'm immensely proud to share with you all that our H1 FY 25 Revenue s, EBITDA and PAT are the highest -ever in the history of the Company for a half-yearly period. Our revenues grew strongly by 26% year -on-year, surpassing ₹100 billion milestone , setting us up to achieve ₹ 200 billion revenue goal during the current year it

self. EBITDA was up by 5%

year-on-year with EBITDA margin at 11.9%. PAT grew by 2% year -on-year with PAT margins at 8.3%.

Moving on to slide 6.

The Wires & Cables segment recorded a robust 23% year-on-year growth with the domestic business registering a remarkable 28% year -on-year growth, supported by mid -teen volume growth. The domestic distribution -driven business, while slow in the first couple of months, picked up pace during the end of the quarter. Institutional business continued its strong growth momentum on the back of robust demand.

For the first time in many quarters, wires growth has outpaced cable growth. Our efforts on increasing penetration in the emerging markets as well as expanding the product offering are now bearing fruits. Contribution of ranges launched over the past 2 to 3 years contributed almost half of the retail wire sales during the year. Geographically, growth in wires was driven by the Western and Southern region with substantial contribution from the state s of Maharashtra, Telangana, Karnataka and Tamil Nadu.

Looking at the broader economic landscape, the demand environment remains robust across key sector s. Government spending and infrastructure investment s have picked up following the general assembly election, providing positive momentum. The government is expected to increase its spending over the remaining months of the fiscal year to meet budget targets, which will serve as a significant tailwind for growth.

The real estate market also remains on solid footing, driven by low inventory levels, rising prices and healthy project launches. H1 FY25 recorded the highest number of half yearly new project launches and sales in the last decade. Th ese ongoing projects will continue to drive demand for

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wires over the next few years, contributing to accelerated industry growth. Further, the expected interest rate cuts over the next few quarters will further boost real estate uptake.

The international business registered a 36% quarter -on-quarter increase, resulting into improvement in its contribution to the Company's top-line to 6.1% in this quarter compared to 5.3% in the previous quarter. Order book in countries, excluding the U.S., remained healthy with significant new demand getting generated across countries and sectors. We expect second half of the year to show improvement in international business sales compared to the first half.

On the margin front, we discussed the reasons for the decline a while back. It is pertinent to note that in spite of the contraction, the Wires & Cables business continued to generate margin within the guided EBITDA range of 12% to 14%. Structurally, second half of the year is always margin accretive, and we expect a similar trend this year as well.

Moving on to slide 8 for an update on the FMEG business.

The FMEG business recorded a robust growth of 18% year -on-year despite being a traditionally weak quarter. This growth was driven by success of Company's initiatives on channel expansion, product architecture enhancements and implementation of the influencer management program.

The fans business registered a robust growth year -on-year, albeit on a lower base. Our focus on premiumization within the segment is progressing well with premium fans contribution in high 20s to the overall fans sales during the year. An initiative in the same direction is driving sales through e-commerce, which has seen decent uptick during the year.

The Switchgear segment continued to register heavy growth, supported by strong real estate demand. The Lights and Luminaires segment recorded healthy volume growth, driven by the introduction of 60 -plus new SKUs and addition of ~100 distributors and ~4,000 retailers during the year. However, sales value registered a decline due to ongoing price erosion. Pricing in bulbs and battens remained

almost stagnant during the quarter, however, pricing in non fall -ceiling downlights witnessed 5% to 10% correction during the quarter.

Taking a near to mid -term view, we believe FMEG demand should pick up next year, fuelled by robust real estate growth.

Margin contraction in the segment during the quarter was discussed during the initial comments. Moving on to slide 10.

This slide provides an update on our other businesses, which primarily comprises of our strategic EPC business. We achieved revenues of ₹ 5,488 million in quarter 2, marking 241% year -on-year growth. Profitability increased by 263% year -on-year with segmental margin registering a growth of ~80 bps quarter -on-quarter to 11.8%. The robust growth within the business was driven by strong execution of the RDSS order book. Looking ahead, we expect a similar quarterly run rate over the next 2 years, as we execute our RDSS order book. The business contribution to the Company's consolidated top -line is expected to be mid -to-high single -digit

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range. The annual sustainable operating margin for this business is expected to remain in the high-single digits over the medium -to-long term.

So, that was the update for the quarter.

To summarize the key takeaways, we expect the demand momentum to remain strong in the Wires & Cables business, with second half to be better than the first half. Margins, too, are expected to improve in the second half of the year to be within the guided range of 12% to 14% at EBITDA level. The Company is confident of achieving the ₹ 200 billion top-line goal in the current year itself and is working on its next 5 -year goals, which we intend to disclose by the end of the current financial year.

Thank you, and we are now open for questions.

Mod erator : Thank you very much. The first question is from the line of Ravi Swaminathan from Avendus Spark. Please go ahead.

Ravi Swaminathan: : My questions, many of them are related to the breakup or mix in the cables and wires business. First is, if you can give a breakup of the cable and wires categories, how it is in the first half of this quarter and how it has changed compared to the earlier quarter or the previous quarter in the earlier year?

And within the cable segment, you had mentioned 3 categories. So one is government, private, real estate. Any broad mix as to how this is within the cable space? And within government, if you can give further breakup, railways, roads, power T&D, airports? Even if you include data centers, how it is? So this is my first question, largely related to breakup of the demand. Even ballpark numbers are fine, broad numbers are fine.

Chirayu Upadhyaya: Sure, Ravi. Thank you. As far as cables and wires mix is concerned, as I mentioned, this quarter, the growth for wires was better compared to cables. The growth in wires segment was almost 2x

of that in cables segment. But of course, because of the lower base on wires, the percentage improvement in mix is roughly about 1 percentage point. During the previous quarter or the Q2 of last year, generally, the mix for us as far as cables and wires is concerned was in the handle of 70 to 30. Of course, it keeps on moving a couple of hundred basis points here and there on a quarterly basis. So this time around, the gain in wires mix will be about 100 basis points. As far as the second question is concerned on the demand from various end-segments - see, the demand is very strong across different sectors and we have presence across, irrespective of whatever sector you name, be it railways or roadways, highways, power distribution, manufacturing and so on and so forth. As you are aware, almost 90% of our sales are generally done through distributors and they are the ones who generally end up taking the orders from the end customer. So, in that sense, we wouldn't have

an exact breakup of what sector is generating what form of demand. But we do know that on a relative basis, for us, manufacturing and real estate are the sectors wherein for us, the exposure is higher. Sectors related to energy, transmission, generation, distribution as well as oil and gas and mining are something wherein the exposure is slated to go up. But irrespective of the exposure, we have sales which are done across all the different sectors and we are seeing traction across all of them.
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Of course, quarter 1 was something when the government was a bit slow in terms of ordering on newer investments, but again, that has picked up pace in quarter 2. And as I mentioned in the initial comments, we expect the government investments to improve in the second half of the year. Over and above that, the private investments are again something that we expect will pick up pace going ahead. We see a lot of stars aligning in that direction. Interest rate cuts have already started happening globally. And probably in the second half of the current year, we should see that in India as well. As interest rates go down and borrowing rates for a private Company goes down, as well as the consumption improves as the inflation is under control, the private capex should again start improving. And that is again something that should stand us in good stead, because as I mentioned, for us that most of the sales are through distributors. Manufacturing and real estate are sectors wherein the end customers, they prefer to buy from distributors and that is where we have lower competition. Most of our other peers, they are more institutional in nature, so as and when over the next leg of the infrastructure cycle, when the private investments pick up, it is going to be much more beneficial for Polycab because we have much more exposure over there.

So to summarize, we are very, very bullish on the demand environment of wires and cables going forward, and it's across the different types of sectors, be it government or private.

Ravi Swaminathan: Okay. Specifically, power T&D, you can bifurcate it both our transmission and distribution and then renewables, that is solar and data center. These 4 subcategories, any sense on the exposure that you will be having from the cables and wires side?

Chirayu Upadhyaya: So the power side, we will have relatively lower exposure on the transmission side because largely the extra high-voltage cables are the ones which are utilized over there. Of course, a couple of years down the line when our new facility is up and running, we will have incremental exposures going ahead. But as of now, the exposure is lower. But we are very well present on the distribution side. As you already know, we have a lot of orders on the EPC side within the RDSS scheme, wherein we are supplying a lot of cables for power distribution infrastructure which is getting set up. So distribution is something wherein we have a very good exposure. Of the other sectors which you mentioned, data centers is again something wherein we have approvals, and we are supplying incremental cables too. But of course, if you look at the overall cable industry size, data centers while growing at a very fast pace, is a very small part of the overall mix. So maybe 5 years, 10 years down the line, we can talk a bit more in detail as far as what it is that we expect from that opportunity. But as of now, it is a very, very small part of the overall cables pie and in all the other larger pies, we are growing at a very rapid pace.

Ravi Swaminathan: Understood. And distribution, when we say we have a good exposure, it will be like a high single digit as a percentage of overall revenue? I'm just pushing for numbers, so please bear with me. So will that be a sense? And any schemes that are there in the pipeline, which can further drive

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this growth?

Chirayu Upadhyaya: So, our exposure as a percentage of our overall cables and wires will be in double digits as far as energy distribution part is concerned. And of course, the RDSS scheme is something wherein
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we are very positive on and are applying for the same . And that is where our exposure at least over the next 2 to 3 years seems to be quite good.

Ravi Swaminathan: And next question is with respect to capex . This year, FY 25 and 26, what kind of capex that we are building in? And my last question is with respect to the optic fiber business that you had talked about in the TV, ₹50,000 crores of orders that we are bidding. Is it something completely new or already we have a certain proportion of our cable and wire business from optic fiber?

And if you can give some more clarity as to how much business we are already doing there and how much it can grow into?

Chirayu Upadhyaya: Sure. So , on your first question, for the capex for the year, we will do somewhere between ₹10 billion to ₹11 billion of capex for the year. Most of it will be for the cables and wires business.

A similar run rate is something that we will have next year as well. And again, largely for the cables and wires business, but it will be spread across the different types of cables that we have. So, the domestic cables, which are generating very good demand , the cables that we export, the special purpose cables as well and the EHV facility which we are setting up.

So, the run rate for this year, next year and probably the year after that will be pretty much in the similar range of ₹10 billion to ₹11 billion each year. As far as the second question is concerned on the BharatNet project, yes, we have applied for tenders in the Phase 3 , which were opened in August. We have applied for all 16 packages . While, of course, winning it or not is something that we will have to see when the results come out. But as of now, we do have optical fiber manufacturing capacity at our plant. Contribution to the overall top line of the Company is as of now very low, in low single digit. But if we do get some sizable orders from the BharatNet project , over the course of next 2 to 3 years that can be a much more meaningful number than it is right now.

Ravi Swaminathan: Understood. But can we assume a 20% strike rate in terms of these orders getting converted into order book?

Chirayu Upadhyaya: Ravi, very difficult to say. It's upon the government whom they give out the order to. So we'll probably have to wait out and see who wins what amount of orders .

Moderator: The next question is from the line of Girish from Morgan Stanley.

Girish: Yes. Sorry, if I missed this comment. Can I get the growth in Wires segment this quarter versus Cables segment, volume growth?

Chirayu Upadhyaya: As far as the volume growth is concerned, in Wires it was between 20% and 25 %, and within Cables, it was in early teens. As far as value growth is concerned, for Wires, it was close to 40%, whereas in Cables, it was about 20 -odd percent.

Girish: Okay. Just on the media interview, the management had mentioned that the competitive intensity was on the wire side. I noticed the copper prices started going up, I think, in the last 2, 3 weeks of the September quarter.

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So wanted to understand like what really happened there because that also is a reason on margins being slightly weaker on a year -on-year basis. So wanted to understand, normally, you guys take price hikes every 15 days in Wires segment. And I mean, if the prices are going up, then why did the competition resort suddenly to price cuts in an increasing price environment, input cost environment? That was the second question.

Chirayu Upadhyaya: Girish, generally, the price revision that we take are more on a monthly

basis, and that is the

generally followed method for us. As far as the price hikes or passing on is concerned, see, in cables, while we have a very good market share and we are way ahead of the second or third largest competitor , within wires, while we are the leader, the second and third largest competitors are pretty close as far as the market share is concerned. And all of them have a specific part of the country wherein they have very good stronghold on. So over there, it's very difficult for us to control the prices. We have to be in alignment with what the industry is following. In the last part of the quarter, specifically in September when the prices went up by almost 10% to 12%, the distributors, obviously, they wanted to cash in on this benefit because they wouldn't want to wait until October when the price pass -on would happen , and seeing the kind of demand that was generated , and as you are aware, within the wires industry, there is no capacity constraint - everybody is sitting on additional capacity – so, everybody wanted to optimize on their volume growth, and that is where everybody tried to gain on as much market share as possible.

Since we wanted to protect our market share, we also did as much of sales as possible, and that is where the margin compression has happened. But as I had mentioned in the initial comments, hopefully, such kind of high volatility or increase or decrease trend is something that we should not see. If a bit more stable fluctuations happen in copper prices, which has generally been the

case historically, you wouldn't see any such material compression, et cetera, in margins. It's just that over the past 3 to 4 months, the fluctuations in commodity prices have been way higher. And because of this, you have seen a different kind of margin trend for the industry this time around.

Girish: So just a follow-up on that. So I believe Gandharv also mentioned that above \$500 volatility is a lot more difficult to pass on, on the wires side given the capacity that exists. And cables that is not a problem today, I appreciate that point.

But would it be fair to say that with more cable capacity coming through and if there is such volatility, maybe you could have a similar situation in cables also if the volatility persists at these levels because we can't forecast the price of copper or aluminium, right? So I'm just trying to understand that the pricing discipline that exists today for cables and it got deviated for wire, can it happen in cables a few quarters down the road?

Chirayu Upadhyaya: See, Girish, the scenario on cables is completely different than in wires. In wires, all the peers or the entire industry is sitting on additional capacity. So in a particular quarter or a particular month if there is a way higher demand, everybody can actually utilize the capacities and start cashing in and do a lot more of sales. But that is not the scenario in the cables sector. Plus with the kind of demand momentum or demand which is expected going ahead, we genuinely believe that even the capacities which are being put up right now, those will fall short. So we don't

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envisage a scenario in which a similar thing plays out in cables, which has played out in wires in this quarter.

Girish: And just last question. I believe you guys have participated in BharatNet tenders worth ₹50,000 crores thus far. Obviously, this is subject to review and tenders actually getting awarded. And you also mentioned that margins will be similar to domestic Cables & Wires. Just from an accounting perspective, will this be more classified in the Cables & Wires domestic revenues whenever you win such tenders? Or will it be more EPC tenders? And what is the -- like a TAM here on a slightly more longer-term basis, if you can comment on that?

Chirayu Upadhyaya: So Girish, there will

be a cable supply component of the contract and there will be an EPC part of the contract. The cable supply component will be classified within the Cables & Wires in the segmental classification and the EPC part of it will be within the EPC. It's pretty much similar to the RDSS project that we are executing right now wherein the cable supply gets accounted in the Cables & Wires segment, whereas the EPC part is in the other segment.

Girish: And roughly like a ballpark, ₹1,000 crore's project here, could be how much cable versus EPC roughly, if you are to win a ₹1,000 crore's project?

Chirayu Upadhyaya: It actually varies depending on which state tender you are winning. Once the tender is awarded to us, we'll be in a better position to answer that question.

Moderator: The next question is from the line of Pulkit Patni from Goldman Sachs.

Pulkit Patni: Sir, my questions were what Girish have already asked, so I don't have any further questions.

Moderator: The next question is from the line of Achal Lohade from Nuvama.

Achal Lohade: Yes. My first question is pertaining to the industry. You did mention that the capacity addition in cables will probably be short of the demand what you're seeing at the industry level. Is it possible to get some sense where are we in terms of the capacity and terms of volume or value? And what kind of capacity addition are we seeing for Cables segment.

Chirayu Upadhyaya: So, as we've guided, we will be doing ₹10 billion to ₹11 billion of capex each year for the next 3 years. Majority part, roughly, let's say, about 70-odd percent of the entire capex will be towards the cables and wires business. The capacity addition for us will be something which will continue to happen in phases. Of course, a part of that entire capex is going towards EHV plant, which will be something that will become operational by the end of FY 26. But for everything else, it is something wherein the capacity will be coming up in phases.

As of now, anyways, for us, capacity is not a constraint. We are having additional capacity in place. So for us, it's not something that derails our growth rate. But of course, looking at the future demand expectations, it's very important that we put up those capex ahead of time so that we are not in a scenario where there is demand, but we are not able to service that. So that is why we are doing the kind of capex that we are going to be doing for the next 3 years.

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Achal Lohade: Correct. Sir, I'm trying to understand more from the industry perspective what kind of capacity addition are you seeing? Is it 40%, 50%, 70%? Or is just 20%, 25% you're seeing, which is

giving comfort or conviction that the demand will outpace the capacity addition?

Chirayu Upadhyaya: So Achal, the calculations which we've done is based on the announcements with other listed players and our other larger non-listed players have made. We believe that going ahead, the growth rate in cables at an industry level will be somewhere closer to 2x of the real GDP number, which gives us a rough estimate of the kind of incremental demand, which will be coming up over the course of next, let's say, 3 to 5 years.

If you look at the kind of capacities and utilization rates of the larger peers, which are currently there and the announcement that made in terms of the newer capex that they are putting up for cable capacity, you roughly arrive at the conclusion that this is going to be lesser than what kind of demand which is estimated to be coming in. Over and above that, exports or international business is something which is a very, very big opportunity. And obviously, most of the larger players in the country are looking to take advantage of that as well. Again, we have to have additional capacity for that as well.

So looking at both the variables, one largely arrives to the co

nclusion that there will be a

requirement for much more capacity. And I believe over the course of next 2 to 3 years, we will actually continue to hear much more capacity addition announcements from the industry.

Achal Lohade: Understood, understood. Any colour you can provide with respect to the demand momentum in the exports market? Are you seeing any sign of weakness, struggle out there? Or it is as robust as it was in the past year?

Chirayu Upadhyaya: See, demand momentum across different geographies will vary depending on whatever is the scenario in the country at that point of time. But being at the level that we or any other Indian player is, we are as of now quite small as far as the overall export or demand opportunity is concerned. So largely, any weakness or so in a particular geography shouldn't affect the kind of growth numbers that we should be able to exhibit.

Of course, there can be some internal things related to each Company and how they are operating, which might affect, for example, scenarios where the freight costs are much higher and if a certain trade route is closed. I mean, that can derail our exports to a particular geography. But in general, we believe that exports is a very big opportunity than what we have currently been able to tap into. And the growth rate within international business, if you take a 3 - to 5-year view, that growth rates will be higher compared to the domestic cables growth rate that we'll be able to see.

Achal Lohade: Great. And just one last question, if I may. You did make a comment with respect to the wires, the competitive intensity was much higher in the September month. Is it fair to say that the impact of that on the Wires margin, which is probably the second highest segment for us in terms of margin hierarchy, the impact could be 3 to 4 percentage points and that's why the margin impact on the aggregate Cables & Wires as well?

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Chirayu Upadhyaya: See, if you take a sequential view, our margins in the Cables and Wires are only compressed by 30 bps. So to that extent, it won't be as high as the percentage that you have mentioned. But of course, it is the major reason for the compression.

Achal Lohade: Right. But Q-o-Q, the exports also picked up, right? I mean, the scale is better. So, the operating leverage apart from the mix also, right?

Chirayu Upadhyaya: Yes. So, two parts over there: one, definitely, as you rightly mentioned, the international business has picked up quarter-on-quarter and that would have helped in terms of the margin.

But the second point, which you mentioned was the operating leverage. So if you recall, in quarter 1, we had mentioned that we are operating at 70% to 75% of our capacity utilization. This quarter, the utilization rate is somewhere between 60% and 70% because a part of newer investment of capex that we did, the capacity came up for us. Plus, the second thing is, if you recall, by the end of the previous quarter, we had a lot of inventory, finished goods inventory on our books, which we couldn't sell because the demand kind of nosedived during the end of the quarter. We were able to liquidate that during the course of this quarter. And hence, we were not required to manufacture or utilize much more of our capacity as compared to what it was in Q1. So operating leverage to that extent would have been impacting negatively. So, all these 3 to 4 variables would have impacted the entire margin differential between Q1 and Q2.

Moderator: The next question is from the line of Amit Mahawar from UBS. Please go ahead.

Amit Mahawar: I have 2 quick questions. I understand the copper and the inventory part, very well understandable. But one of the biggest segment for us is underground cables under RDSS where we are, by far, having a higher market share possibly than the general cable and wire sector. Whe

n you export our cables, generally, are these interchangeable? So my point is, supposing temporarily there's a slowdown in underground cables and eventually picks up, can you divert towards higher export, just to understand? I know probably capacities are fairly fungible, but export market as a qualification in this market. So I just wanted to understand that fine, that's first.

Chirayu Upadhyaya: Yes, the capacities are fungible between the different types of cables. So, if there is a slowdown in a particular type of cables demand, you can use that capacity for other avenues including exports.

Amit Mahawar: Second question is more about last 3 years, there was a very strong unprecedented demand in both domestic and export market and maybe Polycab was the only player, which could see it come in, right, very clearly. Can we say next 3 years, especially in cables, the competition is far better ready and keen than it was in the last 3 years and it could have some impact on sector profitability in general. Is that statement correct?

Chirayu Upadhyaya: See, Amit, kind of profitability that we have been able to register over the past 2 to 3 years, –or rather the improvement, it's not just because we were the only player who had the capacity.

There are a lot of variables that went into the play over there. We have been able to improve our sales through channel, which is a better medium in terms of profitability. Further, we have been able to change the mix of the kind of cables that we were selling domestically, plus the

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improvement in the contribution of exports. All of this have contributed towards the improvement in margin. So, it is not correct to say that even if going ahead, there are capacities coming up for our peers, we'll see any form of slowdown or compression in margins.

As I mentioned a while back, we do believe the kind of demand which is expected over the next 3 to 5 years is way ahead of what the capacities which are coming up within the industry. And to that extent, as of now, sitting on this particular day, we don't believe there should be any form of material margin compression because of whatever incremental capacities are coming up.

Amit Mahawar: And maybe a third quick one is, next 3 years, where will be our export volumes or maybe in value terms, what is that we're targeting in exports?

Chirayu Upadhyaya: Sure. So, I mean, the guidance on exports is something that will be a part of our next 5 years guidance that we are working on right now where we are trying to come up or release that guidance during the course of this financial year, and that will give you a very clear idea of what it is that you can expect in terms of contribution from international business as well as the domestic growth rate, et cetera and so on and so forth.

Moderator: The next question is from the line of Shrinidhi Karlekar from HSBC.

Shrinidhi Karlekar: A couple of questions on the RDSS business that you do. May I ask the current order backlog that you have in this part of the business? And second thing is, how is the whole order prospect pipeline looking like in this?

Chirayu Upadhyaya: Sure, Shrinidhi. So, as of now, as at end of September, the open order book of the RDSS scheme for us was roughly about ₹48 billion. That is something that we have to execute over the course of next 2 to 3 years and that is why we gave a comment that over the course of next 2 to 3 years, we'll see probably similar run rate on EPC or the other business in quarterly revenue.

As far as the incremental opportunity is concerned, there are still a lot of orders which are yet to be coming. We've applied for many of them. Of course, as of now, it is very difficult to say what it is that we will be able to get because again, it's similar wherein that the government, which is kind of awarding it because as and when during the

the course of this year, we get those incremental orders, we'll probably disclose the open order book, and that should give you an idea of what to expect on that front.

Shrinidhi Karlekar: And the second question is on the whole EBITDA margin that you generate, both what you book in your cable business and what you book in the EPC part of it. May I ask what is the blended margins that you get or some colour on what are the margin versus your portfolio margins?

Chirayu Upadhyaya: So cables business margin or the cables supply component margin is pretty much similar to what it is that we make when we do a normal cable sales in any other sector and all of that gets accrued in the financials, within the Cables & Wires segments margin and the EPC margin is something which gets accrued in the EPC component.

Overall, on the EPC part of the order, generally, you make somewhere in mid - to high single digits and adding up the cables component, that increases a bit.

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Shrinidhi Karlekar: Great. And lastly, if I missed your comment on the export bit. Did you say that H2 export is

looking higher than the H1 and you're also seeing some recovery in the U.S. market?

Chirayu Upadhyaya: Yes. In the second half of the year, we expect the international business to do well as compared to the first half of the year.

Moderator: The next question is from the line of Hardik Rawat from IIFL Securities.

Hardik Rawat: Broadly all my questions have been answered. One question was with regards to Switchgears.

You pointed out that Switchgears has registered some strong growth in this quarter. Could you please help explain how is the market looking like for switchgears? Has there been a broader decline in margins from a business perspective? And where is our position with respect to other players in the market? And what are our aspirations with regards to the same.

Chirayu Upadhyaya: So, Hardik, switchgear is one of the areas within the FMEG business wherein we are very highly focused on. It is a segment wherein we want to increase the contribution of that particular product to the overall FMEG because the margins which we make with in Switchgears segment is way higher compared to what we make on the fans and lighting. We had very good run rate of growth within the Switchgears segment over the past almost 2 to 3 years now, which started because of the demand that gets generated for switchgears from the real estate, which is coming up in India. So, in switchgears, we are just present in the B2C segment. We are not selling B2B. We don't manufacture industrial switchgears. We are into MCB manufacturing, RCCB manufacturing and so on. And for us, within that segment, we are, as of now, relatively smaller player, so we will be somewhere between top 5 to top 10 as far as our market positioning is concerned. But we are witnessing good growth rate in the switchgears business. And as I mentioned, that is something which we are very much focused on.

For us, definitely, see whenever we target a particular business, the target is to be among the top 3 players within that business, and that is something that we are targeting even in the switchgears business. It might take us a bit of time. But probably over the course of next 5 years, that is something that we definitely will target to be one among the top 3 players.

As far as the margins are concerned, for us, the gross margin in the switchgears business are as of now around 40%. We still believe there is a bit of more improvement that we can have on the Switchgears margin front, and that is something that we'll be targeting over the course of next few quarters. Just the previous year, we've actually expanded our switchgear manufacturing capacity. As of now, the utilization rates are a little bit lower.

Since we are able to scale up that business at a good rate quarter-on-quarter

on basis, we expect

operating leverage to start kicking in and again, margins to again improve. In fact, switchgears is one such business on the FMEG wherein we are already EBITDA positive. We've been EBITDA positive for a while now. And as and when the contribution of Switchgears continues to increase going ahead, I mean that will obviously add up to the segment profitability.

Hardik Rawat: Okay. That's helpful. One question with regards to how has our entry into switchgears and the kind of focus that we have in this space, are we seeing aggression from the current market players

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on price, for example? How is the competition dealing with our foray in this segment in a big manner?

Chirayu Upadhyaya: You're referring to our entry or someone else's entry? Sorry, I didn't get that part.

Hardik Rawat: No. So since Polycab is now so focused on this segment, how are the existing players responding to this? Are there any higher competition on price? Or are they responding in some manner?

Chirayu Upadhyaya: See, Hardik, as far as the switchgear product is concerned, we've actually been able to leverage a lot of our synergies within the existing wires business. If you do realize, the demand for switchgears and the wires from Real Estate are at similar time and we anyways have distributors who are distributing wires. We have the end customers, real estate players, whom we are supplying wires. So we are able to cross-sell our switchgears along with wires and that is how we are able to scale it up in a good way. Over and above that, the quality of our switchgears is something which has been appreciated in the market. We are also quite confident on its quality. And as a result of that, we actually provide 7 years warranty on our switchgears compared to the normal 5-year warranty which the other competitors provide.

So largely, we have a lot of levers available to us through which we are able to grow the switchgears business. And since the industry itself is growing at a good pace, we haven't actually seen any form of heightened competitive intensity from the existing players. We've been able to grow that business at a good pace, and it's been almost 2 to 2.5 years now that we have that business doing very well for us.

Moderator: The next question is from the line of Natasha Jain from Nirmal Bang.

Natasha Jain: I have 2 questions. The first one on your gross margins. Now for FMEG, I understand there's a lot of channel incentives, promotional expenses, but ideally, that would be a part of your opex.

Coming to wires and cables EPC, I get it, but a 350 basis compression does not come from a

10% contribution business. So now coming specifically to wires and cables, both use copper and aluminium and because you've been making that commentary throughout that we do a lot of derivative hedging, so ideally if you hedge your contracts, you should not be impacted, right, in terms of volatility of your raw material.

So can you please explain again, what happened this quarter? And did we lose out on the hedging part? So first question is that.

Chirayu Upadhyaya: Sure, Natasha. So if you do understand the hedging part you realize that we actually price our raw material post we receive the order. For us, that translates into us not getting affected because of volatility. But you also have to take into account the competitors when you're looking at our products like wires, right? Over there, if there is a player or competitors who are looking to gain on market share and are willing to sacrifice on pricing just to gain on market share and the demand is way high, if as a player, you want to protect your market share, you have to compete here on pricing part as well.

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So, that is the reason why, especially on the wire side, we had compression, but the 30

0 basis

point compression that you are mentioning is on year-on-year basis, not on a sequential basis. On year-on-year basis, the margin compression is not selectively just because of Wires margin de-growth, it is a small part of the overall 3% degrowth. The major part is because of the international business. Year-on-year, the international business contribution is also much lower to the overall top-line. Plus the margins have also been affected in international because of the hike in freight cost.

So that's the larger reason for year-on-year decline in EBITDA margin in the Wires and Cables business. The Wires' margin compression effect that happened is more of a sequential compression and that is just in the handle of 30 bps.

Natasha Jain: Understood. Just one more question, on your exports, last year, US contribution within your exports was close to 40%. This year, the way exports is moving, especially your U.S. contribution, I think that you guys probably will land somewhere below 10%.

Now in the offering with all the U.S. elections, it's a very macro level question at this point. Given both the candidates have equal chance of winning, one of the candidates do not focus so much on renewables. Now I understand that renewables, oil and gas is the kind of cables that we export to the U.S.

So at a very broader level, have you worked out the strategy if whichever way the election goes, does that further give pain to our export cables in U.S. and especially renewable cables? So that's my second question.

Chirayu Upadhyaya: Natasha, what we have actually done over the course of last 5 to 7 years is that we worked out or gotten approvals for various different types of cables. So, solar cables are not the only type of cables that we export to the U.S. We have diversification in that manner as well. So, irrespective of which candidate comes and what is the focus on, specifically on renewables, there is a lot of investment happening in the other pieces as well. For example, the power transmission and distribution for the U.S. is getting upgraded after almost a century and that requires all the types of cables: low-voltage cables, medium-voltage cables, et cetera. And that is where we already have approval, and we will supply whenever the demand arises. So, specific to U.S., we'll have to see who comes to power, what are their policies, but it doesn't really impact our international growth rate because if you look at our international business, we have about 80 countries now wherein we export, U.S. is not the only one. During the course of this year, you've actually seen that we've been able to do a lot of exports to other countries as well. Middle East is something – where a lot of opportunities are coming up. Australia is also another country wherein we have been able to do a lot of exports. Europe is opening up in a big way. So there are various different geographies wherein we have the opportunity to supply to. And irrespective of what happens in a particular single geography like the U.S., it shouldn't derail growth rates of small international export players like us. So we are not very much worried on that front.

Natasha Jain: Understood. Just a small follow-up on that, Chirayu. So sequentially, when you say that you've grown close to 40% in your export revenues, can you please call out specifically which geographies did we expand on newer geographies that we took in? That's it.

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Chirayu Upadhyaya: During the course of this quarter, we supplied a lot of cables largely to the Middle East and to Australia. We also added a couple of new countries as well. I wouldn't want to name those

countries because that is of importance for the competitors as well. But largely, we've been adding new countries on a quarterly basis. We also have a couple of other countries to be added in the pipeline over the remaining year as well.

See largely, we have a plan charted out. We have identified the geographies wherein there is a good amount of demand, and as of now, we don't have approvals. We have identified the geographies where we have approvals, but for very limited type of cables, and we will want to expand across all those different types of geographies. The diversification strategy is in place. We have a very strong international business team, which is working day in and day out to get approvals from these different geographies. And we don't foresee any challenge in us growing our international business even if there is a slowdown in a particular geography.

Natasha Jain: So, all geographies would command similar export margins in terms of cables?

Chirayu Upadhyaya: It varies geography-wise, it varies product-wise and depending on what type of cables you're supplying, in which quarter, which year to which geography your margins will be. But irrespective of that, as of now, the margin profile for international business is higher as compared to domestic. So irrespective of where it is that we will be exporting, which geography, we will be able to make better margins.

Moderator: Thank you. The next question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi: Yes. Now in terms of the margins, we have seen our margins, which used to be in the range of 8% to 9%. Now they have reached as high as almost 14% now. So, do you believe that probably the margins have kind of peaked out at around 14-odd percent level? And on a structural basis, do you see further triggers to see expansion in the margins? And anywhere means maximum the potential in terms of margins, what that can be? That is question one.

Secondly, now the competitive intensity is likely to remain higher because one company is starting the new plant and one company is doing QIP. So probably, they may also expand the facility. So, net-net, if the competitive intensity remains higher in H2 and FY 26, so what will be Polycab's strategy, whether it will be market share first or it will be margins first? Yes. That's it from my side.

Chirayu Upadhyaya: Sure, Aniruddha. So as far as your question on margin is concerned, we already have a guidance in place. In cables and wires business, we believe 12% to 14% of EBITDA margins is something that we'll be able to deliver. Depending on the kind of demand momentum that we see in a particular quarter or which type of product mix we are able to achieve, we will move between that guidance. But as of now, we believe 12% to 14% EBITDA margin is something that we should be able to deliver. Probably maybe in future, depending on whatever variable changes, we might revise the guidance. But as of now, this guidance holds.

As far as the competitive intensity is concerned, I'd like to make it clear once again that in Q2, the competitive intensity increase that we are referring to was specifically in Wires and that was Polycab India Limited

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for a specific reason, that the copper prices shot up very steeply in a very short frame of time. On the cables side, we don't see any increased competitive intensity. The comment that you mentioned that there are new capacities coming up, is kind of more relevant for the cable side. And that is, again, where I kind of made a comment that we expect the demand momentum to be very strong and the capacity within the industry to being just enough or fall short of being able to service that demand.

So, we don't expect any pressure on margins. So as of now, we don't need to take a call of whether we need to go for top-line or bottom-line. At least on the cables side, we are quite confident that we will be able to achieve both.

Moderator: The next question is from the line of Umang Mehta from Kotak Securities.

Umang Mehta: Most of my

questions are answered. Just wanted one clarification. You mentioned that institutional business did better than distribution. And you also mentioned that Wires did better than Cables. Does this imply that you have done wire sales to real estate projects this quarter?

Chirayu Upadhyaya: I'm sorry, Umang, your question towards the end was not clear. I believe you asked, institutional was better than channel and Wires was better than Cables. And what was the last part of the question?

Umang Mehta: This is correct, right? You typically expect the domestic distribution to do better when your wire sales are outpacing cables. So, is there a difference in understanding here?

Chirayu Upadhyaya: No, Umang, you'll have to take into account the base, right? For us, institutional versus channel. Institutional is 10% and channel is 90%. Cables and Wires, the mix is 70-30. Now Wires has grown ahead of Cables. But mix is only 30% of the overall. So, it will have to grow over 2x of

Cables for the growth rate of channel to be higher than institutional. Since that's not the case, our institution has still grown ahead of the channel . But on the cables side, it's more relevant, wherein institutional sales continue to happen , where , in the first month of this quarter because the copper correction was there in the handle of 12% to 15%, the channel sales were almost nonexistent.

So those are the 2 reasons, more institutional sales on the Cables side. And while Wires was seen growing higher than Cables, because of its mix being much lower as compared to Cables, it doesn't really impact the overall mix materially .

Moderator: Thank you very much. We will take that as the last question. I would now like to hand the conference over to Mr. Gandharv Tongia for closing comments.

Gandharv Tongia: Thank you so much for joining us for this call. In case if you have any follow -up questions, please feel free to write to our investor.relations@polycab.com . We also take this opportunity to wish you and everyone at your home as well your team a very Happy Diwali and a joyous New Year. Thank you. Take care. Bye -bye.

Moderator: On behalf of Polycab India Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2025

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Date: January 29, 2025

To

Department of Corporate Services

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai, MH - 400001 To

Listing Department

National Stock Exchange of India Limited

C-1, G-Block, Bandra -Kurla Complex

Bandra (E), Mumbai, MH - 400051

Scrip Code: 542652 Scrip Symbol: Polycab

ISIN: INE455K01017

Dear Sir(s) / Madam(s)

Subject : Submission of Transcript of Q3 FY 25 Earnings Conference Call held on January 23, 2025 .

In accordance with Regulation 30 of SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of Q3 FY 25 Earnings Conference Call held on January 23, 2025 .

Kindly take the same on your record.

Thanking you

Yours Faithfully

For Polycab India Limited

Manita Carmen A. Gonsalves

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Encl: as above

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"Polycab India Limited

Q3 FY25 Earnings Conference Call"

January 23, 2025

MANAGEMENT : MR. GANDHARV TONGIA – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – POLYCAB INDIA
LIMITED
MR. INDER JAISINGHANI – CHAIRMAN AND MANAGING
DIRECTOR – POLYCAB INDIA LIMITED
MR. CHIRAYU UPADHYAYA – HEAD, INVESTOR
RELATIONS – POLYCAB INDIA LIMITED

Polycab India Limited
January 23, 2025

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Moderator: Ladies and gentlemen, good day, and welcome to Polycab India Limited Q3 FY '25 Earnings Conference Call. As a reminder, all participant lines should be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star , then zero on your touch -tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Gandharv Tongia, Executive Director, Chief Financial Officer, Polycab India. Thank you, and over to you, Mr. Tongia.

Gandharv Tongia: Thank you, operator. Good afternoon, everyone, and thank you for joining us. Wish you all a very Happy New Year. I hope all of you are staying healthy and safe. As operator mentioned, my name is Gandharv Tongia. I'm Executive Director and CFO at Polycab India Limited. On this call, we shall discuss the Q3 FY '25 results, which were approved in the Board meeting held yesterday.

We will be referring to the earnings presentation, financial results and financial statements, which are available on the stock exchange website as well as on the Investor Relations page of our website. Joining me today from the management team, we have our Chairman and Managing Director, Mr. Inder Jaisinghani; and our Head, Investor Relations, Mr. Chirayu Upadhyaya.

Let me now hand over the call to Inder Bhai for his comments.

Inder Jaisinghani: Good afternoon, everyone. We concluded 2024 on a strong note, achieving our highest ever revenue for the third quarter and nine -month period, driven by the healthy performance across segments. This is a momentous occasion by us as we have achieved our first-ever 5 -year guidance of reaching ■ 200 billion top -line by FY26, ahead of the committed timeline. Our calendar year 2024 top -line stands at ■ 210 billion, a 5% overachievement, that too over a year ahead of the targeted period.

We are now set to embark on the next 5 -year journey, where after taking a leap in the last 3.5 years, we are set to spring ahead to our FY30 growth potential. With a strong demand outlook, favourable support from the government and our internal transformation initiatives, I'm confident that we are well positioned to create long -term value for all stakeholders. With this, I would request Gandharv to give you a flavour of the macro environment.

Gandharv Tongia: Thank you, Inder bhai.

After a period of continuous outperformance, India experienced a slowdown in the last few months with real GDP growing at 5.4% YoY in Q2 FY25. The first advance estimate for FY25 GDP growth stands at 6.4% YoY, reflecting weaker activity. The NSO highlights that industrial growth has moderated to 6.2% YoY, significantly lower than the 9.5% YoY seen in FY24. Despite this, India continues to demonstrate resilience as evident through several high -frequency indicators. Metrics such as digital payments, power demand, services PMI, air passenger traffic

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and toll collection point to a sustained recovery. GST collections rose by 8.3% in Q3 FY25, maintaining a robust fiscal year -to-date (April - December) run rate of over ■ 1.8 lakh crores. Notably, GST collections have exceeded the ■ 1.5 lakh crores mark in 21 of the past 22 months, underscoring strong and sustained domestic demand.

Industrial production (IIP) posted robust growth of 5.2% in November 2024, improving from 3.7% in October 2024, driven by improvements across sectors. The manufacturing sector grew by 5.8%, with more than 15 subsectors registering stronger growth compared to the previous year. Both the mining and electricity sectors also recorded strong growth during November 2024. Within the use -based classification, capital goods, infrastructure goods and consumer durables

also saw healthy increases, supported by festival -driven demand. Additionally, the services and manufacturing PMIs have consistently remained above the 50 -mark threshold for 41 and 42

months, respectively, indicating an expansionary phase. The composite PMI, which combines manufacturing and services indices rose to 59.2 in December 2024, up from 58.6 in November 2024.

On the inflation front, December's CPI reached a 4-month low of 5.2%, down from 5.5% in the previous month and 5.7% a year ago, driven by moderating food inflation. Headline inflation also eased to 3.7% from 3.8% in the previous month with a sequential decline of 5 basis points compared to the 20-basis point increase observed earlier.

The current slowdown is expected to be transient with a material pickup anticipated in the coming quarters. Government-led public capex is projected to accelerate further, supporting infrastructure growth and industrial demand. The real estate sector, benefiting from robust demand and ongoing project launches, continues to drive sustained growth. Additionally, the anticipated interest rate cuts by the RBI in 2025, along with improved private sector demand, are expected to provide a significant boost to economic momentum. We expect these positive developments to continue to generate strong demand for our product portfolio, enabling us to deliver strong growth consistently as we have done in the past.

As mentioned by Inderbhai in his opening remarks, we have already achieved our Project LEAP guidance of ₹200 billion top-line in calendar year 2024 itself, and therefore, are excited to announce the launch of Project Spring, our next 5-year guidance till FY30. The timing of Project Spring is very important, as unlike during the inception of Project LEAP, we are now fully aware and in between an infrastructure upcycle in the country. And in that sense, what we do within Project Spring over the next 5 years will set the foundation for the long-term growth of the Company as we work to set up the Company to achieve multi-decade growth, along with the government's Viksit Bharat 2047 vision. Within Project Spring, the Company will focus on six strategic pillars, namely:

1. Solidifying Market Leadership in the B2B business
2. Propelling Expansion of B2C business
3. Ramping up the International Business
4. Innovation and Automation - Led Holistic Development
5. Nurturing talent and capabilities
6. Growing ESG integration

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We are confident that Project Spring will not only enhance our market position but also deliver long-term value for all our stakeholders.

I would now hand over to Chirayu to take you through the financial performance for the quarter and give you more detailed understanding of Project Spring.

Chirayu Upadhyaya: Thank you, Gandharv.

I will first cover the quarterly numbers and then move to Project Spring.

I request everyone to refer to Slide 4 of the earnings presentation. For the quarter ended 31st December 2024, our consolidated revenue grew by 20% year-on-year, driven by healthy performances across all the business segments. EBITDA grew by 26% year-on-year, ahead of top line growth, with EBITDA margins improving by ~70 bps YoY and ~230 bps quarter-on-quarter to 13.8%. The improvement in EBITDA margins was on account of 2 reasons: 1) Normalization in wires and cables business margins, as margins in wires business reverted back to normal from lows of the last quarter, and as contribution from international business inched up to north of 8%, where it mostly was last year; 2) Secondly, losses in our FMEG business were arrested this quarter, on the back of expansion in contribution margins and as we started deriving benefit of scale with improving sales. This positive impact was partly offset by moderation in our EPC business margin.

At the PAT level, our Company achieved its highest

ever third quarterly PAT of ₹4,643 million,

with a PAT margin of 8.9%. Finance cost for the quarter stood at ₹498 million, while other income totalled ₹250 million. A detailed breakdown of finance costs and other income is provided on Slide 17 of our earnings presentation.

Further, our net cash position stood at ₹17.1 billion. In addition, our working capital cycle stood at 51 days, within our comfort range of 50 to 60 days. Furthermore, our capex for Q3 FY25 was at ₹2.5 billion, accumulating to ₹8.3 billion for nine months FY25, in line with our guidance of doing ₹10 billion to ₹12 billion of capex during this year.

On a nine-month basis, our 9M FY25 revenue, EBITDA and PAT are the highest ever in the history of the Company for a nine-month period. Our revenues have grown strongly by 24% year-on-year, surpassing ₹150 billion milestone. EBITDA was up by 12% YoY with EBITDA margins at 12.5%. And PAT grew by 5% YoY with PAT margins at 8.5%.

Moving on to Slide 6.

The Wires and Cables segment recorded a relatively moderate growth of 12% YoY during the quarter. The domestic cables business continued to deliver healthy growth. However, high channel inventory at the beginning of the quarter and declining trend of copper prices impacted wires offtake during the quarter. With channel inventory at normalized levels, copper in an inflationary trend and fundamental demand intact, we anticipate rebound in wires sales during Q4 FY25.

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The international business registered a robust growth of 62% year -on-year and 29% quarter -on-quarter, resulting into improvement in its contribution to the Company's top -line to 8.3% in Q3 FY25 and 6.6% for nine months FY25. Our international business order book remains healthy, positioning us well to sustain this growth momentum in Q4 FY25. We continue to focus on expanding to new geographies, adding one new geography during this quarter, thereby expanding our geographical presence to 81 countries.

The EBIT margins for the Wires and Cables segment improved by ~120 bps on a sequential basis to stand at 13.5%.

Moving on to Slide 8 for an update on the FMEG business.

The FMEG business registered an exceptional growth of 45% year -on-year during the quarter, on a lower base. Robust execution of our strategic initiatives, including channel expansion, product architecture enhancements and implementation of the influencer management program continue to drive revenue expansion across all product categories.

The fan segment continued its growth trajectory, registering both YoY and sequential growth. With the fan season commencing this quarter, we anticipate continued meaningful growth in our largest product category. The lights and luminaires segment registered strong volume and value growth after several quarters of decline despite the ongoing price erosion. In addition to the festival demand, the growth was supported by introduction of 130+ new SKUs, geographical expansion into more than 500 towns, addition of ~150 distributors in new geographies and ~7,000 retailers during the year.

The switchgears, conduit pipes & fittings and switches segments continued to register healthy growth, supported by strong real estate demand.

As mentioned in the opening remarks, the FMEG segment losses were curtailed during the quarter on the back of gross margin expansion and enhanced operating leverage.

With robust growth in the real estate sector and the sustained execution of our strategic initiatives, we expect demand for FMEG products to accelerate further in the coming years.

Moving on to Slide 10.

This slide provides an update on our other businesses, which primarily comprises of our strategic EPC business. We achieved revenues of ₹ 4,573 million in Q3 FY25, marking 111% year -on-year growth. Profitability increased by 37% year -on-year with segmental margins at 11.3%.

Looking ahead, we expect similar quarterly run rate over the next 2 years as we execute our EPC order book. The segment's contribution to the Company's consolidated top -line is expected to be in mid - to high single -digit range. The annual sustainable operating margin for this business is expected to be in high single digits over medium to long term.

Moving to Slide 12.

The next few slides provide an overview of our upcoming 5 -year vision titled Project Spring.

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Before I go into the details of the project, I would like to emphasize that certain statements made in the presentation are forward -looking statements. These forward -looking statements reflect the management's best judgment and analysis as of today. Actual results may differ materially from the current expectations based on the number of factors affecting the business. Please refer to the safe harbour disclosure at the end of the presentation.

Now going deeper into Project Spring.

India is currently in a "Golden Era" characterized by massive growth opportunities across various sectors. The vision of "Viksit Bharat 2047" by the government aims to transform India into a developed nation. As part of this vision, the government has increased its investment towards infrastructure growth in the country via the yearly budgets and is committed to supporting it further going ahead. With continued government investments, the private capital expenditure too is projected to rise from 14% of GDP currently to around 20% of GDP, levels last seen in 2008 during the previous infrastructure cycle. High manufacturing utilization levels of

~75% with expected interest rate cuts, which will boost consumption, lay support to the projection. The real estate market, which too is currently in a multiyear upcycle, is expected to grow to ■ 1 trillion by 2030 and ■ 1.5 trillion by 2034, driven by urbanization as well as the emergence of global capacity centers in Tier 2 and Tier 3 cities. Sectors like energy and mobility too are expected to see strong growth with growing demand as well as increasing investments earmarked for the sectors. Over and above this, niche upcoming sectors like data centers, electric vehicles, aerospace and defense, exploration, etc., are expected to witness exceptional growth going ahead.

These factors collectively create substantial opportunities for the domestic wires and cables industry, with the industry expected to grow at 1.5x to 2x of real GDP.

The global wires and cables market, too, is witnessing strong growth, fuelled by several transformative trends such as investments in renewable energy projects, adoption of EVs, expanding digitization, and hence the need to invest in data centers, urbanization trends - with smart city projects gaining traction globally, and many more. These factors are expected to propel the global wires and cables industry to grow at a CAGR of 7.5% and reach \$410 billion size by FY30. For Indian manufacturers, the China+1 policy, underpinned by the need of supply chain diversification for large countries will be an additional growth driver.

Overall, we expect the demand for wires and cables to remain robust in the near to mid-term, both domestically and globally. Within Project Spring, our goal will be to grow our Wires and Cables business at ~1.5x the market growth with sustainable EBITDA margins of 11% to 13%. Let me reiterate this to avoid confusion: We will target to grow our Wires and Cables domestic business at ~1.5x the wires and cables industry growth, which is expected to grow at 1.5x to 2x of real GDP growth.

Our next target is to grow the share of international business to north of 10% of the overall Company's revenue. To be able to achieve this goal, the company will be investing ■ 60 billion to ■ 80 billion in capex over the next 5 years, most of which will be for the Wires and Cables business, and

which will generate asset turns of 4x to 5x.

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Now coming to FMEG, we expect the sector to register a growth of 8% to 10% in the near to mid-term, driven by factors like favourable demographics, urbanization, nuclearization, increasing per capita income, increasing brand consciousness, impact of infra and real estate upcycle and many more. Being a challenger player, we would target to grow this business ahead of the industry growth rate, about 1.5x to 2x of market growth, and thereby increase our market share, in-line with our goal of becoming a Top 3 player across product categories within this business. This growth will be a profitable one, with a goal to achieve EBITDA margins of 8% to 10% by FY30 within the segment.

We will continue with the existing product categories within this business and do not plan to add any new categories in the near future. A small part of the capex mentioned before will be used to expand capacities as and when required.

With the Wires and Cables business expected to generate healthy cash flows and the FMEG business turning profitable, adding to the Company's profitability, we expect to generate consistent cash flows going ahead. Major chunk of the cash flow will be utilized to do the enhanced capex. Further, we will continue to gradually increase our dividend payout ratio to greater than 30% by FY30 from the current 26.5%. Unutilized cash will then be utilized for any available inorganic growth opportunity.

To achieve the discussed targets, we have formulated a strategic roadmap, which rests on the 6 pillars mentioned by Gandharv. I will briefly touch upon the major work streams within the 6 pillars.

1. Solidifying Market Leadership in B2B

As I mentioned, the country is expected to see investments and growth across all sectors, generating robust growth for wires and cables. To ensure we capitalize on this opportunity and do not miss out on any, we are transitioning to a vertical focused structure, wherein we have segregated the industry into 5 different verticals, and we will be creating separate teams focusing on the opportunities within the specific verticals. The business development team as well as the sales team will have the vertical structure. This will help us to focus on all the opportunities existing across sectors without missing out on any.

Further, as part of our midterm strategy, akin to larger companies across the globe, we would want to transition from merely being a product supplier to electrical solution suppliers. This would entail handholding the customer in their entire journey from planning the project to supplying the products required in the project, allowing us to cater to the exhaustive needs of our customers.

Enhancing secondary sales to focused demand generation and crafting strategies for sunrise sectors like EVs and data centers will ensure we capitalize on the rapid domestic and global expansion of these sectors.

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2. Propelling B2C Expansion

The domestic market urbanization and premiumization trend offers immense potential for the wires and FMEG businesses. Institutionalizing a micro market strategy will allow us to address regional demand variations effectively, while scaling our influencer management program will strengthen consumer engagement.

By enhancing our brand positioning and focusing on premiumization, we will be aligned with the growing consumer preference for premium products and energy-efficient solutions. Cost optimization will further ensure sustained profitability as we tap into the expanding real estate and consumer markets.

3. Ramping up International Business

The global macroeconomic environment marked by the China+1 policy and significant investments in renewable energy, EV infrastructure, data centers, etc., is expected to generate robust demand

and for wires and cable products.

Expanding into strategic niche markets with high growth potential, securing approvals from major EPCs, and offering tailored solutions to meet specific geographic and customer needs will drive our international growth, enabling us to increase export contribution to over 10% of the Company's revenue. Optimizing distribution and logistics will enhance efficiency, thereby aiding profitability. This approach positions us well to leverage the global market's 7.5% CAGR and tap into emerging opportunities.

4. Innovation and Automation -Led Holistic Development

Technological advancements in renewable energy, smart cities and digital infrastructure necessitate continuous innovation. Elevating R&D investments will enable us to stay ahead of the market needs, while supply chain optimization will ensure resilience and agility. Digitizing processes across stakeholders will enhance operational efficiency and automation-led manufacturing productivity will drive scalability. These efforts align with the domestic push for energy efficiency and the global demand for advanced and sustainable wires and cable solutions.

5. Nurturing Talent and Capability

Through succession planning and leadership pipeline building, we aim to ensure continuity and adaptability in our operations. Embedding customer centricity into our core business processes and fostering a collaborative and inclusive culture will prepare us to address the evolving needs of our customers with complete support from a motivated team.

6. Growing ESG Integration.

The global emphasis on sustainability through initiatives like green energy transition underline the importance of ESG practices. By enhancing resource efficiency, adopting sustainable sourcing, promoting diversity and inclusion, and increasing transparency, we will align with these priorities. These measures will position us as a responsible industry leader capable of driving value while meeting the growing expectations of stakeholders worldwide.

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Overall, through Project Spring, what we want to deliver to our stakeholders is:

- The largest company in the sector, growing above the industry growth rate, over 2x of India's real GDP and continuing to gain market share
- Two smaller segments of the Company, international business and FMEG, growing its contribution to the Company's top-line, providing diversification away from the India capex story, and adding to profitability
- A business continuing to deliver industry best margins and highest profitability
- A business increasing its focus on R&D and innovation to continue to deliver best-in-class products ahead of its peers and across sectors to supplement its future growth potential
- A business that will deliver an improvement in ROCE
- A business that will continue to reward its shareholders with increasing dividend payouts
- A business that is committed to sustainability

- A business with a history of overdelivering on targets
 - And, a business, laying the groundwork over the next 5 years, to achieve its vision for 2047
- This strategic project reflects our commitment to driving value creation, leveraging macroeconomic trends and delivering sustainable and inclusive growth to all our stakeholders in the long term.

Lastly, there is an update which I would like to share with you.

There has been some reorganization in the Board of Directors.

On the Executive Director side, Mr. Rakesh Talati has stepped down as an Executive Director, and Mr. Vijay Pandey has been elevated to the Board as an Executive Director, of course, subject to the approval of the members through a Postal Ballot.

On the Independent Directors' side, I'm very pleased to announce that Mr. Sumit Malhotra has joined the Board as an Independent Director effective from January 22, 2025. Mr. Sumit Malhotra comes with over 31 years

of professional experience, heading many large companies.

So, now, the Board will comprise of 11 Directors, 6 Independent and 5 Executive Directors.

That was the update for the quarter. Thank you, and we are now open for questions.

Moderator: Thank you. The first question comes from the line of Ravi Swaminathan with Avendus Spark. Please go ahead.

Ravi Swaminathan: Congrats on good set of numbers. My first question is with respect to the demand for cables. We know that over the past 4 years, there has been strong demand for cables driven by central government spend. But if you see the past 1, 2 quarters, there has been some amount of softness in terms of government spends and there's not much of clarity on whether that will go up significantly over the next few quarters. Given this kind of scenario, how do you see the overall industry growing? Do you see any signs of inquiries coming off? If you can give how it is likely to be over the next 6 to 12 months?

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Chirayu Upadhyaya: Sure. Thank you so much, Ravi. So on the demand environment, it continues to be healthy. You are right that over the past 2 to 3 quarters, at least on the government side, the capex has seen a bit of a slowdown. But that is something which had a reason. The general elections were on and that is where you normally see in an election year that the capex slows down. But we don't expect this to be a continuous phenomenon. We do believe that the current government, they are focused on the long-term growth of the country, and that is very much visible from their vision of making India an advanced nation by 2047.

So, while there might be some form of slowdown here and there for a quarter, we believe that the long-term growth avenues are there, and that is where we are also positioning ourselves to make sure that we make the maximum of this opportunity. As we have released within our guidance, we are gearing up to do capex of between ₹ 60 billion to ₹ 80 billion over the next 5 years. As you are aware, generally, we make an asset turn of 4x to 5x on the capex. So that will give you an idea in terms of what is the kind of demand that we believe will be coming over the next 5 years.

We have also said that we expect to grow over 1.5x of the market growth. While the Indian GDP has grown fantastically over the past 3 to 4 years, and going ahead is expected to grow anywhere between 6.5% to 7%, but given that and seeing the historical growth rate of the industry, we believe the industry will continue to grow at 1.5x to 2x of real GDP.

Just putting up a few numbers over here.

For example, let's say, the India GDP grows at 6.5%. That means the industry growth will be somewhere between 10% to 13%. We expect to grow at 1.5x of that growth. That means our growth will be somewhere between 15% to 20%. So that is in case of a 6.5% of real GDP growth. If the GDP growth is at 7%, that means the industry growth is expected to be somewhere between 10.5% to 14%. And again, our growth is expected to be somewhere between 16% to 21%. So, that's the kind of demand environment we believe will exist over the next 5 years. And we are not very much concerned of what happens in between, in couple of quarters here and there.

Ravi Swaminathan: Okay. And with respect to the wires business, so any commentary on how is the end market real estate led demand? So essentially, this quarter you have mentioned there has been a bit of destocking from dealer side, some inventory levels being high. But assuming that it normalizes, how the secondary sale demand is, from the dealers to the real estate ultimate consumer, how is that panning out? Any sense on that?

Chirayu Upadhyaya: So Ravi, the fundamental demand is very strong. While the slowdown that we witnessed in this quarter was one-off, and we've tried to explain it in the presentation, what happened during the

end of previous quarter was that there was a sharp up movement in commodity prices, which led

to the distributors stocking up on product. As a result of which, the industry saw a huge growth in the previous quarter. We ourselves had witnessed almost 40% of top line growth for wires in the previous quarter. Now that translated into the channel having higher inventory at the beginning of this quarter.

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Plus, if you look at the overall trend of copper during the quarter, it was continuously in a downward movement. And in fact, during November, in a period of about 4-5 days, it actually crashed by almost 9%. So as a result of this, both of this combined, the wires offtake by the distributors was slow. But again, as I mentioned, this was something which was led because of the commodity movement.

There is no change as far as the fundamental demand is concerned. In fact, if you look at the scenario of what has happened post that, the channel inventory is now back to normal. The commodity is in an inflationary trend, and we expect that this quarter should again be good for the wires demand.

If you look at the macro numbers, which are also coming out, I was referring to a very recent report which came out from a property consultant. It mentioned that in Q3 and in the calendar year 24, we actually crossed the launches and sales of the past 12 years. It was the highest ever. Now all of this will definitely translate into demand for wires going ahead.

So, in general, again, I mean, this was something which was a very one-off in this quarter. If you look at the 9-month growth for us, we have grown the wires portfolio in mid to high teens. So again, that is something which is very good in terms of demand. And we expect that this level of momentum will continue in the next few years. So, again, both cables and wires domestically, we are very positive in terms of the demand outlook.

Ravi Swaminathan: Understood. And last question with respect to the capex over the next 5 years, we expect roughly around ₹ 6,000 crores to ₹ 8,000 crores. How much is the breakup between cables, wires, FMEG?

Chirayu Upadhyaya: So, Ravi, you can assume that most of it, a large part of it will be for the Cables and Wires business. For the FMEG business, we very recently expanded or set up in-house manufacturing capacity. So as of now, the utilization rates over there are anyways low. As and when required, over the course of next 5 years, we will be expanding those capacities.

But you'll also need to keep one thing in mind that FMEG business is not very capex intensive. The asset turns over there are higher compared to Cables and Wires. So, if you are modelling future next 5 years, then you can assume that most of the ₹ 6,000 crores to ₹ 8,000 crores that we will be putting up over the next 5 years will be for the Cables and Wires business.

Ravi Swaminathan: Okay. And between Cables and Wires, it will be like in line with the proportion of the turnover that will be there between Cables and Wires?

Chirayu Upadhyaya: See, again, there is no specific breakup over there. As of now, for us, the utilization rates are somewhere between 75% to 80%, more for Cables, a bit lower on the Wires. As and when required, we can obviously put up capacities of both. And what we can also do is utilize the capacities which are there for cables manufacturing to manufacture wires. So in that sense, there is a bit of a fungibility over there as well. So that is where it is where I would like to put the capex at.

Moderator: Next question comes from the line of Pulkrit Patni with Goldman Sachs.

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Pulkrit Patni: So before my question, I definitely want to compliment you for an ambitious but a very realistic 5-year plan. I mean the last thing we all wanted was you give a revenue number at a time when

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copper prices nobody knows about. So something to do with volume growth is something we definitely appreciate as a guidance.

Sir, my question is on export. In U.S., you had rejigged your distribution. Not sure if that is something that's working, not working? Are you going ahead with it? Are you pulling back? Can you give a sense of what our U.S. distribution strategy has led to? And what is our plan given that you are talking about more than 10% of your contribution coming from export?

Chirayu Upadhyaya: Sure, Pulkrit. So as far as exports to U.S. are concerned, we've actually seen an improvement happening. As far as which model we will continue with, we are still in the midst of taking that decision. On the distribution side, we've seen some scale-up happening, but the institutional model is also something which has worked very well for us. So probably by the end of this quarter or post the end of this quarter, we'll come back to you with a specific answer on which

model we are continuing with.

But as far as our sales to U.S. are concerned, we are very bullish on the entire opportunity over there. We definitely believe that going ahead, let's say, over the next 5 years, U.S. will be one of the top 3 geographies where we will be exporting our products to. The model is something that we'll take a call on over the course of next 3 to 4 months.

To give you more flavour on how it is playing out right now, in this quarter, almost 1/3rd of the export that we've done is to the U.S. geography (North American geography). So in that sense, there is a good amount of traction even from that geography.

Moderator: Next question comes from the line of Mr. Achal Lohade with Nuvama Institutional Equities.

Achal Lohade: Just a qualitative reading. If you read last quarter, you said the demand is robust. This quarter, we have said demand is healthy. Are you seeing any sign of weakness in any of the segments/demand centers according to you, or where exceptionally high growth in any particular segment which is kind of slowing down?

Chirayu Upadhyaya: So, Achal, definitely, as of now or till now, as far as the Cables demand is concerned, we haven't seen an impact from the slowdown of public capex, which had been there in the first 3, 4 months of this year. But you are correct in your assessment that if something doesn't really pick up or the public capex doesn't pick up materially going ahead, I mean, that can obviously lead to some form of impact for this industry in the next Q1 or Q2. That risk is something that obviously the industry runs at. But we are quite hopeful that going ahead in 3 months of this financial year as well as going ahead, the government will continue to pump in money as far as the capex or infrastructure growth is concerned. And in that sense, probably that will balance out the growth potential for Q1 and Q2 of next year. So it's something that is to be looked at, but nothing which is worrying for us as far as the longer term is concerned.

Achal Lohade: Understood. The second question I had is on the capacity addition by several players in the industry in cables and wires. If you could throw some light in terms of your understanding about Polycab India Limited

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what kind of capex you're seeing industry-wide? And do you see a risk of overcapacity or just capacity being matching with the demand over the next 3, 4 years?

Chirayu Upadhyaya: So, Achal, as far as the demand is concerned, as we've mentioned in our commentary, there are multiple sectors which are expected to do very well over the course of next 5-10 years to come.

And that is where we believe the industry growth rate will continue to be quite good, similar to what we have seen over the past 3 to 4 years. In that sense, and if you look at the kind of players that exist in this business, there are 4 or 5 very large players, which have almost 60% -70% d

ominant market share, and then there are very small players.

The larger players are the ones who have the capacity to invest in the business and probably continue to deliver on the kind of demand which is expected going ahead. Probably, the smaller players will not be able to add as much of capacity to cater to that demand. So in that sense, we do expect that since there is going to be continuous or very robust demand expected going ahead, at least the larger players, with the ammunition to add capacity, they'll continue to add capacity. But we don't expect to come in a scenario where all of us or the top 4, 5 of us are fighting for demand, because the demand is expected to be ahead of where the capacity is coming up right now. Over and above that, for all of us, exports is one big opportunity where there can be a very good growth. And obviously, all of this capacity which is coming up will obviously be utilized for that as well.

Over and above that, the wires demand is also picking up, right, and expected to grow over the course of next 3 to 4 years. So the capacity can be utilized for that as well. So certainly, as of now, we are not thinking that we are in a position where there is overcapacity or even capacity matching the demand. As of now, the thought process is that the demand will exceed the capacity.

And probably we'll have to wait out and see what the other players or the industry does going ahead as far as the capacity additions are concerned. As far as we are concerned, we've laid out our road map for the next 5 years. We are very bullish on the demand, and we are going to do capex of ₹ 6,000 crores to ₹ 8,000 crores, something which we did over the past 10 years. It is something now we will replicate over the next 5 years. So that's the kind of demand momentum we are expecting and gearing up for achieving as much as possible from the opportunity.

Achal Lohade: That's very helpful, Chirayu. Just last question, if I may, with respect to the exports. Just to get a sense, in terms of the approvals, what is needed for U.S.? Of the total, let's say, the categories or the most relevant large categories there, do we have the approvals already in place? Or by when do you think or let me ask in another fashion, of the total addressable market in export from U.S., how much we already have the approval for?

Chirayu Upadhyaya: See, Achal, I'll answer this in 2 ways. One is if you are looking at the total addressable market,

the addressable market is a very large, and there are thousands of different types of SKUs of cables that can be exported. For us, exports is a strategic business, wherein the goal for us is to improve on our margin. So probably we won't be catering to all the thousands of SKUs which can be exported.

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As far as the SKUs, which are the ones we are targeting, and if we are specifically talking about U.S., we have almost all the approvals for all the type of SKUs that we want to export over there. So while obviously, we'll continue to work on whatever remaining approvals are left, but largely, we have that addressable market that we wanted to cater to in U.S. already covered up.

Achal Lohade: And what would be the size of that addressable market of the total market? Would that be 60%, 70%? Or would that be 20%, 30%?

Chirayu Upadhyaya: Very difficult to put down that number as of now. Probably we can work that out and get back to you in terms of the addressable market for the U.S.

Moderator: Next question comes from the line of Akshay Gattani with UBS.

Akshay Gattani: So my question is what are the all ongoing expansion projects which you are undertaking? And when do you expect them to come online? And in addition to this, if you can give some more light on the EHV cable expansion project which we are undertaking?

Chirayu Upadhyaya: So, Akshay, as we have been mentioning ov

er the past 2 to 3 calls, the expansion that we are doing are across all the product categories, all types of cables, low tension cables, high -tension cables, cables which are used for exports. Optical fiber cables expansion is something that we've done. We are putting up a plant for special purpose cables. So all types of cables as well as wires. These capacities are largely fungible in nature. So, of course, we can utilize it for any type of cables, whichever cable is driving whatever higher demand at a particular point of time.

As far as the EHV cables capex is concerned, as we've been mentioning, the capex outlay for that plant is roughly ₹ 6 billion to ₹ 7 billion. The capex is going on as per plan, and we estimate that the plant will be commissioned by the end of FY26 and can potentially start contributing to the Company's top -line from FY27 onwards.

Akshay Gattani: Got it. And this EHV cable with ₹ 6 -7 billion of outlay, what will be the revenue potential?

Chirayu Upadhyaya: So generally, I think the asset turns that we expect are close to about 4x over there. And obviously, the ramp -up will be gradual in nature. It won't be from the first year itself.

Moderator: The next question comes from the line of Shrinidhi Karlekar with HSBC.

Shrinidhi Karlekar: Sir, are you seeing tailwinds from the rising rooftop solar system adoption in India because of this government's Surya Ghar Yojana?

Chirayu Upadhyaya: Yes, Shrinidhi, definitely, that is one of the areas wherein we are seeing a lot of traction, especially over the past 1 year. We definitely have products through which we cater to that industry. We have solar cables which are supplied as well as we have solar inverters and panels which are obviously supplied for the same. And over the past 2 to 3 quarters, we've seen that business doing very well for us, continuously increasing its contribution as far as the FMEG segment is concerned. So that is something which we believe will continue to be a driver of growth for the FMEG segment going ahead as well. And we are, at our end also, trying to add

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as many products or SKUs over there as far as our offering is concerned, so that we can obviously capitalize on this upcoming opportunity.

Shrinidhi Karlekar: Right. And relatedly, are you also getting -- is there a cable intensive demand apart from FMEG products? Is it cable intensive or it's more wire intensive?

Chirayu Upadhyaya: It requires cables, but the requirement of cables is not very materially different as far as the percentage is concerned. Consequently, the requirement of switchgears is also there in adjacency to the requirement for the solar panels, inverters and cables. So it's a thing which drives demand for multiple products from our portfolio.

Shrinidhi Karlekar: And second one, Chirayu, is related to this exchange difference related costs that are there in the other income line, ₹ 31 crores expense versus ₹ 40 crore income. Would it be possible to elaborate that? What exactly is that? And one should consider that as an operating line or it's more of a treasury function?

Chirayu Upadhyaya: So Shrinidhi, it is linked to the MTM on foreign exchange. We had a loss this quarter of about ₹ 31-odd crores. This was linked to the rapid or sharp depreciation of rupee that we witnessed in the previous quarter. As far as its accounting is concerned, if you look at the segmental EBIT margins that we publish below the P&L, it is already apportioned to the specific segments. So

when you look at the EBIT margins, the negative impact of it is already there within the EBIT margin.

Shrinidhi Karlekar: Right. So yes, you consider it more like operating that way.

Chirayu Upadhyaya: Yes. Yes, Shrinidhi.

Shrinidhi Karlekar: Yes. And lastly, on exports, the very strong growth rate that you saw in this quarter and your commentary of sustaining

this growth momentum. Is it driven by U.S. as of now or it's driven more by non-U.S.?

Chirayu Upadhyaya: So Shrinidhi, it's across. As I mentioned, there are 3 or 4 geographies which contribute majorly to our top-line. U.S. is definitely one of them. Middle East is something wherein we are seeing a lot of demand for cables. Europe, Australia are other large contributors. We are trying to also enter as many geographies or countries as possible in Asia. But as of now, its contribution is lower. But the other 4 geographies, all of them are generating very robust demand, and all of them are increasingly contributing to the order book that we have on the exports business.

Moderator: Next question comes from the line of Amit Mahawar with UBS.

Amit Mahawar: Particularly on exports, maybe our market share in exports is largely around our market share in the domestic market. And please correct me if I'm wrong. As a country, we have less than 2% market share of global exports on cable from India. Do you think in the guidance that we've given of more than 10% contribution from exports, it is more close to 18%, 20% than 10%. Can you clarify? And second question is, can you specify how much will be EHV scale within the guidance of the next 4, 5-year guidance that you've given?

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Chirayu Upadhyaya: Sure, Amit. So first, referring to the exports question. See exports demand is something which is obviously very large. We are putting up a specific plant just to cater to the export demand. We obviously already have capacities to be able to cater to that demand. So going ahead, we definitely expect the exports growth rate to be faster than domestic growth rate. But one also needs to keep this in mind that even the domestic cables and wires portfolio is expected to grow at a very good pace.

In the example, as I had mentioned, depending on the real GDP growth, it can be anywhere between, let's say, 15% to 20%. So that is a big base and is going to be growing at a very fast pace. Over and above that, the FMEG portfolio, there too, we are targeting to grow almost 2x of the industry growth, right?

So that will also increase as far as the base is concerned. Other than that, even EPC, we have a very good order book currently and probably some more will come up from two other opportunities linked to BharatNet as well as from the EHV. So the base itself is expected to grow at a very good pace.

And hence, while exports growth will definitely be faster than domestic growth, the percentage contribution increase can't be at a very rapid pace. And that is where we've left it as saying that it will be greater than 10%. As far as capacity is concerned or opportunity is concerned, we have the ability to take it even closer to 20%, but we'll have to see what are the other variables and how they play out.

Coming to the EHV part, we have obviously taken a contribution from the EHV to the overall top-line. But again, it is not something which is going to be very material as far as the overall cables and wires top-line is concerned for FY30. It will be possible for us to give you more clarity on that much closer to when the plant is about to be commissioned and then we ourselves have more clarity in terms of the demand momentum as well as the order book over there. So probably we can come back to that closer to the date of commissioning of the plant.

Moderator: Next question comes from the line of Niket with MOAMC.

Niket: I had just one question. One is, if the duty or the tariffs are being imposed on Mexico or Canada by United States, and given the fact that Mexico is such a large exporter of wires and cables to U.S., do you think this will open a significant amount of opportunity for you? And how are you guys looking at it?

Chirayu Upadhyaya: So Niket, that is definitely something which we are also looking out at as far as the opportunity

is concerned. As far as import duty on cables is concerned, import duty on Indian cables by U.S. is in the range of 3% to 5%, whereas Mexico enjoys 0% import duty as far as cables export to U.S. is concerned. So as per what the American President is saying, and if he actually goes on implementing 25% import duty on Mexico, then the pricing differential between the cables that we are able to supply versus what Mexicans can supply, obviously, the pricing goes in favour of India. And that can definitely lead to market share gains for players from India like us. So obviously, that is something which can be a big needle mover, and we are looking at that as

levied on India or not. I mean, in that sense, it's something which is quite an open area. We can get more clarity on that over the course of next 1 to 2 months as and when things move ahead in that direction.

Niket: Got it. Last question is, how are we embracing this e-beam technology of manufacturing? Do you think that's likely to be a large moat? Is it higher margin versus the traditional one? Or is it the export market would love to have more e-beam technology made wires and cables versus the traditional one? How does it work? If you can just give me some understanding, that would be great?

Chirayu Upadhyaya: Sure, Niket. So e-beam as a technology is something that we've been utilizing for over 2 decades now. Probably, we were the pioneers of utilizing that technology in India. We've been utilizing it for cables for a while now. Specifically, if you look at the special purpose cables that we manufacture for niche industries, we utilize the e-beam technology over there. Recently, over the past couple of years, we have seen that, that technology has also started being used for manufacturing of wires.

While the market for that type of wires was obviously quite small, but it is growing at a good pace, because obviously, the end customer, they know that this quality wires are obviously superior to the normal wires, and that is where the larger players, developers, etc., they are looking to embrace this technology wires.

At our end as well, we are gearing up to supply those. We already have a product which are manufactured through e-beam technology. It has already been launched in the southern part of the country and incrementally being launched across the other 3 zones. We will also have one more product at a different price point, again, with the e-beam technology, which will be launched in the near future. So definitely something which can be additional generator as far as the growth is concerned on the wires side going ahead.

Niket: Got it. And one final one, if I may squeeze in, is when you highlighted your export share will likely to improve to closer to 15% to 20% over a period of time, why is the margin assumption still at 11% to 13%? Shouldn't it be 13% to 15% range?

Chirayu Upadhyaya: So Niket, we have always been saying that in the long term, 11% to 13% of EBITDA margins is something which are sustainable in this business. In the near term, maybe in the midterm, depending on what is the product composition or the business composition, there are obviously possibilities that we will continue to operate at the high range that we are operating right now. But at this point of time, I wouldn't want to commit that 5 years down the line, similar scenarios will exist. So if it exists, obviously, we will try and our endeavour will be to continue to overdeliver on that guidance. But as of now, the guidance will be to deliver 11% to 13% of EBITDA margins in the long term.

Moderator: Next question comes from the line of Praveen Sahay with Prabhudas Lilladher.
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Praveen Sahay:

So my first question is related to the EPC business. In the last 4 quarters, we had seen a good run rate going on. So if you can give some more colour on how is the order book, especially in this segment? And also on the margin profile guidance going forward in this segment?

Chirayu Upadhyaya: So, Praveen, as I had mentioned, we have a robust order book over there. As at end of December, about ₹ 48 billion is the open order book that we have to execute over the course of next 2 to 3 years. So roughly, from that order book, you will see a similar run rate that we've been generating over the past 2 to 3 quarters, consistently coming up over the next 2 to 3 years.

Over and above that, possibly, as and when we start executing the BharatNet order, that will start contributing a bit on the EPC top line. Probably from FY27 onwards, when we have an EHV order and we are executing those orders as well, that will also contribute to the EPC. But as far as its contribution is concerned, we don't expect the EPC to be a very large contributor to the overall Company's top-line.

It will continue to be in maybe high single digits. And as far as the margin guidance is concerned, as of now, while we are operating at, let's say, 10%, 11% of margins, the long-term sustainable margin range for that business is somewhere in the mid- to high-single digits. So that is where probably our business will converge to in the longer term.

Praveen Sahay: Okay. And the next question is related to the FMEG, because in the FMEG this quarter, you had grown and given the reason for that as well. So especially in the lightings, which you had seen

the value growth, is that also sustainable? Or is there some element of a seasonality also there in this quarter, which in the proceeding quarters, we'll not be able to see that? Or you are seeing this to be the normal run rate for a quarter?

Chirayu Upadhyaya: So Praveen, on the lightings side, definitely, Q3 had a positive impact in terms of the Diwali festival that we had during the beginning of the quarter and which obviously contributed in terms of enhanced sales. But over and above it, I don't think that is the only factor. A lot of initiatives that we have taken in that business in terms of expansion to different geographies, tying up with more and more distributors, retailers, having incentive schemes for them, all of them are actually working out very well in our favour. And we do expect that this business will continue to do good going ahead as well.

As far as growth percentage is concerned, of course, I mean, it will be very difficult to predict whether it will continue to deliver very healthy volume growth or value growth continuously, because pricing erosion is something which is still ongoing. While obviously the pace has lowered, but it's still continuing. Probably, going ahead, on the premium side of -- premium SKUs of those products also is where the pricing erosion might take place. So in that sense, there will be some form of impact because of that. But as far as the demand generation avenues are concerned, our initiatives are actually working out, and we are quite hopeful that, that business will continue to do well for us going ahead as well and continue to contribute to the overall FMEG growth for us.

Moderator: Next question comes from the line of Renu Pugalia with IIFL Securities.

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Renu Pugalia: Most of my questions are done. Just some bookkeeping, if you can help. How was the broad mix of Cables and Wires in 3Q given that Wires had seen significant weakness? And for YTD, what was the volume growth across Cables and Wires?

Chirayu Upadhyaya: So as far as the mix is concerned, I believe the mix of Cables have obviously gone up, and it is north of 75% between Cables and Wires now. As far as the volume growth for the year is concerned, the volume growth in Cables is in do

uble digits and for Wires is in single digits.

Overall, the Cables and Wires volume growth for the year -to-date is in double digits.

Moderator: The last question comes from the line of Aniruddha Joshi with ICICI Securities.

Aniruddha Joshi: Most of the questions are answered. But just 2 things. Can you indicate the likely market share that we are targeting in FMEG segment, considering we are planning to grow at almost double the market rate? And also in terms of the region -wise strategy, East, West, North, South, which are the regions where we are looking at higher growth rates or possibility of more market share gains? And lastly, in terms of quick commerce, we don't see much of presence of Polycab in quick commerce channels. So any outlook that you would like to indicate regarding these channels? Yes, that's it from my side.

Chirayu Upadhyaya: Sure, Aniruddha. So as far as FMEG business is concerned, as we've mentioned that we would target to grow ahead of the industry growth rate. Somewhere between 1.5x to 2x of industry growth rate is something that we are targeting to grow at. Obviously, that will help us gain on market share. But of course, it will be different for different products. And that is where it is very difficult to say what percentage market share we will gain as far as the FMEG segment is concerned.

Between the different product categories, we've already laid out which are the categories which we believe we should be targeting to grow its contribution because of better profitability and all. In general, across all the product categories, we'll continue to expand as far as the capacity is concerned, as far as the distribution is concerned, and so on and so forth. Ultimately, as we've been mentioning, the ultimate goal for us is to be among the top 3 players across the product categories. So as far as the growth or market share is concerned, we'll have to work in all the product categories consistently across the years. Sorry, your second question was on...

Aniruddha Joshi: Quick commerce...

Chirayu Upadhyaya: As far as regions are concerned, see, as of now, the Western region is where we have the most presence. But of course, we are working on gaining prominence in other regions as well. All the other regions, North, South, East probably is where we are doing a lot of initiatives in terms of distribution expansion or making our products available across more number of retail outlets, enhancing our product availability or different types of products catering to specific price points as well.

And over and above that, the different type of GTM strategies are also being employed, so as to make sure that for a particular geography, if there is a particular type of GTM which works best, we employ those GTM strategies. So that is something which is in works, and we are trying to improve the contribution of other geographies to the FMEG top -line as well.

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As far as the e-commerce or quick commerce is concerned, that is also a part of the GTM strategy which I was mentioning. As and where in whatever geographies those GTM strategies are working well, we will obviously try to work and employ those strategies as well. Probably going ahead, maybe over the course of next few quarters, years, you'll see our availability becoming or improving much better across all the different types of GTMs. I hope I have answered the questions?

Aniruddha Joshi: Yes, sure.

Moderator: Ladies and gentlemen, due to time constraints, we have reached the end of question -and-answer session. I would now like to hand the conference over to Mr. Gandharv Tongia: for closing comments.

Gandharv Tongia: Thank you for your support in our previous transformation project, the Project LEAP. We are now counting on your support for our next ambitious project, the Project Spring. Thank you for joining us today, and wish

you a great day ahead. Thank you. Bye -bye.

Moderator: Thank you. On behalf of Polycab India Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.

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National Stock Exchange of India Limited

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Scrip Code: 542652 Scrip Symbol: POLYCAB

ISIN: INE455K01017

Dear Sir(s) / Madam(s),

Subject: Submission of Transcript of Earnings Conference Call held on May 07, 2025.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of Earnings Conference Call held on May 07, 2025 .

Kindly take the same on your record.

Thanking you

Yours Faithfully

For Polycab India Limited

Manita Carmen A. Gonsalves

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"Polycab India Limited Q4 FY'25 Earnings Conference Call"

May 07, 2025

MANAGEMENT : MR. INDER JAISINGHANI – CHAIRMAN & MANAGING
DIRECTOR , POLYCAB INDIA LIMITED
MR. GANDHARV TONGIA , EXECUTIVE DIRECTOR &
CHIEF FINANCIAL OFFICER , POLYCAB INDIA LIMITED
MR. CHIRAYU UPADHYAYA – HEAD, INVESTOR
RELATIONS , POLYCAB INDIA LIMITED

Polycab India Limited
May 07, 2025

Moderator: Ladies and gentlemen, good day and welcome to the Polycab India Limited Q4 FY25 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing “*”, then “0” on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Gandharv Tongia, Executive Director and Chief Financial Officer, Polycab India Limited. Thank you and over to you, sir.

Gandharv Tongia: Thank you, operator. Good afternoon, everyone. Thank you for joining us. I hope all of you are staying healthy and safe. I am Gandharv Tongia – Executive Director and CFO at Polycab India Limited.

On this call, we shall discuss the Q4 FY25 Results, which were approved in the board meeting held yesterday. We will be referring to the Earnings Presentation, Financial Results and Financial Statements, which are available on these stock exchanges as well as on the Investor Relations page of our website.

Joining me today from the management team, we have our Chairman and Managing Director, Mr. Inder T Jaisinghani, and our Head, Investor Relations, Mr. Chirayu Upadhyaya. Let me now hand over the call to Inder bhai for his comments.

Inder Jaisinghani: Good afternoon, everyone.

We are proud to announce that FY25 has been a landmark year with record -breaking revenue in both the 4th Quarter and full year , powered by strong growth across all segments . Our full year revenue crossed ■ 220 billion making Polycab the largest Company in the electrical industry by revenue. Our Wires and Cable business extended its leadership , FMEG outperformed industry as well as achieved a profitable breakthrough and EPC delivered exceptional scale. This helped us register robust revenue and profitability growth with PAT crossing ■ 20 billion mark , reaffirming our position as the most profitable Company in the electrical industry for third consecutive year . With powerful industry tailwind, strong demand outlook and our transform ation agenda under Project Spring , we are energiz ed and ready t o unlock the next phase of sustainable industry lead ing growth.

With this, I would request Gandharv to give you a flavor of the macro environment.

Gangharv Tongia: Thank you, Inder bhai.

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Since February this year, we have witnessed a sharp escalation in global trade tensions. What began as targeted US tariffs has quickly broadened into sweeping measures, prompting swift retaliation from key trading partners. By early April, tariffs were nearly across the board.

This rise in trade barriers and the resulting policy uncertainty are already taking a toll. The IMF has revised global growth projections downward , 2.8% for 2025 and 3 .0% for 2026 from the earlier estimate of 3.3% for both the years. Advanced economies will be ar the brunt, with the US now expected to grow at just 1.8% and the EU area at a mere 0.8%. Even emerging markets, long the engines of global growth are not immune. China, in particular faces significant downgrades. Despite these global challenges, India 's growth story remains fundamentally strong.

Our structural drivers , expanding workforce, rapid digitization and a resilient domestic economy are laying the foundation for sustained growth. Unlike many others, we are relatively insulated from global tariff actions. And we have acted decisively – the Reserve Bank has already cut interest rate by 50 basis points , with further easing likely.

Momentum on the ground is real. Digital payments are surging, industrial production is picking up, and auto sales are recovering. In March, industrial output grew 3% YoY and infrastructure goods surged nearly 9%, the highest in 17

months.

PMI for both manufacturing and services remains firmly in expansion, reflecting robust business activity. Inflation is softening – CPI in March hit a 67 -month low at 3.34% , and core inflation remains contained, aside from gold and silver linked categories.

Real estate is booming, reaching a decadal high last year. Corporate investment is rebounding, fuel led by stronger balance sheets, lower borrowing cost s, and higher capacity utilization. Government capital expenditures and resilient service exports are also adding momentum.

So, while the world faces uncertainty, India stands out.

We are not without challenges – but our fundamentals are strong , our policies are proactive, and our resilience is proven. Let us stay focused on the long -term opportunity , and not just short -term noise.

I would now hand over to Chirayu to take you through the financial performance for the Quarter and the Year.

Chirayu Upadhyaya: Thank you, Gandharv.

Let me now draw your attention to Slide 4 of the Earnings Presentation.

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For the quarter ended 31st March 2025, we are pleased to report that the consolidated revenue grew by a strong 25% YoY supported by robust performance across all business segments.

Our EBITDA grew by 35% YoY , outpacing revenue growth, resulting in ~110 basis points improvement in EBITDA margins, which stood at 14.7% for the quarter. This margin expansion was driven primarily by :

1. A profitable turnaround in our FMEG business, which has been the result of sustained strategic investment s; and

2. Improved margins in the EPC business, supported by low base and better execution discipline. On a sequential basis, EBITDA margins expanded by approximately 90 basis points, largely on account of margin improvements in both Wires and Cables and FMEG business es. In Wires and Cables, improved operating leverage contributed meaningfully, while FMEG benefited from richer product mix and better absorption of fixed cost.

At the PAT level, the Company delivered its highest -ever quarterly PAT of **₹7.3 billion**, registering a strong 33% YoY growth. Our PAT margins improved by approximately 60 basis points YoY, reaching 10.5%.

Finance cost for the quarter stood at **₹ 325 million**, while the other income came in at **₹ 481 million**.

For a detailed breakdown of these line items, I would encourage you to refer to slide 27 of the presentation.

We continue to maintain a healthy balance sheet , with a net cash position of **₹ 24.6 billion**. Our working capital cycle improved to 49 days in Q4FY25, primarily due to a temporary reduction in inventory days as some of the raw material purchases are currently in transit. On a normalized basis, we expect the working capital cycle to return to a long -term steady range of 50 to 55 days.

Capex for the quarter stood at **₹ 1.3 billion**, taking our total capital expenditure for FY25 to **₹ 9.6 billion**, which is well aligned with our guidance.

Turning to our full year performance for FY25 , I am proud to share that Polycab has delivered its highest ever revenue, EBITDA and PAT in the Company' s history.

- Revenue crossed **₹ 220 billion** milestone, growing 24% YoY .
- EBITDA grew by 19% with a full year margin of 13.2%.
- PAT grew by 13% YoY , surpassing the **₹ 20 billion** mark.

This performance not only reflects our financial strength but also solidifies Polycab's position as the most profitable Company in the electrical industry for the third consecutive year. Moreover, with this

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performance, we have now become the largest Company in the Indian electrical industry by revenue, a significant milestone for all of us.

Moving on to Slide 5.

We are pleased to report continued market share gains despite operating of an already high base. Our domestic Wires and Cables organized market share has grown to 26% - 27%, up meaningfully from 18% - 19% in FY19 and a

step ahead from 25% - 26% in FY24. This speaks volume about our consistent execution and ability to lead the industry with innovation and scale.

FY25 also marked a key inflection in terms of capital investment. For the first time in our history, the annual capex reached almost **₹ 10 billion**, underscoring our long -term commitment to growth.

We remain on track with our Project Spring capex roadmap of **₹ 60 to ₹ 80 billion** over the next five years, which will power our capabilities, scale and innovation.

We have further strengthened our balance sheet with net cash increasing to **₹ 24.6 billion**, reflecting continued focus on efficient cash flow management. In line with our capital allocation priorities, we have proposed a dividend of **₹ 35 per share**, resulting in a dividend payout ratio of 26.3%. This is a step forward towards our Project Spring target of 30% payout ratio by FY30.

Now, let's move to Slide 9 for a quick update on the Wires and Cables Business .

The Wires and Cables segment delivered 22% YoY growth during the quarter. Within this, the domestic business recorded an impressive 27% YoY growth fueled by continued momentum in infrastructure, housing and industrial investments as also reflected in the macro commentary. Notably, domestically, cables outpaced wires in terms of YoY growth this quarter, while the opposite was true for sequential basis. Both distribution and institutional channels showed healthy growth. Regionally, the West led the performance, followed by the South, North and East, underscoring our pan-India presence and reach.

As highlighted on Slide 11, our products continue to contribute meaningfully to nation -building efforts across sectors such as renewable energy, metro rail, data centers and manufacturing. Our international business witnessed a temporary dip during the quarter due to the rollover of a large order into the next quarter. That said, we remain optimistic about the outlook. With a healthy order book and favorable demand trends, we anticipate strong growth going forward. I would also like to highlight that we have now expanded our global footprint to 84 countries, up from over 15 in FY21, reflecting our growing global ambition.

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EBIT margins for the Wires and Cables business came in at 15.1%, improving by 140 basis points sequentially. This performance was supported by better operating leverage and a favorable product mix, though partly offset by lower contribution from the international operations.

Moving on to Slide 13 for an update on the FMEG Business .

The FMEG business delivered an exceptional performance this quarter, registering a strong 33% YoY growth , with robust contributions from across all product categories. This marks the fifth consecutive quarter of outperformance versus industry benchmark, reaffirming the strength of our strategy and execution in this high potential segment.

Let me take a moment to walk you through the key drivers of this performance .

Starting with fans, despite a delayed onset of summer, the segment recorded impressive growth. This reflects the success of our premiumization strategy and focused execution. We launched over 100 new SKUs in this category, extended our geographic reach to over 350 new towns and added 280 channel partners and more than 8,000 retailers during the year. As a result, premium fans now contribute around 18% of FY25 sales volume and almost 30% by sales value.

In the lightning and luminaries business , we sustained our growth momentum of last quarter, even amidst continued pricing deflation. Growth was driven by both volume and value , thanks to our expanding premium portfolio, which now contributes almost 21% of the light & luminaries sales volume and again almost 30% by sales value. We launched over 200 new SKUs, expanded our footprint to approximately 700 towns and onboarded 170 + partners and over 11,500 retailers this year

alone. Our value proposition of high quality, energy -efficient lighting solutions continues to resonate well across urban and semi -urban markets.

Our solar product business stood out as a clear outperformer, growing nearly 2.5 times over the year, making it the third largest category within our FMEG portfolio. With strong tailwinds from the government initiatives like the PM Surya Ghar Yojana, state level subsidy schemes and rising awareness around renewable energy, we see a long runway for growth in this category. States such as Maharashtra, Gujarat, Rajasthan, Telangana, Madhya Pradesh , Uttar Pradesh and Tamil Nadu led demand, and we expect the momentum to continue.

Other product categories, including Switch Gears, Conduit Pipes and Fittings and Switches also delivered healthy growth. This was supported by continued momentum in the real estate and construction sector and our focused approach towards portfolio enhancement and market penetration.

As mentioned in the opening remarks, we are pleased to report that the FMEG business turned profitable in Q4FY25 , following ten quarters of sustained strategic investments in talent acquisition,

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product development and brand building. These investments are now translating into tangible results and we remain committed to this path.

Looking ahead, the FMEG segment is expected to continue its upward trajectory aligned with our Project Spring goals of achieving 1.5 x – 2x industry growth and improving EBITDA margins to 8% - 10% by FY30. Our ongoing investments in channel expansion, product innovation and brand equity will be pivotal in unlocking long -term value in this segment.

Moving on to Slide 15.

This slide provides an update on our EPC business. We achieved revenues of ₹ 6,028 million in Q4FY25 , marking a 47% YoY growth. Profitability increased by 171% YoY with segmental margin at 9.4%. The robust growth within the business was driven by strong execution of the RDSS order book.

During the quarter, the Company executed an agreement with BSNL for Design, Supply,

Construction, Installation, Upgradation, Operation and Maintenance of Middle -Mile Network of BharatNet in the Bihar Telecom circle, amounting to ■ 30 billion (inclusive of GST). This includes capex of ■ 15 billion, opex for newly constructed network of ■ 9.3 billion and opex for the existing network of ■ 5.2 billion. The execution period for the capex part is three years with opex part on the new network beginning from four h year post completion of the capex leg. The opex part on the existing network has begun along with the execution of the agreement and will last for 10 years. Polycab has also been declared the lowest bidder in the Goa, Karnataka and Puducherry package with the capex order amounting to ■ 41 billion (inclusive of GST), execution of the agreement for which is expected to complete soon. Our open order book in the EPC business stands at around ■ 70 billion as at end of March 31, 2025.

The annual sustainable operating margin in this business is expected to be in high single digit over medium to long -term.

Before we close the quarter 's update, I want to take a few minutes to speak about a subject that is not just a business imperative , but a moral one ; our commitment to environmental, social and governance excellence.

At Polycab, we believe that a Company' s true value is not only measured in revenue or market share, but also in how responsibly it operates towards people, the planet and the principles of good governance. ESG is no longer optional. It is essential – for long -term resilience , for trust , and for value creation. It is about doing well , by doing good.

Over the past three years, we have laid a strong foundation for this journey. We developed a comprehensive ESG framework, one that is not just theoretical, but integrated into how we operate.

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We established an ESG Charter that institutionalizes accountability through a dedicated board ESG Committee, a Central ESG Council, and a cross -functional ESG Working Group. We also appointed our Chief Sustainability Officer and worked closely with expert consultants to align our strategy with global standards.

Importantly, we spent the last two years working quietly but steadily on internal ESG goals, understanding our impact, strengthening our capabilities , and building the right culture.

Earlier this year, we took another critical step forward. We refreshed our material assessment by actively engaging with a wide range of stakeholders, employees, customers, investors, suppliers and community representatives. This collaborative approach helped us identify 15 ESG topics that truly matter to both our business and our stakeholders.

I am pleased to share that going forward, we are setting bold, measurable five -year goals on 10 of these material topics covering all three pillars : Environmental, Social, and Governance. These goals are laid on slide 19.

Our ESG goals from the core of our five -year ESG roadmap , aligned with our broader transformation initiative Project Spring . Through it, we are embedding sustainability into every aspect of our business and ensuring we grow responsibly, operate efficiently , and lead by example.

We know this is a long road . But with the right intent, a strong foundation, and a culture of responsibility, we are confident that Polycab will not just keep pace with global expectations – but help shape them.

Thank you for your continued support and belief in our journey.

That was the update for the quarter. Thank you and we are now open for questions.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Sonali Salgaonkar from Jefferies. Please go ahead.

Sonali Salgaonkar: Thank you for the opportunity and congratulations on a great set of numbers. Sir, my first question is on the domestic cable and wire segment. It seems to have grown at a very strong rate of 27% YoY .

Could you quantify how much of that is volume growth and how much of that is value, and within that also possibly split between cables and wires?

Chirayu Upadhyaya: Thanks a lot, Sonali. As far as domestic performance is concerned, it has been again one of the best quarters that we have seen. This is something which generally plays out that Quarter 4 , we see a good pickup in demand and this is something that actually played out.

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Regarding the mix of value versus volume is concerned, the volume growth within the domestic cables and wires for the quarter YoY was around mid -teens , with the remaining growth coming from value. Within that, cables grew faster than wires . Cables volume growth was in the higher teens while volume growth for wires was in high single digit.

Moderator : Ladies and gentlemen, we seem to have lost the connection of the participant. The next question is from the line of Achal Lohade from Nuvama Institutional Equities. Please go ahead.

Achal Lohade: Good morning, team. Thank you for the opportunity. Congratulations for great set of earnings. Just to expand on the previous question, if you could also give in the similar fashion for FY25 and if you

could remind us for FY24? I am just trying to see what has been the volume growth trend for the last couple of years overall in the domestic market and also between cables and wires?

Chirayu Upadhyaya: Sure, Achal. So, if you look at the entire year's performance, again the volume growth for the cables and wires business has been around mid-teens. Cables has obviously grown a bit higher and volume growth for wires is again in high single digits. This is aligned with our guidance that we expect this market to grow between 1.5x to 2x of real GDP growth and us to outperform over t

hat. We have been

able to consistently do so and gain market share. We believe our market share now in the domestic organized market is closer to around 26% to 27%.

Achal Lohade: And would you have, Chirayu, for FY24 also the volume growth for cables, wires and overall in the domestic business?

Chirayu Upadhyaya: Achal, I don't have it handy, but we have disclosed it in our last year's call. So, probably you can refer to that.

Achal Lohade: Okay. The second question I have is with respect to the margins. For the 4th Quarter we've had strong margin performance. This is despite the relatively weaker performance in the export, which is the most profitable segment. So, I am just curious to understand in terms of the margins, has there any inventory gains, any one-offs here given 4th Quarter is the balancing quarter? I just wanted to understand your perspective on the same.

Chirayu Upadhyaya: So Achal, there are no one-offs as far as margin improvement is concerned. The entire improvement is largely because of the operating leverage that we have got the advantage of. If you look at our margin trajectory of last three to four years on a quarter-on-quarter basis, you will notice a consistent improvement sequentially in every quarter and 4th quarter is always the best in terms of margins. This year has been no different and we have been able to improve on our margins in the 4th Quarter here as well.

Achal Lohade: Understood. And just the last question is in terms of the EBIT margin guidance for cables and wires, how do we look at that for the next three, four years?

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Chirayu Upadhyaya: Our guidance, as a part of Project Spring, is on EBITDA and we've given the guidance that over the near to mid-term we expect the EBITDA margins in the cables and wires business to be consistently in the 11% to 13% range.

Achal Lohade: This is only for cables and wires piece, right?

Chirayu Upadhyaya: Yes.

Achal Lohade: And what was it for FY25? That's my last question.

Chirayu Upadhyaya: EBIT margins for cables and wires for the year were at 13.6%, so EBITDA margins would have been in the range of 14% to 15%.

Achal Lohade: Okay. Alright, I'll fall back in the queue. Thank you so much.

Moderator: Thank you. The next question is from the line of Renu from IIFL Capital. Please go ahead.

Renu: Hi, good afternoon team and congratulations for the strong performance. My first question is just to understand the 100-bps margin expansion that we have suggested in the cables and wires, is it regionally driven or broad based and the key drivers here would be GTM and portfolio expansion or anything else? That's the first question.

Chirayu Upadhyaya: Sure, Renu. The margin expansion that we are seeing in cables and wires is on a sequential basis from Q3 FY25 to Q4 FY25. This expansion is a bit because of the operating leverage as well as because of the change in product mix. As referred in my initial comments, while on a YoY basis, cables has outperformed wires, sequentially, Q4 over Q3, wires has grown faster than cables and obviously since wires are a better margin business, it has also contributed in sequential improvement of margin. Although, our international business didn't perform as well, has taken a bit of sheen off that improvement that we saw. But the larger increase is because of these two reasons.

Renu: Got it. And the market share is also a resultant of GTM and regional approach or anything else?

Chirayu Upadhyaya: So that is a continuous work-in progress. It obviously would have contributed in the improvement. But again, as I was mentioning, the larger part of the improvement would have been because of the operating leverage and change in product mix. Incrementally, if you look at a longer-term period, maybe over a period of one year, two years, three years, the other initiatives will definitely contribute

but

much more meaningfully as far as margin improvement is concerned.

Renu: Got it. The second question here is on the solar portfolio, which is now the third largest category within the FMEG. So, what is Polycab value proposition here and our GTM strategy with entirely

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through system integrators, EPC contractors or we have direct revenue here from the end markets?

And also, what are the plans for backward investment in manufacturing for this category?

Chirayu Upadhyaya: So, Renu, largely we sell solar inverters in that portfolio. These are not manufactured in-house, we

outsource the manufacturing and then sell it to the end customers. As of now, there are no plans of setting up an in-house manufacturing. So, we will continue with this model. We will obviously onboard more vendors through which we can increase our sourcing and then service the full range up-till 325 kW, which is what is the upper limit as far as the usage in India is concerned.

Renu: And any plans to get into solar EPC infra project?

Chirayu Upadhyaya: Not as of now.

Renu: Sure. Thank you, team. That's it from my side. I'll get back with more questions if any. Thank you and all the best.

Moderator: Thank you. The next question is from the line of Deepak Gupta from JM Financial Asset Management. Please go ahead.

Deepak Gupta: Good afternoon, sir. Thank you for taking my question. My first question is on the export opportunity. If you could give us some perspective about how do you see export revenue shaping up for FY26 given the challenges that we are seeing in US regarding trade tariffs, etc.,?

Chirayu Upadhyaya: Sure, Deepak. So as far as the performance on exports is concerned, we expect a material improvement going ahead every year. Under Project Spring, we have anyways laid out a guidance that we would want to increase the contribution of exports to the overall revenue to 10% from the current 6% that we saw in FY25. The lower performance or relatively lower performance in FY25 was because of various reasons. As you are aware in the first half, we were still going through our business model change in the US, which obviously led to a bit lower sale from the largest geography that we had over there, but that is now complete and behind us and we have our sales happening in the US through the hybrid model. The other large geographies are something that we have tapped into. We have a very good order book coming in from Middle East, from Europe, from Australia and that is something that we will service over the course of next year and so on. Lastly, we don't see any material impact as of now because of the tariffs which are being levied. As of the current status, 10% tariffs are levied across all these geographies which export to US and that means it's status quo as compared to what it was a couple of months back. Even going ahead, post the completion of the 90 day period, if you look at the tariffs which are expected to get levied, India tends to benefit because the tariffs are relatively lower than the other larger cable exporters from Asia. So, we don't expect any negative impact of tariffs. In fact, if you look at the current status, all our current orders which we had from that geography, we were able to pass on the increase in cost because of the tariffs to them. In general, if you take a mid-to long-term view, we are very positive on the exports opportunity.

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We keep on adding new geographies - as I mentioned, last year to this year we already added five new geographies wherein we are now approved as an exporter and we will keep on improving on that. In fact, what we are also doing is we are now setting up three different divisions within our exports wherein we will be catering to the OEMs, to the distributors and to EPCs through these separate teams. So, we are doubling down on execution, we are

increasing the team and we've also

chartered out the geographies we're going to want to expand to. We also have a list of the EPC contractors and end clients where we would want to increase our sales to and increase our throughput from the existing clients as well. So, we are very confident that we should see very good growth in exports going ahead and we should be able to achieve the FY30 target that we have taken within Project Spring.

Deepak Gupta: So therefore, would it be right to assume that your EBITDA margins for full year, which is the 13.2% can only improve from here going onwards, given the fact that exposure will be increasing in your overall proportion of sales?

Chirayu Upadhyaya: So, Deepak, there are multiple variables at play. Definitely, since exports business is a relatively higher margin business and if the mix improves, definitely that should help as far as the margins are concerned. But we should also look at the other variables, which, for example let's say we are also going to be investing a lot in capacity expansion over the course of the next five years. While in the initial phases, the utilizations are low, the operating leverage is something that goes away and that is where there can be a bit of a negative impact on the margins front. The other impact can be because at a Company level we will have to invest a lot in advertising and promotion for our B2C business. A percentage of that gets allocated to the cables and wires segment as per the top line contribution and that can also have a bit of a negative impact. We are also going to be investing a lot going ahead on R&D and innovation and that, obviously, expenses can eat up a bit into your margin. So largely there are positive variables as well as negative variables, and that is where the margin trajectory going ahead in spite of whatever will happen, I think we have given a guidance of 11% to 13% and we are reasonably confident that we should be able to deliver within those margin guidance.

Deepak Gupta: Noted. Thank you so much.

Moderator: Thank you. The next question is from the line of Sonali Salgaonkar from Jefferies India. Please go ahead.

Sonali Salgaonkar: Sir, thank you for the follow-up opportunity. Sorry I dropped off; my line got disconnected earlier. Sir, my second question is any pricing actions you have taken in the wake of copper movement YTD?

And also thirdly is on the FMEG. FMEG margins I know this question had come up earlier, but what is the kind of sort of guidance that you would like to give on a sustained basis for FMEG margins going forward?

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Chirayu Upadhyaya: Sure, Sonali. So, as far as the cables and wires business is concerned, as you are aware, we pass on the changes in commodity prices on a monthly basis. That is the practice that we followed in the previous quarter and the month of the current quarter as well. Whatever increase or decrease in copper, aluminum or other commodity prices were there, we pass that on. Largely I think in the previous quarter on copper front as well as aluminum front a mid-to-high single digit pass on of the increase in commodity prices was done and again basis whatever changes have happened in this quarter, all those changes have been passed on to the end customer.

As far as the FMEG margins are concerned, it is after almost 10 quarters we have seen a profitable quarter for the FMEG business. This is a result of all the initiatives that we've been taking, wherein we have been able to improve the utilization of our manufacturing plants and hence we receive a benefit of operating leverage. We have also changed in the product mix that we have in the favor of higher margin products like switch gears or a solar or conduit pipes wherein we are profitable. So that has led to this improvement. Going ahead, we expect that we should be able to continuously see improvement in

our margins towards our guided range of 8% to 10% of EBITDA margins by FY30.

So, every year we should see an improvement from the current margins that we have.

Moderator: Ladies and gentlemen, the next question is from the line of Akshay Gattani from UBS. Please go ahead.

Akshay Gattani: Hey. Thanks for the opportunity. My question is on the export front. I wanted to understand the profile of what kind of cables are going in the export like are these more of specialized cables or normal power cables, trying to understand like end user industry exposure in the exports market?

Chirayu Upadhyaya: So, it's a mix of both, but the higher proportion will be from low voltage and medium voltage cables, which has the maximum demand from across geographies. But having said that, we also supply solar cables or cables which are used in other specialized end-industries as well and that will obviously depend on the geography as well as the projects wherein we bid on. But to answer your question very simply, the larger contribution is from your low voltage and medium voltage cables with smaller part coming in from specialized cables.

Akshay Gattani: Okay. Got it. Thanks. And another question is on the domestic front. What is driving the strong demand per se like end user industry like these are LV /MV cables or you're seeing H V cables also doing reasonably well?

Chirayu Upadhyaya: So, Akshay, since low voltage and medium voltage combined are almost 50% of the overall market, I think the kind of demand momentum witnessed over there will have the maximum impact as far as the industry growth is concerned as well as the growth of larger players like us is concerned. So that is obviously the primary type of cables which is driving the demand growth. But, even high voltage or EHV cables, the demand for those types of cables is also pretty strong. As far as industry is

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concerned, across all types of industry we have seen consistent good demand. Power industry is one such industry wherein we have seen an improvement in demand and we expect this to be a consistent phenomenon going ahead, especially the transition to renewable energy sources is something which is a very big opportunity in the country and for manufacturers like us and we are trying to tap as much of that opportunity as possible. Other industries, like real estate, it continues to do well and we expect it to do even better, going ahead looking at the kind of momentum we have seen over the past two to three years. We have the product categories which can be supplied to each and every type of industry, which is there in India, and we keep on improving on the quality of those products, the availability of those products, and that is where we expect that we continue to see the very good growth. In-line with our Project Spring guidance, we will target to grow the cables and wires business at almost 1.5 x of the industry growth and continue to gain market share from the other industry peers.

Akshay Gattani: Thanks, sir. This is helpful. One more question if I can. As you said, like R&D expenditure might go higher and this could have like near-term margins. So where will this R&D expenditure be going?

And any guidance as a percentage of sales, what could be the range?

Chirayu Upadhyaya: We wouldn't want to give guidance on the percentage, but on an absolute basis, definitely it will continue to go up and it is not something which will just be a near-term phenomenon, it is something that we will do consistently. If you recall, one of the pillars within our Project Spring guidance is that we will increase our focus on innovation and R&D. So that is something that is within our "To Do List" and we will continue to focus much more or much more aggressively than what we have done in the past and increase our spends over there.

Akshay Gattani: Okay, got it. Thank you.

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Moderator: Thank you. The next question is from the line of Praveen from PL Capital. Please go ahead.

Praveen: Yes. Thank you for the opportunity. My first question is related to the EPC. As you had given ₹ 70 billion order book, is that only a BharatNet order book you have, nothing to RDSS? And also because now you had already given us a high single digit margin in EPC, so is that same kind of a margin we are going to expect from the BharatNet project as well? So that's the first question.

Chirayu Upadhyaya: Sure, Praveen. So, the ₹ 70 billion order book which I mentioned consists of two components. Of ₹ 70 billion, ₹ 40 billion is order book from the RDSS projects and the remaining ₹ 30 billion is from the BharatNet scheme. The ₹ 40 billion of RDSS order book is something that we have to execute over the course of next two to three years. That will give us an almost consistent quarterly run rate of almost ₹ 5 billion from that and the BharatNet order book is from the Bihar order that we have won wherein the execution period is for three years. The capex part, which is roughly ₹ 15 billion and the remaining is something which is an opex part, and which will be accrued over a period of 10 years after the completion of the capex period.

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Praveen: Okay. Okay, that's helpful. The second question is related to the advertisement. That is down this quarter. So, if you can give what is the normalized number the way forward we can see and why that's significantly 24% down in this quarter?

Chirayu Upadhyaya: Couple of reasons, Praveen, over there. One of them is that generally in Q4 you do advertisement before the summer season and largely it's for the fans portfolio. As you're aware, this time, the summer season is a bit delayed and that is where our spends on A&P are also a bit delayed. We have started doing more on that front from April onwards and that is probably where you will see that cost getting reflected in Q1FY26. The second thing is we are also utilizing different mediums this time around. Last year we did a brand refresh and we had tied up with ICC, being an official partner for three of the World Cup events. That is something wherein we had increased our spends materially last year. This year, relatively, it's lower, but consistently every year you'll see an increase over there. We are also utilizing different mediums for doing the A&P spends. So, for us this year, digital medium is something that we have focused a lot on as well as on-ground activities with our retailers, distributors, etc., This type of A&P is relatively lower costing and hence you might have seen a bit of a dip as far as A&P spends are concerned. But again, going ahead, all the type of spends, both, above-the-line and below-the-line marketing activities are something that we will pursue and each year you will see an increase in the A&P spends that we will be doing for our B2C business.

Praveen: Okay. Okay. So, we can assume this is a one-off, way forward and we will see the improvement there. Last question is related to the international business. So international business was down 2.4% and you had said that's a roll forward the next quarter. Is this nothing to do with the US tariff escalation or something is because of that as well?

Chirayu Upadhyaya: So, Praveen, as far as the US tariff-related things are concerned, see the end clients obviously even for them there is as of now no clarity as what situation will persist, let's say a couple of months down the line. So, whatever orders we have received that will continue to be executed. Whatever projects are ongoing in the US, obviously they wouldn't get delayed, and they will continue to raise demand for whatever types of cables that they require. So, we don't see any material change because of the tariff-related announcements as far as the demand from that geography is concerned.

But, of course,

post there is more clarity, let's say two months down the line, I think the demand momentum will improve even further and that is where I think the momentum from our sales to US will see further improvement and even for all the Indian players or exporters.

Praveen: Okay. Got it. Thank you. That's it from my side. All the best.

Moderator: Thank you. The next question is from the line of Natasha Jain from PhillipCapital. Please go ahead.

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Natasha Jain: Thank you for the opportunity and congratulations on strong set of numbers. My first question is on the export side. So, firstly, can you tell me the contribution from the US in our total exports for FY25 and '24?

Chirayu Upadhyaya: Sure, Natasha. So as far as this year is concerned, the contribution of US to our overall sales would be in high teens, last year it was very close to 40%.

Natasha Jain: This you are saying share of total exports, right?

Chirayu Upadhyaya: Total exports, yes.

Natasha Jain: Okay. And now that you're transitioning and you said you've completed the transition process from B2B to B2C, and given that we're sitting at a low base when the US is concerned and that market is the strongest for us, can we expect a very strong bounce up in the US export?

Chirayu Upadhyaya: So, Natasha, as I just mentioned to Praveen, there is a bit of uncertainty because of the tariff-related announcement. Hopefully, it should get resolved very soon, in the next couple of months. Then, we believe there should be much better improved momentum as far as sales to US is concerned. So, as of now while obviously the improvement will be there because of our business model getting stabilized, much better momentum can be witnessed only after the entire tariff-related changes are

implemented.

Natasha Jain: Understood. My second question is again related to wires and cables. You mentioned that sequentially your margin improvement happened also on account of favorable product mix. So, can you just throw some light as to what kind of product mix did we change in wires and cables that led to margin improvement?

Chirayu Upadhyaya: So again, Natasha, as I mentioned previously, that if you look at sequential quarter Q3 and Q4, wires have done relatively better compared to cables, and since wires are of better margins, that led to an improvement in the margins of cables and wires segment.

Natasha Jain: Got it. So, it's just more selling of wires and not really value-added products within any wires or cables category, right?

Chirayu Upadhyaya: So, there would have been an improvement because of that as well, but it won't be something which will be material in nature. The largest improvement will be because of wires versus cables mix.

Natasha Jain: Got it. And one last question. Your FMEG top line is definitely very strong, but like you mentioned, the seasons kind of moderated and further range can dampen the cooling season for this year. Can you tell us how is the secondary movement in the channel for your product specifically?

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Chirayu Upadhyaya: Natasha, we keep on receiving the benefits of all the execution steps that we've been taking. Of course, the delayed summer is something that might have a bit of an impact as far as fan sales are concerned. But we have five other product categories which are also delivering very well. We have seen very good momentum on those product categories even in this quarter, and the month that has gone by, and we don't expect there should be any material impact on their sales because of whatsoever reason. So, I mean, on the fans sales, we will definitely have to see how the season pans out and the demand pans out. But otherwise, we don't expect the overall FMEG top line to be impacted as much on a yearly basis just because of whatever is happening right now

in this month or quarter.

Natasha Jain: Understood. Thank you so much.

Moderator: Thank you. The next question is from the line of Aditya Bhartia from Investec. Please go ahead.

Aditya Bhartia: Hi. Good afternoon, Chirayu. To start with, just clarification. This 11% to 13% margin guidance that you've given is at the EBITDA level and not at the EBIT level. Is my understanding correct?

Chirayu Upadhyaya: That's right, Aditya.

Aditya Bhartia: Given that we are having 14% to 15% kind of a margin this year, why are we kind of building in such a sharp decline in margins going forward -- is it just that we are being very conservative and actual margins are likely to be much higher than this guidance?

Chirayu Upadhyaya: So, Aditya, if you see how we have performed historically, our performance has always been, and thanks to various reasons for that, we have been able to outperform our guidance. On the longer-term basis, we always believe that 11% to 13% of EBITDA margin is something that can be consistently achieved in the cables and wires business, and hence when we comment on guidance, we always give something that is achievable by us. In the near term or in the longer term, wherever opportunity arises and if there is a possibility that we can improve upon those margins through various reasons, maybe improve in the product mix or the various types of business mix, obviously we will go for that. But longer-term guidance for us will always be 11% to 13% of EBITDA margins, which we believe is a sustainable margin range for the cables and wires business.

Aditya Bhartia: Understood. Sure. My second question is just wanted to understand how relevant is power generation and power transmission and distribution related demand for us? And within power generation, if you could also split in case it's possible between thermal and renewable, what proportion of our revenues is likely to be coming from cables that are supplied to BSNL?

Chirayu Upadhyaya: So Aditya, it would be very difficult for us to quantify which industry is exactly contributing to what kind of demand for us since most of our sales are through distributors, but definitely, based on the kind of feedback that we are getting from various channel partners, we definitely know that this sector

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is something which is contributing very meaningfully as far as our sales are concerned. We are very actively present in power generation and distribution, wherein your low voltage and medium voltage cables are required and hence we are a big player over there. Power transmission is something wherein as of now our presence is very limited, but within a few quarters' time, we should be able to start participating in that opportunity as well. So, with the power sector expected to do very well over the next three to four years, we believe we should be in a very good position to take advantage of that opportunity and continue to grow our cables business through that.

Aditya Bhartia: And just a related question to that. Because a lot of orders that have gotten awarded, let's say on power generation side, especially on the thermal side, we will start seeing execution in the next few years. So is it that we've already started seeing the benefit of that or bulk of that benefit is yet to flow through to us?

Chirayu Upadhyaya: So, I think, Aditya, this is going to be a consistent trend for the next many years. It is not something which is already behind us. We have seen an improvement as far as sales to the power generation side is concerned, but this is something that will continue at least for the next few years. As we are aware, at least on the green power side, we have taken a very aggressive target of reaching 500 GW of power generation through renewable sources and we are roughly at around 200 GW of renewable power generation. So, definitely investments on that front will continue

for the next many years and

we will keep on supplying cables to that opportunity.

Aditya Bhartia: Understood. Thank you so much.

Moderator: Thank you. The next question is from the line of Vidit Trivedi from Asian Market Securities. Please go ahead.

Vidit Trivedi: Yes. Hi, sir. Thank you for the opportunity and congratulations on the great set of numbers. Most of the questions have been answered. I just wanted to know what's your capacity utilization during the quarter and for the whole year? Any comments on the entry of new players? Any product launch in the FMEG segment?

Vidit Trivedi: Sure, Vidit. So as far as capacity utilization is concerned, at an yearly level, we are somewhere between 70% to 80% utilization rate. Quarter 4 obviously the utilization goes up because that is the quarter when you see the maximum demand. So, we will be north of 80% for the quarter, but on a yearly basis we are between 70% to 80%.

As far as the entry of new players is concerned, see, I mean this is an industry which has done consistently well over the past three to four years and we have very good visibility of it continuing to do very well in the near future. The entry of new players just reaffirms our thought process that this industry can continue to grow at a very good rate in the longer-term and that is why it makes sense for newer players to look at and the larger players to look at this as an industry. The positive

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impact of this also is that we will see the best practices of those players coming into this industry and hopefully the existing players can replicate that and improve on their businesses as well. What will also happen is that there will be an acceleration as far as the market share gain for organized players is concerned. We still have a very large unorganized market in this sector, and with newer players, larger players, organized players coming in, and a lot of improvement as far as the end customer demand for better quality products is concerned, this will all lead to much better acceleration as far as market share gains for organized players is concerned. Having said that, what we will also do internally is obviously we will double down on our execution. That is something which is a part of our Project Spring guidance. We have the experience of Project Leap with us. We know how to do the execution on the ground. Within Project Spring there are multiple areas of focus that we have chartered out for us. We are looking at capturing the various white spaces which are still there within the country. We are also working very deeply with our distributors to help them generate much more business. We will help them generate more leads so that they can reach more demand centers and can supply products to those geographies or to sectors where probably they are not as much present right now. On the institutional sales front, we are also setting up five different verticals through which we will be focusing on five different sectors which are generating demand and that will allow us to not lose a single opportunity as far as all those sectors are concerned. So, all of these are in place, and we expect that for larger players like us, with established brand, established product portfolio, we will continue to see very good demand and we expect to continue to gain market share much aligned with our Project Spring guidance.

Vidit Trivedi: Thanks a lot, sir. That was helpful. Any new product launches in the FMEG segment?

Chirayu Upadhyaya: No, we are not looking at any new product launches in the near future.

Vidit Trivedi: Thanks a lot, sir. That's it. All the best.

Moderator: Thank you. The next question is from the line of Shrinidhi Karlekar from HSBC. Please go ahead.

S Karlekar: Yes. Hi. Thank you for the opportunity. Chirayu, may I ask how much of your business in financial year '25 deal from RDSS related project

both cable, supply as well as EPC?

Chirayu Upadhyaya: So, on the EPC front, you can assume largely the entire sales that we did for the year was from the RDSS project scheme related awards. Roughly, around 40% of the order value is the cable supply component. So that is the kind of cable sales part that we would have done through the RDSS orders.

S Karlekar: And are you seeing an incremental opportunity from RDSS-related project moderating? I am talking beyond FY26, I guess '26 you have order backlog already strong, but how should we think beyond '26?

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Chirayu Upadhyaya: So, as of now, the RDSS scheme is up till FY26, and tenders for various projects under that scheme are continuously awarded. So, we are currently looking at that for the near future. We will have to

wait and see if that scheme is extended by the government, and if it happens , obviously then we will participate in that scheme going ahead.

S Karlekar: Understood. And last one. I really want to understand your significantly superior margin profile. If you look at your close peers, it appears like you have at least 5% to 6% higher margins. So would it be possible to throw some light in terms of how would you attribute this superior margins to pricing, mix related scale, those factors and your own efficiencies?

Chirayu Upadhyaya: I am assuming you are referring to the entire cables and wires segment wise.

S Karlekar: So if I just look at your cables and wires margin versus #2 player, #3 player, #4 player, it appears you've five percentage point margin is higher and EBITDA, I want to understand how would you internally think is it how much is pricing led, how much is mix led there, how much is scale related, procurement, efficiencies, those kind of, how would you attribute that?

Chirayu Upadhyaya: It will be a mix of all the reasons that you 've mentioned. Definitely, one of the reasons is the business mix that we have, cables versus wires and the margins that we make on those products . The pricing of our products is relatively higher as compared to the other players in the industry, about 2% to 3% on the cables side, about 4% to 5% on the wires side and that definitely helps as far as margin improvement is concerned. The other thing is even in our exports business, the margins that we make are relatively much superior as compared to what our peers make on their exports business. So that definitely helps. The other part is also the mix within the domestic cables. So HDC versus LDC cables – LDC cables is a better margin business, and we have a relatively better mix of our product sales within our domestic cable sales and that also helps us in terms of the relatively superior margin that we make in the cables and wires segment.

S Karlekar: Understood. This is really helpful. Thank you for answering my questions and all the best.

Moderator: Thank you. We will take that as the last question. I would now like to hand the conference over to the management for closing comments.

Chirayu Upadhyaya: Thanks a lot, everyone , for attending the call and thanks a lot for supporting us in our growth journey. We hope we will be working continuously together going ahead. At the Company level, we are very confident of the continued long -term growth, which is possible in this industry and the kind of growth that we are targeting for the Company , and we will be very happy if we will take this journey together. Thanks a lot and take care.

Moderator: On behalf of Polycab India Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

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Date: July 25 , 2025

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Listing Department

National Stock Exchange of India Limited

C-1, G-Block, Bandra -Kurla Complex

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Scrip Code: 542652 Scrip Symbol: POLYCAB

ISIN: INE455K01017

Dear Sir(s) / Madam(s),

Subject: Submission of Transcript of Earnings Conference Call held on July 18, 2025.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of Earnings Conference Call held on July 18 , 2025 .

Kindly take the same on your record.

Thanking you

Yours Faithfully

For Polycab India Limited

Manita Carmen A. Gonsalves

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"Polycab India Limited Q1 FY 26 Earnings Conference Call"

July 18, 202 5

MANAGEMENT : MR. GANDHARV TONGIA – EXECUTIVE DIRECTOR AND
CHIEF FINANCIAL OFFICER – POLYCAB INDIA LIMITED

MR. CHIRAYU UPADHYAYA – HEAD OF INVESTOR
RELATIONS – POLYCAB INDIA LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Polycab India Limited Q1 FY 26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this call is being recorded.

With this, I now hand the conference over to Mr. Gandharv Tongia, Executive Director and Chief Financial Officer, Polycab India Limited. Thank you and over to you, sir.

Gandharv Tongia : Good afternoon, everyone and thank you for joining us. I hope all of you are staying healthy and safe. I'm Gandharv Tongia, Executive Director and CFO at Polycab India Limited. On this call, we shall discuss the Q1 FY26 results, which were approved in the Board meeting held yesterday.

We will be referring to the earnings presentation, financial results and condensed financial statements, which are available on the stock exchanges as well as on the Investor Relations page of our website. Joining me today from our team is our Head Investor Relations, Mr. Chirayu Upadhyaya.

Let us now move to the business performance.

I'm pleased to share that we have had a strong start to FY 26. Our performance in the first quarter built on the solid trajectory we have maintained over the past 4 years, and marks our highest-ever Q1 revenue and profitability in the Company's history. This achievement reflects both the underlying strength and resilience of our business model, as well as relentless commitment of our teams across all businesses and functions.

The Wires and Cable business continued to be our primary growth engine, driven by robust domestic demand and supportive commodity price trends. On the FMEG side, we are beginning to see tangible outcomes from our strategic initiatives, with the business delivering its second consecutive profitable quarter, a positive step forward in our transformation journey.

Looking ahead, we see strong tailwinds from infrastructure spending, improving private sector investment, and momentum in the real estate sector. Guided by our long-term road map under Project Spring, we are executing with greater focus, agility, and ambition. We remain confident in our ability to sustain this momentum and create enduring value for all stakeholders in the quarters to come.

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Moving on to the quarterly update, I will start with a high-level view of the macro environment and then we will delve deeper into business performance.

The past month witnessed heightened volatility in the global financial system, triggered by a sudden escalation in hostilities between Iran and Israel. The 12-day conflict had an immediate ripple effect across asset classes, pushing up oil prices and driving inflows into safe-haven assets. The brief but intense period of tension served as yet another reminder of the vulnerability of global trade and financial system to geopolitical shocks. Thankfully, a cease fire was quickly brokered, restoring relative calm and stabilizing investor sentiments.

Meanwhile, global monetary policy remains a balancing act with countries navigating diverse inflation and growth trajectories. In India, a favorable inflation outlook prompted the Central Bank to front load rate cuts, complemented by proactive liquidity measures and regulatory reforms. Together, these have supported the economy's steady expansion as evidenced by the strength in high-frequency indicators.

Early data for Q1 FY 26 suggests a gradual improvement in consumption demand. This is

reflected in rising steel consumption, a pickup in electronic imports , and higher central government revenue expenditure. Serv

ices activity is also gaining pace with encouraging trends in services PMI, vehicle registration, diesel consumption, e -way bills and state - level tax collections. Monsoon progress has been favorable as well, currently tracking 15% above the long period average, which bodes well for rural demand and agricultural output. On-the-ground momentum is clearly visible. Digital payments continue to surge, capital goods output is improving, and auto sales are recovering. Manufacturing industrial output rose close to 3% YoY in May, while steel and cement production remained resilient, growing 7% and 9%, respectively. Headline CPI for June declined sharply to 2.1%, a 73 - month low , with core inflation also remaining well -anchored at 4.4%.

The real estate sector remains buoyant, albeit with some signs of moderation. Government capex too has gathered pace with 19.7% of the FY 26 budgeted outlay already spent by May 2025, marking the highest spend s in 7 years.

While few challenges persist, India's economic foundation remains strong . With sound fundamentals, proactive policy support and demonstrate d resilience, we are well positioned to navigate global uncertainty.

I would now hand over to Chirayu to take you through the financial performance for the quarter.

Chirayu Upadhyaya : Thank you, Gandharv.

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Let me now take you through Slide 4 of the earnings presentation.

For the quarter ended 30th June 2025, we are pleased to report that our consolidated revenue grew by a strong 26% YoY , led primarily by robust performance in our Wires and Cables business.

Our EBITDA for the quarter grew by 47% YoY , significantly outpacing revenue growth. This was on the back of a 210 basis point improvement in EBITDA margin, which stood at 14.5% for the quarter. The margin expansion was driven by a combination of strategic pricing actions, operational efficiencies and a favorable business mix.

At the PAT level, the Company delivered its highest -ever Q1 PAT , at ~■ 6 billion, reflecting a 49% YoY growth. Our PAT margins improved by ~170 basis points, reaching 10.2% for the quarter.

Finance costs came in at ■ 513 million, while other income stood at ■ 799 million. A detailed breakdown of th ese line item s is available on Slide 17 of the presentation.

We continue to maintain a strong balance sheet, closing the quarter with a net cash position of ■ 31 billion. Our working capital cycle stood at 43 days in Q1 FY 26, positively impacted by a temporary increase in payable days. We expect this to normalize and revert to a long -term steady range of 50 days to 55 days in the coming quarters.

Capital expenditure for the quarter was ■ 4.1 billion, in -line with our Project Spring guidance of investing ■ 12 billion to ■ 16 billion annually through FY 30.

On the advertising front, spends were lower during the quarter, largely due to limited promotional activity in the fans business due to an early onset of monsoon, which impacted the seasonal campaign cycle. However, with the upcoming festive season, the advertising and promotion spend s will start tracking towards our targeted range of 3% to 5% of B2C top -line.

Moving on to Slide 6.

The Wires and Cables business delivered a strong 31% YoY revenue growth, supported by over 25% volume growth during the quarter. Within this, our domestic W&C business recorded an impressive 3 2%YoY revenue growth , driven by higher government spending, improved project execution and the favorable impact of rising commodity prices.

Notably, cables outpaced wires in terms of YoY growth this quarter. Both our distribution and institutional channels registered healthy performance, indicating broad -based demand momentum. From a regional perspective, the South led the growth, followed by North, East and then West, reaffirming our strong pan -India footprint.

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Our international business grew by 24% YoY , albeit on a low base and contributed 5.2% to

the consolidated revenue.

On the profitability front, EBIT margins for the Wires and Cables segment stood at 14.7%, an improvement of 190 basis points YoY, supported by better operating leverage and strategic pricing actions.

Moving on to Slide 8 for an update on the FMEG business.

The FMEG segment continued its healthy trajectory in Q1 FY26, registering an 18% YoY growth despite seasonal headwinds from an early monsoon.

In the fans segment, while overall sales were muted due to shortened summer, we made further inroads in our premiumization strategy. Our premium fans portfolio contributed roughly 25% of the fan sales, underscoring growing consumer preference for feature-rich and aesthetically superior products. E-commerce is also gaining ground, now accounting for mid-teens share of total fans revenues, further supporting premium offerings through digital channels.

The impact of premiumization is even more evident in the lighting category, where premium products made up over 35% of the sales during the quarter. This deliberate portfolio shift is helping us improve gross margin realization in this business.

In switches, switchgears and conduit solutions, healthy demand from the real estate sector continued. Here too, our focus on value-added offerings is showing results, with Levana, our premium switch line now constituting almost 20% of the total switch sales. Similarly, in switchgears, the focus is on increasing the mix of RCCBs and multi-pole MCBs in sales.

The standout performance again this quarter was our solar product category, which recorded more than 2x growth over the same quarter previous year, now emerging as the largest contributor within the FMEG portfolio. We expect this momentum to continue backed by supportive government policies and rising adoption of renewable energy solutions.

The continued focus on premiumization helped the FMEG business achieve its second consecutive profitable quarter. Margin expansion was driven by a better product mix and operating leverage from scaling efficiencies.

We remain confident in the long-term potential of our FMEG business, continuing to align our efforts with Project Spring, targeting 1.5 to 2x of industry growth and improving EBITDA margins to 8% to 10% range by FY 30.

Moving on to Slide 10, which provides an update on our EPC business.

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During Q1 FY 26, revenues in the EPC segment declined by 19% YoY to ₹ 3,474 million.

Segment profitability stood at ₹ 268 million, translating to a margin of 7.7%. Our open order book remains healthy, offering strong visibility for future growth.

We expect the annual sustainable operating margin to be in high single digit over mid-to-long term in this business.

That was the update for the quarter. Thank you and we are now open for questions.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from the line of Shrenik Bachhawat from Mahindra MF. Please go ahead.

Shrenik B: Congratulations on the good set of numbers. My first question is, can you throw some light on the export scenario, particularly in the U.S. geography because of the tariff issue that is going on there? And my second question is, can you throw some light on the growth outlook across the FMEG categories that we are working on?

Chirayu Upadhyaya: Sure, Shrenik. So, starting with the exports opportunity, as you rightly mentioned, U.S. is one of the largest consumer of cables and hence, has been one of the larger contributor for our export sales. Definitely, the tariff situation over there is kind of an overhang, which kind of impacts the visibility in the near term. But in the longer term, it's a very, very big opportunity.

If you look

at the exports that we did in this quarter, roughly 1/3rd of the m went to the U.S.

We had a good order book there, and that is what we are executing right now. Looking at the current situation in terms of tariffs, India stands to be in a beneficial position. The other larger exporters to the U.S., such as China, has almost 55% import duties on them.

Mexico, another large exporter, will have 30% of import duties effective from 1st August 2025. The other geographies like South Korea has 25%, Vietnam has 20%, Philippines has 20% and India stands at 10% right now. So as of now, the situation favors India. But this is an evolving situation, and we won't be able to comment very clearly on how this will play out. But irrespective, in the longer term, I think exports will definitely be growing, and definitely, U.S will be one of the larger contributors in terms of the exports that we do.

Now, coming to FMEG. If you followed the Company's trajectory over the last few years, we have witnessed a period where the FMEG business had stabilized at roughly around ₹ 1,200 crores to ₹ 1,300 crores of top-line. However, since the last 5 to 6 quarters, that business has again started gaining traction.

We undertook various steps to ensure that we can become one of the top 3 players in that segment across various product categories. And these steps are now providing a positive trajectory for us. Within Project Spring, we are now targeting to grow this business at roughly 1.5 to 2x of the industry growth.

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Currently, the industry growth rate is hovering at around 8% to 10%. We believe that the FMEG industry will see a pickup, largely from the real estate uptick that we have seen in the country over the last 3 to 4 years. Fans and lights, which are the largest category in the FMEG industry, typically see demand towards the end of a real estate construction phase. We expect that we'll see much better demand with a one-year lag from now.

The other categories of switches, switchgears, conduits, and wires are witnessing very good demand momentum. So, we definitely believe that FMEG industry will start seeing at least double-digit growth from next year and we should be targeting at least 2x of the industry growth rate.

Simultaneously, while we grow, we will also target to improve our margins within this business. Last couple of quarters is when we have become profitable again. Going forward, we expect to see our profitability improve each year, reaching the targeted EBITDA margins of 8% to 10% by FY 30.

Shrenik B: Can you also please throw some light on the capex plans for the next 2 years, FY 26 and FY27?

Chirayu Upadhyaya: So again, within Project Spring, we have given a guidance of spending roughly ₹ 6,000 crores to ₹ 8,000 crores over the next 5 years. That is roughly ₹ 1,200 crores to ₹ 1,600 crores on an annual basis. In the first quarter of this year, we've spent roughly ₹ 410 crores.

So, we are in line with our guided range and will continue with that guidance.

A large part of the capex that we will do will be for the Cables and Wires business and remaining for backward integration and a small part for the FMEG business.

Shrenik B: Great, sir. Thank you so much.

Moderator: Thank you. The next question is from the line of Saumil Mehta from Kotak Mutual Fund. Please go ahead.

Saumil Mehta: Thanks for the opportunity and congrats on a great set of numbers. Two questions from my side. First, on exports. Now obviously, we believe in U.S., the Chinese and some of the other players will have some sort of issues given the higher tariffs. But outside of U.S., maybe in some other markets like Middle East, Australia and various other markets, are we seeing some sort of pricing aggression by Chinese players?

And to that extent, are the incremental orders coming at pricing, which is much

lower than

what we've seen in the past quarters?

Chirayu Upadhyaya: Sure, Saumil. So, let's go geography by geography. Starting with Europe, very akin to U.S., it is not very pro-China and they are looking at alternatives to Chinese products. So over there, even though Chinese suppliers offer a lower price compared to other suppliers, the

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end customers are still willing to pay a premium for non-Chinese alternatives. So, we are not seeing any dumping behavior at least in Europe.

Moving to the Middle East, again, it has huge demand of cables due to the significant investments happening on the infrastructure side. This makes the market open to various suppliers. Depending on what tariff situation is there in different countries, you are able to secure a lot of orders. For instance, we are doing a lot of supply to Saudi Arabia, where India enjoys a better tariff. Hence, we are not seeing as much of a competition coming in from the Chinese players.

Coming to Australia, Australia is where China likely has a competitive edge. They have worked a zero tariff treaty with Australia, which has resulted in most of Australia's imports coming from China and that trend continues to be the case. Probably that is a geography where we will have to compete effectively on pricing terms or on other service terms and so on and gain a bit of market share through that. But in other geographies, I don't

anticipate any dumping effect coming from China that would hamper our exports.

Saumil Mehta: Sure. My second and last question is, obviously, this quarter would have some benefits from the slowdown of spending in the previous wave due to election. But going forward, are we seeing some sort of a slowdown given at least some of the broader macro indicators in India seem to have slowed down marginally.

So, are we seeing some sort of impact in terms of ordering activity from the government or business seems as strong as usual? That's it from my side.

Chirayu Upadhyaya: If you look at the current situation, we are not actually witnessing any form of slowdown.

If you consider the kind of spend s that the government has been doing since December of last year, they have continuously spent almost ■ 1.26 trillion on a monthly basis on an average. If you compare that with the April '24 to November '24 data, it was roughly only ■ 0.64 trillion per month. So, we have definitely seen a lot of pick-up in terms of investment from the government side, and that is translating into demand for cables. Of course, this effect is not immediate, it comes with a lag. Hence, this sector is continuing to see a very good growth.

Looking at the annual target that the government has taken for this year and considering whatever they have spent so far, they still have to invest roughly around ■ 1 trillion per month in terms of infrastructure growth. This will continue to translate into very good demand for cables.

On the wire side, the residential housing piece definitely is continuing to do well.

Obviously, we've heard a lot of commentary recently about a bit of a slowdown that we are witnessing in the top cities. But in the parallel, what we are also seeing is that in Tier 3 to 5 cities, where affordable housing was a bit slow till now, that is seeing a bit of a pickup, and

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that is translating into improved demand for wires. At our end, we are focusing on both those opportunities. For Tier 3 to 5 cities, we have Etira brand, which is doing very well and is increasing its contribution to our wire sales. On metro Tier 1, Tier 2 cities, we have the Class 2 wires wherein we are focusing on and that is also where we are seeing very good traction from our ranges of Maxima and Suprema, which we've launched.

So, as of now, we don't believe that there will be any form of

slowdown, at least in the

cables and wires business. We believe that this year, we should continue to see very good momentum even in the remaining three quarters of the year.

Saumil Mehta: Great. Thank you and all the best for subsequent quarters.

Moderator: Thank you. The next question is from the line of Pulkrit Patni from GS. Please go ahead.

Pulkrit Patni: Sir, thank you for taking my question. My first question is on margins. You said there are certain strategic initiatives. Is it possible to give some detail on what exactly does that mean?

Chirayu Upadhyaya: So, on the cables and wires side, we mentioned that there are strategic pricing actions. By that, I mean that if you compare this year or this quarter versus the previous 3 to 4 quarters, you would have noticed that the copper price volatility is not as much as it was in the past, and the movement of price was in a particular direction.

For example, in the first 5 days of the quarter, while the copper was going down, but since then, we have seen it continuously moving in one direction. Now that is something wherein the pricing transfer for us becomes relatively much simpler, and that is where we can maximize the benefit from any movement in commodity prices. So that was what we were mentioning in terms of strategic pricing actions.

The other benefit that we had is obviously from scale as well as the mix. At a Company level, if you compare with Q1 of last year, we had higher contribution coming in from the EPC business. But this time around, EPC has a lower contribution and Cables and Wires, which has relatively better margins, have a higher contribution and hence, that helped at a Company level in terms of margin profile.

The other thing is on the FMEG business, where as you are aware and as we have mentioned, across all the product categories within the FMEG business, we have seen gross margin expansion. And that is what has helped the improvement in the FMEG profitability and that indirectly contributes to the overall Company's profitability improvement as well.

Pulkrit Patni: Sure. This is clear. One connected question. I mean, we have been giving a guidance for margin, which is much lower than what we have been clocking and we've been clocking it

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consistently. Now given the fact that exports should increase from here on, given the fact that you yourself said FMEG, your target is for margins to go up.

I just want to understand what is holding the Company back from actually resetting your margin guidance higher? Or in a way, you're acknowledging that these margins are actually fairly higher, not sustainable. Just wanted to get your thought, delivering 14.7%, but still the guidance remains at 11% to 13%. What's the reason for that?

Chirayu Upadhyaya: So Pulkit, as you're aware, we don't give near-term or yearly guidance. Our guidance is for the longer term. It is more like 5-year guidance, and that is where we've given an 11% to 13% of EBITDA margins in the cables and wires business as our guidance. When you look at the longer term, there are multiple variables that you have to look at and which will impact your profitability.

While obviously, the cables and wires mix, if it goes in favor of wires, that can help your profitability. As the exports mix increases, that also helps the profitability. But parallelly, when you are investing a lot in terms of capacity expansion, that is bound to have an impact in terms of lower operating margins in the near to midterm. So that will take a bit of a sheen off of the improvement in profitability that we might see because of the other two parameters.

Over and above that, for the B2C business, which includes the wires as well, we are going to be improving or increasing our spends on A&P continuously every year. And that will also impact the profitability of the segment. So, keeping

all those four variables into mind, our long-term guidance is 11% to 13%.

Having said that, internally, we'll obviously try to optimize on that. And whatever quarters we can improve on that, the practice will be to improve on that. But otherwise, the longer-term guidance will continue to be the 11% to 13% EBITDA margins.

Pulkit Patni: Thank you. That's clear and you guys have done very well on that. Thank you.

Moderator: Thank you. The next question is from the line of Renu Baid from IIFL Capital. Please go ahead.

Renu Baid: Thank you and congratulations team for the strong performance. My first question is on the FMEG. Within the FMEG bucket, solar now which is the largest category for you, can you elaborate more with respect to how is the manufacturing product mix here with respect to in-house and outsourced product mix?

And any capacity expansion or localization plans from solar inverters? Also aligned with this, any insights that you can share on the market share for Polycab in this segment?

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Chirayu Upadhyaya: Thanks, Renu. Regarding the mix and the domestic or in-house manufacturing is concerned, as of now, solar is the largest category in the FMEG business this quarter, as we've mentioned. The other categories have contributed relatively equally.

In terms of in-house manufacturing, except solar inverters, everything is currently being manufactured in-house. We don't plan to make changes in this regard. Hence, as of now, solar inverters will continue to be outsourced in terms of manufacturing, and it will be status quo as of now. Sorry, the last question was in terms of the growth opportunities in FMEG, is it?

Renu Baid: Yes. And the market share for Polycab in solar inverters category for us?

Chirayu Upadhyaya: So very difficult to as of now pinpoint the market share. We are relatively a smaller player over there. Probably once we are of a significant size, then we will start giving out market size numbers. But other than that, in other product categories of fans, lights, switch and switchgears, our market share will hover anywhere between 2% to 5%.

Renu Baid: Got it. Secondly, within the Cables and Wires, what was the approximate mix of cables in the revenue mix for the quarter?

Chirayu Upadhyaya: So, cables will be close to around 73% - 74% and remaining will be wires.

Renu Baid: Got it. And lastly, if you can share just a bookkeeping number on what was the order book in the projects business. And do we expect a bit more projects in pipeline, the order book to improve further as the year goes by?

Chirayu Upadhyaya: By projects business, do you mean the institutional part of the cables or the EPC business?

Renu Baid: The EPC business.

Chirayu Upadhyaya: So, in the EPC business, as at end of March, we had an open order book of roughly ₹ 70 billion. Post that, we won an order on the BharatNet project over there. So, both BharatNet projects put together, roughly, the capex part that we have to do and the overall

outstanding is around ₹ 80 billion. This excludes the GST part.

The exchange notifications that we had done included the GST. But if you look at whatever accrual we will get, that is roughly around ₹ 80 billion from BharatNet, and that will be accrued over the period of next 3 years.

Renu Baid: Got it. Thank you and best wishes team. Thank you.

Moderator: Thank you. The next question is from the line of Charanjit Singh from DSP Mutual Fund. Please go ahead.

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Charanjit Singh: My question is regarding the market share in the cables and wires space, and I think you have talked about the market share gains. So, just wanted to understand that is it just our capacity availability, product or distribution reach, what is driving this consistent market share gains in the c a

bles and wires space?

And are we gaining this more from the unorganized or there is also some gains from the organized space, which we are seeing in the cables and wires? That's my first question?

Chirayu Upadhyaya: Sure, Charanjit. So I think there will be a mix of both the things that you mentioned, definitely having capacity, having the largest set of approvals, the largest set of bouquet of SKUs in Cables and Wires, those are the parameters which has continuously worked for us in the past, and that too continues to work for us currently as well.

Over and above that, the movement in market share from organized to unorganized, that has also picked up pace in the recent few quarters. So, both of them would have contributed in our market share continuously improving over the last few years and including this quarter.

Charanjit Singh : So, what will be our current market share in the cables and the wire space?

Chirayu Upadhyaya: I would probably be able to guide you on our market share up to the end of FY 25 because for this quarter, we are yet to have results from the other larger companies. But if you look at FY 25, our market share in C&W put together was roughly about 26% to 27%. This is the organized market share. We would have it a bit higher as far as cables is concerned, more closer to 30%, whereas in wires, we will probably be in early 20s.

Charanjit Singh : Okay. And just coming on to the BharatNet projects in terms of the opportunity pipeline, the margin profile of these projects and the working capital requirements, if you can give more details? And how has been the competitive intensity in the BharatNet projects in terms of L1, L2 tendering? What has been the differential? If you can give some of those details?

Chirayu Upadhyaya: So Charanjit, I'll probably stick to whatever information is available in the public domain right now. We have won two orders out of the 16 tenders which had opened. There are a few more tenders which will be opened up, which is the part 2 of phase 3. And whenever that opens up, we'll try and participate as possible. But as of now, this is the information available.

As far as the profitability is concerned, we expect to accrue almost 12% to 14% of margins in that order book as well, which is pretty much in line with what we currently are making.

Regarding the working capital cycle, we have seen the receivable days in our historical orders that we have executed to be in time. We have never seen late payments over there.

Overall, I think it should be a pretty good business as far as overall working capital cycle is

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concerned because of the fact that over here, there is an upfront payment of almost 10% of the order book. So, you can utilize that money and then continue to use that for your future expenses and turn it around. So, I think in that way, I think it's a pretty good business, good margins, less working capital cycle business.

Charanjit Singh: Okay. So that's all from my side. I will circle back in the queue. Thank you.

Moderator: Thank you. The next question is from the line of Natasha Jain from Phillip Capital. Please go ahead.

Natasha Jain : Congratulations team on a very good set of numbers. I have two questions on Wires and Cables, predominantly on the export side. In fourth quarter, I remember the commentary was that there was a decline in your export business by 24%, wherein you mentioned that there would be a large rollover of an order to 1Q.

Now 1Q, the growth numbers matched to 24%. I just want to know whether the growth is because of that order which came through or is it an organic growth? First question is that ?

Chirayu Upadhyaya: Sure, Nattasha . So , the order which was rolled over, that has not been executed at one go. That will be executed over a period of the entire year. And hence, it was not the single

contributor of the exports growth that we have seen. It is an organic growth, and it is seen through the execution of multiple orders that we had across geographies.

Nattasha Jain : Understood. So , there is a chance that we will see that order executing in the remaining part of the year, correct?

Chirayu Upadhyaya: Yes, that's right.

Nattasha Jain : Okay. My second question is more a broader -based question in terms of cable export.

Now understanding the 'big beautiful bill ', there is an absolute cut on the renewable side in terms of U.S. Now if I see larger players like Prysmian, Nexans, South wire, LS, if I read any of their commentary, predominantly, they were setting up capacities to be exported to the U.S.

Now that U.S. has kind of shut markets for renewables for the time being, do you think these capacities because they are fungible, they would dump into other geographies, which kind of gives competition in other geographies barring U.S. or it may not happen. So , can you please clear on that?

Chirayu Upadhyaya: Sure. We'll have to go product -wise and business -wise. When you are thinking of renewable energy investments, you're setting up renewable plants and then you are evacuating that energy to different geographies. So , you are utilizing your normal low voltage power cables, medium voltage power cables as well as the EHV cables .

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But the larger part over there is through the evacuation where you require EHV cables and probably in the next part where you require higher set of medium voltage cables. Now if you look at the product portfolio of Prysmian, Nexans and the other larger companies, they are more predominantly present on the higher voltage side. That is where their expertise lies, and they focus on that category so as to get a margin bump in their overall business profile. So that is the capacities that they were developing.

When we export to U.S., we are exporting largely low voltage and a bit of a medium voltage cables. So largely, we were not competing more actively with Prysmian, Nexans. We were more aggressively competing with the Chinese players who are also into low voltage and medium voltage cables. The change in the outlook of investment towards renewable, I don't think it will have any material impact in that way in the kind of export that we were doing.

Over and above that, what you also have to keep in mind are two other opportunities. One is the kind of investments which will be required on the data center side because of all the investments towards AI, which are being done by the large corporations across geographies , that will require a huge set of power cables as well as optical fiber cables, and that will continue to be there.

Over and above that, the power infrastructure in U.S. and even other larger geographies like Europe, they are now almost 60 - 70 years old, and they are required to be upgraded irrespective of whether it comes from renewable or traditional sources. So that too will generate good demand for cables.

So just because there will be relatively lesser investment on renewables in the near term, that doesn't take away the cables opportunity that is there in the U.S. There are other types of cables, which will be required, and we will continue to export those cables over there.

Nattasha Jain : Got it. That's helpful. Just one more question related to that. EHV capacity is fungible, right? We can use it for low, medium and high voltage, if we do not manufacture EHV?

Chirayu Upadhyaya: That's true.

Nattasha Jain: Understood. Got it. Thank you so much and all the best.

Moderator: Thank you. The next question is from the line of Sujit Jain from Bajaj Allianz Life Insurance Company Limited. Please go ahead.

Sujit Jain : Congratulations on a good set of numbers. You explained strategic pricing decisions that help you get those margins

and very superior margins. So that means that you kind of were benefited from the lower procurement prices. Is the understanding correct?

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Chirayu Upadhyaya: The pricing will be pretty much similar for everybody because it is linked to LME. Obviously, to a certain extent, at what point of time during the quarter you place the order that also plays a part. Probably that can also benefit to a particular player in a particular quarter. But on an overall yearly basis, then it averages out.

What I was meaning in terms of strategic pricing revision is what I explained to Pulkit - it is because the trend of copper prices was in one specific direction during the quarter and the volatility was not very high, we were able to swiftly pass on without having to take any impact on our profitability.

Sujit Jain : And so , the earlier complete hedging policy you used to follow, it did not apply for this quarter. Is that the understanding correct?

Chirayu Upadhyaya: Not really. I mean we continue to follow hedging policy. If you are aware, almost 90% of our sales are through distributors and 10% is institutional. When you are supplying to a distributor and you don't have an order book in place, you can't not have hedging in place. If you do that, you are exposed to the commodity price risk.

So, we don't do that. We hedge our entire copper procurement that we do, and that is what is meant for selling to distributors. On the institutional part, it is back -to-back pricing. So , it doesn't really have any meaningful impact, the changes in prices. But on distribution, we do hedge the prices.

Sujit Jain : So, if not this, but good margins are sustainable because of the other things that you spoke about, sales mix and as well as operating leverage. So therefore, C&W margins can be maintained broadly?

Chirayu Upadhyaya: Sujit we have a long -term guidance in place. And again, I'll take you back to the FY 30 guidance that we have. In the longer term, 11% to 13% of EBITDA margins is what we will be able to generate irrespective of what happens on what type of business or procurement or commodity prices irrespective of that.

In the near term, we will obviously try to maximize as far as whatever variables are presented in front of us. And hopefully, we should be able to maintain our margin profile.

Sujit Jain : And one last question about your cables capacity being ahead of the industry in the sense people didn't have capacity you had. That situation still persists or now capacities are catching up?

Chirayu Upadhyaya: These capacities have started coming up since the beginning of last year, and yet we continue to grow ahead of the market. As I was mentioning previously, what is the most important part over here is while you might have capacities, what is the portfolio that you

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have? What are the number of SKUs and what are your approvals ? That is the biggest play and obviously, the distribution needs.

Now those are the variables which we have worked on over the period of decades and that advantage continues to be there with us. So , while capacity will come up for the industry, that advantage will help us. Over and above that, the kind of investments and growth that we are witnessing from various end sectors , that also helps in absorbing the new capacities which are coming up from other peers. So, both of them will continue to help us in terms of our outperformance over the industry.

Sujit Jain: Thank you and all the best.

Moderator: Thank you. The next question is from the line of Dhruv Jain from Ambit Capital. Please go ahead.

Dhruv Jain: My first question, Chirayu, you highlighted that cables has outpaced wires this quarter. So just wanted some color which are the categories of cables that have done well for you? Is it mainly low voltage or i

t's the higher voltage sizes that had done well? And what is your expectation for this full year in the -- which subcategory could do well for you guys? That's my first question?

Chirayu Upadhyaya: Dhruv, you are well aware that we have presence in low voltage, medium voltage and high voltage. We don't have presence in extra high voltage. As far as the overall industry size is concerned, obviously, low voltage and medium voltage are of the largest quantum. Since we have the maximum presence over there, both of those categories have helped us in terms of this growth.

And even at an industry level, those are the two particular segment of cables, which have done very well. The other types of cables, which are, let's say, control cables, instrumentation cables, optical fiber cables or high -voltage cables, their requirement is relatively much smaller. So whatever growth the larger players will be able to generate will be because of the growth in the low voltage and medium voltage cables.

I don't see that changing very materially in the near to midterm. Maybe in the longer term,

when in India, the demand for high voltage or extra high voltage cables is pretty high, probably at that point of time, the other type of cables can help in terms of our performance. But otherwise, in the near to midterm, I think your low voltage and medium voltage cables will be the primary driver of growth for the industry as well as for the larger players.

Dhruv Jain: And just one clarification, we see a declining revenue in the EPC segment. So just wanted to understand what's happening there?

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Chirayu Upadhyaya: Dhruv, we have an order book in place for our EPC business, and that is something that we have to execute over the course of next 2 to 3 years. During those 2 to 3 years, on a quarterly basis, there might be variation. There are different phases of execution of a project. In certain period of time, you are supplying material, in other phases of time, you are executing the project. Whenever you are supplying, in those quarters, the margin profile will be relatively better. Whenever you are executing, it will be a bit softer. So that variation will exist during the different quarters in a year. But if you look at more of a yearly number, we'll be able to generate pretty much in line with what we have guided in the last year.

And overall, if you take near to midterm, the contribution from EPC business will continue to be in 5% to 10% range, which is where we are hovering right now.

Dhruv Jain: Thank you and all the best.

Moderator: Thank you. The next question is from the line of Achal Lohade from Nuvama Institutional Equities. Please go ahead.

Achal Lohade: Good afternoon team. Thank you for the opportunity. Couple of questions. One is in terms of the EPC, you said 5% to 10% range. But with BharatNet, do you see that percentage going up for next 3 years or you think that is already built in this number?

Chirayu Upadhyaya: EPC execution on BharatNet will begin from the second half of this year. That is when the revenue accrual will start happening. But again, over there, looking at the kind of demand which is there in our cables and wires business as well as the FMEG growth that now we are witnessing, I don't see the contribution of EPC going materially above 10%.

On a quarterly basis, as I was mentioning, probably when you are supplying or when the execution is a bit high, probably in a particular quarter, you might see the contribution go up a bit. But overall, on a yearly basis, I don't expect it to go above 10% in the longer term.

Achal Lohade: Understood. But the margin should improve, right? Because this has a higher margin, as you said, 12% to 14% margin for the BharatNet orders, right?

Chirayu Upadhyaya: That is true. We will be able to generate 12% to 14% of EBITDA margins from the

BharatNet

piece. From the RDSS order book that we have, we'll be able to generate high single digit of margin profile.

Achal Lohade: And what is the progress on the RDSS? Are we seeing further orders or they have slowed down? Any update on the same?

Chirayu Upadhyaya: So, there are new orders, new tenders which have opened up and which we have bid for.

During the course of this year, obviously, we will be able to know the results of that. But the RDSS scheme is up till the end of FY 26. So, there are still a few more tenders which are

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yet to be opened up, and we'll probably try and participate wherever we are comfortable with. So, the traction continues even in RDSS.

Achal Lohade: Got it. Just another question at the industry level. In terms of capacity expansion at the industry level, what is the extent of expansion in your estimate? Is it like 40%, 50%? Is it like 20% over next 3 years, whatever known numbers or known players basis that, what is your assessment?

Chirayu Upadhyaya: So Achal, I guess there are only 3 or 4 large listed players who give out those numbers, and that is the limited visibility that even we have. But what is more important is not just looking at what supply is coming in, but also in what phases they are coming in and against that, what is the demand which is upcoming.

Over there, we are very comfortable that the demand which we foresee in the near to midterm that will absorb the capacity, which is about to come from all the announcements that we've heard till date in the next 3 to 4 years. And that is where we sit pretty confident that there shouldn't be any impact in terms of industry growth or the

growth rate for the larger players in the near to mid-term.

Achal Lohade: Perfect. And just last question, if I may. What is the volume mix in terms of the copper stock, aluminum for the quarter? Any ballpark mix?

Chirayu Upadhyaya: It's largely same. There is no material change over there.

Achal Lohade: Understood. Thank you so much.

Moderator: Thank you. The next question is from the line of Aniruddha Joshi from ICICI Securities. Please go ahead.

Aniruddha Joshi : Thanks for the opportunity. So, you spoke about Etira brand. So, what will be the, let's say, revenue share of Etira as a percent of total sales as well as the other premium brand, which we had introduced Hohm. So, if you can indicate both the revenue shares? That is question one. And secondly, as far as solar products is concerned, now that is a business which is going extremely well. So, what are the products that the Company is looking to enter, for example, solar pumps or, let's say, a rooftop solar or what are the overall aspirations in this solar business? That's it from my side.

Chirayu Upadhyaya: So, Aniruddha, on the wires side, wherein we introduced Etira, Hohm is not a brand that we introduced in wires, that was in a different category, which was in Home solutions. Etira was specifically introduced for Tier 3 to 5 cities and the contribution from Etira would now be in high teens of the overall retail wire sales that we do.

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The other ranges that we introduced in wires on the premium side were Maxima and Suprema. Both of them, again, are in double digits, close to around 20% in terms of their contribution to the wires sales.

As far as the solar-related question is concerned, as of now, we are primarily into solar inverters, and we are not looking to expand it to any other product categories.

Of course, along with solar inverters, you are also able to sell solar cables and switchgears. So that is something which we kind of try to club and cross-sell. But other than that, we are not looking at expanding into any other categories right now.

Aniruddha Joshi: Okay. Surely. Thank you.

Moderator: Thank you. The next

question is from the line of Arshia Khosla from Nirmal Bang. Please go ahead.

Arshia Khosla: So, my first question would be on the FMEG part of the business. So, I mean, the solar has done very well for us. It's a 2x growth for us. Can you just specify your geography from wherein the demand is coming in from?

Chirayu Upadhyaya: Sure, Arshia. So as far as solar is concerned, largely the demand driver has been because of the government's rooftop solar scheme. Over and above that, there are certain states where they have also introduced their own rooftop solar incentivization scheme. So largely, the demand that we are seeing are from those states.

To name a few, I think Maharashtra, Gujarat, Rajasthan, MP, Telangana, Tamil Nadu and UP are few of the states where we have seen very good traction coming in for the solar inverters business.

Arshia Khosla : That's helpful. And secondly, on the capex part, you've already done a ₹ 4.1 billion capex in quarter 1. So can you just specify which segment was this capex allocated to ?

Chirayu Upadhyaya: So, it's largely on the cables and wires business. As we had mentioned, most of the capex that we are going to do over the next 5 years is for the cables and wires business. As of now, there is no immediate requirement for any incremental capex for the FMEG business. Probably it will be towards the end or the mid-to-end part of the next 5 years.

So, all of the capex largely that we do right now is either for the cables and wires business or maybe some for backward integration.

Arshia Khosla: Thank you. Thanks for that.

Moderator: Thank you. The next question is from the line of Praveen Sahay from PL Capital. Please go ahead.

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Praveen Sahay: Thank you for opportunity and many congratulations for a good set of numbers. First question is related to FMEG only. So that's a clarification like this quarter, especially the contribution of a solar product has increased. Otherwise, the overall fan and light contribution on the YoY basis, if I look at, that is on the higher contribution to your portfolio in the FMEG?

Chirayu Upadhyaya: That's true, Praveen. In this quarter, solar was the largest contributor. If you look at last year, fans and lights were the largest contributor, solar was the third largest contributor to the FMEG top -line.

Praveen Sahay: So, is it a solar inverter is quite related to the government solar rooftop, the scheme projects? Is it treated as a one-off kind or do you believe this to continue in the coming quarters as well?

Chirayu Upadhyaya: We believe the demand is going to be very sacrosanct at least in the near to midterm. The government scheme is there, and yet, I think only 20% of that has taken off. And over and above that, as I mentioned, there are various state-level schemes which have been introduced. Until those schemes continue, at least next few years, we are expecting continuous demand for solar inverters. So that's the near to midterm visibility that we have over there.

Praveen Sahay: Okay. And the second clarification related to the EPC, as you had mentioned ■ 80 billion order book, that include your ■ 56 billion of BharatNet order book?

Chirayu Upadhyaya: The BharatNet order book is the ■ 80 billion that I mentioned. Over and above that, there is an RDSS order book, which is roughly around ■ 38 billion to ■ 40 billion.

Praveen Sahay: Okay. And these are executable over how many years, time frame?

Chirayu Upadhyaya: Next 3 to 4 years. All of it has to be executed over the course of next 3 to 4 years.

Praveen Sahay: Okay. And the last question related to the wire and cable. As you had already mentioned that the extra high voltage, you don't have a much business for that. But the way forward, can we expect that by FY27, we will see some contribution from the extra high voltage to come in for you?

u?

Chirayu Upadhyaya: So extra high voltage, as you'll be aware, is a tender-based business. So once the plant is up and commissioned, you'll have to go and bid for the tender. And if you win, that is when you start executing and when you start accruing revenues. So probably any form of meaningful revenue accrual will only happen in FY 28.

Praveen Sahay: Okay. Thank you and all the best.

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Moderator: Thank you. The next question is from the line of Vidit Trivedi from Asian Market Securities. Please go ahead.

Vidit Trivedi: Congratulations on a great set of numbers. Most of the questions have been answered. Just wanted to know on the solar products. You have mentioned that this is now the largest category in FMEG. What's the scale of this opportunity? And how is the product portfolio evolving?

Chirayu Upadhyaya: So, Vidit, we have the sole product category, as I mentioned, solar inverters. Obviously, there are requirement of various ancillary products as well if you look at the overall solar rooftop opportunity, but we are not in that right now. We obviously are into solar inverters and wherever solar cables and switchgears can be a part of that order, we try to cross-sell that.

As far as the opportunity size is concerned, I think we can just sum up the outlay that various schemes of the central government as well as state government have and probably that is almost 1/3rd of the overall cost of the outlay that happens on solar rooftop. So, that sum multiplied by 3, is the overall opportunity size for solar rooftop.

Vidit Trivedi: Got it. And what's the margin contribution of solar products in the overall FMEG basket?

Chirayu Upadhyaya: It will vary across product categories. As I was mentioning, solar cables is what will have contribution in the wires and cables category. Solar inverters has now a large contribution in the FMEG category, so it will vary. And obviously, I mean, it'll keep on changing over the next many quarters.

Vidit Trivedi: Got it. Thanks a lot. All the best.

Moderator: Thank you. The next question is from the line of Manish Poddar from Invesco AMC. Please go ahead.

Manish Poddar: Congrats on the numbers. Just one question. So, would you plan to set up a plant, let's say, internationally in the next 18 - 24 months? What are your thoughts on this?

Chirayu Upadhyaya: Manish, thanks for the question. Very good question. In the longer term, yes. See, if you look at the other larger global players like Prysmian, Nexans, et c., the way that they have looked at the growing globally is setting up manufacturing plants at multiple locations. But as of now, we are not at that scale. In the near to midterm, we don't have any plans of setting up manufacturing plants outside India.

The benefit that we have when we are exporting our cables is because of the low-cost manufacturing, which is available in India. And that is where we'll continue to invest in setting up or expanding our capacities in the country itself. If you are thinking of more

longer term, maybe next decade or a couple of decades, probably that is where we'll definitely have to think about going outside India, but not required in the near to midterm.

Manish Poddar: Okay. Got it. Thanks.

Moderator: Ladies and gentlemen, we'll take this as the last question for today. I would now like to hand the conference over to Mr. Gandharv Tongia for closing comments.

Gandharv Tongia: Thank you so much for taking out time and joining us for this call. We deeply appreciate and value your support over the period. In case there are any unanswered questions or you want to share any feedback to us, please feel free to reach out to me or Chirayu. You can also write to investor.relations@polycab.com. Thank you. Have a great day ahead.

Bye -bye.

Moderat

or: On behalf of Polycab India Limited, that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

Call: Oct 2025

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Date: October 28, 2025

To

Department of Corporate Services
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai, MH - 400001 To
Listing Department
National Stock Exchange of India Limited
C-1, G-Block, Bandra -Kurla Complex
Bandra (E), Mumbai, MH - 400051

Scrip Code: 542652 Scrip Symbol: POLYCAB
ISIN: INE455K01017

Dear Sir(s) / Madam(s),

Subject: Submission of Transcript of Earnings Conference Call held on October 17, 2025.
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of Earnings Conference Call held on October 17, 2025 .

Kindly take the same on your record.

Thanking you
Yours Faithfully

For Polycab India Limited

Manita Carmen A. Gonsalves
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Membership No.: A18321
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"Polycab India Limited
Q2 FY 2026 Earnings Conference Call"
October 17, 202 5

MANAGEMENT : MR. INDER JAISINGHANI – CHAIRMAN AND MANAGING DIRECTOR

– POLYCAB INDIA LIMITED

MR. GANDHARV TONGIA – EXECUTIVE DIRECTOR AND CHIEF
FINANCIAL OFFICER – POLYCAB INDIA LIMITED

MR. NIYANT MARU – EXECUTIVE PRESIDENT , FINANCE – POLYCAB
INDIA LIMITED

MR. CHIRAYU UPADHYAYA – HEAD OF INVESTOR RELATIONS –
POLYCAB INDIA LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Polycab India Limited Q2 FY 2026 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing s tar then zero on your touchtone phone. Please note that this conference is being recorded.

I would now like to hand the conference over to Mr. Gandharv Tongia, Executive Director and Chief Financial Officer, Polycab India Limited. Thank you, and over to you, sir.

Gandharv Tongia: Thank you, operator. Good afternoon, everyone, and thank you for joining us. I hope all of you are staying healthy and safe. I'm Gandharv Tongia, Executive Director and CFO at Polycab India Limited. On this call, we shall discuss the second quarter results , which were approved in the Board meeting held today. We will be referring to the earnings presentation, financial results and condensed financial statements, which are available on the stock exchanges as well as on the Investor Relations page of our webs ite.

Joining me today from the management team, we have our Chairman and Managing Director, Mr. Inder Jaisinghani ; our Executive President, Finance, Mr. Niyant Maru; and our Head, Investor Relations, Mr. Chirayu Upadhyaya.

Let me now hand over the call to Inder Bhai for his comments.

Inder Jaisinghani : Good afternoon, everyone. I'm happy to share that we had a strong Q2 FY 2026, marking yet another milestone in our growth journey. This quarter, we saw our highest ever second quarter and half yearly revenue, reflecting the strength in demand and that of our execution capability. Our profitability also reached new highs with PAT touching approximately ■ 700 crores for the first time in the second quarter, contribut ing to a record half -yearly performance.

I would also like to take this opportunity to welcome Mr. Niyant Maru, who will join us as the Chief Financial Officer from October 28, 2025 , following Gandharv's resignation . He will serve in th is role f or an interim period of 9 months , until a suitable successor is appointed . With o ver four decades of financial leadership experience, I'm confident he will further strengthen our financial strategy and support the Company 's next phase of the growth.

With that, I would now like to hand over to Niyant for his initial address.

Niyant Maru: Thank you, Inder Bhai, for this warm welcome.

I'm truly honoured to join the leadership team of Polycab at such a very exciting time in the Company's journey and look forward to contribute meaningfully to Polycab's continued growth and value creation.

The Company 's strong fundamentals, consistent performance , and commitment to excellence, are truly inspiring .

I'm excited to work very closely with the leadership team to further strengthen the financial strategy and continue delivering sustainable long -term value to all our stakeholders.

With that, I would like to hand over to Gandharv, to take the call ahead.

Gandharv Tongia: Thank you, Niyant. Before we move forward, I would like to make a moment to acknowledge an important transition within our leadership team. This will be my final earnings call as the Executive Director and CFO, and I wanted to briefly reflect on what has b een a truly remarkable journey.

I joined the organization as Deputy CFO in 2018, and it has been a privilege to contribute to its transformation , from a privately held Company to one of the top 100 listed companies in India today. When we went public in FY 20 19, our market capitalization was around ■ 8,000 crores. Today, it stands at over ■ 1.1 lakh crores, a testament to our strong execution, disciplined growth and the trust of our shareholders, customers and partners.

Over the years, we have delivered consistent growth across

every key metric, becoming the

largest Company by revenue and profitability in the electrical industry and a sector leader in margins, driven by our focus on efficiency and excellence.

These achievements reflect the collective effort of our teams, the guidance of our Board and the spirit of collaboration that defines this organization. I'm deeply grateful for the trust and support I have received, and I leave with immense pride in what w e have accomplished together.

Thank you, and I would request you to extend the same support to Niyant and the Company as it continues its next phase of growth.

Before I turn to the macroeconomic update, I would like to share a brief update on the income tax matter.

As you would recall, in December 2023, the Income Tax department had conducted a search at the Company. Following the search, assessment orders for AY 2014 -2015 to AY 2023-2024 were issued during FY 2024-2025, resulting into a total tax demand of ₹ 525.63 million and interest of ₹ 175.58 million.

The Company appealed these orders. During the quarter ended 30th September 2025, the CIT(A) allowed the Company's appeals in full, resulting in NIL tax demand. The order giving effect to the CIT(A) decision is currently pending before the assessing officer.

Now turning to the macroeconomic environment.

Major global economies are beginning to show signs of a slowdown in economic activity. In the U.S., indicators across the labour market, manufacturing and services sector point to easing momentum. In the Eurozone, manufacturing is being weighed down by softness in both Germany and France, where reforms are progressing more slowly than expected, affecting business sentiment. In China, manufacturing activity improved slightly in September 2025, but remains in contraction territory constrained by weak export orders.

In contrast, India continues to stand out as the fastest-growing major economy. While external challenges persist, particularly around tariff-related uncertainties, India's strong domestic consumption base provides a significant buffer. The recent GST rate revisions are expected to further boost consumption, especially as they coincide with the festive season.

While rural consumption remains buoyant, supported by last year's good monsoon and this year's above normal rainfall, urban demand has seen some moderation in wage growth. However, the combination of GST and income tax cuts and soft inflation is supporting consumer sentiment.

Despite a rise in industrial metal prices and weaker currency, India's inflation outlook remains benign. Gold prices have risen sharply by over 40% this year, pushing headline inflation slightly higher, but core inflation remains moderate at 4.4% in September and even lower at 3.1%, excluding gold. With GST reductions likely to ease gold inflation further, it is expected that the overall inflation will remain under control.

The real estate sector remains healthy, though with some sign of moderation. Meanwhile, government capex remains strong, growing 43% YoY till August '25 with ~38% of the FY 2026 outlay already spent. This provides confidence that full year targets should be met easily. While some challenges persist, India's economic foundation remains strong, supported by sound fundamentals, proactive policy and resilient domestic demand, the economy is well positioned to navigate global headwinds and capitalize on long-term opportunities.

I now hand over to Chirayu to take you through the financial performance for the quarter gone by.

Chirayu Upadhyaya: Thank you, Gandharv.

Let me now take you through Slide 4 of the earnings presentation.

For the quarter ended 30th September 2025, we are pleased to report that our consolidated revenue grew by a strong 18% YoY, driven primarily by robust performance in our Wires & Cables business, supported by healthy growth in the FMEG business.

Our EBITDA for the quarter

grew by 62% YoY, significantly outpacing revenue growth. This translated into a ~430 bps YoY and ~130 bps QoQ improvement in EBITDA margin, which stood at 15.8%. The margin expansion was supported by strong profitability in the larger Wires & Cables business.

At the PAT level, the Company delivered its highest ever second quarter PAT at ₹ 7.0 billion, reflecting 56% YoY growth. PAT margins improved by ~260 bps YoY, to stand at 10.7% for the quarter.

Finance costs came in at ₹ 484 million, while other income stood at ₹ 454 million. A detailed breakdown of the line items is available on Slide 19 of the presentation.

We continue to maintain a strong balance sheet, closing the quarter with a net cash position of ₹ 29.4 billion. On working capital front, inventory days were marginally higher as we built up inventory in anticipation of strong demand in Q3 FY 2026. Given the use of letters of credits for raw material procurement, payable days also increased correspondingly, resulting in the working capital cycle temporarily reducing to 33 days at the end of Q2. We expect this to normalize to our long-term steady range of 50 to 55 days over the coming quarters.

Capital expenditure for the quarter was at ₹ 3.3 billion, taking the H1 FY 2026 expenditure to around ₹ 7.5 billion, in line with our Project Spring guidance of investing ₹ 12 billion - ₹ 16 billion annually through to FY 2030.

On a half yearly basis, I'm proud to share that our revenues, EBITDA and PAT are the highest ever in the Company's history for any half yearly period. Revenues grew 21% YoY, crossing the

■ 120 billion milestone. EBITDA grew 55% YoY with margins strong at 15.2%. PAT grew 53% YoY with PAT margins of 10.4%.

Moving on to Slide 6.

The Wires & Cables business delivered a 21% YoY revenue growth, supported by high -teen volume expansion during the quarter. The domestic Wires & Cables business recorded a strong 21% YoY growth despite a high base from the previous year, which had witnessed 28% YoY growth.

This performance was driven by higher government spending, improved project execution and a favorable commodity environment. The continued momentum underscores our strengthened market position and suggests market share gains in the domestic segment during the quarter.

Both cables and wires performed strongly. Sales across both distribution and institutional channels showed healthy traction, indicating broad -based demand. Regionally, the North led growth, followed by the West, South and East, reaffirming our strong pan -India presence.

Looking at the broader environment, demand remains robust across key sectors. Central government capex spend continues to remain robust. Additionally, the Government of India released an extra ■ 1 trillion in tax devolution to states on 1st of October ahead of the festive season to accelerate capex and welfare spending, a timely fiscal boost for infrastructure and development projects.

India's private capex cycle is also showing early signs of revival after a period of subdued activity, supported by monetary easing such as rate cuts and liquidity infusion, fiscal stimulus like front -loading of capex and tax cuts and regulatory reforms. While the capex to GDP ratio remains below its historical peak of ~35% in 2004 to 2008, currently standing at 30%, the outlook continues to improve.

The real estate market remains strong following last year's record sales and launches, a trend that should continue to support wires demand in the coming years.

Our International business continued its steady growth trajectory, recording a 25% YoY increase during the quarter and contributing 6.5% to consolidated revenue. With a healthy order book in place, we expect this growth momentum to continue.

On profitability, EBIT margins for the Wires & Cables segment stood at 15.1%, improving by ~270 bps YoY and ~40 bps QoQ , supported by operating leverage and

favorable business mix.

Moving on to Slide 8 for an update on the FMEG business.

The fans category continued to face headwinds due to the prolonged monsoon season and elevated channel inventory at the beginning of the quarter, registering marginal degrowth.

Lighting business gained traction due to festival demand, registering healthy growth. In switches, switchgears and conduit solutions, healthy demand from real estate continues.

The solar products category was once again the standout performer, driven by robust demand under central and state solar rooftop incentive schemes. With continued policy support and encouraging demand visibility, we expect this demand to continue. Our continued focus on premiumization as well as operating leverage benefit helped the FMEG business achieve its third consecutive profitable quarter despite increase in A&P spends.

Now moving on to Slide 10, which provides an update on our EPC business.

During Q2 FY 2026 , EPC revenues declined 19% YoY to ■ 4,024 million, primarily due to project execution cycle, same as was the case in Q1 FY 2026. Segment's profitability stood at ■ 730 million, translating to a margin of 18.1%.

This includes a one -time gain of approximately ■ 300 million , excluding which margins would be at around 10%, consistent with our mid - to long -term guidance. Our EPC order book remains healthy, providing strong visibility for future growth.

Moving on to Slide 12, which provides an update on our Project Spring.

Under Project Spring, we continue to make steady progress in line with our FY 2030 strategic guidance. Within Wires & Cables, growth in the first two quarters since the project's launch has been ahead of guidance at 1.5x to 2x of the industry growth rate , with margins above the guided range.

While export contribution appears lower, exports have actually grown 25% YoY in H1 FY 2026 , and the relative decline is due to stronger domestic growth, expanding the consolidated base.

We remain on track toward our greater than 10% export contribution goal.

In FMEG, we continue to outpace industry growth in line with our plan of growing 1.5x to 2x the market rate, while maintaining focus on margin improvement and progressing towards the 8%-10% EBITDA target by FY 2030.

We incurred ■ 7.5 billion in capex during H1, consistent with our annual guidance of spending ■ 12 billion to ■ 16 billion annually. For FY 2025, we raised our dividend payout to 26.3% from 25.5% last year, in line with our goal of crossing 30% dividend payout by FY 2030.

Overall, we've made a strong start to Project Spring and remain confident of achieving our long -term objectives.

That was the update for the quarter. Thank you, and we are now open for questions.

Moderator: The first question comes from the line of Sonali from Jefferies Group.

Sonali: Congratulations on a great set of numbers. Sir, my first question would be in this 21% YoY sales growth in cables and wires, approximately how much would be volume? And if you could further categorize them between cables and wires, that would be great.

Chirayu Upadhyaya: Thank you so much, Sonali. As far as the growth is concerned, the 21% revenue growth is on the base of high teens volume growth, and the remaining is the value contribution. Both cables and wires have registered strong growth. As far as the revenue growth in both cables and wires are concerned, they are pretty much equal.

Again, on the volume terms, the growth will be a bit higher on the cable side, and a bit lower on the wire side, but that is because of very high base of wires in Q2 of previous year. If you would recall, in September of last year, we had seen an upward trend in copper prices in the last 15 days, which had led to a lot of pre-emptive stocking by distributors. As a result, we sat on a very high base as far as wires are concerned. Even on that, we were able to register double-digit volume growth in the wires business - with in line revenue growth with cables. So that was the breakup of volume versus value.

Sonali: Very helpful, sir. My second question is regarding the EPC segment. Now we understand that there could be a time deferment between the execution and the time that we are going to receive the order for the money from our RDSS orders. But going forward, on an annualized basis, how should we look at the revenue and the margin profile of this segment?

Chirayu Upadhyaya: On the EPC front, specifically, till quarter two, we were just executing the RDSS project. Q1 and Q2 were quarters wherein we had the execution phase of the project. There was a limited supply portion that we had to do. In Q3 and Q4 or the second half of the year, we will also have a cable supply portion within the RDSS contracts that we are executing. So that means second half of the year should see better revenue inflow coming from the RDSS project.

Over and above that, we will also start executing the BharatNet project from Q3 onwards. That will add up to the overall top-line as well as bottom-line on the EPC part of the business. So overall, I think second half of the year should be much better as far as the EPC business is concerned.

Sonali: Understood. And what was the one-off component in the margins? And if you could quantify that in Q2?

Chirayu Upadhyaya: The one-off was of about ₹ 30 crores. If you remove that from the margins of the EPC business, you would end up at around 10% of EBIT margins for the quarter, which is in line with our guided range for the segment. The reason for this ₹ 30 crores of one-off was because of change in terms in one of our contracts.

Sonali: Understood. Got it. And just one last question. Any update on our EHV segment because that seems to be quite a good demand driver going forward for the industry as a whole.

Chirayu Upadhyaya: Sonali, the EHV plant continues as per the timeline. We are expecting that plant to get commissioned by the end of next calendar year. So perhaps we'll be able to start seeing benefit from the EHV sales only in FY 2028.

Moderator: The next question comes from the line of Ashish Jain from Macquarie India.

Ashish Jain: So Chirayu, my first question is on the growth in cable and wire, like this year also, we have seen a fairly sharp rally in copper prices, right? And some of our channel checks are indicating a similar stock up and all by the dealers. What is our sense on that? Does this volume growth reflect that?

Chirayu Upadhyaya: So, Ashish, as on date or in the first half of this year, definitely, we have seen better traction as far as the volume growth is concerned. But all of this is largely linked to the fundamental demand. We don't see a lot of inventory buildup into the channel right now. To a certain extent, maybe in wires, we would have seen that buildup happening towards the end of September. But same was the case towards the end of June and all that inventory got liquidated because the fundamental demand remains strong. So, we don't believe that the high-volume growth that we are witnessing this year has anything to do with the copper movement. I think the fundamental demand remains quite strong.

The government, as you would have seen in the numbers, they are front-loading their capex and has already spent ~38% of their yearly target. We are also seeing a lot of green shoots in few of the private sectors as far as capex is concerned. And all of those put together are helping in terms of the volume growth on the cables and wires business.

We continue to expect the second half of the year to remain strong. This is also visible in the inventory we have created, which is in anticipation of strong demand in the third and fourth quarters.

Ashish Jain: Right. And second question is again on cable and wires, like what explains the margins there? Is it purely operating leverage or there's something else also? And an extension of that is where are we on price hikes given the sharp copper price rally that we have seen?

Chirayu Upadhyaya: Son, on a sequential basis, the margin improvement in cables and wires is only roughly around

40 to 50 bps. This improvement is largely because of operating leverage. Year -on-year, it's a mix of operating leverage as well as gross margin expansion. So that's the reason for the higher margins.

As for your second question regarding the pricing pass -on is concerned , as you are aware, 90% of our business is through distributors , and for distributors, we revise prices on a monthly basis. So whatever movement happens in a month, we pass it on in the consequent month.

The uptrend in copper prices that we witnessed was towards the end of September. So , we would have passed on that increase in prices only in the first week of October. If you look at the September quarter prices, the average copper prices , and look at YoY growth, largely, you would see the average is pretty much similar. So , it's kind of flat YoY.

Moderator: The next question comes from the line of Natasha Jain from Phillip Capital.

Natasha Jain: My first question is on wires and cables. If I see your top -line growth, this has historically, growth has been much larger than 19%, with margins lower than 15%. So , this time, it's at a lower top -line growth, a higher margin.

I want to understand, does exports have anything to do with this given that there was a period of 20 days when a lot of players front -loaded U S exports. So , has that also come into our margins? And having said that, what about exports from quarter 3 onwards to US given it's a high -margin business? First question, sir.

Chirayu Upadhyaya: So, Natasha, on the top -line of the wires and cables business, we've actually grown 21% in this quarter YoY. And that, too, as I mentioned in my opening remarks, is on a very high base. Last year, we had seen 23% growth in wires and cables and the domestic business has actually grown 28% YoY in Q2. On that, we have registered a 21% YoY growth. So definitely, nothing amiss as far as the top line growth is concerned. The percentages, maybe , you might be comparing it with 25% + kind of growth , but you also have to consider the base when you are looking at the percentage growth.

As far as margin increase is concerned, see, it is a mixture of a lot of things. Operating leverage is definitely one of them, but also the business mix change is one of them. YoY, if you look at the exports mix, it's not very different. QoQ , yes, it is better.

The margins in exports are definitely better. But unlike some of our peers, we don't operate through distributors when we export. We operate mainly through institutional channel . And irrespective of the tariffs or how the prices move, institutional players don't prepone their buying. It's the distributors who resort to stocking.

So, in exports, we didn't see any kind of pre -stocking because of whatever tariffs or copper - related movement or any of that sort. All of this is pretty much execution of the order book that we had.

Natasha Jain: Understood. This is helpful. And in terms of export, can you break the sales geography -wise?

Chirayu Upadhyaya: It's a mix of all 6 continents put together. We would have good contribution coming in also from the U.S., which would be close to around 20%. The other geographies of Europe, Middle East, Australia as well as South America, all of them contributed to this growth.

Natasha Jain: So, can we expect this 20% from U.S. to continue in the future? Or has there been proper billing post 27th of August to U.S.?

Chirayu Upadhyaya: See, U.S. is a developing situation. So , it will be very difficult for us to comment at this point of time what we can expect perhaps by the end of this quarter, or maybe in the next quarter or so. We don't know what the tariff number

will be by next month either .

Hopefully, the ongoing trade negotiations get resolved by the end of November, and we perhaps see a reduction in the tariffs which are levied on us. Based on that, there might be some changes in what visibility we might have from U.S. It is very difficult to comment as of now as far as the U.S. is concerned.

Natasha Jain: Fair enough. Just one last quick question. So , one of your peers had mentioned on their call that their EHV plant is facing issues in terms of non -availability of technicians for vertical lines. Now I understand Polycab is also setting up vertical lines for EHV. So , are you facing any such issues in terms of non -availability of technicians and therefore, any delay? Or are we on track for it to commission?

Chirayu Upadhyaya: Natasha, we are not facing any such delay in acquiring of technicians. We are pretty much on track.

Moderator: The next question comes from the line of Achal from Nuvama IE.

Achal: The first question I have with respect to the demand. I understand basically what you're seeing is very strong domestic and export outlook. So how do we see in terms of volume sustaining?

Do you think the volume growth of high teens can continue in the remaining part of the year, particularly when you are talking about the inventories? What kind of growth are we building when we are building the inventories, if you could clarify on the same?

Chirayu Upadhyaya: Achal, as you are aware, we don't give out yearly or quarterly guidance. So perhaps I would refrain from giving specific numbers on the volume growth expectation. We are , on the ground , witnessing a lot of traction in execution. Q2 in that way generally is hampered because of monsoon season. And this time around, we actually had an extended monsoon season. But in

spite of that, you've seen the numbers that are being delivered. We believe that once the monsoon season is over, the execution will actually pick up pace.

And looking at what the government has done in the first half of this year in terms of their spend and whatever traction is visible from the private side, we definitely believe the second half should continue to be a good affair. And hence, we have a very positive outlook as far as the growth for the second half is concerned. But perhaps I won't be able to give you any quantum of growth numbers.

Achal: All right. The second question I have with respect to the margins. Given what we have delivered the number, I presume, I mean, this is 14% -15% margin, the implied EBITDA margin is 16% +, while we continue to guide for a lower margin. So, if you could quantify if there is anything specific which is helping these extra margins, which you think may not be sustainable? Anything you want to call out?

Chirayu Upadhyaya: Achal, the guidance of 11% to 13% of margins is a 5-year guidance. It is not something that we believe will be the case immediately next quarter or the quarter after that. Currently, we are seeing very good traction. The utilization rates are quite good.

So, we believe perhaps we could be able to continue to deliver maybe at the higher end or perhaps even better than that. But our longer-term guidance of 5 years, you have to be a bit conservative when you give out those guidance, and that is what we have done as far as the margins guidance is concerned.

Achal: Got it. And just last question, if I may, with respect to the industry demand supply in terms of capacity and demand. Are you seeing any stress emerging in terms of the pricing, etcetera? I remember last time you had talked about the price premium for some of the products. So, is that premium sustained? Or is there any moderation in that premium?

Chirayu Upadhyaya: So, we are not seeing any particular increase in competitive intensity, and that is perhaps visible in the gross margin that we are delivering. Our pricing premium compared to the other player

s

in the industry continues to be as it is, and we don't expect there to be any material change in the near-to-mid term to that.

Achal: This is very helpful.

Moderator: The next question comes from the line of Jai Chauhan from Trinetra Asset Managers.

Jai Chauhan: So, my question is on the FMEG segment. With solar products now being the largest category, could you elaborate on the margin profile of the solar business and versus the rest of the FMEG portfolio? And looking ahead, what are the key strategic levers beyond solar that will drive segment margin from the current low towards the ambition of 8% to 10% under the Project Spring?

Chirayu Upadhyaya: So, Jai, we don't particularly give out product-wise margins, neither the breakup of our FMEG. Having said that, solar is a profitable business for us, and that will continue to be the case. The other products that we have in the FMEG segment, which are switches, switchgears, conduits, all of them are profitable.

Perhaps one of the segments that we would want to be profitable in the near to midterm is the Fans segment. Over there, the utilization rates continue to be at a bit lower and which is what is hampering our operating leverage and hence, the bottom line. As and when we scale up that business, perhaps that growth in terms of the bottom line in the FMEG business will see a material pickup.

Over and above that, gross margin expansion as well based on the premiumization drive that we are undertaking across the product categories, that will be the other driver.

We are also focusing on increasing the contribution of higher-margin products like switchgears and switches in the business. As and when that pans out over the course of next 5 years, again, that should be a booster to the bottom line of the FMEG segment. So, these are the 3 levers that we are working on to finish the journey from the current margins to 8% to 10% in the next 5 years.

Jai Chauhan: Understandable, sir. And on the FMEG side, what I have seen around the industry is like if you take an example of fans, if you see Atomberg as they're focusing on marketing, distribution, everything and then they are outsourcing their contract manufacturing. So, like what was the rationale behind doing everything in-house?

Chirayu Upadhyaya: So, Jai, you will be aware that we use the same brand Polycab within our FMEG business as well. Polycab as a cables and wires brand is considered to be a superior brand as far as quality is concerned. We didn't want to dilute our brand name when we sell the FMEG products.

So that was one of the reasons why we chose to manufacture our products in-house because we can control the quality of our products. Over and above that, it also gives you a better handle on availability, which is something which faces a lot of pressures when you outsource, as the other partners might not have or might be going to some rough patch. So, both of this put together is one of the rationales.

The other rationale is that there is a lot of synergy as far as the manufacturing process is concerned. We use the same raw materials largely copper, steel, plastic, etcetera, which are used in the cables and wires business to manufacture our FMEG products. Since we have the

scale benefit on the cables and wires business, perhaps we can leverage on that scale benefit, lower cost and optimize our manufacturing cost on the FMEG side. So, all those 3 things put together is the rationale behind us manufacturing our products in-house.

Moderator: The next question comes from the line of Umang Mehta from Kotak Securities.

Umang Mehta: Congrats on a good set of numbers. Chirayu, the question was on gross margin in wires and cables on a YoY basis. Now if you compare this quarter to the base quarter, if you can just highlight, I mean, what helps us to show this strong expansion?

Because I believe in base quarter, you had highlighted heighten

ed competition in wires. But I

believe even this quarter, we've seen copper price inflation and some stocking up in wires. So, what has exactly changed if we were to compare both the quarters like-for-like?

Chirayu Upadhyaya: So, similar to Q1, we had seen the expansion on the gross margin level, pretty much the same continues in Q2. We didn't see a similar heightened competitive intensity on the wires this time around.

Last year in September, the upside that happened in copper was within a very short time frame of 3 to 4 days and towards the end of the quarter, which led to the higher competitive intensity.

This time around, the increase in copper prices was over a longer period, and perhaps that is why we might not have seen a similar behavior from the competitors this time around. So that is why the margins even in wires were pretty good.

Over and above that, our own internal initiatives are working quite well for us. For example, in the wires business, we are focusing on selling of Class 2 or premium wires, which is where the margin profiles are better. Over the last few quarters, we've seen an improvement in mix of those premium wires in our sales, and that has helped us in terms of improvement of gross margins as well.

Similarly, in cables, we have seen the sales of better gross margin SKUs go up, and that has again helped us to improve our overall margins YoY as well. The remaining is obviously the operating leverage part. So, these variables put together are helping us in this increase in the margins on the cables and wire side.

Umang Mehta: Understood. And just as a follow-up to this, because you have a hedging and your contracts -- you have these embedded contracts, a gradual move in copper price, like it benefits the other peers who do not hedge, it doesn't really benefit you in that sense. Is that the right way to think about it?

Chirayu Upadhyaya: Right. See, for us, hedging is a tool which helps us maintain margin. We are not looking at in terms of improvement. There will be certain cases wherein it might be helping us in terms of margins, and in other case, it might decrease margins.

But what it helps us to do is create a relatively stable margin profile and that is what we aim for. So, we'll continue to use the hedging mechanism in our business, and we will not deviate from that irrespective of what the copper or aluminum or the US D-INR movement is.

Moderator: The next question comes from the line of Aadipta Ghosh from Invesmate Insights Private Limited.

Aadipta Ghosh: First of all, congratulations for your great numbers. My question is major players like Adani Group and Birla Group entering the market. How do you see the competition evolving? Do you expect any margin pressure in coming quarters for new entrants?

Chirayu Upadhyaya: So, Aditya, the announcements of entry by both these large conglomerates happened somewhere around the beginning of this year. It will obviously take some time for those players to enter in the industry. One of the players has given specific plans and timelines by which time they expect their plant to get commissioned and then to enter in this particular industry, while the other player has not given any clear plans of what they wish to do as far as this business is concerned.

Even for the player which has given the plans, this is something which will happen after 1-1.5 years. At that point of time, we'll have to see what the demand environment and the competitive intensity look like. But this player has indicated that their focus will be largely on wires. Wires, in particular, is an industry where we have always been in oversupply. We have always been competing with other large players as well as the large unorganized players and we've continued to grow in that environment and continue to gain on market share.

So, from our point of view, we'll continue to focus on our initiatives, our strate

gy, our products

and different geographies to continue to gain our market share. As and when we have the newer players entering the market, we'll perhaps look at strategies to compete with them as well.

Aadipta Ghosh: Okay. And my next question is what's your current capacity utilization in wire and cable segment?

Chirayu Upadhyaya: Utilization will be in mid-70s.

Moderator: The next question comes from the line of Prathamesh Rane from Elara Securities.

Prathamesh Rane: Congratulations for the superior quarter. My question was on Etira, Maxima and, the Suprema

wires, how they are doing in Tier 2, Tier 3 cities, just wanted to get some insight on that.

Chirayu Upadhyaya: Prathamesh for Tier 2, Tier 3, Tier 5 cities, we have the Etira brand, which we introduced around 3-3.5 years back. This is a wire range which competes very actively and very competitively with the unorganized players and their offerings in this market. Suprema, Primma and the other ranges that we have are more premium in nature, and they are largely used in metro and Tier 1 cities.

As I had mentioned in one of the earlier questions, we are seeing very good traction in sales of our Class 2 wires. That has been one of our focus areas, and we have seen very good traction on that front, which is again resulting into improvement of our margin profile on the wires segment as well. So largely, I mean, wires for the last 4-5 quarters, we've seen almost 20% + growth each quarter and all of those ranges that we have, they are panning out quite well.

Moderator: The next question comes from the line of Rahul Maheshwary from Dolat Asset Management.

Rahul Maheshwary: Just one question from my end. We are hearing a lot of HVDC as an opportunity, which is till 2035. For my clarification, HVDC as an opportunity is similar to what EHV cable would be coming or it's completely different? Or Polycab is looking for such opportunity going ahead?

Chirayu Upadhyaya: Thanks, Rahul. So, the EHV plant that we are putting up will be largely utilized for only the EHV opportunity. As of now, we are not looking at the HVDC opportunity. Perhaps, yes, as you rightly mentioned, it is an opportunity which will perhaps be there in the longer term. If you take more of a decade or two decades kind of view, there may be more demand for those kind of cables. But as of now, there are very limited projects in the country that requires HVDC cables. None of the players in the country have the tech to manufacture them, and whatever cables are being utilized or will be supplied for those projects will be imported. So, as of now, it is not something that we are looking to pursue. But maybe in the next few years, that might be an area that we develop the tech for or acquire, and then look to gain from the opportunity over the longer period.

Rahul Maheshwary: And how big this TAM can be for next 1 decade, specifically for HVDC?

Chirayu Upadhyaya: Rahul very difficult to quantify the market size for a specific type of cable. We'll have to see what kind of order contracts are being given out by the government, and that is how perhaps we'll get to know the TAM for that.

Rahul Maheshwary: And just a follow-up question, I know defense as a part is too miniscule compared to what the cables are being put for the power and etcetera, other industries. But anything which we are catering to defense sector?

Chirayu Upadhyaya: We definitely cater to the defense sector. We have a vertical which is called special purpose cables wherein we cater to the defense sector. The key here is, first of all, you need to develop the products which are required in defense and which are very different compared to the normal cables which are used in the other industries. Once that is done, you have to secure approvals from the various end customers before you start supplying. Over the last 2-3 years, we've worked on developing those products and

and securing those approvals, and we've now been consistently improving our supply to the defense industry.

Going ahead as well, whatever new investments on the defense side are being done in the country and whatever type of cables will be required in defense, we are kind of an approved player for that. And going ahead, it should be one of the areas, developing areas, which should kind of see quite good growth as far as the cables business is concerned.

Moderator: The next question comes from the line of Sanjaya Satapathy from Amper sand.

Sanjaya Satapathy: Chirayu, just two questions. One is that you said that you have already taken a price hike in October. Is it possible to say what kind of price hike you have taken?

Chirayu Upadhyaya: Sanjaya, you can look at the movement of copper and aluminum along with the USD -INR movement in the previous month to this month and take the average and perhaps that is the increase that we would have taken.

Sanjaya Satapathy: Okay. So that essentially tells me that you are protecting your margin despite this volatility.

Thanks for clarifying that. My second question is that this capex, which we have done like ₹ 750 crores odd and you're planning to do somewhere around ₹ 1,500 crores, ₹ 1,600 crores this year. Can you spell it out for us like what all exact capacities that has gone up?

Chirayu Upadhyaya: Sanjaya, this is a capex that we continue to do every quarter. Not necessarily we'll have facilities coming up for the spend that we did in the previous quarter. It takes time for the plants to get commissioned and become operational. We've been doing much more capex since last couple of years.

In the last two years, we've done ~₹ 850 crores and ~₹ 960 crores of capex. This year as well, we are at ₹ 750 crores in the first half, and we'll perhaps do somewhere between ₹ 1,200 crores to ₹ 1,600 crores for the year. All of these capacities come up gradually. Some of them are brownfield, which will perhaps come up in 1-1.5 years and some of them are greenfield, which will take a bit of a longer time.

The spends are done across the different types of cables. Part of this is also for EHV, while the other spends are done for normal high voltage, low voltage or medium voltage cables, and so on and so forth. So, it's a mix of all of those. As far as the capacity which is coming up, I wouldn't

be able to quantify it at this point of time.

But if you are looking at what incremental revenue potential this capex generates, you can take a 4x to 5x turn on the capex that we are doing, and perhaps with a lag of 1.5 -2 years, that is the kind of incremental revenue potential this capex will be generating for us.

Sanjaya Satapathy: Sorry, how much did you say? 4 x to 5x?

Chirayu Upadhyaya: 4x to 5x, yes.

Sanjaya Satapathy: Okay. Okay. No, I just wanted to know how the mix between wire and cable versus others.

Chirayu Upadhyaya: See, the capacities are largely fungible. So, you can use the same capacities to manufacture any type of cables or you can use the cables' capacity to manufacture wires. There is nothing that stops you. So, depending on the kind of demand which is there or the kind of product that you would want to cater to, you can use the capacities to manufacture any type.

Moderator: The next question comes from the line of Natasha Jain from PhillipCapital.

Natasha Jain: Two questions. One, Chirayu, can you give us the breakdown in terms of order book for RDSS and BharatNet as of today?

Chirayu Upadhyaya: So, Natasha, the order book for RDSS currently stands at ₹ 33.5 billion. And for BharatNet, since the execution will only begin from next quarter onwards, the order book is similar as it was at the end of previous quarter, which excluding the GST part stands at about ₹ 80 billion.

Natasha Jain: Understood. And one last question. In terms of fans, there is a BEE rating change in the offing, right? So, are

you expecting any kind of pressure in terms of pushing volumes and therefore, at the risk of margins for fans in third quarter?

Chirayu Upadhyaya: So, we didn't see any such pressure when the previous BEE change happened around 1 year, 9 months back. So, perhaps we wouldn't see a similar pressure this time either. But obviously, one cannot guarantee that. We'll see how the next quarter pans out to know if there is any competitive intensity or higher pressure on the margins to perhaps liquidate the inventory.

Natasha Jain: But is there any kind of price cuts that you are seeing?

Chirayu Upadhyaya: As on date, we haven't seen any price cuts. In fact, in the previous quarter, the industry actually took price hikes. So, let's see how the next quarter pans out. It will depend a bit on the demand environment as well.

Moderator: The next question comes from the line of Rahul Maheshwary from Dolat Asset Management.

Rahul Maheshwary: Just that question, can you quantify the special purpose opportunity and currently, how much it contributes without going into details sector to sector, but for next capex, which in upcoming 2, 3 years, which you are planning, what quantum can go towards a special purpose kind of structure?

Chirayu Upadhyaya: Within the special purpose cables (SPC) vertical, we cater to 3 types of opportunities — defense, automobiles, and railways, specifically railway coaches. These three put together form part of our SPC vertical. As of now, the contribution of SPC vertical to our overall cables and wires would be in low single digits. However, looking at the kind of investments which are happening in those sectors, it can be one of the fastest-growing vertical for us.

As far as the opportunity size is concerned, you can track the announcements of government related to defense. Similarly, on the automobile side, you can look at the investments happening on the EV side as well as on the railway coaches side.

These are government projects, and the numbers are largely available in the public domain.

You can apply a percentage of about 2.5% to 3% to the capex, which are currently getting committed in these sectors, and that would represent the demand for cables generated from those sectors. This is how you can quantify the demand expected within those sectors.

Rahul Maheshwary: And how much Polycab is targeting in next 5 years? In this current single-digit contribution, which is there, what can be the targeted contribution you expect going ahead from this segment? And is the margins 200, 300 bps better in special purpose cables?

Chirayu Upadhyaya: Rahul, all three of these are institutional orders. As I was mentioning, these are new sectors where you have to develop the products and get yourself approved. It takes a lot of time for you to secure those approvals from multiple clients. So, it often takes a few quarters or years for you to go through that process. Once that is done, the scale-up is much faster. We do expect the SPC vertical for us to grow at a faster rate compared to the other types of cables. But again, it is very difficult to quantify the contribution that we will generate from the SPC vertical for us five years down the line.

Even in our normal types of cables or wires that we are manufacturing, we are seeing very good traction. So, the focus is on all types of cables and wires, and we are not looking at specific contribution of any one vertical in isolation for our business.

Moderator: Ladies and gentlemen, that was the last question for today. I would now like to hand the conference over to Mr. Gandharv Tongia for the closing remarks.

Gandharv Tongia: Thank you, everyone, for taking out time and attending the call. Thank you for your trust and support over the period. We take this opportunity to wish you, your family members and each and every member of your family a very happy Diwali. Thank you. Take care. Bye -

bye.

Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Polycab India, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2026

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To

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Listing Department

National Stock Exchange of India Limited

C-1, G-Block, Bandra -Kurla Complex

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Scrip Code: 542652 Scrip Symbol: POLYCAB

ISIN: INE455K01017

Dear Sir(s) / Madam(s),

Subject: Submission of Transcript of Earnings Conference Call held on January 16, 202 6.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of Earnings Conference Call held on January 16, 202 6.

Kindly take the same on your record.

Thanking you

Yours Faithfully

For Polycab India Limited

Manita Carmen A. Gonsalves

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"Polycab India Limited

Q3 FY26 Earnings Conference Call"

January 16, 2026

MANAGEMENT : MR. NIYANT MARU– CHIEF FINANCIAL OFFICER –
POLYCAB INDIA LIMITED
MR. SHASHANK YAGNICK – HEAD STRATEGY –
POLYCAB INDIA LIMITED
MR. CHIRAYU UPADHYAYA – HEAD OF INVESTOR
RELATIONS – POLYCAB INDIA LIMITED

Polycab India Limited
January 16, 2026

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Moderator: Ladies and gentlemen, good evening, and welcome to the Polycab India Limited Q3 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Niyant Maru, Chief Financial Officer, Polycab India Limited. Thank you, and over to you, sir.

Niyant Maru: Thank you.

Good afternoon, everyone, and thank you for joining us today. I hope all of you are staying healthy and safe. I am Niyant Maru, CFO, at Polycab India Limited. On today's call, we will be discussing the Q3 FY26 results, which were approved by the Board of Directors earlier today. We will be referring to the earnings presentation, financial results and financial statements, all of which are available on the stock exchanges and on the Investor Relations section of our website.

Joining me today from the management team are Shashank Yagnick, Head Strategy; Chirayu Upadhyaya, Head Investor Relations.

Before we get into quarterly performance, I would like to share a very important update announced at the Board meeting today.

It gives me immense pleasure to inform you that the Board of Directors at its meeting held today has approved the redesignation of Mr. Bharat Jaisinghani and Mr. Nikhil Jaisinghani from Executive Directors to Joint Managing Directors of the company with immediate effect, subject to approval of the shareholders.

Over the years, Bharat and Nikhil have played an integral role in shaping the Company's growth trajectory, strengthening the market leadership and building a strong foundation for a long -term value creation. Their deep understanding of the business, strategic clarity, and hands -on leadership have been key contributors to the Company's success. I'm confident that, in their enhanced roles as Joint Managing Directors, they will continue to provide strong leadership and guidance, and work closely with the Board and the management team to steer the Company towards sustained growth and newer milestones in the years ahead.

With that, let me now take you through an update on the macro environment.

The year 2025 marked a pivotal phase for the global economy defined by shifting trade dynamics and heightened geopolitical and tariff related uncertainties. Elevated U.S. tariffs disrupted the established supply chain and moderated global growth, even as labour market remains resilient and inflationary pressure eased across the major economies.

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Against this backdrop, the global economy is expected to grow at around 3.2% in 2025, reflecting a period of stabilization amid persistent trade tensions. Overall, the global environment in 2025 has been characterized by steady but uneven growth, improving inflation dynamics and cautious monetary easing across regions.

India continues to stand out as a clear outperformer in this global landscape, demonstrating remarkable resilience and adaptability. With Q2 FY26 GDP growth at 8.2%, India continues to be the fastest -growing major economy, underscoring the strength of its internal growth engines. In November 2025, India overtook Japan to emerge as the fourth largest economy globally, reaching a GDP of USD 4.19 trillion.

Domestic consumption has witnessed a notable revival following last year's direct and indirect tax. Credit growth has strengthened meaningfully, with total credit uptake reaching INR11 trillion in November '25 compared to INR9.5 trillion last year. 2 -wheeler sales also increased by 18.1% YoY over the September - November period, while passenger

vehicle sales rose by 7.3%

during the same time frame, reflecting improving confidence among consumers and businesses alike.

Encouragingly, this recovery has occurred alongside a continued moderation in inflation. Headline inflation has trended lower, led by easing food prices, while lower global energy prices have provided additional relief. Despite currency depreciation during the fiscal year, the pass-through to inflation has remained limited. Core inflation across both goods and services has stayed relatively benign.

In this favourable macro backdrop, the RBI delivered a 25 basis point policy rate cut, revising its growth forecast upwards to 7.3% for the year and lowering inflation projection to 2%. For the next fiscal year, first half inflation expectation has been revised downwards to 4% compared to 4.5% earlier. The rare combination of strong growth and softer inflation enabled the Monetary Policy Committee to proceed with the rate cut, taking cumulative easing to 125 basis points during the calendar year.

Investment activity has also gathered momentum. Rising capacity utilization, strong investment announcements, and improving credit offtake points to a broad-based recovery in economic activity and increasing job creation.

The real estate sector remains healthy with launches and sales across the top 7 cities closely tracking the previous decade high. The affordable housing segment is also witnessing renewed momentum supported by lower borrowing costs and rising household incomes. At the same time, government capital expenditure has accelerated meaningfully with approximately 59% of the FY26 capex outlay already utilized by November 2025, a 28% YoY increase.

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Overall, we are witnessing signs of recovery in consumption and this improving demand environment is expected to translate into a revival in private capex, complemented by sustained public investment, providing strong confidence in India's growth outlook.

I would now hand over to Shashank to take you through the financial performance for the quarter and the year.

Shashank Yagnick: Thank you, Niyant.

Let me now take you through Slide 4 of the earnings presentation.

For the quarter ended 31st December 2025, we are pleased to report that our Company delivered 46% YoY growth in consolidated revenues, driven by strong execution in the Wires and Cables (W&C) segment and healthy growth in the Fast Moving Electrical Goods (FMEG) business.

EBITDA for the quarter grew by 34% YoY with EBITDA margins at 12.7%. Excluding the one-off impact of ₹219 million on account of gratuity provisioning due to the implementation of the new labour code, the EBITDA margins would have been ~13%.

At the PAT level, the Company delivered its highest ever Q3 PAT at ₹6.3 billion, reflecting 36% YoY growth. PAT margins stood at 8.3% for the quarter.

Finance costs came in at ₹687 million, while other income stood at ₹505 million. A detailed breakdown of these line items is available on Slide 17 of the presentation.

We continue to maintain a strong balance sheet, closing the quarter with a net cash position of ₹30.3 billion. On working capital front, same as last quarter, inventory days continue to be higher as we built up inventory in anticipation of strong demand in Q4 FY26. And correspondingly, given the use of letters of credit for raw material procurement, payable days were also higher, resulting in the working capital cycle to be at 27 days at the end of Q3 FY26. We expect this to normalize to our long-term steady range of 50 to 55 days in the coming quarters.

Capital expenditure for the quarter was ₹3.4 billion, taking the 9M FY26 total to ₹10.9 billion, in-line with our Project Spring guidance of investing ₹12 billion to ₹16 billion annually through FY30.

On a 9-month basis, I'm proud to share that 9M FY26 revenues, EBITDA and PAT are

the

highest ever in the company's history for any 9-month period. Revenues grew 30% YoY, crossing ₹200 billion milestone. EBITDA grew 47% YoY, with margins strong at 14.2%. PAT grew 47% YoY, with PAT margins of 9.6%.

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We now move to Slide 6.

The W&C business delivered very strong performance, recording 53% YoY revenue growth during the quarter. This growth was led by domestic W&C business, which posted an exceptional 59% YoY growth, supported by robust demand conditions and sustained commodity price inflation. In volume, the domestic W&C business recorded nearly 40% growth, reflecting healthy underlying demand.

This strong performance underscores a further strengthening of our market position with continued market share gains in the domestic market during the quarter. Execution excellence under Project Spring remains a key enabler driving superior market execution, improved relationships with our channel partners and consistent outperformance.

During the quarter, wires growth outperformed cables, driven by pre-stocking by channel partners amid elevated copper prices. Within the cable segment, institutional sales growth outpaced the channel sales, reflecting strong traction in project-led demand.

Looking at the broader environment, demand remains robust across key sectors. Government capex surged nearly 28.2% YoY in the first 8 months of FY26 reaching ₹ 6.6 trillion versus ₹ 5.1 trillion last year, also 12.4% higher than in the 8-month period in FY24. Additionally, the government of India released a loan of ₹ 1.25 trillion to states for capital expenditure during the same period.

The private capex cycle in India is showing signs of recovery aided by the monetary policy support and the stimulative impact of CST rate cuts on consumption, laying the foundation for sustained investment growth. The real estate market remains strong, following last year's record sales and launches, a trend that should continue to support wires demand in the coming years. Our international business maintained its steady momentum, recording a 5% YoY growth during the quarter, despite a high base and contributing 6% to the consolidated revenues. Backed by a healthy order book, we remain confident that this growth trajectory will continue in the coming quarters.

Segment profitability was impacted during the quarter due to multiple factors, primarily on account of continued commodity price inflation and depreciation of the Indian rupee. Between September 2025 and December 2025, copper and aluminium prices, in rupee terms, increased sequentially by approximately 21% and 11%, respectively, which represents an unusually sharp escalation over a short period of time.

In order to avoid demand disruption, arising from elevated input costs, the Company took a strategic decision to pass on the increase in raw material prices in a staggered manner. While this approach resulted in near-term margin pressure at the Company level, it enables us to protect volumes, gain market share and further strengthen relationships with our channel partners.

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Moving on to Slide 8 for an update on the FMEG business.

The FMEG segment sustained its impressive growth momentum, delivering a 17% YoY increase in Q3 FY26, and consistently outperforming the industry in-line with our Project Spring growth aspirations.

Within the segment, the solar business has been a standout performer, growing more than 2x compared to the same quarter last year, driven by strong uptake under the central and state rooftop solar incentive scheme. With favourable support and strong demand visibility, we expect this momentum to continue in the coming quarters. Other product categories delivered steady, in-line performance, reinforcing the segment's balanced and resilient portfolio.

Import

antly, the FMEG segment remained profitable for the fourth consecutive quarter, even while strategically ramping up our A&P investments to strengthen brand presence and drive long-term growth. As we continue to scale, we expect profitability to expand further, reflecting the leverage in our business model.

Looking ahead, we are confident in the long-term potential of the FMEG segment and remain on track to achieve our Project Spring targets of 1.5x - 2x industry growth and EBITDA margins in the range of 8% to 10% by FY30, positioning the business for sustained growth and value creation.

Moving on to Slide 10, which provides an update on our EPC business.

During Q3 FY26, EPC revenues grew by 4% YoY, reaching ₹ 4,069 million. This quarter, we commenced execution of our existing orders under BharatNet scheme, which is expected to generate ₹ 4.5 billion over the next 3 years for project execution and an additional ₹ 3.5 billion for 10 years for project O&M.

Segment profitability stood at ₹ 272 million, translating to a margin of 6.7%. Looking ahead, the annual sustainable operating margin is expected to remain in the high single digits over mid- to long term.

That was the update for the quarter. Thank you, and we are now open for questions.

Moderator: Thank you very much. The first question is from the line of Sonali Salgaonkar from Jefferies. Please go ahead.

Sonali Salgaonkar: Congratulations on a strong revenue growth. I have 3 questions. First, a strong revenue growth in the C&W segment, would it be able to quantify what is a volume growth for this quarter YoY?

Shashank Yagnick: For both domestic cables and wires, our volume growth is about 40%.

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Sonali Salgaonkar: Right. And any more detail you would like to share as to which end-user industries contributed higher, because 40% is very significantly higher?

Shashank Yagnick: We have witnessed sustained momentum in both government and private capex. The real estate sector, particularly in the top 7 cities, has seen healthy level of launches and sales, closely tracking with previous decadal highs. We are also seeing a recovery in affordable housing segment. Additionally, due to the commodity price inflation, there has been some channel stocking happening for wires, which has also contributed to the higher surge in top-line.

Sonali Salgaonkar: Sir, my second question is on the EBITDA margin. We understand the reasons that you have outlined in your presentation as to why the QoQ drop was there in the EBITDA margins. So, two-three follow-up questions: firstly, such high volume growth would intensify result in good operating leverage, right? So that is one. Secondly, I think you did take a price hike of about 6% YoY. So, could you help us understand what exactly led to this fall of EBITDA margin both YoY and Q-o-Q?

Shashank Yagnick: There are multiple factors at play. The primary reason has been the sharp rise in commodity prices. From January 2025 till January 2026, the copper, in rupee terms, has risen almost 50% and aluminium almost 25%. And in this quarter itself, the 22% inflation has happened in copper price compared to previous quarter.

We had taken a conscious call to pass it on in a staggered manner. While we have been revising prices, the full impact of the input cost increase has not yet been passed on. As a result, there is typically a time lag in recovering the higher input costs, which has impacted margins in the near term.

Chirayu Upadhyaya: So, Sonali, as Shashank mentioned, when the copper prices rises so high, you have to take a conscious call of how you want to pass on. Because if you look at this specific financial year, from April till December, the copper prices have risen by 35%, and this is including the rupee depreciation. And similarly, if you look at aluminium, aluminium has risen by 27%.

Out of

the 35% of copper rise, 21% which happened within this quarter itself, and 11% of that has happened in December itself, right? So, we have consistently passed on that cost price inflation to the end customers month-on-month, but we have taken a conscious call that such high 35% passing of inflation can't be done every month and hence, we will do it in a bit of a staggered manner. So, we've been doing it. We've taken a bit of a price hike at the end of the quarter, we have again taken a bit of a price hike towards the beginning of this quarter as well. But still, we haven't passed on the complete price hike or the commodity pricing inflation. Hence, if you look at the financial statements, you realize that most of the decline in the EBITDA margins have been at the gross margin level.

You are correct in mentioning that such high top-line growth will result into operating leverage, which is very much visible, if you look at everything below the gross margins. So, we have

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realized a lot of improvement as far as our operating leverage and everything is concerned. But yes, this is a conscious call what we have taken.

What you also need to appreciate is what we were able to achieve through this staggered passing - see, if you look at our performance in this year, our W&C segment has grown 35% YoY and that too on a base where we are operating at 2x of the second largest player. The staggered passing on of copper prices to our end customers have also resulted in the improvement of loyalty of those customers with us because they don't have to take the brunt of reduced demand, neither of lower margin.

We'll definitely be passing on whatever commodity inflation will be coming off, gradually, but this is something that we have taken a strategic call. Since you've been following this sector for many years, you will recall that even in FY22, similar commodity price inflations were there, where copper had gone up by 40%, whereas aluminium has gone up by almost 25% -27%.

Even at that point of time, Polycab's margins had taken a hit for a quarter or two, but then we had gradually recovered back those margins. So, we believe that something similar should play

out. There can be margin impact for a quarter or two. But if you take a more longer -term view, we should be able to recover some of our margins back.

Sonali Salgaonkar: May I just ask what is the quantum of price hikes that we have taken at the start of this quarter - you mentioned before?

Chirayu Upadhyaya: The total price hikes that we would have taken within this quarter will be almost 75% to 80% of whatever commodity inflation was there.

Sonali Salgaonkar: Understand. Got it. And just one last question on the exports. While there has not been a de - growth, but how do you foresee the exports to shape up in the coming quarters? That's it from my side. Thank you.

Shashank Yagnick: So Sonali, on exports, the majority of the revenue that we have accrued during this quarter has come from geographies other than U.S. As and when orders from U.S. comes in, they will further add to the revenues. We have, in fact, seen strong performance in regions such as Middle East, Latin America. Overall, all geographies are contributing meaningfully, and we have a healthy order book, which is expected to translate into revenues for the segment in the coming quarters.

Sonali Salgaonkar: Any reason why the U.S. is weak this quarter? Is it tariff related?

Shashank Yagnick: Yes, it is tariff related. This remains a global overhang and is impacting players worldwide, not just in India. We are currently awaiting a final resolution on this matter.

Moderator: The next question is from the line of Akshay Gattani from UBS.

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Akshay Gattani: Congrats on the strong set of numbers. So, you highlighted 40% domestic volume

growth. In

your sense, what would have been industry growth and where is your market share trending now? Any qualitative colour will also be helpful.

Shashank Yagnick: It's very difficult to provide market share perspective at this stage, given that we are the first one in the industry to announce our results and others are yet to report. Once the remaining larger players publish their numbers, we will have a better visibility in terms of exact market share gains. In terms of performance, we've seen very strong volume growth as well as value growth. However, it would be premature to currently comment on the market share until the other companies come out with their results.

Akshay Gattani: Got it. And second question, sir, like you highlighted, strategically, you have not passed through all commodity inflation to protect the demand. Do you think if the way copper and aluminium are moving up, if this continues, there could be some demand curtailment, some temporary demand postponement?

Shashank Yagnick: It's very difficult to comment on the commodity prices. However, from demand perspective, we are very confident that the growth momentum will continue. We are seeing healthy traction across government and private capex as well as the real estate sector, with significant investments flowing into power utilities and infrastructure. From that perspective, we do not see demand as challenge for us.

Moderator: The next question is from the line of Puneet Gulati from HSBC.

Puneet Gulati: Can you also give some sense of breakup between what is the difference in the performance within Wires and Cables separately?

Shashank Yagnick: Typically, our mix of cable and wires is in the ratio of 70 -30. However, in this particular quarter, we've seen wires growth outpace cables growth, leading to a marginal increase in wires share by a few percentage points. Additionally, in the value terms, the growth in wires would be higher, largely due to significant increase in copper prices.

Puneet Gulati: Understood. And in terms of price hike, can you also divide between how much price hike you took in the previous quarter? What did you do in the current quarter starting January? And how much do you still need to take to make up for the commodity inflation ?

Chirayu Upadhyaya: So, Puneet, as I mentioned to Sonali, we've passed on almost 75% to 80% of the commodity inflation, which was there during the quarter already within the quarter. The remaining will happen during this quarter.

Puneet Gulati: The January hike, which you said that you've already taken or yet to take?

Chirayu Upadhyaya: We've taken partially and we will further pass on further increase in prices gradually.

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Puneet Gulati: That's helpful. And secondly, if you can also give some colour on what you see on your distributor side. How much of this demand would be just restocking and how much would be in consumer driven?

Chirayu Upadhyaya: So, Puneet, see, as Shashank had mentioned, we largely see restocking happening mostly on

wires rather than cables. Generally, when our distributors stock inventory, they maintain roughly 30 days worth of inventory. At the end of the previous quarter or beginning of this quarter, the channel inventory was in the range of around 40 to 45 days. So around 10, 15 days of additional inventory was there.

But of course, the demand is pretty strong. Even till date in this quarter, we are seeing very good sales happening, and there is definitely very good secondary and tertiary sales which are also happening. So, the demand hence is very strong.

If you recall in the last 3 to 4 quarters, every quarter, we've seen similar pre-stocking happening because commodity prices have been continuously going up. Even then every successive quarter, we see improvement in terms of growth rate. So that means the fundamental demand itself is

so

strong.

So, I don't think there's any reason to worry. Anyways we are coming into Q4 where executions are at its peak and everybody would want to achieve the yearly targets, be it government or be it private side. So Q4 should be another good quarter for us, and we are quite optimistic on that.

Puneet Gulati: Excellent. Just lastly, if you can also give some sense of how does your capacity utilization stack up currently?

Shashank Yagnick: So, our capacity utilization in the quarter was in the early 80% range.

Moderator: The next question is from the line of Praveen Sahay from PL Capital.

Praveen Sahay: My first question is related to the institutional sales, as you had highlighted, this time the institutional sales has outperformed the distributor sales. So, can you quantify in that in terms of percentage?

Chirayu Upadhyaya: Praveen, generally, our mix of distribution versus institutional sales is around 90:10. But this time around institutional sales had grown faster than distribution sales, hence, it would have improved by about a couple of hundred basis points.

Praveen Sahay: Okay. And also, as you highlighted about this institutional sales, there is the capex led private or government and the real estate, both has done well. So also, if you can give some more colour on that how is the real estate contribution for the wire, which has also outperformed?

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Shashank Yagnick: I think if I got your question correctly, you're asking about the real estate market. So see, we've studied some data where at least in top 8 cities, both the number of launches and volume of sales has been quite robust in 2024, and the same momentum is continuing in 2025. We expect the same growth momentum to continue in the coming quarters as well, so the demand does not appear to be a concern.

Chirayu Upadhyaya: To add to Shashank's point, we have been talking since a couple of quarters now that while we have seen majority of the positive demand on the premium side, recent data also suggests that there is a pickup happening even on the affordable side. So that is something where we have been targeting to improve our market share since last 2 to 3 years. You are aware that we had introduced the Etira brand, which was to compete with the unorganized players in Tier 3 to 5 cities. And we have seen very good growth happening in Tier 3 to 5 cities through our launches. Over and above that as well, even in Tier 1, Tier 2 cities, our focus has been more on Class 2 wires, wherein we are definitely seeing a lot of market share gains for us. So, both of them are working, even the industry growth is picking up pace, and we are also seeing a lot of market share gains because of initiatives that we are taking with these projects.

Praveen Sahay: So just lastly, if you can give us some colour on the volume growth for the W&C out of 40% of volume growth in overall, how much is wire, how is cable?

Chirayu Upadhyaya: So, Praveen, let me give a very clear distinction between top-line growth as well as volume growth. For us in the domestic business, the volume growth has been around 40%. Both cables and wires have grown at pretty much similar pace in terms of volume. In case of revenue, as Shashank had mentioned, since wires are copper-based and copper has seen more inflation, for us, wires growth at a revenue level was 70%, whereas for cables, the growth was around 50%.

Moderator: The next question is from the line of Ravi Swaminathan from Avendus Spark.

Ravi Swaminathan: Congrats on a good set of numbers. I have only one question. This is regarding the cable segment. If you can call out the top 3 or 4, 5 sectors which are driving the sales growth. I think power T&D would be one of the sizable sectors, which would be driving the growth. What would be the approximate contribution of that? And yes, so all these segment

s, how they are

growing, which is growing faster, which is growing relatively slower, if you can give a broad context.

Shashank Yagnick: See, major consumption, if you go to product category level in cables, happens in power cables, control cables, which largely goes to power infrastructure and utility infrastructure. That's the

primary demand sector. And followed by that, there is strong growth that we are seeing in industry segment also. And if you look at key verticals, manufacturing, utility, government, all of them have picked up a good amount of demand.

Ravi Swaminathan: And the contribution of Power T&D in the overall cable demand, how much will it be? Any sense on that?

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Shashank Yagnick: Almost 30% for us.

Ravi Swaminathan: 30% Okay. And the second largest segment would be up after that?

Chirayu Upadhyaya: So, Ravi, your normal power cables, which are the LV/MV, they go across different sectors, be it power, utilities or your normal institutional infra everywhere your power cables are used. So, they will be the maximum in terms of the salience within the industry. At an industry level, around 40% to 45% of the cables sold will be low voltage and medium voltage cables.

Then that will be followed by control cables and what we call flexible cables. Now both of these are used in a separate set of industries. Flexible cables are something which we use in our day-to-day life, for example, cables, which are for your laptop for the TV, AC refrigerators. Those are called flexibles. They are which are the third largest.

Then you have control cables where you need to have a signal pass on where you can control the outcome kind of cables. So, these are used across different sectors. Control cables at an industry level, the salience will be somewhere around 15% to 20%, whereas flexible cables, the salience will be between 10% to 15%.

Moderator: The next question is from the line of Pulkit Patni from Goldman Sachs.

Pulkit Patni: Just a couple. Firstly, you mentioned that copper price increase has been unprecedented and which is why you took the active call of passing it on in a deferred way. Is it also true that customer in that case would have had significant sort of restocking which means probably what typically plays out for a few days could have played out for maybe a couple of fortnight, i.e., in case copper prices don't move much, our Q4 numbers may be slightly negatively impacted because of this massive destock ing? Is that a fair assumption?

Shashank Yagnick: So, as Chirayu mentioned earlier, the restocking has been largely in case of wires. Typically, cables, do not see any significant stocking, and we continue to see an uptick in the real estate segment as well. Historically, similar event has also occurred in FY22, where we saw that after one or two quarters, subsequent quarters continued to show growth momentum. So, we don't believe that there's going to be anything different this time.

Pulkit Patni: Okay. So, it's not that there's unusual stocking that has happened despite copper price increase. That's how I should read that answer.

Chirayu Upadhyaya: Yes, Pulkit. As I mentioned, there is a bit of an elevated inventory as far as wires is concerned. But since the demand itself is pretty strong, we are quite confident that there won't be any slowdown in terms of momentum in Q4. Even in case of cables, as I mentioned, Q4 is generally the peak when you see the demand for cables and from across different industries.

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And hence, we are quite sure of absorption through whatever new demand is coming in. Commodity prices are obviously something which we can't control. And we wouldn't know how it will play out in Q4. To the best of our ability, we'll try and pass on whatever price hikes we can to the end customers in such

a way that the demand is not impacted.

Pulkit Patni: Okay. Secondly, on your ad spend, which is considerably higher and almost 3x of what your quarterly ad spends are, is this the new run rate? Is there some new thought process in terms of gaining market share? How should we look at this from an out-year perspective?

Shashank Yagnick: See, you need to appreciate that this is the time of the year when festive activity is higher, particularly in second half of the year. During this period, we make a conscious call to step up our investments in brand building, including associations with a few celebrities. So this is a strategic call.

Chirayu Upadhyaya: Pulkit, as far as run rate is concerned, see, we've given a guidance that we want to spend around 3% to 5% of B2C top-line every year on A&P. Even with this increased spend of this quarter, we are hardly at around 1.5%, currently. So, every year going ahead, we can definitely see an improvement or increase in our investments towards A&P.

But it will be difficult to say that this will be every year or every quarter run rate because first half of this year, we didn't spend materially on A&P. This quarter, we did spend. Q4 is again a quarter where you start doing more A&P because you are in pre-summer season and you want

to do more spends for your fans sales.

So, there are those quarterly variations which happen. Second half of the year is always heavier as far as investments on A&P is concerned. But on a yearly level, going ahead, as we've been guiding, we want to take A&P spends up to 3% to 5% of B2C top-line, and that is something that we'll plan to do gradually.

Moderator: The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance Company Limited. Please go ahead.

Keyur Pandya: First question is on the profitability side. Just want to understand, so Q-on-Q, generally Q4 is bigger than Q3, saying that backdrop, should sequentially margin be better than Q3 since we will have better operating leverage?

Shashank Yagnick: Yes. I mean it should definitely get better.

Chirayu Upadhyaya: In Q4, as far as the gross margin level is concerned, as I initially mentioned, to the best of our ability, we will try and pass on the price hikes, whatever are required to be done to the end customers. We are not sure whether copper prices will continue to move up or go down.

Whatever it might be the mix we will try and pass on whatever it is to the end customer as much as possible.

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Keyur Pandya: Understood. And just one more follow-up on the profitability side. So generally, we have maintained profitability margin in a particular range of 12% to 14% for cables and wires. And just to reaffirm, our profitability is linked to percentage margins, right, and not some specific rupees per tonnage, something like that. So, copper inflation in general helps in maintaining those percentage margins.

Shashank Yagnick: Yes, your understanding is correct. And if I had to add to that, to refer to our Project Spring guidance, we've given a long-term guidance of 11% to 13%. But in the near term, yes, what you mentioned is correct.

Keyur Pandya: Understood. But basically, it is a percentage margin that is internalized. And not rupees per ton kind of metrics.

Shashank Yagnick: Yes. It's not rupees per ton. It's percentage annualized.

Moderator: The next question is from the line of Ashish Jain from Macquarie India.

Ashish Jain: Sir, my first question is on, again, cable and wire margins. So, one is the one-off employee cost. Is it booked in any specific segment or where is it in the segmental results?

Shashank Yagnick: No, it's not in a specific segment. It's across.

Ashish Jain: Okay. And this is one-off, right? This is not recurring from next quarter onwards because this is a onetime for retirements or -- and

secondly, like in the presentation, we have listed 300 bps impact on margins due to unfavourable product mix and all. So that is largely higher institutional sales or -- because exports was anyways not doing that well for us. So, is it largely the higher institutional sales or there's something else also within that to drive such a margin here?

Shashank Yagnick: We've already explained this, but I'll briefly summarize. There are three to four key factors at play. First, due to copper price inflation, we've delayed or staggered our pass-through of rising prices to our customers. Second, there has been an unfavourable business mix change wherein institutional business has grown faster than channel business in this quarter. Third, our contribution from export has also marginally declined. So, all three factors coming together has resulted in some bit of drop in margins.

Chirayu Upadhyaya: Ashish, if you recall, in last year Q3, the contribution of exports to the Company's top line was at about 8.3%, whereas in this quarter, it is at about 6%. So that contribution has gone down. While obviously, you are correct in mentioning that exports for us has been relatively soft, but even within quarter-on-quarter comparison, the contribution has gone down. So that was one point. The other 2 points were as Shashank mentioned.

Moderator: The next question is from the line of Umang Mehta from Kotak Securities.

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Umang Mehta: I have two questions which are linked to each other. First one was in terms of cables, this acceleration from, say, 20% plus volumes to 40% now, which segments, I mean, from the data that you see, which segments have seen the most kind of uptick versus last quarter?

And the second one was given that 80% of your sales are through distributors, it would mean that even a large portion of your cable sales are through distributors. Wouldn't they logically tend to upstock cables also when they see aluminium and copper kind of go up just like wires stocking happens? Those were the two questions.

Chirayu Upadhyaya: So Umang, as far as cable sales to distributors are concerned, distributors are kind of servicing institutional demand, right? So, depending on when the project requires a specific cable shipment, that is to the extent that the distributor would stock up on that product. Compared to wires, cables are significantly bulkier, so to store them over a certain extent, even the distributors wouldn't be able to do so. Plus, cables, even in terms of average pricing, cables are very expensive compared to wires. All those distributors would have a limit to the extent that capital is available to them. And if they lock it up in something which is cables and which might not have a demand from an institutional project right away, then they might lose out on investing in products like wires or even in FMEG where there might have better demand.

So generally, even though cables are through distributors, we don't see distributors stocking up cables. To a small extent, it might be possible, but largely, this is a wires phenomenon, not cables phenomenon. Sorry, your first question was on cables. I couldn't get that. Can you repeat please?

Umang Mehta: Yes. The question was that this acceleration from 20 plus to 30, which segments have seen the highest uptick versus last quarter?

Chirayu Upadhyaya: So, you are aware that since we are not directly supplying to the end customers, we don't have a full visibility on which sectors are generating what kind of demand. We get to know to the extent that our distributors will give us visibility to or to the extent that we generate that demand from the end customers for our distributors.

So, it will be very difficult for me to guide you that in specific this quarter, what will be the segment which will be driving what percentage of demand for the cables. But maybe

on a yearly

basis after the Q4 call, during the Q4 call, we will be able to give you much clearer or maybe a bit better guidance on the sectors that are generating what kind of demand.

Moderator: The next question is from the line of Achal Lohade from Nuvama Wealth Management Limited.

Achal Lohade: Two questions. First, on the growth. If I understand right, essentially, the copper aluminium price will be up 40%, 50% on a Y-o-Y basis. If we assume the same price continues for next 2, 3 quarters, right? So do you see any impact on the demand given the budgets will take a hit in that case or the customer will have to rework on in terms of their requirements? Is there any case for such risk?

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Shashank Yagnick: So, I think as mentioned earlier, we have zero control over commodity prices and therefore it is difficult to comment. There continues to be some uncertainty around price movement, which is beyond one's control. However, from a demand perspective, visibility in the coming quarter and the quarter thereafter remains strong, and we continue to see healthy momentum. So, we don't see any difficulty with respect to demand. Does that answer your question?

Achal Lohade: Yes. So essentially, you're saying you're not seeing any impact of such a steep increase in the commodity price on the demand as such for next 2 quarters?

Shashank Yagnick: Yes, absolutely not.

Achal Lohade: Got it. The second question I had was with respect to the margins. So, if I see the inventory is what we carry, we do carry substantial inventories like even for the current quarter closing, we are talking about close to ₹ 6,000 crores worth of inventory, right, raw material plus finished goods. So, in a rising price scenario, wouldn't that benefit actually initially before it's really, I mean, if you could explain to the inventory cycle as to how it plays out, how much typically we hold, how much and how it gets sold out eventually?

Chirayu Upadhyaya: So Achal, you are aware that for us, we hedge our inventory. So, our pricing is not at the time of procurement, but it is done at a future time once we have an order for that inventory. So, while we obviously have been carrying higher inventory levels, inventories are not priced, they will get priced in the future. And that is something which is there for stability of our margins, which we've been following for over a decade now. So, we don't see scenarios of inventory gains or inventory losses just because we price it at a future date. The higher inventory that we are maintaining is because of the reason, as Shashank mentioned, that we are anticipating good demand for Q4, similar to what we had done at the end of Q2 and which played out quite well for us in Q3, that we were able to service a lot of end customer's demand because we had higher inventory. And obviously, we have a lot of capacity.

Moderator: The next question is from the line of Vidit Trivedi: from Asian Market Securities.

Vidit Trivedi: Congratulations on a great set of numbers. Most of the questions have been answered. I just wanted to know what's the margin profile when it comes to the institutional sales, the retail sales and the exports?

Chirayu Upadhyaya: So, margins in exports are definitely much higher as compared to domestic margins. When we export cables, obviously, it again depends a lot on the geography that we are exporting. But generally, historically, we've been making at least around 15% of EBITDA margins in our exports. If you look at the domestic sales for us, cables versus wires, in cables, generally, we

make anywhere between 9% to 12% of EBITDA margins. Whereas in case of wires, it is between 15% to 16%. Obviously, there are variations on a quarterly basis depending on the commodity prices, demand, et cetera. But generally, this is the range of margin profile across the different businesses.

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Vidit Trivedi: Got it, sir. Just one last clarification. As you have mentioned that the price hike during the quarter is almost 70% to 80% of whatever the commodity has reacted. Is it fair to assume that it is minimum in the range of 10% to 15% overall price hike?

Chirayu Upadhyaya: You can obviously compute the commodity inflation, which was there in the past quarter, along with the rupee depreciation, just give a multiple of 75% to 80% to that. More or less you'll get the amount of pass-through.

Moderator: The next question is from the line of Aniruddha Joshi from ICICI Securities.

Aniruddha Joshi: So, in terms of FMEG, two questions. Can you articulate more on the business of fans, how it has shaped up again, that business is also facing some of the regulatory headwinds. And again, commodity prices have also gone up. So how is the performance in case of fans. Secondly, if you can share more details on the solar business. I guess you initially mentioned that it has grown 100% Y-o-Y. But at least what is the current revenue run rate, EBIT margin in that business, et cetera?

Chirayu Upadhyaya: Sure. So, on the fans business, as we've been discussing during the quarter as well, initially during the beginning of the quarter, the uptake was pretty low because as you are aware, the summer season this time around was softer, and there was a lot of channel inventory, which was there during the year.

And those inventories were getting liquidated during the beginning of the quarter, in October and November, and hence, the offtake was pretty slow. In December, it took off in a small way because there was BEE transition, which was to be implemented from 1st of January onwards. And hence, there was a bit of good uptake in December.

And on an overall quarterly basis, the fans industry would have been largely flattish or a small degrowth and our performance was also pretty much in line with the industry. As far as the Q4 or Q1 FY27 expectations are concerned, it will depend a lot on how the coming summer season is expected to be. Definitely, because the new BEE norms are getting implemented from 1st of January, there will be a bit of price hike that everybody will be taking. I believe the price hikes would be in the range of 2% to 4% and which will be taken during the course of first 1-1.5 months of this calendar year itself. But to a larger extent, the uptake and performance of next quarter and the quarter to come will depend on how the next summer season is.

As far as your question on solar is concerned, solar, as was mentioned in the opening comments, had a very good quarter, another very good quarter after having 1-1.5 years of very good offtake momentum. We expect even Q4 to be very strong. You would have seen that we had actually launched a newer range of 350-watt solar inverters last quarter, and that did very well for us. The outlook is very positive from our side. We believe solar, which is already the largest contributor for us on the FMEG segment, will continue to grow even faster in the coming couple

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of years as well, since all the government schemes are already getting implemented and are in motion. Hence, from our side the outlook is very positive.

As I had mentioned in the previous quarter's call, the margin profile of solar is currently in high single digit, and we are maintaining that. To a certain extent since solar has now become the largest category for us in FMEG, that is one of the reasons why for FMEG has become profitable. And that is what we had mentioned in our earnings presentation as well. But the business mix or the product mix change, which has gone through, wherein solar has become the largest category, switches and switchgears have been doing quite well since last 3 to 4 years, Conduit pipes and fittings is doing

much better, all of that has contributed to FMEG now becoming continuously profitable for us. And every year going ahead now, we believe that FMEG will continue to improve its profitability towards the guided range of 8% to 10% by FY30.

Aniruddha Joshi: This is very helpful. Just second question. You have mentioned in the PPT that we have grown 59% in domestic C&W, and we would have gained market share. So roughly, what will be the market growth, means upwards of 50%, upwards of 40% where you look at the market growth

per se?

Chirayu Upadhyaya: Aniruddha, getting exact market growth for this quarter will be very difficult at this point of time because we'll have to wait out for other larger listed companies to come out with their results for the quarter over the course of next 2 to 3 weeks. But I would definitely believe that growth would have been higher in this quarter compared to what it was in the first half. To the best of our estimation, in the first half of this year, industry growth was at around 15% to 16%. I believe the industry would have been more closer to 20% at least. And this is the entire industry put together, organized plus unorganized. But specifically, for our market share gains, that we would have realized within this quarter, I think we should probably wait out for another 2 to 3 weeks to get to know the exact numbers of our peers.

Aniruddha Joshi: No, that's surely, and we will wait. But like if 59% is our growth and market growth maybe 20%, that's a massive jump in the market share for us. Is that a fair understanding?

Chirayu Upadhyaya: Yes, so Aniruddha, that's something that I was mentioning. We need to appreciate the fact that in spite of a 300 bps decrease in our margin profile, we were able to deliver 34% profitability growth in this segment. And that is on the back of such high 59% domestic growth. There's obviously a bit of an export growth as well. I think our strategy is working very well.

We have been working on the ground since the inception of Project Spring where we are going into each and every whitespaces that we have, within cable as well as wires, be it product category or geography. We are working very extensively with our distributors and trying to improve their growth as well as our wallet share of their growth. So, all of these initiatives are helping us. You know in the first half as well, we had grown cables and wires at 26% YoY.

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While as I mentioned, we believe the industry growth would have been around 16%, whereas in this quarter, we've grown at around 60%. So definitely, we have gained a lot of market share.

Moderator: We will take that as a last question. I would now like to hand the conference over to Mr. Niyant Maru for closing comments. Thank you, and over to you, sir.

Niyant Maru: Thank you, everyone, for your attendance. Thank you.

Moderator: Thank you very much. On behalf of Polycab India Limited, that concludes this conference. Thank you for joining with us today, and you may now disconnect your lines.

Call: Jan 2026

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Date: January 22, 202 6

To

Department of Corporate Services

BSE Limited

Phiroze Jeejeebhoy Towers,

Dalal Street, Mumbai, MH - 400001 To

Listing Department

National Stock Exchange of India Limited

C-1, G-Block, Bandra -Kurla Complex

Bandra (E), Mumbai, MH - 400051

Scrip Code: 542652 Scrip Symbol: POLYCAB

ISIN: INE455K01017

Dear Sir(s) / Madam(s),

Subject: Submission of Transcript of Earnings Conference Call held on January 16, 202 6.

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of Earnings Conference Call held on January 16, 202 6.

Kindly take the same on your record.

Thanking you

Yours Faithfully

For Polycab India Limited

Manita Carmen A. Gonsalves

Vice President Legal and Company Secretary

Membership No.: A18321

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"Polycab India Limited

Q3 FY26 Earnings Conference Call"

January 16, 2026

MANAGEMENT : MR. NIYANT MARU– CHIEF FINANCIAL OFFICER –
POLYCAB INDIA LIMITED
MR. SHASHANK YAGNICK – HEAD STRATEGY –
POLYCAB INDIA LIMITED
MR. CHIRAYU UPADHYAYA – HEAD OF INVESTOR
RELATIONS – POLYCAB INDIA LIMITED

Polycab India Limited
January 16, 2026

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Moderator: Ladies and gentlemen, good evening, and welcome to the Polycab India Limited Q3 FY26 Earnings Conference Call. As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star, then zero on your touch -tone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Niyant Maru, Chief Financial Officer, Polycab India Limited. Thank you, and over to you, sir.

Niyant Maru: Thank you.

Good afternoon, everyone, and thank you for joining us today. I hope all of you are staying healthy and safe. I am Niyant Maru, CFO, at Polycab India Limited. On today's call, we will be discussing the Q3 FY26 results, which were approved by the Board of Directors earlier today. We will be referring to the earnings presentation, financial results and financial statements, all of which are available on the stock exchanges and on the Investor Relations section of our website.

Joining me today from the management team are Shashank Yagnick, Head Strategy; Chirayu Upadhyaya, Head Investor Relations.

Before we get into quarterly performance, I would like to share a very important update announced at the Board meeting today.

It gives me immense pleasure to inform you that the Board of Directors at its meeting held today has approved the redesignation of Mr. Bharat Jaisinghani and Mr. Nikhil Jaisinghani from Executive Directors to Joint Managing Directors of the company with immediate effect, subject to approval of the shareholders.

Over the years, Bharat and Nikhil have played an integral role in shaping the Company's growth trajectory, strengthening the market leadership and building a strong foundation for a long -term value creation. Their deep understanding of the business, strategic clarity, and hands -on leadership have been key contributors to the Company's success. I'm confident that, in their enhanced roles as Joint Managing Directors, they will continue to provide strong leadership and guidance, and work closely with the Board and the management team to steer the Company towards sustained growth and newer milestones in the years ahead.

With that, let me now take you through an update on the macro environment.

The year 2025 marked a pivotal phase for the global economy defined by shifting trade dynamics and heightened geopolitical and tariff related uncertainties. Elevated U.S. tariffs disrupted the established supply chain and moderated global growth, even as labour market remains resilient and inflationary pressure eased across the major economies.

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Against this backdrop, the global economy is expected to grow at around 3.2% in 2025, reflecting a period of stabilization amid persistent trade tensions. Overall, the global environment in 2025 has been characterized by steady but uneven growth, improving inflation dynamics and cautious monetary easing across regions.

India continues to stand out as a clear outperformer in this global landscape, demonstrating remarkable resilience and adaptability. With Q2 FY26 GDP growth at 8.2%, India continues to be the fastest -growing major economy, underscoring the strength of its internal growth engines. In November 2025, India overtook Japan to emerge as the fourth largest economy globally, reaching a GDP of USD 4.19 trillion.

Domestic consumption has witnessed a notable revival following last year's direct and indirect tax. Credit growth has strengthened meaningfully, with total credit uptake reaching INR11 trillion in November '25 compared to INR9.5 trillion last year. 2 -wheeler sales also increased by 18.1% YoY over the September - November period, while passenger

vehicle sales rose by 7.3% during the same time frame, reflecting improving confidence among consumers and businesses alike.

Encouragingly, this recovery has occurred alongside a continued moderation in inflation. Headline inflation has trended lower, led by easing food prices, while lower global energy prices have provided additional relief. Despite currency depreciation during the fiscal year, the pass-through to inflation has remained limited. Core inflation across both goods and services has stayed relatively benign.

In this favourable macro backdrop, the RBI delivered a 25 basis point policy rate cut, revising its growth forecast upwards to 7.3% for the year and lowering inflation projection to 2%. For the next fiscal year, first half inflation expectation has been revised downwards to 4% compared to 4.5% earlier. The rare combination of strong growth and softer inflation enabled the Monetary Policy Committee to proceed with the rate cut, taking cumulative easing to 125 basis points during the calendar year.

Investment activity has also gathered momentum. Rising capacity utilization, strong investment announcements, and improving credit offtake points to a broad-based recovery in economic activity and increasing job creation.

The real estate sector remains healthy with launches and sales across the top 7 cities closely tracking the previous decade high. The affordable housing segment is also witnessing renewed momentum supported by lower borrowing costs and rising household incomes. At the same time, government capital expenditure has accelerated meaningfully with approximately 59% of the FY26 capex outlay already utilized by November 2025, a 28% YoY increase.

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Overall, we are witnessing signs of recovery in consumption and this improving demand environment is expected to translate into a revival in private capex, complemented by sustained public investment, providing strong confidence in India's growth outlook.

I would now hand over to Shashank to take you through the financial performance for the quarter and the year.

Shashank Yagnick: Thank you, Niyant.

Let me now take you through Slide 4 of the earnings presentation.

For the quarter ended 31st December 2025, we are pleased to report that our Company delivered 46% YoY growth in consolidated revenues, driven by strong execution in the Wires and Cables (W&C) segment and healthy growth in the Fast Moving Electrical Goods (FMEG) business.

EBITDA for the quarter grew by 34% YoY with EBITDA margins at 12.7%. Excluding the one-off impact of ₹219 million on account of gratuity provisioning due to the implementation of the new labour code, the EBITDA margins would have been ~13%.

At the PAT level, the Company delivered its highest ever Q3 PAT at ₹6.3 billion, reflecting 36% YoY growth. PAT margins stood at 8.3% for the quarter.

Finance costs came in at ₹687 million, while other income stood at ₹505 million. A detailed breakdown of these line items is available on Slide 17 of the presentation.

We continue to maintain a strong balance sheet, closing the quarter with a net cash position of ₹30.3 billion. On working capital front, same as last quarter, inventory days continue to be higher as we built up inventory in anticipation of strong demand in Q4 FY26. And correspondingly, given the use of letters of credit for raw material procurement, payable days were also higher, resulting in the working capital cycle to be at 27 days at the end of Q3 FY26. We expect this to normalize to our long-term steady range of 50 to 55 days in the coming quarters.

Capital expenditure for the quarter was ₹3.4 billion, taking the 9M FY26 total to ₹10.9 billion, in-line with our Project Spring guidance of investing ₹12 billion to ₹16 billion annually through FY30.

On a 9-month basis, I'm proud to share that 9M FY26 revenues, EBITDA and PAT are

the

highest ever in the company's history for any 9-month period. Revenues grew 30% YoY, crossing ₹200 billion milestone. EBITDA grew 47% YoY, with margins strong at 14.2%. PAT grew 47% YoY, with PAT margins of 9.6%.

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We now move to Slide 6.

The W&C business delivered very strong performance, recording 53% YoY revenue growth during the quarter. This growth was led by domestic W&C business, which posted an exceptional 59% YoY growth, supported by robust demand conditions and sustained commodity price inflation. In volume, the domestic W&C business recorded nearly 40% growth, reflecting healthy underlying demand.

This strong performance underscores a further strengthening of our market position with continued market share gains in the domestic market during the quarter. Execution excellence under Project Spring remains a key enabler driving superior market execution, improved relationships with our channel partners and consistent outperformance.

During the quarter, wires growth outperformed cables, driven by pre-stocking by channel partners amid elevated copper prices. Within the cable segment, institutional sales growth outpaced the channel sales, reflecting strong traction in project-led demand.

Looking at the broader environment, demand remains robust across key sectors. Government capex surged nearly 28.2% YoY in the first 8 months of FY26 reaching ₹ 6.6 trillion versus ₹ 5.1 trillion last year, also 12.4% higher than in the 8-month period in FY24. Additionally, the government of India released a loan of ₹ 1.25 trillion to states for capital expenditure during the same period.

The private capex cycle in India is showing signs of recovery aided by the monetary policy support and the stimulative impact of CST rate cuts on consumption, laying the foundation for sustained investment growth. The real estate market remains strong, following last year's record sales and launches, a trend that should continue to support wires demand in the coming years. Our international business maintained its steady momentum, recording a 5% YoY growth during the quarter, despite a high base and contributing 6% to the consolidated revenues. Backed by a healthy order book, we remain confident that this growth trajectory will continue in the coming quarters.

Segment profitability was impacted during the quarter due to multiple factors, primarily on account of continued commodity price inflation and depreciation of the Indian rupee. Between September 2025 and December 2025, copper and aluminium prices, in rupee terms, increased sequentially by approximately 21% and 11%, respectively, which represents an unusually sharp escalation over a short period of time.

In order to avoid demand disruption, arising from elevated input costs, the Company took a strategic decision to pass on the increase in raw material prices in a staggered manner. While this approach resulted in near-term margin pressure at the Company level, it enables us to protect volumes, gain market share and further strengthen relationships with our channel partners.

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Moving on to Slide 8 for an update on the FMEG business.

The FMEG segment sustained its impressive growth momentum, delivering a 17% YoY increase in Q3 FY26, and consistently outperforming the industry in-line with our Project Spring growth aspirations.

Within the segment, the solar business has been a standout performer, growing more than 2x compared to the same quarter last year, driven by strong uptake under the central and state rooftop solar incentive scheme. With favourable support and strong demand visibility, we expect this momentum to continue in the coming quarters. Other product categories delivered steady, in line performance, reinforcing the segment's balanced and resilient portfolio.

Import

antly, the FMEG segment remained profitable for the fourth consecutive quarter, even while strategically ramping up our A&P investments to strengthen brand presence and drive long-term growth. As we continue to scale, we expect profitability to expand further, reflecting the leverage in our business model.

Looking ahead, we are confident in the long-term potential of the FMEG segment and remain on track to achieve our Project Spring targets of 1.5x - 2x industry growth and EBITDA margins in the range of 8% to 10% by FY30, positioning the business for sustained growth and value creation.

Moving on to Slide 10, which provides an update on our EPC business.

During Q3 FY26, EPC revenues grew by 4% YoY, reaching ₹ 4,069 million. This quarter, we commenced execution of our existing orders under BharatNet scheme, which is expected to generate ₹ 4.5 billion over the next 3 years for project execution and an additional ₹ 3.5 billion for 10 years for project O&M.

Segment profitability stood at ₹ 272 million, translating to a margin of 6.7%. Looking ahead, the annual sustainable operating margin is expected to remain in the high single digits over mid- to long term.

That was the update for the quarter. Thank you, and we are now open for questions.

Moderator: Thank you very much. The first question is from the line of Sonali Salgaonkar from Jefferies. Please go ahead.

Sonali Salgaonkar: Congratulations on a strong revenue growth. I have 3 questions. First, a strong revenue growth in the C&W segment, would it be able to quantify what is a volume growth for this quarter YoY?

Shashank Yagnick: For both domestic cables and wires, our volume growth is about 40%.

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Sonali Salgaonkar: Right. And any more detail you would like to share as to which end-user industries contributed higher, because 40% is very significantly higher?

Shashank Yagnick: We have witnessed sustained momentum in both government and private capex. The real estate sector, particularly in the top 7 cities, has seen healthy level of launches and sales, closely tracking with previous decadal highs. We are also seeing a recovery in affordable housing segment. Additionally, due to the commodity price inflation, there has been some channel stocking happening for wires, which has also contributed to the higher surge in top-line.

Sonali Salgaonkar: Sir, my second question is on the EBITDA margin. We understand the reasons that you have outlined in your presentation as to why the QoQ drop was there in the EBITDA margins. So, two-three follow-up questions: firstly, such high volume growth would intensively result in good operating leverage, right? So that is one. Secondly, I think you did take a price hike of about 6% YoY. So, could you help us understand what exactly led to this fall of EBITDA margin both YoY and Q-o-Q?

Shashank Yagnick: There are multiple factors at play. The primary reason has been the sharp rise in commodity prices. From January 2025 till January 2026, the copper, in rupee terms, has risen almost 50% and aluminium almost 25%. And in this quarter itself, the 22% inflation has happened in copper price compared to previous quarter.

We had taken a conscious call to pass it on in a staggered manner. While we have been revising prices, the full impact of the input cost increase has not yet been passed on. As a result, there is typically a time lag in recovering the higher input costs, which has impacted margins in the near term.

Chirayu Upadhyaya: So, Sonali, as Shashank mentioned, when the copper prices rises so high, you have to take a conscious call of how you want to pass on. Because if you look at this specific financial year, from April till December, the copper prices have risen by 35%, and this is including the rupee depreciation. And similarly, if you look at aluminium, aluminium has risen by 27%.

Out of

the 35% of copper rise, 21% which happened within this quarter itself, and 11% of that has happened in December itself, right? So, we have consistently passed on that cost price inflation to the end customers month-on-month, but we have taken a conscious call that such high 35% passing of inflation can't be done every month and hence, we will do it in a bit of a staggered manner. So, we've been doing it. We've taken a bit of a price hike at the end of the quarter, we have again taken a bit of a price hike towards the beginning of this quarter as well. But still, we haven't passed on the complete price hike or the commodity pricing inflation. Hence, if you look at the financial statements, you realize that most of the decline in the EBITDA margins have been at the gross margin level.

You are correct in mentioning that such high top-line growth will result into operating leverage, which is very much visible, if you look at everything below the gross margins. So, we have

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realized a lot of improvement as far as our operating leverage and everything is concerned. But yes, this is a conscious call what we have taken.

What you also need to appreciate is what we were able to achieve through this staggered passing - see, if you look at our performance in this year, our W&C segment has grown 35% YoY and that too on a base where we are operating at 2x of the second largest player. The staggered passing on of copper prices to our end customers have also resulted in the improvement of loyalty of those customers with us because they don't have to take the brunt of reduced demand, neither of lower margin.

We'll definitely be passing on whatever commodity inflation will be coming off, gradually, but this is something that we have taken a strategic call. Since you've been following this sector for many years, you will recall that even in FY22, similar commodity price inflations were there, where copper had gone up by 40%, whereas aluminium has gone up by almost 25% -27%.

Even at that point of time, Polycab's margins had taken a hit for a quarter or two, but then we had gradually recovered back those margins. So, we believe that something similar should play

out. There can be margin impact for a quarter or two. But if you take a more longer -term view, we should be able to recover some of our margins back.

Sonali Salgaonkar: May I just ask what is the quantum of price hikes that we have taken at the start of this quarter - you mentioned before?

Chirayu Upadhyaya: The total price hikes that we would have taken within this quarter will be almost 75% to 80% of whatever commodity inflation was there.

Sonali Salgaonkar: Understand. Got it. And just one last question on the exports. While there has not been a de - growth, but how do you foresee the exports to shape up in the coming quarters? That's it from my side. Thank you.

Shashank Yagnick: So Sonali, on exports, the majority of the revenue that we have accrued during this quarter has come from geographies other than U.S. As and when orders from U.S. comes in, they will further add to the revenues. We have, in fact, seen strong performance in regions such as Middle East, Latin America. Overall, all geographies are contributing meaningfully, and we have a healthy order book, which is expected to translate into revenues for the segment in the coming quarters.

Sonali Salgaonkar: Any reason why the U.S. is weak this quarter? Is it tariff related?

Shashank Yagnick: Yes, it is tariff related. This remains a global overhang and is impacting players worldwide, not just in India. We are currently awaiting a final resolution on this matter.

Moderator: The next question is from the line of Akshay Gattani from UBS.

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Akshay Gattani: Congrats on the strong set of numbers. So, you highlighted 40% domestic volume

growth. In

your sense, what would have been industry growth and where is your market share trending now? Any qualitative colour will also be helpful.

Shashank Yagnick: It's very difficult to provide market share perspective at this stage, given that we are the first one in the industry to announce our results and others are yet to report. Once the remaining larger players publish their numbers, we will have a better visibility in terms of exact market share gains. In terms of performance, we've seen very strong volume growth as well as value growth. However, it would be premature to currently comment on the market share until the other companies come out with their results.

Akshay Gattani: Got it. And second question, sir, like you highlighted, strategically, you have not passed through all commodity inflation to protect the demand. Do you think if the way copper and aluminium are moving up, if this continues, there could be some demand curtailment, some temporary demand postponement?

Shashank Yagnick: It's very difficult to comment on the commodity prices. However, from demand perspective, we are very confident that the growth momentum will continue. We are seeing healthy traction across government and private capex as well as the real estate sector, with significant investments flowing into power utilities and infrastructure. From that perspective, we do not see demand as challenge for us.

Moderator: The next question is from the line of Puneet Gulati from HSBC.

Puneet Gulati: Can you also give some sense of breakup between what is the difference in the performance within Wires and Cables separately?

Shashank Yagnick: Typically, our mix of cable and wires is in the ratio of 70 -30. However, in this particular quarter, we've seen wires growth outpace cables growth, leading to a marginal increase in wires share by a few percentage points. Additionally, in the value terms, the growth in wires would be higher, largely due to significant increase in copper prices.

Puneet Gulati: Understood. And in terms of price hike, can you also divide between how much price hike you took in the previous quarter? What did you do in the current quarter starting January? And how much do you still need to take to make up for the commodity inflation ?

Chirayu Upadhyaya: So, Puneet, as I mentioned to Sonali, we've passed on almost 75% to 80% of the commodity inflation, which was there during the quarter already within the quarter. The remaining will happen during this quarter.

Puneet Gulati: The January hike, which you said that you've already taken or yet to take?

Chirayu Upadhyaya: We've taken partially and we will further pass on further increase in prices gradually.

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Puneet Gulati: That's helpful. And secondly, if you can also give some colour on what you see on your distributor side. How much of this demand would be just restocking and how much would be in consumer driven?

Chirayu Upadhyaya: So, Puneet, see, as Shashank had mentioned, we largely see restocking happening mostly on

wires rather than cables. Generally, when our distributors stock inventory, they maintain roughly 30 days worth of inventory. At the end of the previous quarter or beginning of this quarter, the channel inventory was in the range of around 40 to 45 days. So around 10, 15 days of additional inventory was there.

But of course, the demand is pretty strong. Even till date in this quarter, we are seeing very good sales happening, and there is definitely very good secondary and tertiary sales which are also happening. So, the demand hence is very strong.

If you recall in the last 3 to 4 quarters, every quarter, we've seen similar pre-stocking happening because commodity prices have been continuously going up. Even then every successive quarter, we see improvement in terms of growth rate. So that means the fundamental demand itself is

so

strong.

So, I don't think there's any reason to worry. Anyways we are coming into Q4 where executions are at its peak and everybody would want to achieve the yearly targets, be it government or be it private side. So Q4 should be another good quarter for us, and we are quite optimistic on that.

Puneet Gulati: Excellent. Just lastly, if you can also give some sense of how does your capacity utilization stack up currently?

Shashank Yagnick: So, our capacity utilization in the quarter was in the early 80% range.

Moderator: The next question is from the line of Praveen Sahay from PL Capital.

Praveen Sahay: My first question is related to the institutional sales, as you had highlighted, this time the institutional sales has outperformed the distributor sales. So, can you quantify in that in terms of percentage?

Chirayu Upadhyaya: Praveen, generally, our mix of distribution versus institutional sales is around 90:10. But this time around institutional sales had grown faster than distribution sales, hence, it would have improved by about a couple of hundred basis points.

Praveen Sahay: Okay. And also, as you highlighted about this institutional sales, there is the capex led private or government and the real estate, both has done well. So also, if you can give some more colour on that how is the real estate contribution for the wire, which has also outperformed?

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Shashank Yagnick: I think if I got your question correctly, you're asking about the real estate market. So see, we've studied some data where at least in top 8 cities, both the number of launches and volume of sales has been quite robust in 2024, and the same momentum is continuing in 2025. We expect the same growth momentum to continue in the coming quarters as well, so the demand does not appear to be a concern.

Chirayu Upadhyaya: To add to Shashank's point, we have been talking since a couple of quarters now that while we have seen majority of the positive demand on the premium side, recent data also suggests that there is a pickup happening even on the affordable side. So that is something where we have been targeting to improve our market share since last 2 to 3 years. You are aware that we had introduced the Etira brand, which was to compete with the unorganized players in Tier 3 to 5 cities. And we have seen very good growth happening in Tier 3 to 5 cities through our launches. Over and above that as well, even in Tier 1, Tier 2 cities, our focus has been more on Class 2 wires, wherein we are definitely seeing a lot of market share gains for us. So, both of them are working, even the industry growth is picking up pace, and we are also seeing a lot of market share gains because of initiatives that we are taking with these projects.

Praveen Sahay: So just lastly, if you can give us some colour on the volume growth for the W&C out of 40% of volume growth in overall, how much is wire, how is cable?

Chirayu Upadhyaya: So, Praveen, let me give a very clear distinction between top-line growth as well as volume growth. For us in the domestic business, the volume growth has been around 40%. Both cables and wires have grown at pretty much similar pace in terms of volume. In case of revenue, as Shashank had mentioned, since wires are copper-based and copper has seen more inflation, for us, wires growth at a revenue level was 70%, whereas for cables, the growth was around 50%.

Moderator: The next question is from the line of Ravi Swaminathan from Avendus Spark.

Ravi Swaminathan: Congrats on a good set of numbers. I have only one question. This is regarding the cable segment. If you can call out the top 3 or 4, 5 sectors which are driving the sales growth. I think power T&D would be one of the sizable sectors, which would be driving the growth. What would be the approximate contribution of that? And yes, so all these segment

s, how they are

growing, which is growing faster, which is growing relatively slower, if you can give a broad context.

Shashank Yagnick: See, major consumption, if you go to product category level in cables, happens in power cables, control cables, which largely goes to power infrastructure and utility infrastructure. That's the

primary demand sector. And followed by that, there is strong growth that we are seeing in industry segment also. And if you look at key verticals, manufacturing, utility, government, all of them have picked up a good amount of demand.

Ravi Swaminathan: And the contribution of Power T&D in the overall cable demand, how much will it be? Any sense on that?

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Shashank Yagnick: Almost 30% for us.

Ravi Swaminathan: 30% Okay. And the second largest segment would be up after that?

Chirayu Upadhyaya: So, Ravi, your normal power cables, which are the LV/MV, they go across different sectors, be it power, utilities or your normal institutional infra everywhere your power cables are used. So, they will be the maximum in terms of the salience within the industry. At an industry level, around 40% to 45% of the cables sold will be low voltage and medium voltage cables.

Then that will be followed by control cables and what we call flexible cables. Now both of these are used in a separate set of industries. Flexible cables are something which we use in our day-to-day life, for example, cables, which are for your laptop for the TV, AC refrigerators. Those are called flexibles. They are which are the third largest.

Then you have control cables where you need to have a signal pass on where you can control the outcome kind of cables. So, these are used across different sectors. Control cables at an industry level, the salience will be somewhere around 15% to 20%, whereas flexible cables, the salience will be between 10% to 15%.

Moderator: The next question is from the line of Pulkit Patni from Goldman Sachs.

Pulkit Patni: Just a couple. Firstly, you mentioned that copper price increase has been unprecedented and which is why you took the active call of passing it on in a deferred way. Is it also true that customer in that case would have had significant sort of restocking which means probably what typically plays out for a few days could have played out for maybe a couple of fortnight, i.e., in case copper prices don't move much, our Q4 numbers may be slightly negatively impacted because of this massive destock ing? Is that a fair assumption?

Shashank Yagnick: So, as Chirayu mentioned earlier, the restocking has been largely in case of wires. Typically, cables, do not see any significant stocking, and we continue to see an uptick in the real estate segment as well. Historically, similar event has also occurred in FY22, where we saw that after one or two quarters, subsequent quarters continued to show growth momentum. So, we don't believe that there's going to be anything different this time.

Pulkit Patni: Okay. So, it's not that there's unusual stocking that has happened despite copper price increase. That's how I should read that answer.

Chirayu Upadhyaya: Yes, Pulkit. As I mentioned, there is a bit of an elevated inventory as far as wires is concerned. But since the demand itself is pretty strong, we are quite confident that there won't be any slowdown in terms of momentum in Q4. Even in case of cables, as I mentioned, Q4 is generally the peak when you see the demand for cables and from across different industries.

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And hence, we are quite sure of absorption through whatever new demand is coming in. Commodity prices are obviously something which we can't control. And we wouldn't know how it will play out in Q4. To the best of our ability, we'll try and pass on whatever price hikes we can to the end customers in such

a way that the demand is not impacted.

Pulkit Patni: Okay. Secondly, on your ad spend, which is considerably higher and almost 3x of what your quarterly ad spends are, is this the new run rate? Is there some new thought process in terms of gaining market share? How should we look at this from an out-year perspective?

Shashank Yagnick: See, you need to appreciate that this is the time of the year when festive activity is higher, particularly in second half of the year. During this period, we make a conscious call to step up our investments in brand building, including associations with a few celebrities. So this is a strategic call.

Chirayu Upadhyaya: Pulkit, as far as run rate is concerned, see, we've given a guidance that we want to spend around 3% to 5% of B2C top-line every year on A&P. Even with this increased spend of this quarter, we are hardly at around 1.5%, currently. So, every year going ahead, we can definitely see an improvement or increase in our investments towards A&P.

But it will be difficult to say that this will be every year or every quarter run rate because first half of this year, we didn't spend materially on A&P. This quarter, we did spend. Q4 is again a quarter where you start doing more A&P because you are in pre-summer season and you want

to do more spends for your fans sales.

So, there are those quarterly variations which happen. Second half of the year is always heavier as far as investments on A&P is concerned. But on a yearly level, going ahead, as we've been guiding, we want to take A&P spends up to 3% to 5% of B2C top-line, and that is something that we'll plan to do gradually.

Moderator: The next question is from the line of Keyur Pandya from ICICI Prudential Life Insurance Company Limited. Please go ahead.

Keyur Pandya: First question is on the profitability side. Just want to understand, so Q-on-Q, generally Q4 is bigger than Q3, saying that backdrop, should sequentially margin be better than Q3 since we will have better operating leverage?

Shashank Yagnick: Yes. I mean it should definitely get better.

Chirayu Upadhyaya: In Q4, as far as the gross margin level is concerned, as I initially mentioned, to the best of our ability, we will try and pass on the price hikes, whatever are required to be done to the end customers. We are not sure whether copper prices will continue to move up or go down.

Whatever it might be the mix we will try and pass on whatever it is to the end customer as much as possible.

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Keyur Pandya: Understood. And just one more follow-up on the profitability side. So generally, we have maintained profitability margin in a particular range of 12% to 14% for cables and wires. And just to reaffirm, our profitability is linked to percentage margins, right, and not some specific rupees per tonnage, something like that. So, copper inflation in general helps in maintaining those percentage margins.

Shashank Yagnick: Yes, your understanding is correct. And if I had to add to that, to refer to our Project Spring guidance, we've given a long-term guidance of 11% to 13%. But in the near term, yes, what you mentioned is correct.

Keyur Pandya: Understood. But basically, it is a percentage margin that is internalized. And not rupees per ton kind of metrics.

Shashank Yagnick: Yes. It's not rupees per ton. It's percentage annualized.

Moderator: The next question is from the line of Ashish Jain from Macquarie India.

Ashish Jain: Sir, my first question is on, again, cable and wire margins. So, one is the one-off employee cost. Is it booked in any specific segment or where is it in the segmental results?

Shashank Yagnick: No, it's not in a specific segment. It's across.

Ashish Jain: Okay. And this is one-off, right? This is not recurring from next quarter onwards because this is a onetime for retirements or -- and

secondly, like in the presentation, we have listed 300 bps impact on margins due to unfavourable product mix and all. So that is largely higher institutional sales or -- because exports was anyways not doing that well for us. So, is it largely the higher institutional sales or there's something else also within that to drive such a margin here?

Shashank Yagnick: We've already explained this, but I'll briefly summarize. There are three to four key factors at play. First, due to copper price inflation, we've delayed or staggered our pass-through of rising prices to our customers. Second, there has been an unfavourable business mix change wherein institutional business has grown faster than channel business in this quarter. Third, our contribution from export has also marginally declined. So, all three factors coming together has resulted in some bit of drop in margins.

Chirayu Upadhyaya: Ashish, if you recall, in last year Q3, the contribution of exports to the Company's top line was at about 8.3%, whereas in this quarter, it is at about 6%. So that contribution has gone down. While obviously, you are correct in mentioning that exports for us has been relatively soft, but even within quarter-on-quarter comparison, the contribution has gone down. So that was one point. The other 2 points were as Shashank mentioned.

Moderator: The next question is from the line of Umang Mehta from Kotak Securities.

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Umang Mehta: I have two questions which are linked to each other. First one was in terms of cables, this acceleration from, say, 20% plus volumes to 40% now, which segments, I mean, from the data that you see, which segments have seen the most kind of uptick versus last quarter?

And the second one was given that 80% of your sales are through distributors, it would mean that even a large portion of your cable sales are through distributors. Wouldn't they logically tend to upstock cables also when they see aluminium and copper kind of go up just like wires stocking happens? Those were the two questions.

Chirayu Upadhyaya: So Umang, as far as cable sales to distributors are concerned, distributors are kind of servicing institutional demand, right? So, depending on when the project requires a specific cable shipment, that is to the extent that the distributor would stock up on that product. Compared to wires, cables are significantly bulkier, so to store them over a certain extent, even the distributors wouldn't be able to do so. Plus, cables, even in terms of average pricing, cables are very expensive compared to wires. All those distributors would have a limit to the extent that capital is available to them. And if they lock it up in something which is cables and which might not have a demand from an institutional project right away, then they might lose out on investing in products like wires or even in FMEG where there might have better demand.

So generally, even though cables are through distributors, we don't see distributors stocking up cables. To a small extent, it might be possible, but largely, this is a wires phenomenon, not cables phenomenon. Sorry, your first question was on cables. I couldn't get that. Can you repeat please?

Umang Mehta: Yes. The question was that this acceleration from 20 plus to 30, which segments have seen the highest uptick versus last quarter?

Chirayu Upadhyaya: So, you are aware that since we are not directly supplying to the end customers, we don't have a full visibility on which sectors are generating what kind of demand. We get to know to the extent that our distributors will give us visibility to or to the extent that we generate that demand from the end customers for our distributors.

So, it will be very difficult for me to guide you that in specific this quarter, what will be the segment which will be driving what percentage of demand for the cables. But maybe

on a yearly

basis after the Q4 call, during the Q4 call, we will be able to give you much clearer or maybe a bit better guidance on the sectors that are generating what kind of demand.

Moderator: The next question is from the line of Achal Lohade from Nuvama Wealth Management Limited.

Achal Lohade: Two questions. First, on the growth. If I understand right, essentially, the copper aluminium price will be up 40%, 50% on a Y-o-Y basis. If we assume the same price continues for next 2, 3 quarters, right? So do you see any impact on the demand given the budgets will take a hit in that case or the customer will have to rework on in terms of their requirements? Is there any case for such risk?

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Shashank Yagnick: So, I think as mentioned earlier, we have zero control over commodity prices and therefore it is difficult to comment. There continues to be some uncertainty around price movement, which is beyond one's control. However, from a demand perspective, visibility in the coming quarter and the quarter thereafter remains strong, and we continue to see healthy momentum. So, we don't see any difficulty with respect to demand. Does that answer your question?

Achal Lohade: Yes. So essentially, you're saying you're not seeing any impact of such a steep increase in the commodity price on the demand as such for next 2 quarters?

Shashank Yagnick: Yes, absolutely not.

Achal Lohade: Got it. The second question I had was with respect to the margins. So, if I see the inventory is what we carry, we do carry substantial inventories like even for the current quarter closing, we are talking about close to ₹ 6,000 crores worth of inventory, right, raw material plus finished goods. So, in a rising price scenario, wouldn't that benefit actually initially before it's really, I mean, if you could explain to the inventory cycle as to how it plays out, how much typically we hold, how much and how it gets sold out eventually?

Chirayu Upadhyaya: So Achal, you are aware that for us, we hedge our inventory. So, our pricing is not at the time of procurement, but it is done at a future time once we have an order for that inventory. So, while we obviously have been carrying higher inventory levels, inventories are not priced, they will get priced in the future. And that is something which is there for stability of our margins, which we've been following for over a decade now. So, we don't see scenarios of inventory gains or inventory losses just because we price it at a future date. The higher inventory that we are maintaining is because of the reason, as Shashank mentioned, that we are anticipating good demand for Q4, similar to what we had done at the end of Q2 and which played out quite well for us in Q3, that we were able to service a lot of end customer's demand because we had higher inventory. And obviously, we have a lot of capacity.

Moderator: The next question is from the line of Vidit Trivedi: from Asian Market Securities.

Vidit Trivedi: Congratulations on a great set of numbers. Most of the questions have been answered. I just wanted to know what's the margin profile when it comes to the institutional sales, the retail sales and the exports?

Chirayu Upadhyaya: So, margins in exports are definitely much higher as compared to domestic margins. When we export cables, obviously, it again depends a lot on the geography that we are exporting. But generally, historically, we've been making at least around 15% of EBITDA margins in our exports. If you look at the domestic sales for us, cables versus wires, in cables, generally, we

make anywhere between 9% to 12% of EBITDA margins. Whereas in case of wires, it is between 15% to 16%. Obviously, there are variations on a quarterly basis depending on the commodity prices, demand, et cetera. But generally, this is the range of margin profile across the different businesses.

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Vidit Trivedi: Got it, sir. Just one last clarification. As you have mentioned that the price hike during the quarter is almost 70% to 80% of whatever the commodity has reacted. Is it fair to assume that it is minimum in the range of 10% to 15% overall price hike?

Chirayu Upadhyaya: You can obviously compute the commodity inflation, which was there in the past quarter, along with the rupee depreciation, just give a multiple of 75% to 80% to that. More or less you'll get the amount of pass-through.

Moderator: The next question is from the line of Aniruddha Joshi from ICICI Securities.

Aniruddha Joshi: So, in terms of FMEG, two questions. Can you articulate more on the business of fans, how it has shaped up again, that business is also facing some of the regulatory headwinds. And again, commodity prices have also gone up. So how is the performance in case of fans. Secondly, if you can share more details on the solar business. I guess you initially mentioned that it has grown 100% Y-o-Y. But at least what is the current revenue run rate, EBIT margin in that business, et cetera?

Chirayu Upadhyaya: Sure. So, on the fans business, as we've been discussing during the quarter as well, initially during the beginning of the quarter, the uptake was pretty low because as you are aware, the summer season this time around was softer, and there was a lot of channel inventory, which was there during the year.

And those inventories were getting liquidated during the beginning of the quarter, in October and November, and hence, the offtake was pretty slow. In December, it took off in a small way because there was BEE transition, which was to be implemented from 1st of January onwards. And hence, there was a bit of good uptake in December.

And on an overall quarterly basis, the fans industry would have been largely flattish or a small degrowth and our performance was also pretty much in line with the industry. As far as the Q4 or Q1 FY27 expectations are concerned, it will depend a lot on how the coming summer season is expected to be. Definitely, because the new BEE norms are getting implemented from 1st of January, there will be a bit of price hike that everybody will be taking. I believe the price hikes would be in the range of 2% to 4% and which will be taken during the course of first 1-1.5 months of this calendar year itself. But to a larger extent, the uptake and performance of next quarter and the quarter to come will depend on how the next summer season is.

As far as your question on solar is concerned, solar, as was mentioned in the opening comments, had a very good quarter, another very good quarter after having 1-1.5 years of very good offtake momentum. We expect even Q4 to be very strong. You would have seen that we had actually launched a newer range of 350-watt solar inverters last quarter, and that did very well for us. The outlook is very positive from our side. We believe solar, which is already the largest contributor for us on the FMEG segment, will continue to grow even faster in the coming couple

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of years as well, since all the government schemes are already getting implemented and are in motion. Hence, from our side the outlook is very positive.

As I had mentioned in the previous quarter's call, the margin profile of solar is currently in high single digit, and we are maintaining that. To a certain extent since solar has now become the largest category for us in FMEG, that is one of the reasons why for FMEG has become profitable. And that is what we had mentioned in our earnings presentation as well. But the business mix or the product mix change, which has gone through, wherein solar has become the largest category, switches and switchgears have been doing quite well since last 3 to 4 years, Conduit pipes and fittings is doing

much better, all of that has contributed to FMEG now becoming continuously profitable for us. And every year going ahead now, we believe that FMEG will continue to improve its profitability towards the guided range of 8% to 10% by FY30.

Aniruddha Joshi: This is very helpful. Just second question. You have mentioned in the PPT that we have grown 59% in domestic C&W, and we would have gained market share. So roughly, what will be the market growth, means upwards of 50%, upwards of 40% where you look at the market growth

per se?

Chirayu Upadhyaya: Aniruddha, getting exact market growth for this quarter will be very difficult at this point of time because we'll have to wait out for other larger listed companies to come out with their results for the quarter over the course of next 2 to 3 weeks. But I would definitely believe that growth would have been higher in this quarter compared to what it was in the first half. To the best of our estimation, in the first half of this year, industry growth was at around 15% to 16%. I believe the industry would have been more closer to 20% at least. And this is the entire industry put together, organized plus unorganized. But specifically, for our market share gains, that we would have realized within this quarter, I think we should probably wait out for another 2 to 3 weeks to get to know the exact numbers of our peers.

Aniruddha Joshi: No, that's surely, and we will wait. But like if 59% is our growth and market growth maybe 20%, that's a massive jump in the market share for us. Is that a fair understanding?

Chirayu Upadhyaya: Yes, so Aniruddha, that's something that I was mentioning. We need to appreciate the fact that in spite of a 300 bps decrease in our margin profile, we were able to deliver 34% profitability growth in this segment. And that is on the back of such high 59% domestic growth. There's obviously a bit of an export growth as well. I think our strategy is working very well.

We have been working on the ground since the inception of Project Spring where we are going into each and every whitespaces that we have, within cable as well as wires, be it product category or geography. We are working very extensively with our distributors and trying to improve their growth as well as our wallet share of their growth. So, all of these initiatives are helping us. You know in the first half as well, we had grown cables and wires at 26% YoY.

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While as I mentioned, we believe the industry growth would have been around 16%, whereas in this quarter, we've grown at around 60%. So definitely, we have gained a lot of market share.

Moderator: We will take that as a last question. I would now like to hand the conference over to Mr. Niyant Maru for closing comments. Thank you, and over to you, sir.

Niyant Maru: Thank you, everyone, for your attendance. Thank you.

Moderator: Thank you very much. On behalf of Polycab India Limited, that concludes this conference. Thank you for joining with us today, and you may now disconnect your lines.

Call: May 2026

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Date: May 08, 2026

To

Department of Corporate Services
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Dalal Street, Mumbai, MH - 400001 To
Listing Department
National Stock Exchange of India Limited
C-1, G-Block, Bandra -Kurla Complex
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Scrip Code: 542652 Scrip Symbol: POLYCAB
ISIN: INE455K01017

Dear Sir(s) / Madam(s),

Subject: Submission of Transcript of Earnings Conference Call held on May 06, 2026.
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of Earnings Conference Call held on May 06, 2026.

Kindly take the same on your record.

Thanking you
Yours Faithfully

For Polycab India Limited

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"Polycab India Limited
Q4 FY26 Earnings Conference Call"
May 06, 2026

MANAGEMENT : MR. NIYANT MARU– CHIEF FINANCIAL OFFICER –
POLYCAB INDIA LIMITED

MR. SHASHANK YAGNICK – HEAD, STRATEGY AND
INVESTOR RELATIONS – POLYCAB INDIA LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Polycab India Limited Q4 FY 26 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Niyant Maru, Chief Financial Officer, Polycab India Limited. Thank you, and over to you, sir.

Niyant Maru: Good afternoon, everyone and thank you for joining us. I hope all of you are staying healthy and safe. I'm Niyant Maru, CFO at Polycab India Limited. On this call, we shall discuss the Q4 FY26 results, which were approved in the Board meeting held earlier today. We will be referring to the earnings presentation, financial results and financial statements, which are available on the stock exchanges as well as on the Investor Relations page of our website.

Joining me today from the management team will be Head, Strategy and Investor Relations, Mr. Shashank Yagnick. First of all, let me just say that despite the current macroeconomic environment, the company has delivered a strong performance, recording the highest annual and quarterly revenues in its history.

The demand sentiment to an extent was impacted by geopolitical developments in the Middle East, but our teams executed with agility and resilience, enabling us to sustain an industry-leading performance. This outcome reflects the strength of our operating model and disciplined execution.

The Wires and Cables business delivered robust growth, supported by healthy demand and execution, while the FMEG segment continued to build momentum through improved product mix and expanded market reach. Across the organization, our focus remains on execution excellence, translating strategy into outcomes and strengthening the foundation for long-term growth.

Our priorities remain very clear: Our sustaining growth momentum, strengthening our competitive positioning and continuing to invest in innovation, talent and capabilities. At the same time, we all know that the global macroeconomic landscape has undergone a dramatic transformation since our last earnings call.

The outbreak of the conflict between the U.S., Israel and Iran towards the end of February 2026 has been the single most consequential macro development of the quarter sending shockwaves across the energy markets, currencies, equity indices and central bank policy frameworks. Crude oil prices have risen very sharply with Brent now hovering around \$100 per barrel, while disruptions in the Strait of Hormuz have intensified the supply concern.

This has led to renewed inflationary pressures and a sharp repricing in global bond yields. Major central banks, which had been on a cautious easing path through much of 2026 have now firmly pivoted towards caution and in several cases, also towards tightening. The U.S. Fed held rates

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at 3.5% to 3.75% at its March meeting, revising the inflation projections upwards and flagging significant uncertainty.

The Bank of England also held at 3.75% with markets now pricing 2 rate hikes this year. The ECB maintained rates at 2% but revised its 2026 inflation projection sharply upward to 2.6% from 1.9% and also cutting the growth forecast. The Bank of Japan, which had hiked in December 2025, held in March, but faces a 70% market implied probability of a further hike in April.

The era of coordinated global easing has also come to an end. India demonstrated strong underlying momentum through most of the year, though Q4 brought its own set of pressures. India's full year FY26 GDP growth is projected at approx

ately 7.6%, the fastest pace in the

recent years and the fourth consecutive year India holds the position of the world's fastest - growing major economy.

The quarterly trajectory through the year has been impressive. Q1 at 7.8%, Q2 accelerating to 8.4%, a 6 -quarter high, while manufacturing and services both contributing strongly. Even Q3 held at a healthy 7.8%, underscoring the broad -based nature of the recovery. High frequency indicators through Q4, however, are beginning to signal some moderation.

Air passenger traffic, port cargo volumes and e -way bill generation have shown softness in the January to March period. However, on the opposite side, the consumption environment has been encouraging. Credit growth has sustained double -digit momentum with bank credit continuing to expand at healthy levels to March 2026.

The government capital expenditure has largely remained on track, spending about 86% of the revised budget estimates till February 2026, providing a steady demand anchor for infrastructure and allied sectors. Investment activity has seen gathered momentum during the year with rising capacity utilization and improving order pipelines signal that the private capex cycle is gradually broadening.

The real estate sector has maintained healthy momentum with launches and sales across major cities tracking well. Encouragingly, for most of FY26 , this growth was accompanied by strikingly benign inflation. Headline CPI reached an all -time low in October 2025, supported by easing food prices and contained energy costs. March 2026 CPI has come at 3.4% year -on-year, still comfortably below the RBI's target rate of 4%.

Core CPI ex food and fuel remain stable, suggesting that underlying price pressures within the domestic economy remain well anchored. This rare combination of strong growth and soft inflation is a genuine macroeconomic achievement for India and reflects the maturity of its policy framework.

This favorable backdrop enabled the RBI to deliver a cumulative 125 basis points of rate cuts through the year, its most aggressive easing cycle in the recent year. Lower borrowing costs have meaningfully supported household consumption, retail credit and investment demand. The Polycab India Limited

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transmission of these cuts into lending rates has progressively improved, providing tangible relief to both consumers and businesses.

India's foreign exchange reserves , while moderating from their peak, remain still robust at approximately \$682 billion, equivalent to over 11 months of import cover, providing a substantial buffer against external volatility. Domestic institutional investors have played a critical stabilizing role in the equity market, absorbing the significant FDI outflows and demonstrating the growing depth and maturity of India's capital markets.

That said, Q4 has introduced headwinds that warrant careful monitoring. The sharp rise in crude oil prices and depreciation of the Indian rupee, which hit a record low of INR 94.83 per USD will exert upward pressure on inflation in the quarters ahead. CPI is also expected to edge higher, and the RBI is likely to remain on an extended pause.

High frequency indicators through January to March 2026 reflect some moderation in the momentum, though diesel consumption, manufacturing output and consumer sentiments have continued to hold up. Overall, India's structural foundation, a resilient domestic demand base, a maturing policy framework, a deepening financial system and an expanding manufacturing sector remains firmly intact.

The external environment is more challenging than it was a couple of years ago, but India's relative position in the global growth landscape is arguably stronger than ever. We remain confident in the medium -term trajectory of the Indian economy and the robust demand environment it continues to provide for our business. I would now like to

hand over to Shashank

to take you through the financial performance for the quarter and the financial year.

Shashank Yagnick: Thank you, Niyant. For the quarter ended March 31, 2026, we are pleased to report a strong performance with consolidated revenue growing 27% year -on-year, driven by robust momentum in both cables and wires as well as FMEG segments. EBITDA for the quarter increased by 13% year-on-year with margins at 13.1% despite multiple industry headwinds and softer trade sentiment amid the ongoing Middle East escalation.

At the profit level, the company delivered its highest ever quarterly PAT of INR7.9 billion, reflecting a growth of 7% year -on-year. PAT margins for the quarter stood at 8.9%. Finance costs for the quarter were INR746 million, while other income stood at INR604 million. For a more detailed breakdown of these items, I would encourage you to refer to Slide number 28 of the presentation.

We continue to maintain a strong balance sheet with a net cash position of INR 41.9 billion, our

working capital cycle has improved to 25 days in Quarter 4, primarily due to temporary increase in payable days arising from use of letter of credit for raw material procurement. On a normalized basis, we expect the working capital cycle to revert to our steady -state range of 45 to 50 days.

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Capital expenditure for the quarter stood at INR3.9 billion, taking the total capex for full financial year to approximately INR14.8 billion, and this is very much in line with the Project Spring guidance. Turning to our full year performance. FY26 has been a landmark year for the company with record high revenue, EBITDA and PAT. Revenue crossed INR 285 billion milestone, growing 29% year -on-year. EBITDA grew faster than revenue, increasing by 35% year -on-year with margins expanding to 13.9%. PAT rose by 32% year -on-year, surpassing INR 27 billion with PAT margins at 9.4%. This strong performance underscores our financial strength and reinforces our position as the most profitable company in the electrical industry for the fourth consecutive year. Additionally, we have retained our position as the largest company in the Indian electrical industry by revenue for the second consecutive year, an important milestone for the organization. Moving on to Slide number 5. We are pleased to report combined market share gains -- continued market share gains even on a higher base. Our domestic wires and cable organized market share has now increased to 30 -31% up from 18 -19% in financial year 2019. And this is an improvement of approximately 300 basis points to 400 basis points over FY25 levels of market share of 26 -27%. This consistent gain in market share reflects the strength of our execution under Project Spring and validates our long -term strategy of investing in brand, distribution and manufacturing scale. Importantly, these gains are not cyclical but very much structural in nature, driven by a shift towards organized players, increasing preference for quality and compliance and our ability to serve customers reliably across geographies. Our expanding distribution network, deeper channel engagement and continued focus on premiumization have enabled us to capture incremental demand across both channel and institutional segments. At the same time, our scale advantages and backward integration continue to support competitive positioning, allowing us to grow ahead of the industry. Even in a relatively volatile demand environment, our ability to gain market share highlights the resilience of our business model and the trust we have built with our customers and partners. More broadly, this momentum in market share is a key pillar of our growth strategy and gives us confidence in sustaining industry -leading growth over the near - to medium -term. FY26 also marked an important inflection point in capital investment.

For the first time in our history, annual capex exceeded INR 14.5 billion, underscoring our long -term commitment to growth in line with Project Spring.

We remain on track to execute our planned capex program of INR 60 billion to INR 80 billion over the next 5 years, which will further enhance our capabilities, scale and innovation. We have also strengthened our balance sheet with net cash increasing to INR 41.9 billion, reflecting disciplined cash flow management.

In line with our capital allocation strategy, we have proposed a dividend of INR 47 per share, resulting in a payout ratio of 27.2%. This represents a step forward towards our Project Spring

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goal of achieving a 30% payout ratio by financial year 2030. Now let's move to Slide number 9 for a quick update on the Wires & Cables business.

The Wires & Cables segment delivered a strong 30% year -on-year growth during the quarter. Within this quarter, the domestic cables business recorded an impressive 30% year -on-year growth, supported by resilient execution despite a challenging operating environment. Volume growth for the quarter remained in the low single digits as the industry faced multiple headwinds. Including temporary halts in construction activities across parts of West and North due to pollution -related restrictions as well as softer demand sentiment impacted by the ongoing Middle East escalation affecting both primary and secondary sales. Notably, cables outpaced wires in terms of growth for this quarter, while institutional sales grew faster than channel sales. From a regional standpoint, the West region led the performance, followed by South, North and East, underscoring the strength and breadth of our Pan -India presence. As highlighted on Slide 11, our products continue to play a critical role in nation building with strong participation across high-growth sectors such as renewable energy, metro rail, data centers and manufacturing.

These segments remain key structural drivers for sustained demand in the wires and cables business. Our international business delivered robust performance, growing 18% year -on-year and contributing 4.4% of consolidated revenue, even amid the escalation in the Middle East that impacted sales during the quarter. We remain confident in the long -term outlook.

With a healthy order book and a supportive demand trend, we expect a strong recovery and a strong growth momentum going forward. I would like to highlight that we have significantly expanded our global footprint to 94 countries, up from 48 countries in financial year 2019, reflecting our increasing global presence. Additionally, we have re -established our distribution network in the United States, which we believe will enhance our reach and further strengthen our export business over time.

EBIT margins for the Wires & Cables business stood at 13.1%. As mentioned earlier, margins were slightly impacted by a few factors. Firstly, there was an unfavorable mix in business with the international segment, a high margin accretive business being affected by the Middle East situation. Secondly, the higher contribution from institutional sales compared to channel sales had a moder ating impact on the margins. Lastly, softer trade sentiment in March, which is a key month for Quarter 4 sales, impacted ope rating leverage for the quarter.

Moving to Slide number 13 for an update on the FMEG business. The FMEG segment delivered an exceptional performance for this quarter, registering a strong 47% year -on-year growth with broad -based contributions across all product categories.

This marks the ninth consecutive quarter of outperformance versus industry benchmarks, reaffirming the strength of our strategy and execution in this high potential segment. Let me walk you through the key drivers of this growth, starting with fans. Despite the delayed summer

onset in certain regions and temporary channel inventory adjustments following changes in BEE norms, the segment delivered growth.

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This performance was driven by our continued focus on premiumization, expanding our energy -efficient product range and strengthening channel execution. As a result, premium fans now contribute approximately 25% of FY26 segment revenues. In Lighting & Luminaries, we sustained growth despite a deflationary pricing environment, supported by both volume and value expansion.

The momentum was led by our growing premium portfolio, which now accounts for 35% of segment revenues as energy -efficient and high -quality lighting solutions continue to see strong customer acceptance across markets. Our solar products business was a standout performer, delivering 2 -fold year -on-year growth and emerging as the largest category within the FMEG portfolio.

This growth is underpinned by strong structural tailwinds, including government initiatives, state-level subsidy programs and rising consumer adoption of renewable energy solutions. Other categories, including switchgears, conduit pipes and fittings and sw itches, also recorded healthy growth.

This was driven by sustained momentum in the real estate and construction sectors, along with our continued focus on portfolio expansion and deeper market penetration. Importantly, the FMEG business, which turned profitable in Q4FY25 , has continued to deliver profitability , while we invest in talent, product development and brand building.

EBIT margins for the quarter stood at 4.1%, in line with our Project Spring trajectory of achieving 8% to 10% EBITDA margins by financial year 2030. Looking ahead, we remain confident in the long -term growth potential of the FMEG segment. We are well aligned with our Project Spring objectives of delivering 1.5x to 2x of industry growth while steadily improving our margins. Our continued investments in distribution expansion, product innovation and brand equity will be key enablers in unlocking sustained val ue in this business.

Moving on to Slide 15. This slide provides an update on our EPC business. During Quarter 4 FY26 , EPC revenues marginally declined by 15% year -on-year, reaching INR 5,098 million, majorly due to project execution cycle. Segment profitability stood at INR 386 million, translating to a margin of 7.6%. Looking ahead, the annual sustainable operating margin is expected to remain in the mid - to high single digits over mid - to long term. Moving on to Slide 17, which provides an update on our Project Spring.

Under Spring, we continue to make steady progress in line with our FY2030 strategic objectives. Within the Wires & Cable segment, growth since the launch of this program has consistently exceeded our guidance, tracking at 1.5x to 2x of the industry growth with margins remaining far above the guided range.

While export contribution appears lower on a relative basis, exports on an absolute basis have continued to grow during FY26. The relative contribution decline is largely due to stronger

domestic growth, which has expanded the overall revenue base. We remain firm on track to achieve our target of greater than 10% contribution from exports by financial year 2030.

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In FMEG, we are also progressing well consistently, outpacing industry growth in line with our target of growing at 1.5x to 2x of market rate, while maintaining a clear focus on margin expansion and progressing towards our EBITDA margin goal of 8% to 10% by FY2030. During FY26, we incurred capex of INR 14.8 billion, in line with our annual guidance of INR 12 billion to INR 16 billion per annum.

We also increased our dividend payout to approximately 27.2%, up from 26.3% last year as we move steadily towards our stated objective of exceeding 30% by FY 2030. Overall, we believe

rall, we believe

we have made a strong start to Project Spring and remain confident in our ability to deliver on our long-term strategic and financial goals.

Moving on to the next few slides, which provide an update on the ESG commitments. During the year, we have taken several important steps to strengthen our ESG framework. These include conducting a climate risk assessment, undertaking a double materiality assessment and aligning our internal policies more closely with ESG metrics and global best practices.

Last year, we had outlined 10 measurable ESG goals across the 3 pillars of environment, social and governance. These goals span key areas such as carbon emissions, circular economy, waste management, product stewardship, water management, diversity and inclusion, employee well-being, community engagement, supply chain responsibility and corporate governance, including ethics and integrity.

We have made meaningful progress across these areas during the year as detailed on Slide 21.

We recognize that this is a long-term journey. However, with the right intent, a strong foundation and a deeply embedded culture of responsibility, we are confident that Polycab will not only keep pace with evolving global expectations but also play a role in shaping them. Thank you for your continued support and confidence in our journey. That concludes our update for the quarter and we will now be open to take your questions. Thank you.

Moderator: Thank you very much. We will now begin with the question and answer session. We will take the first question from the line of Sonali Salgaonkar from Jefferies.

Sonali Salgaonkar: Congratulations on a great set of numbers despite the Middle East disruption. Sir, my first question is of the Cables & Wires sales growth of 30%, if we could break up on the approximate growth -- volume growth in Cables & Wires and also the price hikes that we have taken from Jan till now in different tranches?

Shashank Yagnick: So Sonali, thank you for this question. So firstly, on the growth. Revenue growth, like you rightly mentioned, has been 30% for the quarter. And if I speak of volumes, it's been combined volume growth of low single digit for both cable and wire put together. Cables has, of course, outpaced wires. In terms of price hikes, we've taken approximately 18% to 19% price hike cumulatively from Jan to March.

Sonali Salgaonkar: Understood. That's helpful. Sir, secondly, how is the demand situation now? As we understand, it was severely impacted in March. March is a key month for your quarter. But since then, there

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has been some normalization of demand across sectors is what we understand. So how is the demand situation right now domestically?

Shashank Yagnick: So I just want to also highlight that Q4 last year for us was very, very strong. So at the back of that base, we've been able to deliver some volume growth and of course, revenue growth of 30 - odd percent. So we have definitely seen some moderation in demand, primarily due to so much of volatility amidst Middle East escalation. But if you look structurally, the domestic demand is very robust.

If you look at power capacity additions in the last financial year itself has been around 55 gigawatts to 56 gigawatts, which is almost double of what happened in FY25, right? And this is going to continue. If you look at the Union Budget, which was announced in February, a very strong INR 12.2 lakh crore's budget announced, which, again, if you add private capex to that, we see today around INR 36 lakh crores, INR 37 lakh crores to be invested in FY27.

Now majority of these investments, or rather 57% of these investments, are going into areas which are going to convert into strong demand for cable and wire. Sectors like utilities, metals, semiconductors, oil and gas, manufacturing, logistics, all of this is going to converge

rt into strong demand for Cable & Wire.

Also, there are new demand pockets which are yet to completely bloom, or we are yet to fully exploit the opportunity there, areas like defense, areas like data centers, which are yet to pick up in a big way. So I think one comforting thing is that in our industry, the demand doesn't extinguish. So it can only defer by 1 week, 2 weeks here and there. But if you look at 12 -month period coming forward, I think not just the next 12 months, but I think 24 -36 months are going to be very promising for our sector.

Sonali Salgaonkar: Understood. Sir, and lastly, on exports, we do understand that on an absolute basis, it's been increasing. And we do understand that Middle East was a bit of a hiccup in the export story. But from here on, do you see exports resuming over the coming quarters? And which sectors would you be the most optimistic in exports?

Shashank Yagnick: So Sonali, exports is actually going to be a big lever of our growth going forward. So Middle East, I would just like to call out the split. So in full year, last financial year, the Middle East contributed around 16% of our exports topline. Now of course, that would have been slightly more had we had the normal March, but it got impacted.

Going forward also and also in continuing the last few years of our export growth, the power sector will continue to drive the strong growth, right? If you look at EU, if you look at US, all of these regions have grid infrastructure, which is way beyond the average life. They are 50 -55 years, 60 years old. So all of these need modification.

And considering our scale, our approvals, our deep penetration in these geographies, we are at pole position to capture the growth. And even the tariff situation has more or less settled, or we can say it's now behind us. So I think now we are at much more competitive and well positioned to leverage this growth.

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` And to add to that, in U.S., we've started re-establishing our distribution network, which again is the largest market for export. So I think there, again, along with the tailwinds that we are seeing in the industry, I think all of this put together, we should have very sizeable business growth in exports. Plus the Middle East, which is currently severely impacted, we believe that it's a matter of time where that demand will come in a bigger way because a lot of reestablishment will need to be done there.

Sonali Salgaonkar: Sir, any outlook you would like to give at this point in time for FY '27 for the business as a whole?

Shashank Yagnick: So see, like I mentioned today, in this financial year, we are at 5.4 % export contribution to overall top line. And we have to get to 10% by FY30. So we are definitely inching towards that figure. And of course, we are not limiting our domestic growth. So domestic growth is also growing at a very fast pace.

But at the same time, I think now that the trade barriers seem to be much more favorable. And I think then we should continue to grow beyond 5% and difficult to give a firm number because these are more institutional sales in nature, but it will definitely be higher than where we are today.

Sonali Salgaonkar: Not just for exports, overall business, domestic as well ?

Shashank Yagnick: So again, Sonali, if you refer the Project Spring guidance, which also I referred during my speech, is that we've committed in Cables & Wires, we will grow at 1.5x of market growth. So if market is growing, say, for example, 10 -12%, we'll continue to deliver 1.5x of that growth. And that, I think we've consistently been delivering in the last few years as well. So we can definitely account for that kind of growth from us.

Moderator: The next question is from the line of Puneet Gulati from HSBC.

Puneet Gulati: Congratulations on good numbers. First, if you can quantify what sort of

impact you had in

March on account of these Middle East -related disruptions?

Shashank Yagnick: See, we had low single -digit Cable & Wire volume growth. Typically, the Quarter 4 is highest, best for the industry, not just for Polycab. So obviously, looking at higher base of last year, we were able to still deliver some growth, but we were expecting much better growth. If you look at private manufacturing industries who use gas as a feedstock, they did not have visibility of supply beyond 3 -5 days.

Their supplies, their inputs were completely rationed by government. That definitely impacted the demand from private sector. If you notice, our business model is such that 90% of our business happens through channel. Now the trade sentiment itself, with all the raw material prices going up, even if you look at PVC prices went up by 60% to 80% in the first fortnight of March.

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So all of this going on plus the trade sentiment due to West Asia crisis, there was definitely some impact in terms of lifting from our distributors, which is our primary sale, primarily because the secondary sale was not moving at the pace at which we anticipate in the month of March. So broadly, that's the outlook, I think, and that's very reflective of the industry also. And I think it's very difficult to quantify that. But definitely, our volume growth aspirations were higher in March, typically in line with the industry. Typically, March is the best month and Q4 is the best quarter.

Puneet Gulati: Right. And even on the margin side, you said you had a higher share of institutional sales than usual. And today, you said it's about 90% of business happens through channel. What would that number have been for last quarter?

Shashank Yagnick: So in last quarter, Puneet, what happened was institutional sales were higher by about 2-3% compared to channel. And our margins usually in channel are 3-4% higher compared to institutional, which is you have to bid those tenders and win on L1. So our margins are better on channel. And if institutional mix grows, then it moderates our margins.

Puneet Gulati: Clearly, yes. Understood. And if you can also talk about what is the status on capacity utilization now?

Shashank Yagnick: So see, here is where exactly you'll see the same number every time. It's mid-70s, 75-76% utilization. And that is because we've continued to expand our capacity. As soon as we reach 70-75% utilization, considering our AOP, we invest far ahead of time. So if you look at this year, again, FY26, we've invested almost INR 1,500 crores, massive number.

So again, this capacity will get added when we discuss next time, we'll possibly again be sitting at somewhere around mid-70-80, right? So I think that's where we are. And we are continuing to expand, again, in line with our Project Spring guidance of INR 6,000 crores to INR 8,000 crores capex by financial year 2030.

Puneet Gulati: And what is the peak utilization you can actually reach?

Shashank Yagnick: See, practically, I think at times, we have reached early 90s, but the standard percentages always remain around 80-85%. You don't expect a plant to operate at 90-plus percent. So 70-75% is there. And we still have capacity and had there been demand, we would have possibly supplied more.

Puneet Gulati: Understood. That's helpful. And lastly, if I may, you have a significant amount of cash. I know there is a nice capex plan, but you can fund it out of your own internal accrual as well. Is there any use of cash that you have in mind, acquisition or any new business that you want to enter?

Shashank Yagnick: See, currently, we are continuing to focus on these 2 things, which you rightly pointed out. One is pumping cash into our capex from internal accruals. Second is increasing the dividend payout, again, which is already laid out in Project Spring guidance.

ce. This year, again, we've increased it and reached payout ratio of 27.2%.

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So these two remain the focus. Of course, we keep evaluating certain M&A proposals and opportunities inside India and outside of India. So if something really aligns with our strategy, definitely, we will like to invest in that. But so far, there is nothing that we can see in the near to mid term.

Moderator: We will take the next question from the line of Keyur Pandya from ICICI Prudential Life Insurance Company Limited.

Keyur Pandya: The question is on the EBIT segment margin for the cables or overall EBITDA margin. Basically, it is within the guided range, but in the backdrop of, say, lower export mix or primary, secondary sales and stocking, where do you see it settling, say, in next 2, 3 quarters? How should we think of it?

I think in last -- some of the interactions you have mentioned that channel stocking has happened. And since now copper prices are more or less where they are for last 3, 4 months, should we see some deceleration in stocking? So considering all this, how should we think of profitability as well as primary sales growth?

Shashank Yagnick: Keyur, on primary sales growth, I'll again refer you to the guidance we've given in Project Spring. And why I'm asking you to refer that again because that's very calibrated thought - through guidance. So if market grows, we will deliver 1.5x of that growth. If we are expecting 12% market growth, then we should deliver 18% and plus. So that will continue. In terms of price volatility, yes, we don't have any guidance on copper price. But whatever is the price, it is the pattern of the industry that we pass through that price to our customers and so far, that is how it has happened.

So again, that's a very calibrated guidance which we have given that over long term, we should expect 11% to 13% EBITDA margin. and in the near to mid term, we may expect 12% to 14% EBITDA. And we'll continue to deliver that kind of margins.

Keyur Pandya: But in the near term, are you seeing any challenge to primary demand or secondary demand?

Shashank Yagnick: No. I think like I mentioned earlier, in our industry, if a capex is decided and especially the stage at which India is, if you look at certain announcements by Indian government where they are pushing the pedal in terms of increasing renewable generation capacity, increasing the transmission and distribution sector, a lot of capex is being pumped. So the demand can only defer by 1 week, 2 weeks, 3 weeks. It cannot extinguish.

So if you look at full 12-month period coming ahead, I think the demand forecast is very robust and strong. And again, if you look at real estate sector, if you look at last 3 years, and we've seen some data of top 8 cities, we've seen around 3.5 -3.6 lakhs units launched and sold. So we've seen in the first 3 months of this calendar year also, about 0.8 -0.9 lakh units have been launched.

So I think it's continuing. The growth momentum is continuing. In fact, the consumer sentiment also is slightly on the improvement side. We believe that demand, not just for this year, but I think next 2 to 3 years should be very robust. And the prime driver will continue to be the power Polycab India Limited

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sector. There are some new drivers which are yet to fully come to fruition, which is data centers, AI-driven demand, the defense, EV charging cable infrastructure, all of this is going to further open up.

Keyur Pandya: Understood. And just second question on the exports. So you have mentioned a target for FY '30. But with current disruptions in the Middle East, and opening of new geographies post probably, say, U.S. where tariffs have relatively normalized. So how do you see recovery of exports in FY27, I mean, increasing as a percentage of sales?

Shashank Yagnick:

So difficult to give a number, but I will tell you the driver. So I think in the last 3 to 4 months, we've re-established our distribution network in the United States. United States forms around 15% to 20% of global export market. That's the most key market followed by EU, European Union.

So we've sown the seeds of good growth, which is about to come. U.S. market or North America contributed around 40% of our FY26 exports. But there, if we have a distribution network, then, of course, we are there to target higher growth. So U.S. will continue to drive the growth.

We've done a sizable amount of business in South America, which has also comprised almost 20% of our sales in FY26. Middle East also contributed around 15 -16%, but it looks like in the near term, we don't see Middle East contributing in a big way. But the big demand drivers, North America, followed by EU, South America, where we've again done significant amount of business. I think we are well poised to deliver higher growth in exports, and that should actually be at a more aggressive pace because we have to also reach 10% of our overall top line by FY30. And hopefully, we should get there sooner.

Moderator: We will take the next question from the line of Pathanjali from Sundaram Mutual Fund.

Pathanjali: Good set of numbers. Just a few questions. Firstly, in terms of capacity utilization, I think you mentioned we were around 70 -odd percent. Do we have any capacity coming in anytime soon in FY27? And is there a possibility that we may run out of capacity if that's not the case?

Shashank Yagnick: Pathanjali, thank you for asking that question. So I think in terms of capacity utilization, we were at full year basis, we were at 70 -75% kind of utilization. There is room for growth here.

Plus if you look at our capex guidance, we've already pumped in INR 1,500 crores in this financial year. So that will also add to our capacity.

And we are continuing to pump INR 1,200 crores to INR 1,600 crores every year, adding capacity. And this guidance that we've given under Project Spring is considering the demand outlook that we foresee in the next 4 to 5 years. So there will be no scenario where we'll be out of capacity.

Pathanjali: Got it. And just another question. I think one of your peers were saying that the demand is very strong on ground, but they had some capacity constraint, which is why they were not able to grow in terms of volumes. We, on the other hand, have had like a fairly surplus capacity. But why are we also facing challenges in terms of volume growth? Because even on a full year basis,

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I think our volume growth may not be as high. If you can correct me with the number as to what our volume growth for full year was?

Shashank Yagnick: Sure, Pathanjali . So see, we will not obviously follow or go by what others are saying. But if you look at our numbers and let me start with Q3. I think in Q3 maybe peers had capacity constraint, but we recorded, 40% volume growth in both Cable & Wire together.

So that is an indication of the capacity that we already have in hand . So I think today also, our volume growth for the full year is 18% which is again industry leading. If again, market has possibly grown at 11 -12%, we've delivered 18% volume growth . And revenue growth, we've coined it at 30%.

So firstly, we are continuing to be there. And if you look at our base, our base is very, very high. I think the next biggest player is half our size. So at our base, we are able to meet those volumes, which we delivered last year and also gain some further volume growth over that. So I hope that answers you.

Pathanjali : Just a related question to that. So I think your current quarter volume numbers were very less. So like you mentioned some of the reasons for it. But before going into this quarter, what would have been your volume target for this quarter so that I can understand like how much of it could be attributable to some external factors which are not within your control?

Shashank Yagnick: So Pathanjali , firstly, at least from a business standpoint, I can speak that there's no volume target for quarter. If you can look at 12 -month period, it's still understandable. Every day, you don't sell 1.5x or whatever is the volume target, right? So it's ultimately an institutional B2B kind of a business. It's not an FMCG business.

So if you look at full year basis, like we've always guided, we'll continue to deliver 1.5x of GDP growth. Now whatever happened in March, some bit of it, you can attribute it to some kind of a black swan event, which impacted our exports to a large extent in Middle East. In domestic market also, somewhat sentiments were disturbed. And hence, I think the industry also did not grow to that extent. So whatever we've delivered is again the best side of the industry growth.

Moderator: We will take the next question from the line of Akshay Gattani from UBS.

Akshay Gattani: Sir, if you can share the status update of your EHV capex, when do you see commissioning of this capacity? And how do you expect revenue pick up from this capacity?

Shashank Yagnick: So Akshay, EHV is very much on track. Capacity is expected to come on stream by end of this calendar year. And in FY28 revenues, we can see some contribution from EHV capacity because it's a tender -based business, and we see a ready market because about 50% of domestic consumption today is coming from imports. So we believe that there's a ready market available. So as soon as we are on stream and we bid, I think we should be able to get revenue. So in FY28, you'll be able to see revenues from EHV.

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Akshay Gattani: Got it. And for FY27 capex, what will be the focus areas? And a separate question on that is how much the solar business now accounts in FMEG revenue? I think earlier it was more than 50%. Has it moved up?

Shashank Yagnick: So you had 2 sets of questions. So let me address the solar one first. So primarily, we don't give breakup of the intersegment contribution in FMEG. But solar, of course, continues to be the strong driver, delivering 2x of growth over last year. And that will continue because of central and state government schemes on rooftop solar. Besides that, other FMEG segments have also delivered stellar performance and far ahead of industry growth in each of the respective segments. What's the other question?

Akshay Gattani: Got it. Other was capex -- focus area for capex in FY27?

Shashank Yagnick: So again, as per our Project Spring guidance, we've said that whatever we will pump, around 90% of that will go into Cable & Wire capacity expansion alone . And some 5% will go into backward integration and another 3 -4% may go into FMEG expansion. So I think we are very much aligned with that. And 90% will continue to go into Cable & Wire expansion. And largely, these are all fungible capacities. Other than EHV, if you look at it, Cable & Wire are largely fungible capacity. So we'll continue to expand our capacity there itself.

Moderator: We will take the next question from the line of Umang Mehta from Kotak Securities.

Umang Mehta: Congrats on a strong year. You mentioned volume growth was around 18% for the full year.

Can you split it as how much was the volume growth in wires and how much was it in cables?

And in cables, what were the key sectors which kind of contributed to this? Two quarters back, you had mentioned that on an annual basis, you would have a better picture on demand markets. So that would be helpful?

Shashank Yagnick: So Umang, overall, if you see in the full financial year also, the cables growth was slightly better than wires. And overall, like I mentioned, 18% volume growth, which has resulted in a market

share

gain of around 3% to 4% in this financial year alone . And secondly, on split of demand

side you're asking in terms of our supply.

So I think that largely, if you look at 12 -month basis, it will always continue to be more or less same. So where power sector alone consumes around 40% to 45% of cables. Manufacturing and private industries consume around 35% to 40% of cables . Mobility, which is railways, roadways , highways, seaports, airports , consume around 10% to 12% of the cables. And energy exploration, which is again, oil and gas, coal, mining and all of that, they consume around 5 -6%. Balance is a niche space, which is defense, EV charging infrastructure and all of that. Umang Mehta: Got it, Shashank. Sir, just a follow -up on this is that you also mentioned that capacity of generation in India doubled last year. And in terms of solar capacities, while I understand that investments will continue, the growth on a Y -o-Y basis may not be as strong as what we've seen last year, right? Even in DISCOMs, the RDSS execution possibly was a big driver. But going ahead on a Y -o-Y basis may kind of moderate on a high base. So in that context, how do you think industry growth will kind of shape up?

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Shashank Yagnick: So see, I look at this power, especially T&D industry, from a relative scale. If you look at period from 2016 to 2020, the intensity or the pace at which the actual execution is happening today is far, far better . If we look at that period of 2015 to 2020 or 2020 to 2025, we see the transmission line execution on ground was somewhere around 15,000 circuit kilometers average .

Today, going forward, the anticipation is that it should go to 21,000 - 22,000 circuit kilometers per year. Now so much of renewable capacity is getting added. All of this has also to connect with the transmission and distribution space. One more point is that in power sector alone if INR100 is spent on transmission and distribution, the translation to cable requirement is around 15% to 20%, which basically indicates that any amount invested in power sector will translate into heavy demand for cable and wire. So we believe that this is definitely going to continue even if it moderates, the intensity will be still far higher than how it has been in the past.

Moderator: We will take the next question from the line of Achal Lohade from Nuvama Institutional Equities.

Achal Lohade: Congratulations for a good set of numbers. The first question I have, in the third quarter call, you did mention about delay in passing on the price inflation. So that kind of had some impact on the margin. Was there any such thing in the fourth quarter? And -- or on the other hand, was there any inventory benefit, inventory gain during the quarter, which you could have realized?

Shashank Yagnick: Achal, so in the very first fortnight of January alone, we were able to pass on everything. So we were completely in tandem with the raw material price throughout the quarter . So first question answered that there is nothing that we are withholding. We are completely in tandem with the raw material prices. Achal, can you repeat your second question?

Achal Lohade: All 3 companies have indicated in the recent con calls that there has been some benefit on the inventory realization front during the quarter. Was that the case for us as well? And if you could quantify?

Shashank Yagnick: So Achal, I mean, we have explained in the past also, the way we procure our raw materials, there are never any inventory gains. We don't buy on spot, right? So we have a hedging mechanism in place. So we don't have any inventory gain unlike peers. Possibly, they might buy in spot market and sell.

So when prices go up, they have some kind of an advantage possibly. But we are always at a position where we are able to manage within a band, and thanks to the m

echanism that we have

built over the years, where we hedge our raw material prices. So hence, there is no inventory gain or loss, never in our case.

Achal Lohade: And when you say we hedge, it's for both aluminium and copper because I presume aluminium is more domestic sourcing than copper. Copper is 100% imports, right?

Shashank Yagnick: So yes, first answer is yes, for both copper and aluminium, we hedge. And second is, yes, largely copper is imported.

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Achal Lohade: Understood. Just a related question on that. You did mention the PVC prices actually kind of doubled in the first fortnight. So I wanted to check these insulation materials, in terms of the price inflation or cost inflation on account of that, has that been passed on? Is there a challenge in passing that? And, in terms of the availability, particularly materials like XLPE, etc? If you could talk a little bit on that ?

Shashank Yagnick: So Achal, first thing, we completely pass on all the raw material price, be it aluminum, copper

or be it PVC. So there has been no challenge with respect to passing on the price. Second is on the availability of XLPE and other compounds. So thanks to the backward integration that we have, we typically purchase only the raw resins, and we do compounding in-house.

So thanks to our heavy inventory, we are comfortable for possibly in the first quarter of coming year as well. But beyond that then it depends, and then there'll be far bigger issues to worry than production of cable and wire. But I think we are very much comfortable. We have a good amount of diversified base of vendors for compounds and resins. So we are not at all concerned about raw material security.

Achal Lohade: Perfect. Just a bookkeeping question in terms of the institutional mix, if you could quantify for the fourth quarter as well as FY26?

Shashank Yagnick: So see, overall, I think for a full year basis, if you see, I think a couple of percentage points higher in institutional for the quarter, maybe 3 to 4 percentage points higher in institutional.

Achal Lohade: No, I was keen to know if you could quantify exactly how much would be institutional for us out of the total Cable & Wire business?

Shashank Yagnick: So Achal, the other way to look at it is and the way we always recite this is our channel to institutional contribution has always been 90% to 10%. 90% is channel, 10% is institutional. So when we say a couple of percentage points higher in institutional, you can add a couple of percentage points to maybe make 10% to 12%, 12% of overall top line. And if I say 3% to 4%, you can make it 13% to 14% for the quarter.

Achal Lohade: Understood. And the second, if you could give us EBITDA number because the guidance is on EBITDA, if you could disclose what is the EBITDA margin for Cable & Wire segment for the fourth quarter and the full year FY26?

Shashank Yagnick: See, for the fourth quarter it was higher. So definitely around 14%, 14-plus percent. And FMEG, of course, was also mid-single-digit EBITDA margin.

Achal Lohade: And for the full year, Shashank, if you could quantify?

Shashank Yagnick: See, full year also, we were very, very robust. Overall full year EBITDA at company level is 13.9% and Cable & Wire was definitely above that. And FMEG, of course, continues to be mid-single digit.

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Moderator: We will take that as the last question. I would now like to hand the conference over to Mr. Niyant Maru for closing comments.

Niyant Maru: Thank you, everybody. It was nice to have you all on the call. Maybe I think I just wanted to add one last comment. I think many times when we look at the quantitative part, the larger part, which we get sometimes unnoticed is that as a company, in the industry, we have been gaining market share.

And we con

tinue to do so in the quarter 4. I think once the numbers are announced for everybody, then we will have a better idea of what is the real increase in the market share, but we do believe that we have continued to gain market share in Q4. Thank you, everybody.

Moderator: Thank you, members of the management. On behalf of Polycab India Limited, that concludes this conference. Thank you all for joining with us today, and you may now disconnect your lines.

Thank you.

Call: Jul 2026

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To

Department of Corporate Services
BSE Limited
Phiroze Jeejeebhoy Towers,
Dalal Street, Mumbai, MH - 400001 To
Listing Department
National Stock Exchange of India Limited
C-1, G-Block, Bandra -Kurla Complex
Bandra (E), Mumbai, MH - 400051

Scrip Code: 542652 Scrip Symbol: POLYCAB
ISIN: INE455K01017

Dear Sir(s) / Madam(s),

Subject: Submission of Transcript of Earnings Conference Call held on July 16, 202 6.
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed herewith the transcript of Earnings Conference Call held on July 16, 202 6.

Kindly take the same on your record.

Thanking you
Yours Faithfully

For Polycab India Limited

Manita Carmen A. Gonsalves
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July 16, 2026
MANAGEMENT : MRNIYANT MARUCHIEFFINANCIAL OFFICER
POLYCAB INDIA LIMITED
MR.SHASHANK YAGNICK HEAD,STRATEGY AND
INVESTOR RELATIONS POLYCABINDIALIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to Polycab India Limited Q1 FY27 Earnings Conference Call. As a reminder, all participant lines will be in the listen-only mode, and there

will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Niyant Maru, Chief Financial Officer, Polycab India Limited. Thank you, and over to you, Mr. Maru.

Niyant Maru: Good afternoon, everyone, and thank you for joining us. I hope all of you are staying healthy and safe. On this call, we shall discuss the Q1 FY27 results, which were approved in the Board meeting earlier today. We will be referring to the earnings presentation, financial results and financial statements, which are available on the stock exchanges as well as on the Investor Relations page of our website.

Joining me today from the management team, we have our Head of Strategy and Investor Relations, Mr. Shashank Yagnick. I am pleased to share that building on the momentum of last year, the company delivered another quarter of strong performance, underpinned by healthy revenue growth and profitability.

Our performance reflects not only favourable demand conditions, but also the deliberate investments and strategic choices made over the past several years. The Wires & Cables business maintained steady momentum, leveraging its market leadership and execution capabilities, while the FMEG business continued its trajectory of steady improvement, supported by a richer product portfolio and a wider customer reach.

The progress we are seeing today is a direct outcome of our commitment to building a more agile, scalable and future-ready organization. We remain focused on operational excellence, disciplined capital allocation and enhancing customer value across every touch point.

Looking ahead, we see significant opportunities across our markets. Our priority will be to accelerate profitable growth, strengthen our brands, deepen the distribution and build the innovation and talent ecosystem needed to support the next phase of expansion.

The global macroeconomic landscape continues to be shaped by ongoing geopolitical developments. Disruptions across energy markets and global trade routes, particularly around the Strait of Hormuz contributed to inflationary pressures during the first half of 2026.

While oil prices have moderated from the peaks which we witnessed in April, they continue to remain volatile. Given the fluid nature of the geopolitical environment, uncertainty around the energy crisis, supply chains and global trade flows may persist in the near term.

The IMF's latest outlook projects global growth approximately at 3% for 2026, supported by resilient economic activity and technology-driven investment cycle, while global inflation forecasts have been revised higher. The renewed energy shock has pushed every major central bank on to a firmer footing. The Fed held rates at 3.5% to 3.75% in June, but turned notably

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more hawkish, expecting rates to rise later this year. A similar stance was seen by the Bank of England, which held the rates at 3.75% to gauge the impact of the U.S.-Iran war.

The RBI held its repo rate at 5.25%, taking a neutral stance, but flagged accrued driven inflation and rupee volatility as the key swing factors for its next move. Against the global backdrop, India remains one of the strongest performing major economies globally. While the external environment has become more challenging, India continues to benefit from robust domestic demand, public investment, healthy credit expansion and increasing private sector capital expenditure.

Economic ac

tivity has remained resilient despite global volatility, reinforcing India's position as one of the fastest-growing economies in the world. Government-led infrastructure spending, a broadening manufacturing base and sustained momentum in services continue to remain key growth drivers. While services and consumption are driving growth, the government capex is progressing well in the first 2 months of FY27 at INR 2.51 lakh crores versus INR 2.21 lakh crores in April, May of last year, reflecting a healthy 14% growth.

At the same time, the real estate sector and formalization trends across the economy remains supportive of medium-term growth prospects. On the investment flows front, although foreign portfolio flows were impacted by geopolitical tensions and global risk aversion, strong domestic institutional participation helped sustain market liquidity.

Overall, while the global environment remains uncertain, India's structural growth story remains firmly intact. A resilient domestic economy, strengthening investment cycle, a stable financial system and a continued policy focus on infrastructure and manufacturing provide a very solid foundation for sustained growth.

We remain confident in the medium-term outlook for the Indian economy and the robust demand environment it continues to create for our business. Across the organization, our focus remains on execution excellence translating strategy into outcomes and strengthening the foundation for long-term growth. Looking ahead, our priorities remain very clear, sustaining growth

momentum, strengthening our competitive positioning and continuing to invest in innovation, talent and capabilities.

I would now hand over to Shashank to take you through the financial performance for the quarter.

Shashank Yagnick: Thank you, Niyant. For the quarter ended June 30, 2026, we delivered another strong set of results, underscoring the resilience of our business model and the effectiveness of our execution strategy. Consolidated revenues grew by 39% year-on-year, supported by sustained momentum across both our wires and cables and FMEG businesses.

Operating performance remained robust during the quarter. EBITDA increased by 32% year-on-year and the margins stood at 13.8%, reflecting an improvement of approximately 70 basis points sequentially over the previous quarter. At the bottom line, we achieved our highest ever quarterly Profit After Tax of INR 7,967 million, representing a growth of 33% year-on-year.

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PAT margins for the quarter came in at 9.7%. Finance costs for the quarter were INR 800 million, while other income stood at INR 1,049 million.

For a detailed understanding of these line items, I would request you to refer to Slide number 17 of the presentation. Our balance sheet continues to remain strong with a net cash position of INR 39.9 billion. The average working capital cycle improved significantly to 15 days in Quarter 1 Financial Year 2027, aided by a temporary increase in payable days due to the use of letter of credit for raw material procurement.

As these effects normalize, we expect the working capital cycle to settle within our long-term operating range of 45 to 50 days. Capital expenditure during the quarter amounted to INR 3.2 billion, reflecting our continued commitment to building capacity and strengthening future growth drivers.

Let me now move to Slide 6 and discuss the performance of our Wires & Cables business. The Wires & Cables segment registered a healthy 39% year-on-year growth during the quarter. Within this, the domestic Wires & Cables business delivered an impressive 43% year-on-year growth, supported by robust market demand, effective execution across key channels and favourable commodity-linked realizations.

Volume growth for the quarter on a year-on-year basis was low to mid-single digits, which was on top of a very strong base of Q1 of

last year. From a category standpoint, wires grew faster than cables during the quarter. Channel sales also outperformed institutional sales, highlighting the strength of our distribution network.

Regionally, the West remained the strongest contributor, followed by North, South and East, reflecting the broad-based nature of our market presence across the country.

Our international business witnessed a decline on Y-o-Y basis, reflecting the impact of near-term geopolitical developments. However, the underlying fundamentals remain strong and intact. We continue to maintain a healthy order book and remain confident of a strong recovery, supported by a positive long-term outlook.

EBIT margins for the Wires & Cables business stood at 13.3%. Sequential margin improvement was driven by a favourable business mix and continued focus on operational excellence.

Consistent with our Project Spring roadmap, we continue to maintain our medium- to long-term margin guidance of 11% to 13% for this business.

Turning now to Slide number 8 for our FMEG business. The FMEG segment delivered another outstanding quarter, recording 71% year-on-year growth with strong contributions across all product categories. This marks the tenth consecutive quarter in which we have outperformed industry growth rates, reinforcing the strength of our business model and execution capabilities.

Solar business, our largest category within the FMEG portfolio, continued to be the primary growth engine, delivering more than twofold growth year-on-year. The category continues to

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benefit from favourable structural trends, including the PM Surya Ghar Yojana, state-level incentive programs and increasing consumer adoption of renewable energy solutions.

We believe the long-term growth opportunity in this space is quite substantial. The rest of the portfolio, including fans, lighting, switches, switchgears, conduit pipes and fittings also delivered healthy growth. This was driven by continued strength in the real estate and construction sectors, supported by our focus on product expansion, market development and deeper customer engagement.

The profitability trajectory of the FMEG business also continued to improve, having turned profitable in Q4 of financial year 2025. The business has steadily enhanced earnings while

simultaneously investing in people, innovation, product development and brand building. EBIT margins for the quarter were 8%, very much in line with the milestones laid out under Project Spring, where we target EBITDA margins of 8% to 10% by FY 2030. Looking ahead, we remain optimistic about the long-term prospects of the FMEG segment. Our strategic priorities remain unchanged to grow at 1.5x to 2x of the industry growth while progressively enhancing profitability.

Ongoing investments in distribution reach, product innovation and brand strength will continue to drive support sustainable value creation over the coming years. Moving on to Slide number 10 for an update on our EPC business. The EPC business reported revenues of INR 3,077 million during the Quarter 1 Financial Year 2027, reflecting a year-on-year decline of 11%, primarily due to the timing and execution cycle of projects. Despite the lower revenue base, profitability remained healthy at INR 338 million, translating into a margin of 11%.

Over the medium to long term, we continue to expect sustainable operating margins for the EPC business to remain in the high single-digit range. In closing, I would like to thank all our stakeholders for their continued trust and support. The quarter's performance reflects the strength of our diversified portfolio, disciplined execution and strategic investments across the growth platforms.

With that, we conclude our prepared remarks, and we'll now be happy to take your questions. Thank you.

Moderator: The first question comes from the line of Aniruddha Jos

hi with ICICI Securities.

Aniruddha Joshi: Yes. Congrats to entire team for posting for a solid result. Sir, two questions from my side. If you can indicate the price hikes and volume growth in this quarter on a year-on-year basis. And now considering the copper prices, how do you see the pricing working out for Q2? That is question number one. And secondly is in terms of accounting, as you alluded to earlier, the acceptances have gone up considerably and which is included in payable days. So, if you can quantify the actual creditors, the creditors or exponent creditors for capex, and third, the actual acceptances. And as the acceptances are part of payables whether the interest cost on the acceptances is booked through the expenses line? Or is it included in finance costs? Just as an accounting clarification.

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Shashank Yagnick: So Aniruddha, thank you. I think in your two questions, you had 4. We'll try and answer all. So firstly, on the copper price and in fact, the volume and price growth in this quarter. So I think I can give you volume growth trajectory, which is put together, cable & wire domestic business grew from about low to mid-single-digit volume growth.

But we must note that the Q1 of last year, our volume growth was very, very strong. We had a base of about 26% volume growth, cable & wire put together, where again, cables was high and wires was north of 20%. So on that base, this time, we have recorded low to mid-single-digit kind of overall cable & wire business growth, where, this time, like we mentioned in the earlier part of the conversation, wires have outpaced cables.

And on the copper price, I don't see we have given any guidance on that for Quarter 2. We will continue to focus on business and price will, of course, be something that we can't control. It's like you are aware, it's a cost-plus model. So whatever is the cost, we'll pass it on, and we'll continue to focus on the business. So that is the first question.

Second question, I'll just briefly address by saying that -- so while acceptances have gone up, I think the goods are still in transit. So hence, if you look at typically the way we operate, the inventory is usually on a higher side, say, around 100-110 days. Using LCs, we get payable days around, say, 80-90 days. And it's only a play of that. And if you look at receivables, you must be aware our business happens 90% through channel, and majority of that again comes from channel finance.

So our receivables are always low. But typically, considering the other parts of business, including EPC, we believe our receivables are usually within 20 to 30 days. So if you put together these 3 pieces, you will always figure that we are somewhere around the average range we guide is 45 to 50 days. But this time, we were on the better side, and we ended up with 15 days in this quarter. So I think for more details into it, we can of course take it offline.

Moderator: Next question comes from the line of Sonali Salgaonkar with Jefferies.

Sonali Salgaonkar: Congratulations to the team for such a strong performance. My first question is a little strategic in nature. It would be nice to hear your thoughts on the upcoming data centre opportunity or any opportunity in optic fibres that you see? And my second question is in terms of exports. Now we understand that 13% decline, was it largely because of Middle East? And how do we foresee the coming quarters?

Shashank Yagnick: Thank you so much, Sonali, for these two questions. So firstly, on the data centre opportunity, I think it's a very big opportunity. We are hopeful that material translation should happen from

estimates to reality. Today, I think the installed base is somewhere around 1.6 gigawatt. We have read reports where the estimation is somewhere around 8 gigawatt to 16 gigawatt or 18 gigawatt. So we estimate that 1 megawatt translates into a

round INR 3.5 crores worth of cables with 50% to 60% being conventional and the balance being optical fibre. So a sizable chunk of demand can come from data centre. It's just a matter of timing. Definitely, a INR 20,000 to 25,000 crores market is there, but that's over a period of maybe 6-8 years.

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Through our distribution channel, we have supplied a majority chunk of the conventional piece in the existing installations. I think we have called out earlier publicly that in the data centres of Vodafone Idea in Mohali, Pune and South of India, we have supplied the cables.

So, we continue to focus on that market. It's a dedicated focus area for us. And that, of course, is one such chunk of demand centre, which can actually explode and create another layer of demand for cable and wire put together. So I think we definitely expect this to pick up in a bigger way.

And like I mentioned, the opportunity could actually be from 8 gigawatt to 16 to 18 gigawatts, and that to over a period of 5 to 8 years. We need to see how it translates into reality. And on the second part, which was exports, so like you rightly mentioned, Middle East got impacted in the month of March. And certain geographies in the Middle East continue to be impacted. But I'm happy to state that we have seen a good amount of momentum coming back in exports. Today, we have a very healthy order book. U.S., Europe and Latin America put together, we have a very sizable order book.

apply to state that even in Q1, we could do about 20-24% kind of a business from Middle East, which again came from countries like Oman, Saudi and UAE put together. And North America continued; the contribution from North America was somewhere around 45-50% in our Q1 turnover.

And of course, Europe was about 18-20%. So broadly, we have been pretty broad-based. Last year, we were happy to add 10 new geographies in our global footprint. And today, we believe that all of that is going to pay rich dividends in the time to come.

Moderator: Next question comes from the line of Pulkit Patni with Goldman Sachs.

Pulkit Patni: Just one question. This is on the Bharat Net project. Given how steep a price increase have we seen in the fibre side, how do you see the profitability of these projects panning out over the next couple of years? And also, we have seen that overall, the EPC revenue has been quite weak. Any particular reason that's impacted this revenue? So just that question.

Shashank Yagnick: Sure. Thanks, Pulkit. So again, I think one was on Bharat Net and the high fibre prices. Happy to state that the strength of our procurement is such that we have been able to secure the fibre for the execution period, which is next 2 to 3 years. So there is a INR 4,500 crores execution piece of the contract of INR 8,000 crores overall.

So within that, overall supply portion is around 30% of the overall value. Now for that portion, we have already secured the fibre. So hence, we are technically not exposed to the high fibre prices that are happening today, and completely appreciate the fact that the fibre prices are obviously on the uptick.

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But we have secured our fibre. Hence, we are not exposed and not impacted. And profitability, like you mentioned, we have always guided that Bharat Net, which again forms part of our EPC business, the expected margins are supposed to be high single digits.

This quarter, we have delivered EBIT of 11% in our EPC business, but we estimate that from a long-term perspective, it should be high single digit. And also, I think since you mentioned that EPC has taken a hit in this quarter, I would say EPC business is the nature of business wherein you shouldn't see on a 2 to 3 month basis. These are all milestone-linked payouts.

So if the milestone happens, say, after a period of 5 months, then possibly, the revenue recognit

ion will happen in second quarter and not in the first quarter. So that's the only way.

Otherwise, materially, if you see on a full year basis, you will not see hopefully a dip.

Moderator: Next question comes from the line of Akshay Gattani with UBS.

Akshay Gattani: Congratulations on great results. Sir, how should we look at full year volume growth? Like Q1, you highlighted low to mid-single-digit volume growth on a high base. Q3, again, will have a high base. Q2 will have a slightly, I would say, moderate base and then this is becoming favourable in Quarter 4. So how should we look at full year volume growth for Polycab this

year?

Shashank Yagnick: So Akshay, thanks for your question. So, see, I think best way to look at it is look backwards. So if you look at Q4, I think the industry didn't have significant volume gains. Q3 was maybe 40% for us. So similarly, quarter-on-quarter, you will have different volumes.

But I think we have always guided that we will do 1.5x of market growth, which is a mix of both volume and value. So as long as there is growth in the volumes or growth in the market, we definitely do better than the industry growth rate. That is the only guidance we can give.

But if you look back, like I mentioned, overall full year FY26, we did 18% volume growth. So I think over a period of 10 to 12 months is a good time to look at a trend. 2 to 3 months period, I mean, you will have only 2 to 3 dots. You'll not be able to draw a trendline. So I think 10 to 12 months is a good period. Over maybe 2-3 next quarters, you will see a trend, and you should definitely see 1.5x of market growth.

Akshay Gattani: Got it. And second question, sir, on the wires growth this quarter, you highlighted wires have outperformed cables growth this quarter. So does this imply market share gain for Polycab in wires segment? And how much will be the market share, if you can quantify?

Shashank Yagnick: Okay, we'll have to obviously wait for other results to also get public, right? Only then we can comment on that. And typically, we do this market share analysis or exercise typically, again at a 10 to 12 month period. In last quarter, in fact, we updated that overall, we have gained 3% to 4% market share.

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I think quarter-on-quarter, it may or may not be true because this should not be cyclical, right?

It should be at least structural gains, which can again appear only after 8-10 months. And of course, after peers have also declared the results.

Moderator: Next question comes from the line of Ravi Swaminathan with Avendus Spark.

Ravi Swaminathan: Congrats on a good set of numbers. I would like to double-click on the volume growth opportunity from the cable segment. How was the performance from transmission side this time?

And how do you see the visibility, especially from solar side? Is there a possibility of further growth that can be there from that particular subsegment?

And similarly, with respect to demand from infra and industrial, how it was in the first quarter?

And how is it likely to pan out? Are we seeing a recovery in demand from both infra and industrial side?

Shashank Yagnick: Thanks, Ravi. Thanks for that question. So I think I'll just reiterate. So basically, 90% of our business happens through channel. So majority of the times, we don't get to know who is the end customer. But of course, we have some estimates and assessments where we can give you some colour.

Not every quarter, you will have a particular sector contributing. But overall, if you see, our sales, thanks to being the largest player in the cable and wire industry, our sales are very broad-based. So it will be across the spectrum of demand. I'll just cite a few numbers, Ravi, and thanks for pointing this out that what is the traction in T&D space.

See, overall generation side, I'm sure we are all happy with the developments that are happening on renewa

ble generation. I think around 55-56 gigawatt got added in the last financial year.

Under the National Generation Adequacy plan of Government, by FY36, we have to reach somewhere around 1,120-odd gigawatts, where 70% of that has to come from renewable.

So today, solar is maybe around 150 gigawatt. It has to go up to almost 500 gigawatt plus. So substantial generation, maybe I think north of 50-60 gigawatt every year will continue. So all of that will, of course, translate into significant cable demand.

Second piece is the transmission and distribution. So if you look at period of FY20 to FY25, the average transmission line capacity addition was around 15,000 circuit kilometres. Now that has to substantially go up to about north of 20,000. So estimates are 20,000 or 21,000 circuit kilometre should be the average for the period of FY26 to FY30.

Now this year, again, Central Electricity Authority (CEA) has predicted that at least it will be 17,000 circuit kilometre in this financial year. So all of these are very, very good positive signs. And happy to state that 2,000 circuit kilometres have already been executed in April and May month.

So we don't have a number for June, but 2 months have already seen 2,000 circuit kilometre getting added. So it's a very real execution which is visible. Even the MNRE budget for last year, Polycab India Limited

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they were able to pump in INR 24,000 crores. So against their budget estimate, the actual spend was about 90-plus percent. So all of these are very, very healthy signs.

If you look at the capacity addition plans of the transformer companies, they are pretty robust. If you look at CG Power, ABB, Siemens, Hitachi, they have very sizable capacity addition plans. All of them are targeting the huge T&D pickup that is going to come. And of course, AI and data centres are further going to propel this demand.

So we are very positive, Ravi. I think that's going to continue. Also on the private side, I think you mentioned, thanks to our distribution reach, we are able to aggregate demand at Tier 2, Tier 3, Tier 4 markets, our distributors are able to cater to that demand.

We have been fortunate to be able to cater to sizable private demand. And on a broad-based basis, we expect that demand to kick in even strongly now that government budget is strongly focusing on logistics, railway, corridors and stuff like that, which will further create the right environment for private capex to pull in.

We have seen that the BSE 500 companies, ex-BFSI, they have committed somewhere around INR 11.6 lakh crores for next 12 to 18 months in capacity enhancements and new capex. And majority of them are going into industries like metals, semiconductors, manufacturing and even renewable.

So if all of that comes through, I think majority of these will translate into very strong demand for cable and wire, and we are yet to fully see the potential from defence, EV charging infrastructure, data centres, which can create another layer of demand altogether.

So I think from demand side, we are reasonably assured. I think India is at a very sweet spot. And not just for this year, I think, Ravi, for the next 2 to 3 years, we are very positive about the demand.

Moderator: Next question comes from the line of Achal Lohade with Nuvama Institutional Equities.

Achal Lohade: Am I audible?

Moderator: Please go ahead.

Achal Lohade: So, two questions. First, in terms of the volume growth, if you could call out base quarter number for cables and wires separately. You mentioned that wires has grown faster than cables in this quarter. So is there any element of channel stocking, which has kind of helped in this quarter and towards June month? That's my first question.

Shashank Yagnick: So Achal, maybe let me address the first question, so which is the volume split between cable and wire. So, wires, like I mentioned, outpaced cables. Wires has h

igh single-digit growth.

Again, at the cost of reiteration, I'm repeating that our volume base of last year, Q1 was very, very high. Cables was almost north of 25%. Wires was north of 20%. So, on that base, our wires recorded high single digit. Cables was low to mid-single digit.

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Achal Lohade: Got it. And in terms of channel stocking, how is the channel stocking at this stage for wires and also cables.

Shashank Yagnick: Very good way to look at it is the movement in copper and aluminium. So if you see in June specifically, I think it has plummeted. Aluminium has gone down by maybe 18-20%, from point to point, 1st of June to 30th of June. And if you look at even copper has substantially come down. So it had almost gone to almost INR 14,000 and then it came down to INR 13,100 - 13,200.

So I think as soon as price tends to go up, the stocking happens. If price comes down, destocking happens. That's the usual trend in the channel and which is consistent any time. And hence, the answer to your specific question is that the stocking did not happen to the expectation. Of course, there is some stocking that happens because of a quarter end or a month end. But compared to the regular estimate of a typical quarter, it was definitely impacted by the plummeting of raw material prices.

Achal Lohade: So fair to say that the channel stocking is suboptimal? Would that be a fair way to look at it?

Shashank Yagnick: So again, here, suboptimal is very difficult for me to place it on record, point being that in our case, typically, a healthy stocking is say maybe about 20-25 days. That may not be true for other peers because we are able to replenish them faster. So, below expectation is a better way to put it.

Achal Lohade: Fair point. Secondly, in terms of the margins, if I look at the mix in cable and wires, mix will be in favour of wires in this quarter. But the margin improvement Q-o-Q -- ideally, the margin should have seen further improvement. So I was just curious, is there any one-off or any cost escalation, etc, which has kind of impacted the Q-o-Q improvement in the margin?

Shashank Yagnick: No. Achal, I'll just put it this way that it's a factor of 4 things typically in case of us for defining the margins. One is the export contribution in the overall business. This quarter, again, the effect of West Asia gradually phasing out or at least I don't know, at least till last week, the effect was reducing or going in the right direction of resolution.

But this quarter, of course, had an impact on exports. So export didn't contribute meaningfully.

Second is the split between wires and cables. Now wires was obviously higher. So that, of

course, uplifted or supported our margins. Second is the channel versus institutional. So channel was higher, and hence, that also supported the margins.

But the fourth, again, being the operating leverage. So exports contribution and the operating leverage possibly didn't go in the right way. So all of this comes together, then definitely, we are able to at least support our margins in a good way.

But at the same time, also, Achal, I would put it that based on our long-term or medium- to long-term guidance of 11% to 13% under Project Spring, we definitely want to operate there. And we

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believe that this is again a healthy range. Of course, all 4 things coming together will play a role in our defining the margins.

Achal Lohade: Perfect. Just one last question. In terms of the U.S. exports, if you could talk about the distribution revamp, where are we? And what kind of pickup are we seeing? And what was the growth in U.S. exports on a Y-o-Y basis?

Shashank Yagnick: So let me put it this way. This year -- this quarter, the mix of exports, U.S. was again 50%. And overall, we have seen a dip in exports. But North America continues to be a large contributo

r to

our overall exports.

And second thing is on the setup. I think setup is more or less complete. We had appointed market representatives, and that process is complete. I think we have sown the right seeds. There's a very healthy order book, specifically from U.S. And there's a very healthy inquiry bank as well.

So, these two put together gives us enough confidence that in the coming quarters in this financial year, we should see sizable pickup in U.S. export and overall exports also will definitely show a good uptick.

Moderator: Next question comes from the line of Ashish Kanodia with Citi.

Ashish Kanodia: Yes, I can hear you. So just my first question is on the pricing side and stocking. So one, have you taken any -- like was there a price cut which has happened during the first 15 days of July? And post that, did you see a slightly better stocking given maybe towards the June end channel would have delayed some bit of a stocking in anticipation of the price cut?

Shashank Yagnick: Yes. So, I think we have taken some price correction or rather price revision in the first fortnight, and we will see the translation into volumes gradually.

Ashish Kanodia: And can you quantify, please, what was the price revision.

Shashank Yagnick: I think about 3% to 4%.

Ashish Kanodia: Sure. And second question is on the FMEG side. On the margin side, we have seen a very, very strong outcome. So, one, is it purely operating leverage led or on the gross margin side also, you have seen some improvement?

Shashank Yagnick: No. So like I mentioned on the margins. So again, there are 4 factors, which I just mentioned to Achal also. So wires, obviously is a higher-margin business for us.

Ashish Kanodia: Shashank, my question was on FMEG business.

Shashank Yagnick: Okay. Sure. So on FMEG, there are 2 or 3 big things which are kicking for us. One is the operating leverage. And thanks to our low base, we have been able to deliver higher growth and we have been able to gain substantial benefits from operating leverage. That is one big kicker.

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Second is the premium mix has gone up significantly. In this quarter, we have seen premium mix going up to almost 25% in the overall FMEG portfolio.

In case of fans, it has gone up to almost 33%. In case of lighting and luminaries, it has gone up to 38%. So all of this put together, placing the right product in the right market and having strategies for respective regions and not pan-India strategy for single product category. All of this and very solid on-ground execution is resulting in a very solid top line growth, which is, of course, then supporting the operating leverage, and the premium product mix has helped uplift the EBITDA margins in FMEG.

Ashish Kanodia: Sure. And just last bit on the EPC side - on a full year basis because quarter-to-quarter, the execution could vary. But on a full year basis, what kind of revenue or execution can we expect from RDSS and Bharat Net?

Shashank Yagnick: So Ashish, like you remember, Bharat Net, the overall order size is around INR 8,000 crores. Out of that, INR 4,500 crores is the execution piece for new infrastructure which is over a period of 3 years.

We have started the execution sometime in last quarter in March. So we can safely say maybe 1/3rd of that should translate into revenue, maybe INR 800 crores to INR 1,000 crores may come from Bharat Net alone. And RDSS, we had overall order book when we started the execution

was around INR 3,250 crores.

Today, I think we have recognized some of it. But overall, put together, Bharat Net and RDSS, the order book stands at around INR 10,900 crores. And again, in case of RDSS, since the execution piece is around 3 years, we should expect about INR 800-odd crores translating this year.

Moderator: Next question comes from the line of Sameer Gupta with IIFL Capital.

Sameer Gupta: Congrats on a good set of numbers. Sir, f

irst question is on the FMEG piece, taking it from

Ashish. Now solar here is a big driver. Any colour on the scale of this segment and sustainability of this growth?

I remember 1 year back, this was the third largest category within FMEG and now it is the largest, and it is still growing at 2x. So just trying to understand what kind of visibility we have currently on this momentum in solar?

Shashank Yagnick: Thanks, Sameer. So I think it's very much related to the government policies, the PM Surya Ghar Yojana and the state incentives and central incentives for rooftop solar. So I think this solar inverter business for us is also driving the same momentum. We definitely see a strong trajectory of growth in the next 2 to 3 years in the same way as the country is witnessing.

Sameer Gupta: And any colour on what contribution it would be within FMEG? Will it be like 30% now? Or any colour you can give there?

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Shashank Yagnick: So Sameer, I'm sure you are aware, we don't usually, by design, give a split of the FMEG basket, but I'm happy to state and like you have mentioned, it's the single largest contributor, but it's still less than 50%. I can tell you the descending order of the topline of the respective categories. It is solar followed by fans, followed by pipes and conduits in this quarter. And then you have switchgears and switches.

Sameer Gupta: Fans and lighting and luminaries you are clubbing together, is it?

Shashank Yagnick: I mentioned solar inverter, followed by fans. Then you have pipes and conduits. Then lights, switchgears and switches.

Sameer Gupta: Okay. And on the FMEG ex-solar if you could just help me with the growth in terms of volume and price hikes for this quarter, it would be helpful.

Shashank Yagnick: Sameer by design, we don't give a split of the FMEG respective portfolios. But I'm happy to state, and I think I covered that in my earlier commentary, is that all 6 categories have delivered stronger growth than the industry growth for the respective category.

And again, that has two, three elements, like I mentioned, which is premium mix, which has helped not just topline, but also has helped the bottomline. The segmental play with respect to right product in the right market. We have done same counters retail wires are getting sold. We are driving switches and switches along with that. So a lot of these things are working out, and all of them are delivering, thanks to lower base, a very high growth for all 6 categories.

Sameer Gupta: Got it, sir. The idea for asking this question was that typically in consumer durables this quarter, there is an element of a low base because there was an early monsoon last year, and it's been a delayed summer this year or a delayed monsoon this year.

Plus, there have been some bit of price hikes into the channel, both in 4Q and 1Q. So just trying to gauge the sustainability of this growth. That was the idea of asking the question. Any granular information here would be helpful, even if you don't want to share the numbers.

Shashank Yagnick: Sure, Sameer. I appreciate your question. And like you rightly mentioned, I think the industry like fans, coolers, ACs, although we are not into ACs and coolers, but I'm saying all of this industry has benefited from the extended summer, and we too have benefited. And like you rightly mentioned, in case of fans, say for example, the new products with the new BEE norms when they launched in the market, of course, there was a 4-5% correction.

That's not only for us, but for everybody. And similarly for other products, I think. And since you come up with a new product every time, so the prices may not tally with the industry per se. Hence, we don't usually give a split, and I think you'll appreciate that.

Moderator: Next question comes from the line of Naushad Chaudhary with Aditya Birla Mutual Fund.

Naushad Chaudhary: Clarification on the

data centre and T&D opportunity. As you mentioned, 1 megawatt translates to INR 3.5 crores of wire and cable demand. So INR 3,500 crores on 1 gigawatt and assuming Polycab India Limited

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in a best case, 1 gigawatt capacity comes in annually. So it would generate INR 3,500 crores of wire and cable demand. And obviously, there would be some base last year as well. So with INR

3,500 crores of demand, how can it have a significant percentage growth impact on a TAM of INR 1 lakh crores.

And same goes to T&D also, last year, 12,000 to 13,000 circuit kilometre was the number and future would be 13 to 15. So percentage-wise, it is not going up much. So these two, how can it have a significant impact on the industry growth percentage. Just wanted to understand if I'm reading it correctly or not?

Shashank Yagnick: Naushad, thanks for that question. So I agree on the first one and disagree on the second one. So first one, which was data centre. So I think I kind of agree with you. I think if the addition only happens 1 gigawatt, then obviously, the translation to cable and wire requirement of the market will not be substantial. And I'm completely agreeing with you.

And unfortunately, today, we are sitting at a base of 1.6 gigawatt, but that has happened over a period of 5-7 years. I think 2019 or 2020, maybe some capacity started setting up, and it has taken some time to reach 1.6 gigawatt. And in the initial part of my commentary also, I mentioned that when somebody asked me about data centres, we see an opportunity of 8 gigawatt to 18 gigawatt, and we don't know how long it will take to get there, right.

So of course, if it's a factor. If 5 gigawatt comes in tomorrow, then obviously, the sizable portion of demand will come. So I'm completely agreeing with you on that. So it's your guess versus mine. I'm yet to see that translation happening on ground with respect to data centre capacity coming up.

At the same time, let me also put forward that we have a decent order book. There are some establishments which are already about to start. They may or may not be at a very sizable number to translate into 1 gigawatt in a year. But definitely, there is some movement happening, and there's a good trajectory. But at the same time, giving a bullish number on that is something that is outside my purview.

On the second piece of T&D, that is where I would like to differ. We have seen the average of last 5 years, like I mentioned, was around 14,000 to 15,000 circuit kilometres. So last year's number, maybe I mean you and I both can recheck. I think it's somewhere closer to 14,000 and 15,000 circuit kilometre.

And the trajectory for the next 5 years as per CEA estimates is somewhere around 20,000-21,000 circuit kilometre. This year itself in FY27, we are expecting around 17,000 circuit kilometre capacity addition. So definitely, there is a disconnect, and this is a factual number so we can all check.

Secondly, 2,000 circuit kilometre has already been added in the period of April and May put together only in this financial year. So there is a good amount of trajectory. Also, the conversion, the execution has been very, very good. If you look at the government capex, which is a Polycab India Limited

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substantial portion is going to power T&D, a good amount of conversion and execution is happening.

So hence, there I differ. I think T&D is going to pick up in a bigger way. And the translation to cable and wire requirement, specifically in case of T&D is higher. So INR 100 spent on T&D translates to a cable requirement of about 15%, which is very, very high. So, we definitely estimate that the next 5 years is going to be very significant monumental for T&D and both generation, transmission and distribution put together.

Naushad Chaudhary: See, last 5 years, even with a target of 23,000 average, the achiev

ement is 14,000. And now next

5 years target of roughly on an average, 20. So, in that case, if we achieve 15 on a base of 15,000 annually, so that gives some worriedness in terms of percentage growth. So, is there any other data point which you can give us to have some confidence on incremental growth from T&D for the sector should come in?

Shashank Yagnick: Naushad, we are only going by the published numbers of Central Electricity Authority. So I think we are very confident. And also one more parallel, another lead indicator that you can refer is the capacity expansion plans of the transformer companies.

And also, if you look at their order book ratio of order book versus revenue, that has gone up to almost 2.5x. So order book is around 2.5x of their revenue. So which means there is substantial development happening on T&D front. And at the same time, even if the conversion execution is, say, X percentage, if it is 70% / 80% / 90%, like I mentioned, the translation to cable and wire has been very, very high in case of P&D.

Generation has been the major kicker in the last 2 to 3 years, where a substantial amount of renewable capacity has gotten added. But to that, that momentum is going to continue and T&D is going to pick up the chain now. So that's my take, and I'm happy to agree and disagree on certain aspects.

Moderator: Next question comes from the line of Keyur Pandya with ICICI Prudential Life Insurance Corporation Limited.

Keyur Pandya: Few questions. First on the volume growth side. So you have guided for 1.5x growth versus industry growth. But I'm just saying from the perspective of absolute growth number, do you worry about the lower growth for last 3 quarters in terms of volume? Is it just because of this? Or you see there is a deceleration in the momentum?

And just -- I mean, building on the previous discussion, all the data centre or transmission or T&D capex, I mean it can delay by 1 or 2 years and that can impact our volume growth. I'm not denying any risk to this T&D capex, but any delay can at least impact our growth rate. So are you seeing any deceleration? So how do you dissect this lower growth numbers? That is first question.

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And second is on export side. I mean, at least the better environment in the Middle East and some normalization of trade routes plus your strategy in the distribution, how do you see or when do you see export growth picking up or at least for FY27? Yes, these are the 2 questions.

Shashank Yagnick: Sure. Thanks, Keyur. Firstly, on the volume growth. So I'll just narrate the same story, which is, say, Q4 of last year, our volume -- the industry volume growth were pretty moderate. Q3, we outperformed everybody and we registered 40% volume growth.

Q1, Q2 had another story, respectively. But if you look at full year basis, our volume growth was 18%. So this year, again, Q1, at the back of West Asia crisis, which appears that we have passed the peak and we are going in the right direction. Again, last week, it's resurfaced between Iran and U.S. So all of that will continue to play. But 3 months may or may not be a good indicator. Like you see in June, the prices of copper and aluminium shooting down. So stocking or destocking continues to happen.

But in our assessment, we have seen the CAGR of our volume growth has always been double digits in the last 5 to 7 years. So quarter-on-quarter may or may not be a good indicator. You may have to look at a longer time period of at least 10 to 12 months to assess that.

We are very confident on the demand side, and that's true for, I think, all cable and wire operators. And that's also true that, that is why so much of competition is jumping into this sector because they see a significant potential. I mean that's the only good thing to take from that.

So definitely, there is volume growth, which is going to come. We

have guided that we'll

continue to grow at 1.5x of market growth. And we still believe in that, and we have delivered that in the last 1-1.5 years ever since we have made that commitment. And we believe that will continue to happen until FY30. There are significant pockets of demand. So power, of course, we believe is going to drive the demand momentum, which has happened in the previous years as well. And more so now it will happen with greater push towards self-sufficiency and energy security.

Second is the manufacturing and private sector, which we believe is now going to come up in a bigger way. Mobility, again, wherein 10% to 12% demand for cables comes from mobility, where again, we see railways, airports, seaports, roadways, highways. Annually, we have reached about 10,000 kilometres of road construction, highway construction every year. That's a sizable number.

And 800 new Vande Bharat are expected by 2030. So I think all of these will substantially add to the demand. Further, I think data centre, defence, EV charging infrastructure, these are somewhere around 4-5% today, but they may explode and create another layer of demand. So demand is very much there.

We believe that we'll be at the forefront of taking the lion's share of the demand. And on a full year basis, we should be able to live up to 1.5x of market growth and maybe even today. So on the volume part, I think I broadly addressed. I think we are not too concerned or worried about that at all.

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Secondly, if you look at exports, specifically U.S. Definitely, I think the momentum is very much back. The Middle East is also somewhat we have started catering to Oman, Saudi and UAE. And we see that we have sown the right seeds. We have entered 10 new geographies in the last year. Today, our footprint is around in 94 countries. And we will definitely see a higher traction.

In exports, India as a country is very under-indexed. We believe that India has immense potential and more so for Polycab because we have the right approvals and right products and right availability guarantee. We assure that we'll be able to deliver higher growth. And there is no specific target because it's an uncapped growth opportunity. We have given our guidance of going north of 10% of our overall top line by 2030.

And that's one indication that our export growth should be higher than domestic. And we believe if there are no more trade barriers and it's a level playing field, today, we are very well poised to leverage on that growth, and that should reflect in the numbers in the coming quarters.

Keyur Pandya: Understood. Just last one question. On the FMEG side, you highlighted all the reasons for better margin. Now this is as high as your, say, FY30 guidance. So I mean, this is one-off or because of the seasonality or some other reasons? Or we should assume that you have reached your guidance earlier than what you had thought?

Shashank Yagnick: So Keyur, again, our guidance we have given clearly till FY30, quarter-on-quarter based on seasonality. I mean, typically, this industry is about seasonality, right. Fans will have a seasonality for sure. Lights, of course, will have a seasonality. So all of this definitely has seasonality. But on top line basis, like we' have guided, whatever the market growth will deliver 1.5x to 2x of that growth. And of course, the ambition is that on a full year basis, we should be able to reach 8% to 10% of EBITDA margins on FMEG.

So currently, what you can read is a very, very good trajectory. If you look at last 5 quarters and today, we have come by leaps and bounds in the right direction, both on top line and bottomline front. Topline growth of 71% year-on-year is a phenomenal growth. And even EBIT of 8% in FMEG today with increasing focus on A&P spends is again a very, very commendable story.

Moderator: Ladies and gentlemen, that was the last ques

tion for today. We have reached the end of question-

and-answer session. I now hand the conference over to Mr. Niyant Maru for closing comments.

Niyant Maru: Thank you all the investors for taking part in this call. We appreciate your questions and hope we have answered to your desire. Hope to see you again in the next quarter. Thank you.

Moderator: Thank you. On behalf of Polycab India Limited, that concludes this conference. Thank you for joining us. You may now disconnect your lines.